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MEDCOENERGI

Value.
Focus.
Growth.



2025
Sustainability Report

PT Medco Energi Internasional Tbk

ISSN 2962-4606 • Volume 14 No. 1 • April 2026

In a year shaped by change and complexity, MedcoEnergi sharpened its strategy and responded with clarity and discipline. Value, Focus and Growth frame our priorities, guiding how we allocate capital, build operational excellence across our portfolio, and invest selectively to enhance scale and expand our energy business. Through these three themes, we strengthen operational and financial performance, build long-term competitiveness, and grow our presence across the markets we serve.

MEDCOENERGI

SUSTAINABLE DEVELOPMENT GOALS

We support the Sustainable Development Goals

GMP
Oil And Gas Methane Partnership 2.0

ibcsd

MedcoEnergi is a co-founder of the Indonesia Business Council for Sustainable Development, the Indonesian chapter of the World Business Council for Sustainability Development (WBCSD)

CDP
Discloser
2025

MSCI ESG RATINGS

AAA

CCC | B | BB | BBB | A | AA | AAA

As of Mar 2026

As of 23 March 2026, PT Medco Energi Internasional Tbk received an MSCI ESG Rating of AAA

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Value.

Value is built on the strength of Medco's engine: disciplined capital allocation, efficient operations and stable cash generation. By integrating capabilities across our businesses, and executing with rigour, we deliver consistent performance and reinforce long-term competitiveness.

Focus.

Operational excellence drives everything we do. Through the rigorous application of its principles, we build efficiency and resilience that underpin long-term value for our stakeholders.

Growth.

Growth is driven by selective investments that enhance scale, extend production potential and expand our portfolio. By investing with purpose, we strengthen our energy business and build the foundation for future value.



Marlin FPSO, South Natuna Sea Block B, Riau Islands



The Energy Building, Jakarta, Indonesia

About This Report

MedcoEnergi publishes an annual Sustainability Report to communicate the Company's policies and approach to sustainable development and to disclose its economic, social, environmental and governance performance.

This report covers MedcoEnergi's activities and performance per material topic between the period of 1 January and 31 December 2025 and provides progress updates on the action plans established to achieve our short, medium and long term sustainability objectives. A summary of the achievements and challenges for 2025 can be found on page 24-25.

This report was prepared in accordance with the 2021 Global Reporting Initiative (GRI) Standards and its subsequent updates and demonstrates the linkage between MedcoEnergi's sustainability performance and the United Nations' Sustainable Development Goals. Unless otherwise stated we use definitions as set out in the GRI Standards. The GRI Performance Data and GRI Index are accessible through this link: https://www.medcoenergi.com/en/publication/sustainability-reports/ or through MedcoEnergi's website: www.medcoenergi.com.

Please contact investor.relations@medcoenergi.com for queries related to the report.

Reporting Assurance

MedcoEnergi engaged KAP Purwanto Susanti dan Surja (A member firm of Ernst & Young Global Limited, or 'KAP PSS - EY') to undertake limited assurance over selected disclosures in the sustainability report.

KAP PSS - EY is an independent party who are not involved in the Medco Energi Sustainability Report development process, therefore, KAP PSS - EY does not have any conflict of interest and the quality of the limited assurance process is maintained.

The number of data indicators disclosed and assured by KAP PSS - EY remained stable, 101 in this 2025 report. The Company will continue to enhance disclosure and increase the number of assured indicators once reliable and consistent data collection can be maintained across reporting units.

KAP PSS - EY Limited Assurance on the Sustainability Report

Limited Assurance Scope

The scope of KAP PSS - EY's limited assurance on the 2025 sustainability report was limited to a selection of 101 subject matter information included in the sustainability report and GRI Performance Data (https://www.medcoenergi.com/en/publication/sustainability-reports/).

Limited Assurance Conclusion

KAP PSS - EY undertook a limited assurance as defined by Standards on Assurance Engagement (SAE) 3000[1] (Revised 2022) (Assurance Engagements Other than Audits or Reviews of Historical Financial Information) and SAE 3410 (Assurance Engagements on Greenhouse Gas Statements) established by the Indonesian Institute of Certified Public Accountants (IICPA) over selected sustainability disclosures in the sustainability report as disclosed in the Appendix 1 of KAP PSS - EY's independent limited assurance report. Based on KAP PSS - EY's procedures and the evidence obtained, nothing has come to KAP PSS - EY's attention that causes KAP PSS - EY to believe that the accompanying Subject Matter Information is not prepared and presented, in all material respects, in accordance with the Criteria.

KAP PSS - EY's independent limited assurance report to the Management of MedcoEnergi is available in the company's website (https://www.medcoenergi.com/en/publication/sustainability-reports/).

1 SAE 3000 is the Indonesian adopted version of International Standards on Assurance Engagement (ISAE) 3000.

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Bualuang Platform, Thailand

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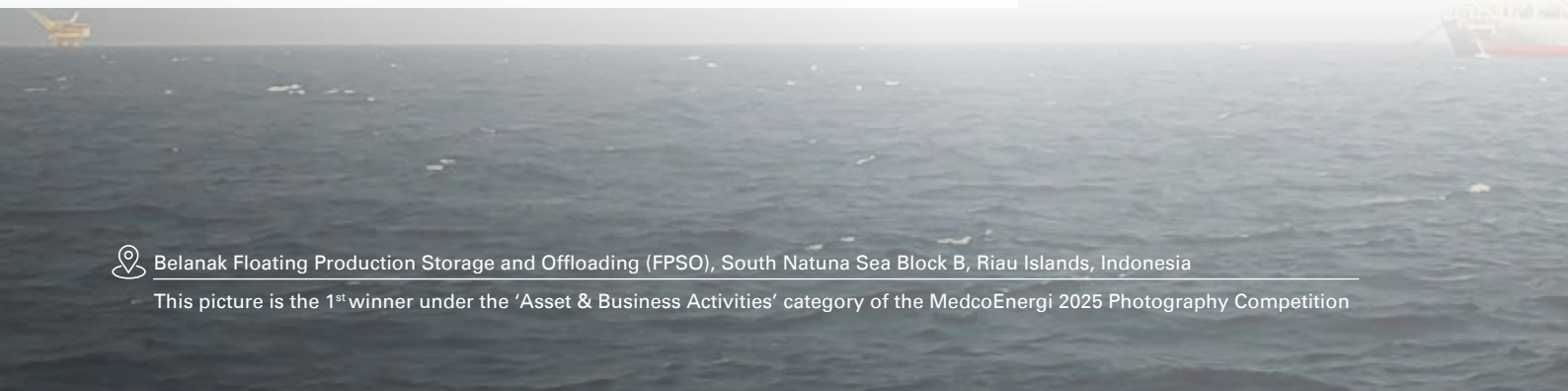
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Messages from the Management



Belanak Floating Production Storage and Offloading (FPSO), South Natuna Sea Block B, Riau Islands, Indonesia

This picture is the 1st winner under the 'Asset & Business Activities' category of the MedcoEnergi 2025 Photography Competition

8 Message from the President Commissioner

10 Report by the Board of Directors



Message from the President Commissioner

MedcoEnergi delivered strong progress across its business segments in 2025 through disciplined execution and operational excellence. This performance is reinforced by our MSCI ESG AAA rating, underscoring our strong commitment to sustainability.



Yani Y. Panigoro
President Commissioner

Evolving Landscape

The year 2025 was a dynamic one that reshaped the sustainability landscape.Energy systems became more volatile, driven by dynamic geopolitical and macroeconomic conditions and the rapid expansion of Artificial Intelligence and data centres across the industries. Inevitably, there were shifts in energy policy priorities, away from decarbonisation efforts and more towards energy affordability and security. At the same time, climate change impacts intensified, increasing the need for resilience and driving stricter sustainability and climate-related standards. These dynamics created both challenges and opportunities for energy companies[1]. Amid these conditions, we are continuing to focus on operational excellence to create value by embedding climate actions and delivering sustainable growth.

Strategic Approach

We recognise our role as an energy provider, supporting the development and growth of our host countries. This role requires us to address the energy "trilemma" by balancing policy and market forces while supplying energy that is affordable, reliable, and sustainable. Integrating sustainability and climate action is essential to meet the expectations of stakeholders and the countries in which we operate. We therefore restructured our sustainability approach in 2017 and refined it through materiality assessments in 2018 and 2022. These assessments enabled us to set priorities grounded in contextual realities and maintain robust sustainability strategies that are being cascaded into Key Performance Indicators (KPIs) and targets to support continuous improvement, monitor implementation, and strengthen coordination in value creation across our portfolio. With these continuous improvements, we achieved an upgrade of our MSCI ESG rating to AAA, positioning us as an industry 'Leader' in Oil & Gas Exploration and Production sector, and maintained a CDP rating of B.

Climate Action

We are proud to have achieved our climate change interim targets through operational excellence. We were able to reduce our Greenhouse Gases (GHG) and methane emissions from 2019 base year in our Oil & Gas operations and increase our renewable energy mix. Investment in people is also a key enabler. Through digital transformation and structured capability-building programmes, we built in-house climate expertise, delivered e-learning to our workforce and reinforced our commitment to human rights. In 2025, we developed a Just Transition Plan to further uphold human rights and support an inclusive energy transition.

Strategic Delivery

We took measured corporate actions to deliver our strategies while supporting energy security and transition. Our clear strategic focus was reflected by the investments in PT Transportasi Gas Indonesia (TGI) gas infrastructure and the acquisition of Repsol's interests in the Corridor and Sakakemang Production Sharing Contracts (PSCs). This reinforced our integrated gas value chain. We also expanded our renewable energy capacity, increasing power sales by eight percent compared with 2024. To support sustainable growth, we placed strong emphasis on Health, Safety, and Environmental (HSE) performance, which continues to remain above industry standards. However, several incidents occurred during the year. This underscores the need for additional efforts in strengthening safety culture and operational assurance.

Value Creation

Our aspiration is to create long-term value through clear focus and responsible growth while strengthening resilience in a changing energy landscape. We remain attentive to regulatory developments and continue to strengthen our internal capabilities. I extend my sincere appreciation to our employees, stakeholders, and partners for their dedication, leadership, trust, and collaboration in advancing our shared sustainability goals. As we look to 2026, we will be guided by value, focus, and growth. We will strengthen disciplined execution, sharpen priorities, and drive sustainable growth and resilience through our people, capabilities, and partnerships.



Yani Y. Panigoro
President Commissioner

1 Sources: McKinsey & S&P Global 2025 Sustainability Challenges & Opportunities

Report by the Board of Directors

Throughout 2025 we stayed focused, strengthened safe operations and delivered with discipline across the business.



Roberto Lorato
Director & Chief Executive Officer

Anthony R. Mathias
Director & Chief Financial Officer

Hilmi Panigoro
President Director

Amri Siahaan
Director & Chief Administrative Officer

Ronald Gunawan
Director & Chief Operating Officer

Balancing Energy Security and Decarbonisation in a Changing Landscape

MedcoEnergi has a long-standing presence across Southeast Asia and beyond, operating in an environment that continues to evolve. In 2025, rising energy demand and geopolitical tensions caused energy security to take increasing precedence over decarbonization while climate-related events and tighter regulations reinforced the need to further embed sustainability into our operations. Responding to this dynamic environment requires agility and disciplined decision-making. We continued to deliver our 2023-2027 sustainability roadmap with a clear focus on creating long term value. We achieved our interim climate targets, supported by operational excellence, which remains critical to both our efficiency and decarbonization efforts. This progress was delivered alongside operational growth, enabling us to provide cleaner and more reliable energy to meet evolving market demand.

Sustainability as a Foundation for Value Creation

Sustainability is a strategic priority, guiding how we meet today's energy needs while contributing responsibly to developing future energy systems. Through a materiality assessment in 2018 and a double materiality assessment in 2022, we identified material topics to ensure relevance and practicality of our Sustainability Policy. With this Policy, we ensure that our ESG commitments are cascaded into clear KPIs and targets, which we are proud to continuously achieve with focused programme execution annually.

We continued to foster safe, inclusive, and respectful workplaces, reinforced by the launch of the Respectful Workplace Policy in 2025. We also invested in our people, recognising that achieving long-term sustainability is dependent on strong capabilities and systems across the organisation. Since 2023, more than 5,000 employees completed sustainability and climate training programmes, aided by structured capability-building initiatives designed to strengthen awareness, understanding, and action at all levels. Beyond our workforce, we maintained support for the communities where we operate. In response to severe flooding across Aceh, North Sumatra, and West Sumatra, we acted swiftly to provide humanitarian assistance to affected communities.

Focused Execution to Deliver Climate and Sustainability Targets

Our Operational Excellence has strengthened workforce capability to drive our decarbonization measures. As our second five-year sustainability roadmap completed its third year, we delivered our key climate interim targets. They include the reduction of Oil & Gas scope 1 and 2 greenhouse gas and methane emissions by 30% and 41% in 2025 from the 2019 base year. These exceeded our target of 20% reduction of scope 1 and 2 greenhouse gas emissions and 25% methane emissions for the year 2025 respectively.

We also met our targets of disclosing and assuring our 2024 Scope 3 emissions data for the first time. Moreover, our Oil & Gas subsidiary joined the Oil and Gas Methane Partnership (OGMP) 2.0 to further reinforce methane management and transparency, aligning with globally recognized reporting and management practices. We also continued to expand our lower-carbon power portfolio, with power sales increasing by 8% compared with 2024 and renewables accounting for 26% of installed capacity, meeting our 2025 interim climate target. Furthermore, progress was made in managing physical climate risks, with asset-level Climate Change Risk Assessments conducted in-house for the South Natuna Sea Block B and Sumbawa Solar PV assets during the year.

We delivered key milestones in improving our governance framework to ensure that our sustainability initiatives are implemented effectively. A Just Transition Plan was issued in 2025 to address the social dimensions of energy transition, in line with our Human Rights Policy. This policy was further supported by our human rights e-learning programmes across the organisation. We maintained our ISO 37001:2016 Anti Bribery Management System certifications and implementing ISO 37002:2021 Whistleblowing Management System, among others.

Collectively, these efforts continued to be recognized internationally and nationally, including a CDP[1] Climate Change score of B, MSCI[2] score of AAA and inclusion in the IDX LQ45 Low Carbon Leaders[3], IDX KEHATI ESG Sector Leaders[4], and IDX KEHATI ESG Quality 45[5] indices.

1 CDP (formerly the Carbon Disclosure Project) rates companies' environmental transparency and performance, ranging from A/A- (Leadership) to F (Insufficient information). Evaluated annually across climate change, water security, and forests, scores assess Disclosure, Awareness, Management, and Leadership. A higher score indicates better environmental management and action.

2 MSCI ESG Ratings measure a company's management of long-term, financially relevant ESG risks and opportunities. Companies are rated on a scale of AAA (leader) to CCC (laggard).

3 IDX LQ45 Low Carbon Leaders is an index that aims to reduce the portfolio-weighted average carbon intensity by 50% compared to the LQ45 (parent index) and exclude coal production companies while maintaining LQ45 index sectoral availability.

4 IDX KEHATI ESG Sector Leaders is an index containing stocks with an ESG performance assessment above their industrial average value.

5 IDX KEHATI ESG Quality 45 is an index that measures the stock price performance of 45 listed companies, selected by the KEHATI Foundation, that have good Environmental, Social, and Good Corporate Governance (ESG) performance, as well as a high liquidity and good financial performance

Report by the Board of Directors

Strengthening Energy Portfolio to Meet Sustainable Growth

We continued to strengthen our energy portfolio and infrastructure through actions that support the energy transition. In the Oil & Gas business, average production reached 156 mboepd, slightly higher than in 2024. This performance was supported by a robust gas-weighted portfolio, which reflects the role of natural gas as a key transition energy source. We also continued strengthening the resilience and sustainability of our gas infrastructure to support long-term gas needs. Key portfolio actions included acquiring Repsol's 24% interest in the Corridor Production Sharing Contract (PSC), complemented by a 45% operating interest in the Sakakemang PSC. These, together with increasing effective ownership of the Transgasindo pipeline to 40%, were complemented by progress on the Suban facilities upgrade programme.

We continued to expand our lower-carbon power portfolio, with renewables contributing 25% of total power sales of 4,427 GWh. Major milestones during the year included commencing operations at the Medco Cahaya Geothermal (Ijen 35 MW Geothermal Plant Phase 1) and the Medco Solar Bali Timur (Solar PV 25 MWp). Ongoing upgrades also included expanding the Batam combined cycle power plant, which increased its capacity of 39 MW by harnessing waste heat from the existing open cycle, thus reducing the carbon emission intensity from 0.8 to 0.4 tons of CO_2e per MWh. In parallel, geothermal exploration progressed through initial drilling at Bonjol and continued subsurface work in Samosir.

Health and safety performance remains a core priority, reflected in our Operational Excellence practices and KPIs. During the year, we maintained zero fatalities, with overall HSE performance better than industry benchmark. Regretfully, our Total Recordable Injury Rate increased to 0.22 in 2025 from 0.16 in 2024. These incidents reinforced our efforts on continuous improvement, with an unwavering focus on strengthening assurance, leadership accountability, and workforce engagement. We continue to embed world-class HSE practices to support safer, more resilient operations throughout the organisation.

Value. Focus. Growth.

We reaffirm our commitment to creating value through sustainability. Disciplined delivery of our climate and sustainability targets continues to guide decision-making and enhance business resilience. We remain committed to responsible growth, supported by a sustainability framework, robust governance, and close attention to evolving regulatory requirements. This is made possible by the dedication of our employees, the trust of our shareholders, and the constructive engagement of host governments and partners. We therefore look forward to collaborating even further as we advance the energy transition and support sustainable and inclusive development.



Hilmi Panigoro
President Director



Roberto Lorato
Director & Chief Executive Officer



Marlin FPSO, South Natuna Sea Block B, Riau Islands, Indonesia



16 Improving Our Economic Performance
17 Enhancing Our Environmental Safeguards
18 Supporting Our Local Communities



Our Year in Summary

Improving Our Economic Performance

As a leading Southeast Asian energy natural resources company, we strive to build long-term value for our stakeholders while conducting our business with the utmost integrity and transparency.

Description	2023	2024	2025
Production[1]	**160 mbopd** Oil & Gas **4,155 GWh** Total IPP Sold	**152 mbopd** Oil & Gas **4,108 GWh** Total IPP Sold	**156 mbopd** Oil & Gas **4,371 GWh** Total IPP Sold
Revenue[2] (USD)	**2,249,337,578**	**2,399,190,555**	**2,395,035,969**
Net Profit/(Loss)[2] (USD)	**330,675,261**	**367,358,268**	**113,544,167**
Third Party Supplier Breakdown[3] (USD)	**198,269,182 (80%)** Indonesia **49,873,090 (20%)** International	**272,393,462 (89%)** Indonesia **33,434,661 (11%)** International	**185,728,318 (79%)** Indonesia **49,129,383 (21%)** International
New and Renewable Energy Projects	**Sumbawa Solar PV** 26 MWp, solar PV facility	**Bulan Solar PV Project** 2,000 MWp, solar PV facility **East Bali Solar PV Project** 25 MWp, solar PV facility	**Bulan Solar PV Project** 2,000 MWp, solar PV facility **East Bali Solar PV Project** 25 MWp, solar PV facility
	Cibalapulang and Pusaka Mini-hydro Two 9 MW mini-hydropower plants in West Java **Sarulla Geothermal** 330 MW geothermal power plant located in North Sumatra		**Cibalapulang and Pusaka Mini-hydro** Two 9 MW mini-hydropower plants in West Java **Sarulla Geothermal** 330 MW geothermal power plant located in North Sumatra **Ijen Geothermal Phase-1** 35 MW geothermal power plant located in East Java

Description		2023	2024	2025
Oil & Gas Production (mbopd)	Target	160	145-150	155-160
	Realisation	160	152	156
Oil & Gas Capital Expenditure (million USD)	Target	250	350	400
	Realisation	261	365	393
Power Sales (GWh)	Target	4,000	4,100	4,300
	Realisation	4,155	4,108	4,371
Power Capital Expenditure (million USD)	Target	80	80	30
	Realisation	72	71	35

1 Production figures are net working interest and aligned with the MedcoEnergi 2025 Annual Report.
2 Based on Indonesia Statement of Financial Accounting Standards.
3 Based on third-parties Trade Payable data.

Enhancing Our Environmental Safeguards

Our environmental safeguards include managing our greenhouse gas emissions, energy usage, and resource consumption to minimize environmental impact and protect the surrounding biodiversity. Further details regarding our efforts can be found in Chapters 6 and 7.

Description	2023	2024	2025
GHG Emissions Scope 1 and Scope 2 market-based in million tCO_2e (percentage of increase or decrease)	**4.2** Oil & Gas **1.4** Power	**3.8 (-11%)** Oil & Gas **1.4 (-3%)** Power	**3.8 (+0.4%)** Oil & Gas **1.5 (+8.9%)** Power
Energy Consumption in million GJ (percentage of increase or decrease)	**38.7** Oil & Gas **15.1** Power	**36.0 (-7%)** Oil & Gas **14.6 (-4%)** Power	**33.8 (-6.0%)** Oil & Gas **15.7 (+7.6%)** Power
Water Withdrawal in thousand m^3 (percentage of increase or decrease)	**46,951** Oil & Gas[1] **195,645** Power[2]	**49,533 (+6%)** Oil & Gas[1] **255,105 (+30%)** Power[2]	**49,800 (+0.5%)** Oil & Gas[1] **314,923 (+23.4%)** Power[2]
Non-hazardous Waste Generation in tonnes (percentage of increase or decrease)	**1,174** Oil & Gas **74** Power	**1,259 (+7%)** Oil & Gas **78 (+5%)** Power	**1,426 (+13.3%)** Oil & Gas **166 (+112.8%)** Power
Hazardous Waste Generation in tonnes (percentage of increase or decrease)	**6,161** Oil & Gas **101** Power	**5,125 (-17%)** Oil & Gas **50 (-51%)** Power	**15,997 (+212.1%)** Oil & Gas **90 (+80%)** Power
Biodiversity and Conservation Initiatives	**205 hectares** Total planted area for regulatory requirements[3] **17 hectares** Total planted area beyond regulatory requirements[4]	**249 hectares** Total planted area for regulatory requirements[3] **10 hectares** Total planted area beyond regulatory requirements	**310 hectares** Total planted area for regulatory requirements[3] **213 hectares** Total planted area beyond regulatory requirements

For the information on year-on-year changes of Water, Waste and Biodiversity Data, please refer to Chapter 7 Enhancing Our Environmental and Social Safeguards page 89.

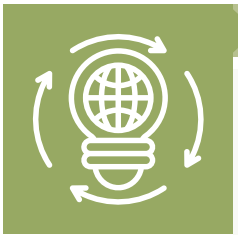
1 In-scope water withdrawals for Oil & Gas include fresh surface water, groundwater, third-party water use, seawater, and produced water.
2 In-scope water withdrawals for Power include fresh surface water, groundwater, third-party water use, and seawater.
3 Regulatory requirements include revegetation according to the Forest Area Usage Approval (PPKH) for Indonesian Oil & Gas assets and environmental permits (SKKL) specific to Corridor.
4 We conducted a major planting activity beyond the regulatory requirement in 2023 under the Medco & I - Two Trees programme, but the planted area is excluded from this total.

Supporting Our Local Communities

We implement community development programmes aimed at fostering self-reliance and resilience, with a focus on sustainable livelihoods and infrastructure development. Further details regarding our programmes can be found in Chapter 9. The following table summarise MedcoEnergi's support over the past three years:

Description	2023	2024	2025
Total Funding for Community Development Programme (USD)	1,812,866	2,531,162	2,318,093

MedcoEnergi has implemented programmes and initiatives to address various local needs, including:



Enabling Sustainable Livelihoods through Circular Innovation

- Supported eco-friendly cricket farming in Pekanbaru, Riau, as a circular economy initiative that promotes sustainable production and strengthens community economic independence.
- Implemented an Organic Fertilizer Ecosystem Development programme in Banggai, Central Sulawesi to promote circular waste utilisation and sustainable agricultural practices in our non-operated asset.



Improving Essential Infrastructure for Community Well-Being

- Constructed a concrete bridge in Rahaden Village, Barito Utara, Central Kalimantan, to improve community access.
- Expanded electricity access for underprivileged households in Cianjur, West Java, through a free installation programme in partnership with PLN.



Strengthening Environmental Awareness and Conservation

- Conducted coastal conservation awareness sessions for secondary students in Thailand.
- Promoted fruit tree planting in East Aceh, Aceh Province, by distributing 500 saplings to 500 households to support food security.



Advancing Women's Entrepreneurship for Sustainable Communities

- Supported sustainable agriculture training for women farmers in Giriyoso Village, Musi Rawas, South Sumatra.
- Renovated production houses for Hidayatullah Women Farmers in four villages in East Tarakan, North Kalimantan, to meet halal certification standards and strengthen market access.



Sustainable Agriculture as part of MedcoEnergi's Community Development Programme in South Sumatra, Indonesia
This picture is the 2nd winner under the 'Social & Culture' category of the MedcoEnergi 2025 Photography Competition

About MedcoEnergi

Acid Gas Recovery Unit in Block A, Aceh, Indonesia

This picture is one of the entries in the 'Business & Assets' category of the MedcoEnergi 2025 Photography Competition

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MedcoEnergi in Brief

MedcoEnergi is a diversified energy and natural resources group listed on the Indonesia Stock Exchange (MEDC-IDX) and the OTCQX® Best Market (MDCOY), with three key business sectors: Oil & Gas, Power, and Copper & Gold Mining. Leveraging its access to capital, natural resources, assets portfolio & infrastructure, and technical & commercial expertise, the Company drives value creation by providing affordable, reliable, and sustainable energy, delivering long-term returns for shareholders and stakeholders while upholding responsible stewardship of the environment and communities.

Oil & Gas

MedcoEnergi primarily produces oil and gas in Indonesia, with additional operations in Oman, Thailand, and Yemen. We have interests in 17 oil and gas assets in Indonesia, 12 of which are producing. Internationally, we have interests in 10 oil and gas properties, with 4 currently in production, along with exploration assets in Oman and development assets in Tanzania.

In 2025, average production was 156 mboepd, comprising 72% gas and 28% oil. Key contributions came from South Natuna Sea Block B (Terubuk and Forel) as well as projects in Corridor, Senoro and Oman. Unit costs were US$8.6 per boe, below guidance and consistent with the Company's position as a low-cost operator with cash costs under US$10 per boe for several years.

In 2025, the Company strengthened its portfolio through the acquisition of Repsol's 24% interest in the Corridor PSC, increasing its working interest to 70%, as well as securing a 45% operating interest in the Sakakemang PSC and in the process of acquiring an 80% operating interest in the South Sakakemang PSC in South Sumatra. The Company also increased its effective ownership in PT Transportasi Gas Indonesia (TGI) to 40%.

In March 2026, MedcoEnergi signed the Cendramas PSC in Malaysia as operator, further expanding its regional footprint.

Power

Medco Power Indonesia, a wholly owned subsidiary of MedcoEnergi, owns and operates 15 Gas to Power, Geothermal, Solar PV, and other Renewables IPPs (operating and in the pipeline) and provides operation & maintenance (O&M) services for its own and third-party power plants across Bali, Batam, Java, Sumatra, Sumbawa, Timor, and Sulawesi.

In 2025, power sales were 4,371 GWh, with 25% derived from renewable sources, including the start of commercial operations at the 35 MW Ijen Geothermal Unit 1, 25 MWp East Bali Solar PV, and 39 MW Energi Listrik Batam Expansion projects.

Sustainability Performance

MedcoEnergi implements a long-term sustainability, climate change, and energy transition strategy with a strong foundation of enterprise risk management and a proven track record in ESG performance.

MSCI elevated us to the 'Leader' category with an AAA rating in March 2026, advancing from our previous AA rating. This rating reflects MSCI's recognition of MedcoEnergi's progress over the past seven years in integrating environmental, social, and governance (ESG) considerations into its business strategy and operations. We also maintained our B rating from CDP for our climate disclosure.

MedcoEnergi remains on track to achieve its goals of reaching net zero greenhouse gas (GHG) emissions for Scope 1 and Scope 2 by 2050 and Scope 3 by 2060. The Company is strengthening its energy transition capabilities by investing in the development and upskilling of its diverse workforce.

Copper & Gold Mining

MedcoEnergi holds a 20.9% interest in PT Amman Mineral Internasional Tbk (AMMN), a publicly listed copper and gold mining company. AMMN owns Batu Hijau, the second-largest copper–gold mine in Indonesia, and Elang, one of the world's largest undeveloped copper–gold porphyry deposits.

Considering the non-controlling nature of our interest, we do not include AMMN Environmental, Social and Governance (ESG) activities in this Sustainability Report.

Financial Performance

MedcoEnergi's financial performance remains resilient, and the Company's healthy shareholder returns reflect its financial discipline and ability to maintain profitability. In 2025, Moody's Investors Service upgraded the Company's credit rating to Ba3 from B1, with a Stable outlook. Fitch and S&P maintained their BB- (Stable) ratings and Pefindo reaffirmed its idAA- stance.

In 2025, MedcoEnergi paid dividends totaling US$80 million (IDR 53.4 per share), representing a 19% increase per share year-on-year.

Vision, Mission, and Corporate Values

Vision

To be the Energy Company of Choice for investors, shareholders, partners, employees, and communities where we operate.

Mission

To build long-term value with a portfolio of sustainable energy and natural resources businesses.

Corporate Values



Professional

All employees must conduct themselves in a professional manner by:
- Being competent in their area of expertise.
- Having a "champion spirit".
- Always seeking self-improvement.
- Having professional capabilities and knowing their own limits.



Ethical

All employees must conduct themselves in an ethical manner by:
- Conducting business fairly with high moral integrity.
- Applying the highest ethical standards at all times.
- Understanding and following the Company's ethics and Good Corporate Governance policies.



Open

All employees must make efforts to promote transparency by:
- Encouraging informality and openness in communication at all levels.
- Building an environment of trust among employees and management.
- Being open-minded in thought, behaviour, and work.



Innovative

All employees must cultivate a spirit of innovation by:
- Helping to build a culture of trailblazers.
- Continuously searching for innovative solutions to achieve better, safer and cost-effective outcomes.
- Demonstrating intellectual and emotional maturity.

Value Creation in Sustainability: Key Highlights in 2025

CLIMATE CHANGE & ENERGY TRANSITION

1. OGMP 2.0 membership
2. Commercial operations of the Ijen Geothermal, East Bali Solar PV Plant and ELB Expansion
3. The first asset level Climate Change Risk Assessment conducted in-house for South Natuna Sea Block B and Sumbawa Solar PV
4. Formal issuance of Just Transition Plan

Achieved 2025 key interim targets:

Oil & Gas Scope 1 & 2 GHG Emissions Reduction[1]	▼ 20% Target	▼ 30% Actual
Oil & Gas Methane Emissions Reduction[1]	▼ 25% Target	▼ 40% Actual
Renewable Mix Installed Capacity	▼ 26% Target	▼ 26% Actual

SOCIAL, SECURITY AND COMMUNITY

1. Full implementation of Social Management System and Medco Security Management System
2. Oil & Gas Security Policy update
3. Built 47 housing[2] for underprivileged communities in collaboration with Habitat for Humanity and Medco Foundation.
4. Partnered with Bank Rakyat Indonesia (BRI) to bolster Medco Oil & Gas, supported Micro, Small, and Medium Enterprises (MSMEs), advancing their business maturity and improving future financing opportunities.
5. Hosted an MSME Festival featuring 22 fostered MSMEs from nearly all MedcoEnergi assets, expanding market access while delivering capacity-building sessions in digital marketing, branding, financial literacy, and online marketplace strategies for MSME owners.

HUMAN RESOURCES

1. Mandatory Sustainability and Climate Change e-learning reached 5,000 employees since launched in 2023
2. Launched Respectful Workplace Policy
3. Launched Human Rights e-learning
4. As of 2025, women represented 17.7% of the total workforce. In addition, women hold 20.4% of leadership positions (manager and above), reflecting our continued commitment to advance gender diversity and empower women in leadership roles.
5. The launch of Women@Work reinforced the initiative's goal of fostering a supportive community to empower, connect, and support female employees.

HEALTH, SAFETY AND ENVIRONMENT

1. More Trees Campaign[3]: 9,000 mangrove trees planted
2. Oil & Gas TRIR below IOGP reference
3. Upskilling Process Safety competency

UPHOLDING INTEGRITY

Maintaining eleven (11) ISO 37001:2016 ABMS certifications and implementing ISO 37002:2021 Whistleblowing Management System.

1 Reduction from 2019 base year.
2 Location in Tangerang, East Java and South Sumatra, Indonesia.
3 Location in West Java, Indonesia.

Key Challenges in 2025

VANDALISM - PIPELINE DAMAGE

Following investigation by local authorities (including environmental authorities, security authorities, village administration), pipeline damage in South Sumatra was confirmed as deliberate vandalism, resulting in oil spills totaling approximately 237 barrels.

We immediately activated emergency response protocols, isolating affected sections, stopping the leaks, and deploying technical teams to conduct containment, recovery, and clean-up in accordance with HSE standards. Response and clean-up activities were coordinated with SKK Migas and the local authorities. All leak points were repaired and spill management was completed, with government verification confirming no further environmental impact.

To mitigate recurrence, we continue to strengthen surveillance, preventive controls, and rapid-response capabilities, while working closely with authorities and local stakeholders to protect critical energy infrastructure and ensure safe, reliable operations.

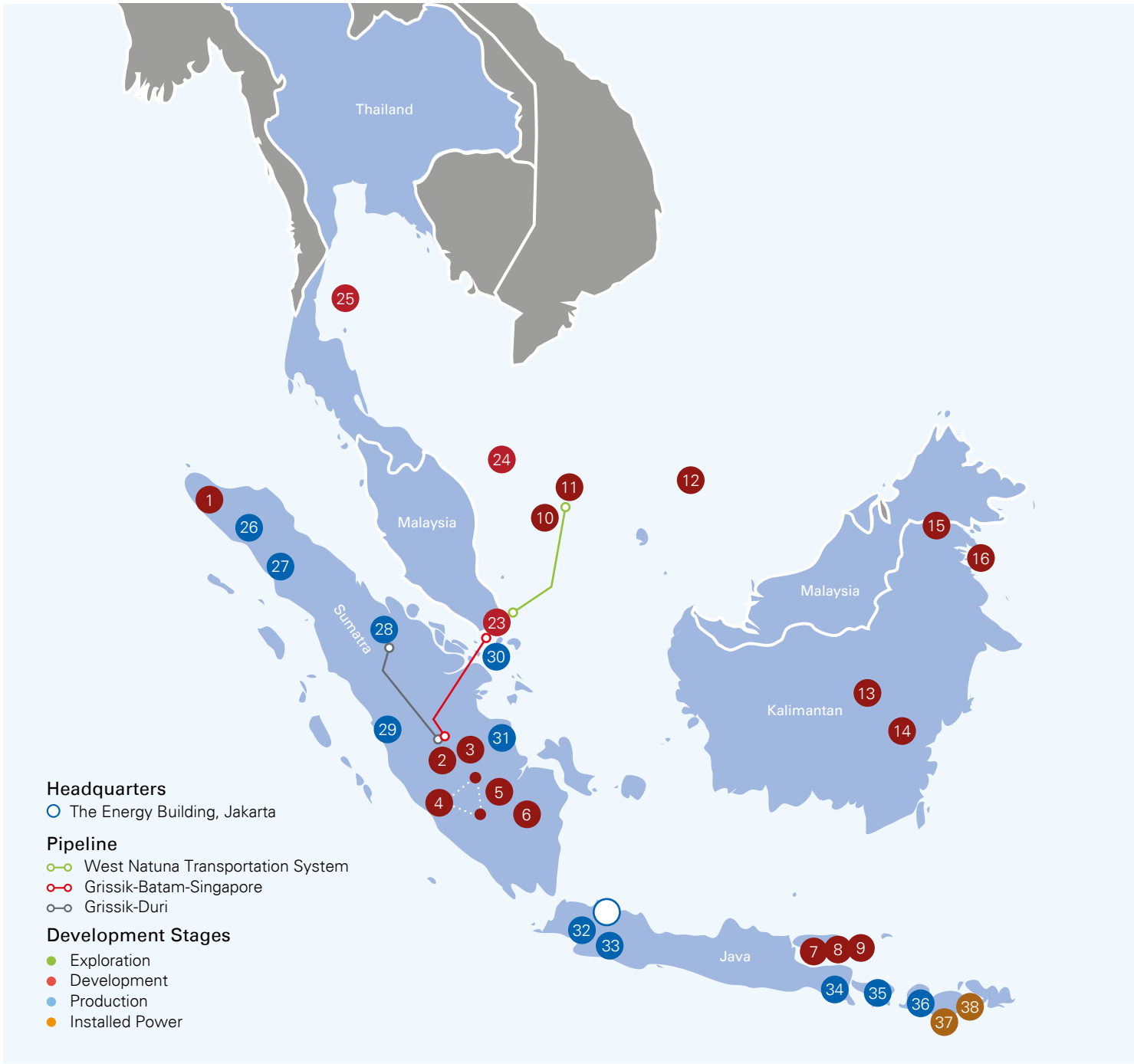
SAFETY PERFORMANCE

A Lost Time Injury (LTI) occurred during maintenance activities related to electrical shutdown work, underscoring the inherent risks of non-routine and higher-hazard tasks. In response, we are reinforcing Hazard Identification, Risk Assessment, and Assurance processes, which will remain priority focus areas through 2026 to strengthen preventive controls and support sustained HSE performance.

Another focus area is sustaining consistent HSE performance, underscoring the importance to further embed our safety culture during the execution of new projects. Several recordable cases were linked to project execution phases, highlighting the need for stronger safety integration during project and start-up.


Lematang, South Sumatra, Indonesia

Our Presence



Oil & Gas

1 Block A
2 Corridor
3 Sakakemang
4 South Sumatra Region
5 South Sakakemang[3]
6 Amanah
7 Sampang
8 Nawasena[1]
9 Madura
10 Beluga
11 South Natuna Sea Block B
12 North Sokang[6]
13 West Bangkanai[6]
14 Bangkanai
15 Simenggaris[4]
16 Tarakan
17 Senoro-Toili
18 Donggi Senoro LNG
19 Mexico[5]
20 Tanzania
21 Yemen
22 Oman
23 Onshore Receiving Facility, Singapore
24 Cendramas[2]
25 Bualuang, Thailand

1 PSC awarded in March 2026
2 PSC signed in March 2026, effective in September 2026
3 PSC under acquisition, pending government approval
4 PSC under divestment, with a conditional Sale and Purchase Agreement (SPA) signed in February 2026
5 PSC under relinquishment, pending government approval
6 PSC terminated in November 2025, pending government approval



Power

- 26 Sarulla Geothermal
- 27 Samosir Geothermal
- 28 Riau Gas-fired
- 29 Bonjol Geothermal
- 30 DEB, MEB & ELB Gas-fired
- 31 EPE & MPE Gas-fired
- 32 Cibalapulang Mini-hydro
- 33 Pusaka Mini-hydro
- 34 Ijen Geothermal
- 35 East & West Bali Solar PVs
- 36 Sumbawa Solar PV

Copper & Gold Mining

- 37 Batu Hijau
- 38 Elang

Business at a Glance

Oil & Gas (excluding Cendramas, Malaysia)

12 Onshore Production Assets

4 Offshore Production Assets

11 Exploration & Development Assets

7 Presence in Countries

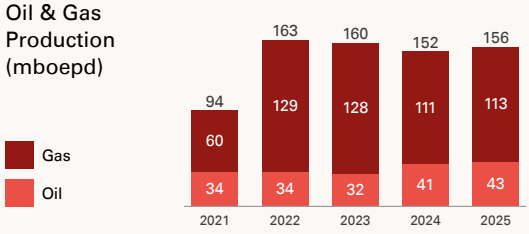
82% Onshore Production

18% Offshore Production

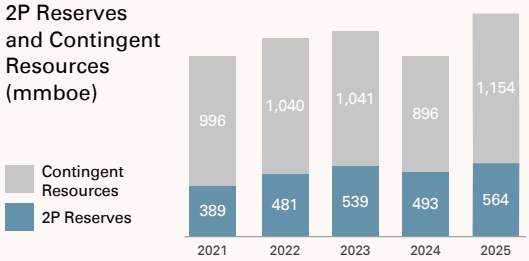
28% Oil Production

72% Gas Production

Oil & Gas Production (mboepd)



2P Reserves and Contingent Resources (mmboe)



Power

6 Operated Gas-fired IPPs

2 Operated Mini-hydro IPPs

2 Operated Geothermal IPP

2 Operated Solar PV

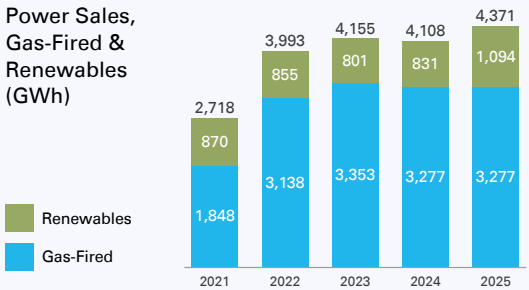
4,371 GWh Total Sales

25% Renewables Sales

1,011 MW IPP Installed Capacity

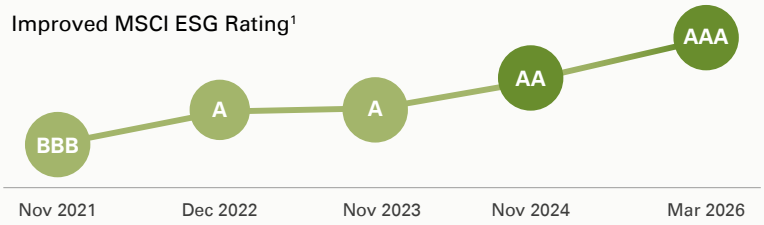
2,160 MW O&M Capacity

Power Sales, Gas-Fired & Renewables (GWh)



Environmental, Social & Governance

Improved MSCI ESG Rating[1]



1) In 2026, MedcoEnergi received a rating of AAA in the MSCI ESG Ratings assessment. MSCI Disclaimer Statement on page 1.

Maintained CDP Score



Reduced Emission in 2025 from 2019 Base Year



Oil & Gas Scope 1 & 2 (GHG)

30%



Oil & Gas Methane (CH_4)

40%

Economic Performance

Direct Economic Value Generated and Distributed (USD)

Description	2023	2024	2025
Direct Economic Value Generated	2,298,832,099	2,485,059,002	2,433,566,660
Revenues	2,298,832,099	2,485,059,002	2,433,566,660
Description	**2023**	**2024**	**2025**
Economic Value Distributed	1,609,809,122	1,770,712,102	1,779,056,728
Operating Costs	858,973,110	993,096,018	987,834,656
Employee Wages and Benefits	130,549,749	131,188,382	135,516,363
Payments to Providers of Capital	276,002,381	307,332,759	328,339,988
Payments to Host Countries Governments	339,666,380	336,022,192	323,925,908
Community Investments	4,617,501	3,072,750	3,439,813
Economic Value Retained	689,022,977	714,346,901	654,509,932

Our Approach to Sustainability

Grissik Central Gas Plant, Corridor, South Sumatra, Indonesia

32 Sustainability Framework

36 Driving Sustainability Performance and Strategic Growth

39 Sustainability Governance & Commitment to Human Rights

41 Managing Sustainability Risks and Opportunities

42 Stakeholder Engagement and Collaboration

Sustainability Framework

Three Pillars of Sustainability

Our Sustainability Policy is anchored in three pillars that guide how we operate with integrity and transparency while upholding our corporate values and good governance. This approach protects our social license to operate and creates value for our business, society, and the environment. The Sustainability Policy is accessible at www.medcoenergi.com.

MedcoEnergi's Sustainability Policy

Leadership of and by Our Employees



Our people are our most valuable asset. They are the keystone of our operations and our future success. Therefore, we must recruit diverse talent from all backgrounds who possess the right skillsets and ethical values. We are committed to maintaining a healthy, safe workplace built upon a culture of mutual respect. To be successful we will develop the capacity of all of our employees while recognising and rewarding individual performance and expecting personal accountability. All levels of our management are expected to set clear directions towards our expectations.

Environmental and Social Development



As a responsible corporate citizen, we are committed to comply with all applicable laws and regulations, and aligning our health, safety and environmental management with industry best practice and relevant international standards. We regularly set and monitor our goals and performance to achieve zero injuries, illnesses, environmental incidents, and the reduction of waste and emissions. We seek to continually strengthen our operational excellence through enhancing our safety culture, stakeholder engagement, environmental stewardship, and the ongoing adoption and development of best practices. We are committed to complying with all applicable laws and regulations, to respecting human rights in line with the UN Guiding Principles for Business and Human Rights and the Voluntary Principles on Security and Human Rights, and to learning from and applying industry best practice and relevant international standards.

Local Community Empowerment



MedcoEnergi endeavours to be a leading company on social practices and responsibility wherever we operate. We engage regularly, openly and honestly with stakeholders to share, hear and understand each party's views and concerns. We respond by making community investment decisions in a strategic, fair and transparent manner as we seek to empower and support the creation of self-reliant communities aligned with the UN SDGs.

Governance as the Foundation of Sustainability

As the foundation that interconnects and strengthens all pillars, our governance framework encompasses Anti-Bribery & Corruption (ABC), Human Rights, Public Policy, Socio-economic Compliance, Supply Chain Management, and Enterprise Risk Management, enabling ethical and responsible business practices across our operations.

Material Topics

We conducted a double materiality assessment in 2022 that validated the continued relevance of our Sustainability Policy and confirmed that most material topics identified in 2018 remain applicable. We identified 28 material topics and categorised them into tiers based on their significance, likelihood, impact on enterprise value (outside-in), and effects on society and the environment (inside-out).

These material topics reflect extensive stakeholder engagement, board consultations, and guidance from our consultant, which inform our strategic priorities. We conducted internal and external stakeholder engagement through focus group discussions, questionnaires/surveys, and communication channels to ensure inclusive stakeholder participation.

Material Topics based on 2022 Double Materiality Assessment

Leadership of and by Our Employees

- Workplace Health, Safety, and Wellbeing
- Security Practices
- Talent Attraction, Retention, and Development

Key Points
People/Organisations as a critical enabler of success to move forward, and the ability to attract and maintain a lean, efficient, and diverse pool of top fit-for-purpose talent.

Environmental and Social Development

- Climate Risks and Resilience
- Climate Mitigations
- Climate Adaptations
- Water
- Air Quality
- Effluents and Waste
- Asset Integrity and Security

Key Points
The three climate aspects (risks and resilience, mitigation, and adaptions) as clear and urgent/significant issues.

Local Community Empowerment

- Local Community Development Programmes:
- Health
- Environment
- Education
- Local Infrastructure
- Supporting Livelihood

Key Points
Despite the risks of negatively impacting both livelihoods and the environment, MedcoEnergi has the chance to share significant benefits with the local communities.

Governance

- Anti-Corruption and Business Ethics
- Policy and Regulatory Environment
- Human Rights
- Responsible Procurement Practices
- Stakeholder Engagement

Key Points Corruption is a major threat to both social development and the market economy.



Enhancing Rice Field Production, East Java, Indonesia

Sustainability Risk and Mitigation

These Tier-1 material topics shown below represent the highest significance in terms of likelihood, impact, and both outside-in and inside-out considerations. They outline the key risks we have identified as well as the risk mitigations. These disclosures represent a continued step towards alignment with IFRS S1 standards. We will continue to enhance the depth and quality of our disclosures.

> Based on 2022 Double Materiality Assessment, the following material topics describe sustainability-related risks and opportunities that could reasonably be expected to affect MedcoEnergi's strategies, performance, and financial prospects. The results of the double materiality assessment, including the identified material topics, inform our sustainability strategies with defined KPIs and Targets reflected in our short, medium, and long-term action plans. The sustainability related risks are regularly reviewed and updated in line with the dynamics of the global risk exposure, the progress of our sustainability roadmap and changes in regulatory requirements to support sustainable growth. The following are the key risks and mitigations as of 2025.

Workplace Health, Safety, and Wellbeing

Sustainability Risks
Our main operations are subject to significant operating hazards, including fires, explosions, blowouts, oil spills, natural disasters, and extreme weather, resulting in exposures to material environmental and social risks. Furthermore, health hazards and mental health challenges may adversely affect workforce productivity and performance.

Mitigations
Implementing our Health, Safety, and Environment Management System (HSEMS) aligned with ISO 45001, ISO 14001 and IOGP 456, supported by Company standards, guidelines, and operating procedures to ensure the consistent application of comprehensive HSE practices across our operations.

Strengthening a supportive work environment, including promoted physical and mental well-being, thereby safeguarded employees and maintained stable and reliable operations.

Talent Attraction, Retention, and Development

Sustainability Risks
Skill shortages, turnovers, and capability gaps may hinder project deliveries and energy transitions.

Mitigations
MedcoEnergi has established a Capability Development framework and supporting platform that incorporates talent management and succession planning to systematically strengthen people development. The framework enables targeted development through structured training programmes, cross-asset and cross-functional mobility, and initiatives designed to address identified competency gaps.

Technical training and leadership development programmes are implemented to further enhance workforce capabilities. In addition, regular organisational reviews are conducted to ensure ongoing alignment between workforce capacity and evolving business needs.

Social, Security and Cybersecurity

Sustainability Risks
Our business could be negatively affected by social risks and security threats, including cybersecurity threats, destructive forms of protest and opposition and other disruptions.

Mitigations
Strengthening our Social Management System (SMS) through cross-functional collaboration across company functions and enhanced team competencies to effectively identify, manage, and mitigate social risks. Focusing on fostering stakeholder engagement and ensuring that grievance mechanisms are aligned with the United Nationals Guiding Principles on Business and Human Rights (UNGP) criteria. The Company protects assets through the Medco Security Management System (MSMS) and an integrated plan covering physical security systems, risk assessments, and the Zero Incident Programme. Security is further reinforced by cooperation with relevant government agencies, security service providers (*Badan Usaha Jasa Pengamanan* - BUJP), and proactive measures such as stakeholder engagement, security personnel, and intelligence monitoring.

Our cybersecurity practices are aligned with Information Security Management System (ISMS) standards. Key initiatives included upgrading our security infrastructure, establishing a 24/7 Security Operations Center (SOC), reinforcing governance frameworks, and fostering a security conscious culture through cybersecurity awareness programmes and regular exercises.

Climate Risks and Resilience

Sustainability Risks
Physical climate impacts could disrupt our operations, while transition risks from carbon pricing, stricter emission regulations, and policy changes may increase operating costs and affect asset viability.

Mitigations
Established a Climate Change Strategy, including climate-related risk assessments to ensure asset resilience, incorporating climate considerations into our Corporate Business and Financial Planning, and strengthening employees' capabilities to improve preparedness and manage climate-related risks effectively.

Asset Integrity

Sustainability Risks
Equipment failures, corrosion, or structural issues at facilities can lead to production losses, safety incidents, or environmental releases.

Mitigations
Regular maintenance, inspection, and surveillance programmes improve asset performance, extend operational life, reduce downtime risks, and enhance reliability, operational excellence, and safety performance.

Climate Mitigation

Sustainability Risks
Potential failure to meet our emission reduction targets could result in regulatory penalties, stakeholder backlash and reputational damage affecting relationships with investors and partners.

Technology risks in deploying carbon capture, renewable energy systems or other emission reduction technologies may lead to cost overruns or performance issues.

Mitigations
Enhancing energy efficiency, reducing emission, and exploring carbon removal options contribute to reducing carbon footprint, improving resource efficiency, and supporting long-term financial performance.

A clear climate strategy and emissions reduction performance can enhance access to capital, strengthen investor confidence and support long-term business resilience.

The transition to low carbon energy include expanding our natural gas portfolio as a transitional fuel alongside developing renewable energy to support the Sustainable Development Goals of Indonesia and other countries where we operate.

Advancing renewable energy and low-carbon solutions may create opportunities to strengthen our market position in the transition to a net zero economy.

Climate Adaptations

Sustainability Risks
Physical climate change impacts could affect facilities, operations, value chain, and surrounding communities and social well-being. Failures in adapting to climate-related hazards, such as extreme weather, flood, or water stress, may lead to asset damage, supply chain interruptions, reduced productivity, and heightened health and safety risks for employees and communities.

Mitigations
Conducting climate-related physical risk assessments and control measures to strengthen asset resilience, while integrating climate considerations into current and future engineering designs.

Assessing the financial impact of climate-related physical risks to better understand potential impacts on assets, operations, and the value chain, and to inform risk management and investment decisions.

Engagement with various stakeholders on climate adaptations and energy transition can contribute to a more enabling business ecosystem, strengthen community resilience, and support the identification of emerging opportunities.



Water

Sustainability Risks
Water scarcity in our operational areas may constrain production, increase costs, and adversely affect operational performance and continuity.

Mitigations
Implementing water conservation and recycling strategies reduces reliance on freshwater sources, mitigates water scarcity risks, and supports sustainable operations in water-stressed areas. Conducting assessments to include water scarcity risks for new projects and put mitigation measures in place.



Air Quality

Sustainability Risks
Emissions from our operations can harm air quality, affecting the health of our workforce and surrounding communities, while poor management may damage our reputation and require costly mitigation measures.

Mitigations
Improving air quality management reduces environmental impacts on the workforce and surrounding communities, improves health and wellbeing, and strengthens our social license to operate.



Effluents and Waste

Sustainability Risks
Improper handling or disposal of waste and effluents can cause environmental contamination and regulatory violations, while inadequate waste management may pollute soil and water, affect ecosystems and communities, and increase operating costs.

Mitigations
Improving effluent treatment and implementing integrated waste management practices through segregation, reduction, reuse, recycling, and composting to ensure regulatory compliance while enhancing recycling rates and overall environmental performance.



Local Community

Sustainability Risks
Ineffective implementation of community engagement programmes may fail to adequately address local needs or strengthen community resilience, potentially giving rise to social conflicts, protests, or opposition. Such outcomes can delay project approvals, disrupt production continuity, and undermine our reputation and social license to operate.

Mitigations
Creating shared value through community development programmes that support local economic growth, education, healthcare, infrastructure, and environment strengthens our social license to operate. In addition, building strong, ongoing partnerships with communities facilitates smoother project development and enhances our reputation as a responsible and long term partner.



Governance Risk & Compliance

Sustainability Risks
The risk of fraud, bribery, corruption, and violations of business ethics could lead to reputational damage, financial losses, and legal issues or proceedings.

Mitigations
Upholding our Code of Conduct across all operations, anchored on the principles of Ethics and Integrity. To mitigate risks of fraud, bribery, corruption, and ethical misconduct, we implement international best practices and compliance standards, including ISO 37001:2016 (Anti-Bribery Management System) and ISO 37002:2021 (Whistleblowing Management System). These are reinforced through regular audits, integrity compliance reviews, and ethics programmes, ensuring continuous improvement and alignment with applicable laws, regulations, and stakeholder expectations.



Stakeholder Engagements

Sustainability Risks
Inadequate engagement with key stakeholders risks misaligned expectations and strained relationships. Poor communication of strategies, performance metrics, and sustainability commitments can erode investor confidence. Moreover, limited mechanisms for stakeholder feedback may hinder continuous improvement, heighten the risk of project opposition, and expose the company to reputational challenges.

Mitigations
Effective engagement with stakeholders (including shareholders, regulators, investors, business partners, suppliers, contractors, buyers, communities, and civil society), facilitates continuity and identifies opportunities aligned with stakeholder expectations.



Human Rights

Sustainability Risks
Potential human rights risks across operations and the supply chain, including unsafe working conditions, unfair labour practices, and impacts on local communities, may result in legal and reputational consequences.

Mitigations
Embedding robust human rights practices across our operations and supply chain strengthens our reputation as a responsible operator while proactive engagement with local communities builds trust and creates long-term social value.



Responsible Procurement Practices

Sustainability Risks
Expecting our vendors to adopt best ESG practices and uphold high ethical standards in compliance with applicable regulations, however, their level of awareness and maturity in relation to ESG initiatives and programmes varies across markets and commodities. Especially in emerging markets, some vendors have not yet reached the level of ESG implementation that we expect.

Mitigations
Implementing continuous vendor engagement programmes through routine workshop and socialisation as part of vendor capability building.



Stakeholder Pressure/ Expectations

Sustainability Risks
Increasing scrutiny and changing expectations from our investors, customers and employees with respect to ESG practices may impose additional costs on us or expose us to new or additional risks.

Mitigations
Having a five-year Sustainability Roadmap, KPIs, and Targets for the implementation of sustainability programmes and initiatives, including climate change. Conducting capability building activities of ESG risks to our workers. Integrating environmental, social, and governance aspects across our operations and projects. Closely monitoring the stakeholder expectations within a dynamic market to ensure that our sustainability practices align with the evolving requirements of the disclosure framework.



Policy and Regulatory Environment

Sustainability Risks
Changes to policies and regulations could affect the viability of our oil, gas, power, and renewable projects. Regulatory uncertainty, accelerated energy transition policies, and rising international reporting expectations require adaptive business models and robust disclosures.

Mitigations
Maintaining compliance with Indonesian laws and regulations through coordination with relevant central and local government authorities in relation to the operation of its Indonesian assets, including the Ministry of Finance, Ministry of Energy and Mineral Resources (MEMR), Ministry of Manpower, OJK, IDX, and SKK Migas. We also maintain compliance with applicable laws and regulations in other jurisdictions or countries where we operate. In addition, we actively monitor new legislation and staying updated by participating in various legal communities, seminars conducted by the above stakeholders or other credible legal Institutions.

Detailed description on IFRS S2 alignment is available in Chapter 6.

Our Tier-1 and Tier-2 material topics have been translated into 113 Tier-1 and 48 Tier-2 Sustainability Key Performance Indicators (KPIs) & Targets for 2025 as part of our 2023-2027 Sustainability Roadmap. This roadmap reflects MedcoEnergi's sustainability objectives and climate aspirations, shaped through internal stakeholders consultations with various functions, subsidiaries and the Board of Directors. These KPIs serve as the basis for our action plans, which are detailed at the conclusion of each chapter in this Sustainability Report. By the year end, 97% of 2025 Tier 1 KPIs & Targets and 92% of Tier 2 KPIs and Targets were achieved, with the remaining targets scheduled for completion in 2026.

Driving Sustainability Performance and Strategic Growth

Our Pathway to Sustainability

Recognising the rapid evolution of sustainability expectations and regulations, we structured our approach by establishing our first Sustainability Roadmap for 2018-2022 following the 2018 Materiality Assessment and the second for 2023-2027 following the 2022 Double Materiality Assessment. These roadmaps are supported by governance structures, policies, procedures, and by building organisational capabilities to drive implementation.

Through operational excellence, we meet our interim climate targets while delivering cleaner, reliable energy to support Indonesia's and the region's evolving needs. In the third year of our 2023–2027 Sustainability Roadmap, we advanced key initiatives in 2025, making measurable progress by reducing emissions across our oil & gas operations from base year 2019 and expanding our renewable energy portfolio.

Our subsidiary, Medco E&P Indonesia, has joined the Oil & Gas Methane Partnership (OGMP) 2.0 to enhance the measurement and reporting of methane emissions. This initiative reflects our commitment to achieve net zero emissions for Scope 1 and 2 by 2050, and Scope 3 by 2060.

Carbon Capture and Storage (CCS) is part of our climate change strategy in building our commitment to net zero. MedcoEnergi's Oil & Gas PSCs have the potential to provide CO_2 storage and management services for neighbouring high-CO_2 gas fields. These PSCs may serve as regional CO_2 storage hubs for CO_2-intensive industries.

As part of our long-term sustainability strategies, we issued a Just Transition Plan. We provided capability-building to relevant functions to ensure that our decarbonisation initiatives deliver environmental benefits and meaningful social & economic value.

To further strengthen our transparency in sustainability and climate aspects, we are aligning our disclosures with IFRS Sustainability Disclosure Standards (IFRS S1 and S2). We conducted capacity-building programmes, including double materiality assessment topics, for relevant teams across MedcoEnergi and our subsidiaries to enhance our disclosure quality in line with international best practices.

MedcoEnergi Sustainability Roadmap 2023–2027

2027

- Further integrate sustainability into business to enhance value creation
- Reach Top Quartile ESG performer in the Oil & Gas Exploration and Production Sector in Southeast Asia
- Maintain or improve MSCI score of an A, and CDP Climate Change score of a B
- Materiality assessment update for the next five-year roadmap

2026

- Internal carbon pricing and carbon trading: credits and offsets
- Partnership programmes to promote data transparency and implement best practices along the value chain

2025

- Reduce 20% of Oil & Gas Scope 1 & 2 GHG emissions
- Reduce 25% of methane emissions for our Oil & Gas business
- Increase renewable energy installed capacity to 26%
- Disclose Scope 3 GHG emissions
- Commit to upstream Carbon Capture and Storage (CCS) pilot project

CDP Climate Change B | MSCI ESG Rating AAA

2024

- Develop a Just Transition Plan
- Embed Climate Change Strategy in corporate business and financial plans
- Enhance governance, systems, capability building for human rights

CDP Climate Change B | MSCI ESG Rating AA

2023

- Update goals and KPIs based on the 2022 materiality assessments
- Enhance sustainability & climate change capabilities
- Establish Human Rights Policy
- Conduct a quantitative climate-related risk assessment

CDP Climate Change B | MSCI ESG Rating A

Climate Change Strategy

Our climate change strategy demonstrates our commitment to increase energy supply by addressing climate related risks and further developing sustainable energy.

We prioritise emission reductions and low-carbon energy transitions; building resilience against physical climate risks; and working towards net-zero emissions. Clear initiatives and enablers support these strategies to achieve our long-term vision for sustainable growth.

MedcoEnergi's Climate Change Strategy

Vision

To be the Energy Company of Choice for our investors, shareholders, partners, employees and the communities where we operate

Mission

To build long-term value with a portfolio of sustainable energy and natural resource business

Climate Aspiration

Achieve Net Zero for Scope 1 and Scope 2 GHG Emissions by 2050 and Net Zero for Scope 3 GHG Emissions by 2060

	Strategy	Focus Area	Key Initiatives
Managing Transition Risks	GHG Emissions Reduction	Technologies & Best Practice	• Reduce flaring, venting and fugitive emissions • Reduce energy use & intensity, adopt renewable energy sources • Collaborate along Supply and Value Chains to improve efficiency and emissions disclosure
		Carbon Removal & Offset	• Carbon sequestration through nature-based solutions • Explore CCS[1] and CCUS[2] opportunities
	Transition to Low Carbon Energy	Growing Gas as a Transition Energy Source	• Expand natural gas production portfolio • Evaluate opportunities to invest in LNG to Power
		Growing Renewables Portfolio	• Expand renewable power portfolio • Assess feasibility to adopt emerging renewable technologies • Support initiatives for adoption of green solutions
Managing Physical Climate Risks	Emerging Physical Climate Risk Management	Climate Adaptation	• Assess quantitative financial impact of climate-related physical risks • Implement systems for regular monitoring of climate hazards and their impacts
		Climate Design	• Continue physical risk and biodiversity assessments on new investments • Integrate climate risk assessment into future engineering designs

Enablers

Governance

- Board commitment and oversight
- Integration into business plans and performance management
- Staff engagement and capacity building

Data Management

- Improve Emission Data Management System
- Improve Scope 3 GHG emissions collection and calculation in alignment with protocols and standards

Transparency and Compliance

- Continue third party verification of emission disclosures
- Strengthen TCFD[3] disclosures and improve CDP[4] and ESG scoring

Collaboration and Engagement

- Engage with regulators and investors to monitor emerging regulations and trends
- Collaborate with stakeholders to drive the low carbon economy

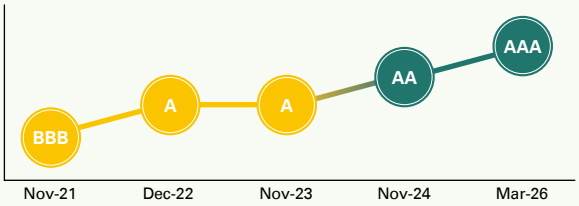
1 CCS: Carbon Capture & Storage.
2 CCUS : Carbon Capture Utilisation & Storage.
3 TCFD: Task Force on Climate Related Financial Disclosure.
4 CDP: Formerly the Carbon Disclosure Project. Website: www.cdp.net.

ESG Performance by Rating and Index

Our ongoing commitment to long-term improvement is reflected in the recognition we have received. In March 2026, we were upgraded by MSCI to an AAA rating, the highest possible rating in their ESG rating framework following its updated methodology. The upgrade from AA to AAA reflects our continuous improvements in Biodiversity and Land Use, Waste Management, Community Relations, Health & Safety, and Corporate Behaviour as we strive to embed sustainability into all aspects of our business. We also maintained our B rating from CDP for our climate disclosure. In addition, MedcoEnergi was awarded Runner-up in Category 2 at the ASEAN Risk Champion Awards 2025, a recognition for excellence in integrated risk management to address complex business challenges and opportunities. Since November 2022, we have been admitted into the IDX LQ45 low-carbon leader[1] list and, more recently, by IDX KEHATI as an ESG Sector Leader[2] in December 2024 and one of the listed ESG Quality 45[3] companies in December 2025.



As of 23 March 2026, PT Medco Energi Internasional Tbk received an MSCI ESG Rating of AAA.



- MSCI ESG Rating[4] provide an opinion of companies' management of financially relevant ESG risks and opportunities. Ratings are on a global seven-band scale from AAA (the highest ESG Rating) to CCC (the lowest ESG Rating).
- Under MSCI's updated methodology, MedcoEnergi's rating has improved to AAA, placing the Company among the top 11% of the MSCI Oil & Gas Exploration & Production universe.

CDP Score Report - Climate Change

		2021*	2022	2023	2024	2025
MedcoEnergi's CDP Score		C	B	B	B	B
Average Performance	Oil & Gas Extraction & Production	C	C	B	C	C
	Asia	B-	C	C	C	B
	Global Average	B-	C	C	C	B

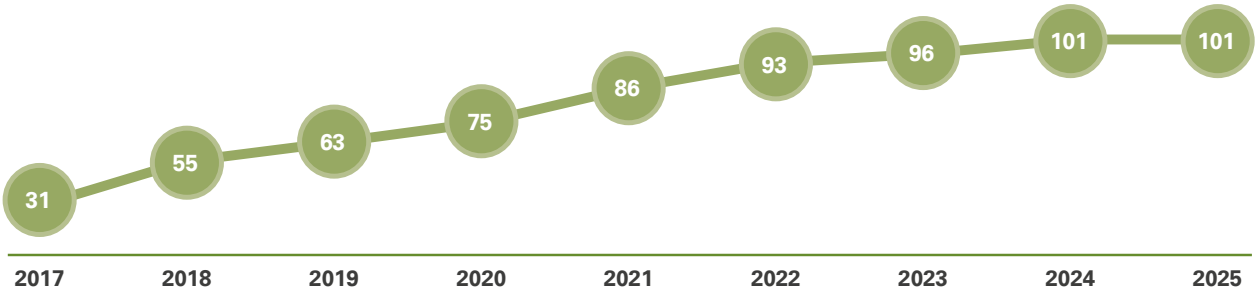
Leadership (A/A-) : Implementing current best practices
Management (B/B-) : Taking coordinated action on climate issues
Awareness (C/C-) : Knowledge of impacts on, and of, climate issues
Disclosure (D/D-) : Transparent about climate issues

* First time reporter, score not published

- CDP Climate Change assesses the quality of a company's environmental transparency and its actions to mitigate climate risks. Through a standardised scoring methodology, companies are rated from A to D-.
- Our consistent B score in the CDP Climate Change assessment underscores our position within the 'Management' level, reflecting our ongoing commitment to climate-related actions.

Our selected sustainability data is assured by KAP PSS - EY, with the following year-on-year number of assured GRI Performance Indicators:

Numbers of GRI Indicators Assured



1 IDX LQ45 Low Carbon Leaders is an index that aims to reduce the portfolio-weighted average carbon intensity by 50% compared to the LQ45 (parent index) and exclude coal production companies while maintaining LQ45 index sectoral availability.
2 IDX KEHATI ESG Sector Leaders is an index containing stocks with an ESG performance assessment above their industrial average value.
3 IDX KEHATI ESG Quality 45 is an index that measures the stock price performance of 45 listed companies, selected by the KEHATI Foundation, that have good Environmental, Social, and Good Corporate Governance (ESG) performance, as well as a high liquidity and good financial performance.
4 The use by PT Medco Energi Internasional Tbk of any MSCI Solutions LLC or its affiliates ("MSCI") data, and the use of MSCI logos, trademarks, service marks or index names herein, do not constitute a sponsorship, endorsement, recommendation, or promotion of PT Medco Energi Internasional Tbk by MSCI. MSCI services and data are the property of MSCI or its information providers, and are provided 'as-is' and without warranty. MSCI names and logos are trademarks or service marks of MSCI.

Sustainability Governance & Commitment to Human Rights

Sustainability Governance

We manage sustainability at the highest organisational level through integrated governance structures. The Sustainability and Risk Management Committee (SRMC), comprising of Commissioners and Directors, serves as the highest governance body supporting the Board of Commissioners in overseeing the company's sustainability agenda, including climate change, energy transition, and risk management. The SRMC issues directives, evaluates effectiveness, and recommends group-level sustainability and enterprise risk management approaches for the Company and its subsidiaries.

The Board of Directors (BoD) executes the sustainability agenda with support from the Corporate Sustainability and Risk Management (CSRM) division. The CSRM Head of Division reports directly to the CEO, supports C-level executives, and collaborates with Corporate Health Safety and Environment (HSE), Human Resources (HR), Relations & Security (R&S), Audit & Integrity Compliance (A&IC), Supply Chain Management (SCM), and Digital Information Technology (DIT) to drive sustainability initiatives across assets and business sectors. Functional teams report sustainability performance and risk registers to the BoD during Quarterly Performance Reviews (QPR). The BoD subsequently updates the BoC at SRMC meetings.

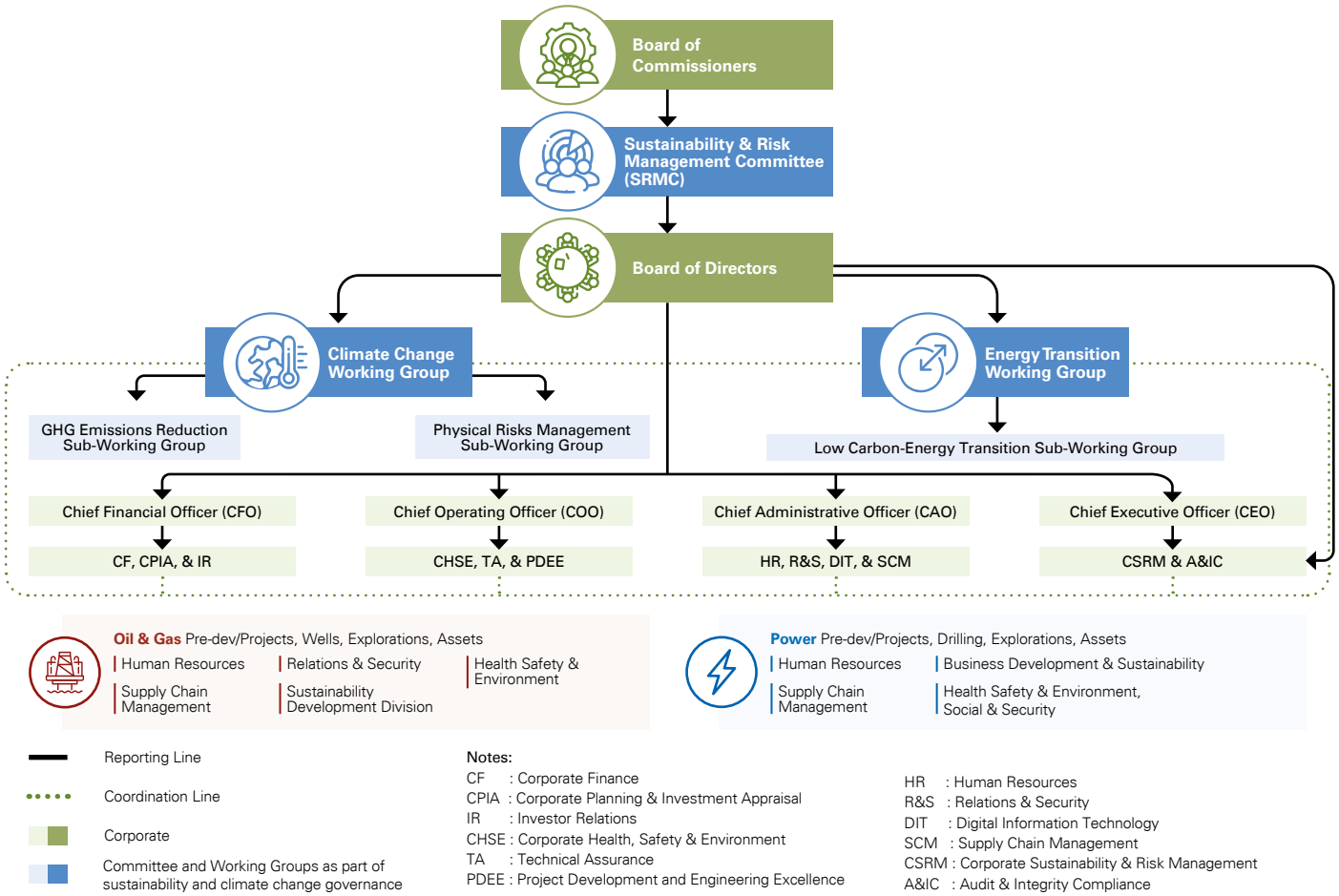
We established the Climate Change Working Group (CCWG) and Energy Transition Working Group (ETWG) to strengthen how we implement our climate change strategy. The CCWG focuses on the tasks to reduce GHG emissions and manage physical climate risks, while the ETWG advances our efforts to transit to low-carbon energy by expanding natural gas and renewable energy portfolios. Both working groups collaborate across organisational functions, align our sustainability and climate objectives, and report directly to the BoD.

The BoD is responsible for integrating climate-related risks and opportunities into business strategies with support from key organisational functions (see chart below). Weekly meetings, monthly and quarterly performance reviews, project gate reviews, and SRMC meetings enable the BoD to address climate issues and monitor goal progress. Each BoD member holds specific climate responsibilities:

- President Director: Leads climate-related stakeholder engagement
- Chief Executive Officer: Oversees Climate Change Strategy development, review, implementation, and corporate-wide climate risk management
- Chief Financial Officer: Manages financial planning, business strategies, and investor relations to implement Climate Change Strategy
- Chief Operations Officer: Integrates climate considerations into Oil & Gas operations and drives GHG reduction progress
- Chief Administrative Officer: Supervises corporate-level Climate Change Strategy coordination and implementation
- Medco Power Indonesia Chief Executive Officer: Oversees Power subsidiary Climate Change Strategy development, review, implementation, and climate risk management

This governance structure ensures accountability from board oversight through operational implementation, enabling effective management of climate-related risks and opportunities.

Sustainability and ESG Governance Structure of MedcoEnergi



Our Commitment to Human Rights

Our commitment to respect human rights is embedded across our business activities and reflected in our Code of Conduct, Code of Supplier, Sustainability Policy, Security Policy, Community Development Policy and Human Rights Policy. This commitment is supported by established grievance and whistleblowing mechanisms that provide accessible channels to raise and address human rights–related concerns.

MedcoEnergi has adopted a standalone Human Rights Policy that consolidates the Company's human rights commitments into a single corporate framework. The policy builds on existing practices and international best practices and provides clear guidance to implement them across all operations and business relationships.

Our Human Rights Policy underlines our commitment to respect international standards (UDHR, ILO, UNGPs, VPSHR) to ensure legal compliance through comprehensive risk management and due diligence. It prioritises the protection of fundamental rights, including fair working conditions and zero tolerance for modern slavery, bullying, harassment or discrimination, by taking into account vulnerable groups and partner accountability. This commitment is supplemented by accessible grievance mechanisms and robust governance overseen by the Corporate Ethics and Compliance Committee, Sustainability and Risk Management Committee, and relevant function teams to ensure human rights are upheld throughout the business. The Company's Human Rights Policy is publicly available here.

Our commitment starts with fostering a culture that values diversity and inclusion. We are committed to providing a workplace where all employees are treated fairly and without bias. Staffing decisions, including hiring, evaluating, promoting, and transferring are solely based on skills, competencies, and performance, regardless of ethnicity, race, skin colour, religion, gender, age, marital status, or nationality. We foster a diverse and inclusive workplace, provide equal opportunities, and prevent discrimination through our Preventive Compliance Programmes, which include an Ethics Ambassador Campaign, New Hire Business Ethics Inductions, and Business Ethics for Contractor personnel. Throughout 2025, no discrimination incidents were recorded through our whistleblowing channels.

To ensure our human right principles are upheld throughout our value chain, we continue to strengthen internal awareness and capability through human rights familiarisation and training programmes across assets and relevant functions. Human rights considerations are also integrated into supplier and contractor management through contractual requirements, reinforcing expectations for responsible business conduct throughout the value chain.

The timeline below highlights key milestones to develop and implement the Company's human rights approaches.

2022 Assessment

- Completed the corporate Human Rights Assessment with Business for Social Responsibility
- Identified human rights risks exposures, in-place mitigations and systems, and room for improvements; providing the basis of developing the standalone Human Rights policy

2023 Policy & Training

- Developed Human Rights Policy
- Conducted VPSHR training for selected participants from MedcoEnergi and its subsidiary
- Conducted HRIA for Block A and Senoro (JOB Tomori)

2024 Expansion & Integration

- Launched standalone Human Rights Policy
- Initiated communication of the policy to the assets and business partners
- Implemented new vendor contract template incorporating standalone Human Rights Policy and Sustainability Policy
- Developed e-learning platform and comic book in four languages as a capacity building tool for employeesfor Block A and Senoro (JOB Tomori)

2025 Capability Strengthening

- Conducted series of familiarisation sessions for employees and vendor companies
- Launched E-learning platform using comic flipbook to Corporate and major Oil & Gas assets

In 2025, we launched a Human Rights Campaign programme to increase awareness and understanding among employees and contractors of our Human Rights Policies and basic human rights aligned with the UN's Guiding Principles. Through this programme, we have conducted 15 familiarisation sessions, reaching 1,611 employees (49% of our permanent and direct contract workforce) and 196 vendor companies (40% of our active contracts). We also developed and launched an interactive e-learning platform with comic flipbooks in English, Bahasa Indonesia, Thai, and Arabic. This e-learning platform has certified 2,600 (53%) employees across our Oil & Gas (Corridor, Onshore and Bualuang), Corporate and Power assets.

Based on employee feedback on the e-learning programme, the comic-based learning materials were well received. Training activities contributed to increased awareness and understanding of human rights in the workplace. Employees also expressed the need for reinforcement, deeper case examples, and more interactive learning formats. In the future, we aim to further empower asset leaders and employees to implement our strategies.

To ensure these human rights practices are implemented at the asset level, we conduct human rights due diligence through the Human Rights Impact Assessments (HRIAs), which are in line with the Equator Principles and guided by the United Nations Guiding Principles on Business and Human Rights (UNGPs). These assessments systematically identify, analyse, and evaluate potential human rights risks based on their severity and likelihood. Identified risks are managed through integration into Environmental and Social Action Plans (ESAPs), with mitigation measures monitored as part of our routine asset management processes.

Following our HRIA in 2024 for Block A, we issued a Respectful Workplace Policy in March 2025 as our commitment to promote a safe and inclusive working environment. While we continued to provide capability building to all employees on our Human Rights Policy, we also introduced the Respectful Workplace Policy in our 2025 training agenda. In addition, we provided training for specific participants to implement this policy. We also conducted the Medco Leadership Awareness for the senior managers to further reinforce the leadership roles to support our Respectful Workplace Policy. We held a Training for Facilitators to include topics of harassment and first aid.

As part of our commitment to advance and embed human rights practices across our operations, we participated in the Business & Human Rights Accelerator programme, conducted by the UN Global Compact in collaboration with Shift[1]. This six-month programme supports companies to translate human rights commitments into practical actions and management systems.

1 Shift is an independent, non-profit centre for business and human rights practice, renowned as the leading centre of expertise on the UN Guiding Principles on Business and Human Rights (UNGPs). Founded by members of the team that helped draft the UNGPs, Shift works to help governments, businesses, and their stakeholders put these principles into practice.

Managing Sustainability Risks and Opportunities

Sustainability Assessment

MedcoEnergi manages internal challenges and stakeholder expectations through sustainability assessment, which evaluate environmental and social risks across project and operational stages. These assessments surpass compliance requirements to prevent, mitigate, and manage risks in alignment with IFC Performance Standards. We established our Sustainability Assessment Guidelines© in January 2021, receiving copyright protection from Indonesia's Ministry of Law and Human Rights in March 2024.

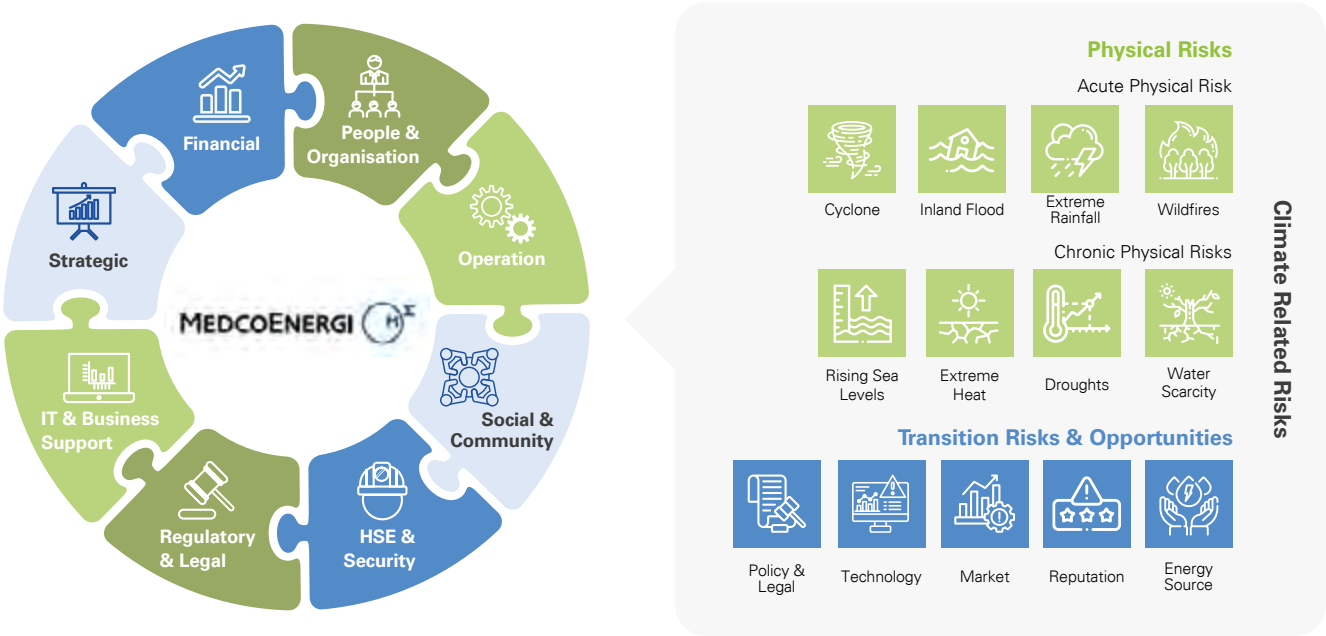
We updated our Sustainability Assessment in 2024 by strengthening the assessment framework through enhanced consideration of climate change–related indicators. Although these indicators had been incorporated within the existing Sustainability Assessment framework, the updated guidelines provide clearer parameters, improved evaluation criteria, and more strongly align with emerging sustainability and climate-related expectations.

To ensure effective implementation of the updated guidelines, we conducted Sustainability Assessment training sessions, which targeted reviewers from cross-functions, particularly those related to environmental management, social performance, and labour management. This initiative aimed to enhance reviewers' understanding of the revised assessment criteria and strengthen internal capacity to evaluate project readiness to mitigate environmental and social impacts and risks. Through this training, 21 reviewers from various functions have been prepared to implement the Sustainability Assessment as part of the MPEP Gate Review process.

Climate-Related Risk Management

We integrate climate-related risks across Enterprise Risk Universe. This integration ensures comprehensive risk assessment, adaptation, and mitigation strategies are embedded into all business activities. We further incorporate climate considerations into our Corporate Business, Financial Planning and Asset Management processes, ensuring climate-related risks and opportunities are systematically addressed in decision-making.

Risk Universe of MedcoEnergi



In addition, we continue to monitor the integration of nature-related disclosures[1] into ISSB standards, building on the internal gap assessment and benchmarking conducted in 2024. Our ongoing risk assessment processes provide relevant inputs to enhance understanding of nature-related considerations, including aspects related to water availability and stress assessed through our Climate Change Risk Assessment (CCRA). More detailed information can be found in Chapter 6 and 7.

Our focus remains on strengthening foundational infrastructure and data to support our risk management practices while remaining prepared to adapt to evolving frameworks and future regulatory or stakeholder expectations.

1 Aligned with current positioning of Task Force on Nature-related Financial Disclosures (TNFD) being integrated into International Sustainability Standars Board (ISSB)'s work under International Financial Reporting Standards (IFRS).

Stakeholder Engagement and Collaboration

Engaging Our Stakeholders

Stakeholder engagement drives our sustainability programme development through diverse consultation channels that capture priorities and insights. These inputs strengthen both our initiatives and social license to operate. Transparent dialogue builds relationships that create stakeholder value and advance the nation's sustainable progress.

In 2025, we contributed to dialogue on sustainable energy, investment, governance and risk management through participation in these key high level forums and summits:

- **Advantage Oman Forum (AOF)**: Engaged as a speaker alongside Oman's Minister of Energy and Minerals, the Head of Oman's Environmental Authority and the European Union Special Representative for the Gulf to discuss advancing sustainable energy development and investment in Oman.
- **Oman Petroleum & Energy Show and Oman Sustainability Week**: Participated as speakers and delegates in high level discussions with global energy leaders, emphasising industry wide collaboration on renewables, gas to power and electrification, and exchanging perspectives on value creation through sustainability.
- **Energy Asia**: Contributed to a thought leadership panel on decarbonising hard to abate sectors, focusing on practical transition approaches, regional challenges and solutions.
- **Singapore International Energy Week (SIEW)**: Shared insights on balancing ambition with operational practicality, highlighting the importance of innovation and cross-border collaboration to support long-term energy security and sustainability across the region.
- **ASEAN Centre for Energy events**: Contributed to discussions on unlocking energy transition finance to support inclusivity and sustainability in ASEAN.
- **Barclays' ESG Emerging Market Corporate Days**: Shared insights on energy security, ESG trends, transition finance, and inclusive and sustainable growth in developing markets.
- **2025 GRC International Summit and International Risk Beyond Conference**: Discussed strengthening governance frameworks, enhancing risk management, and mitigating ESG related risks to support business resilience.

The following table lists MedcoEnergi's stakeholder groups and the engagement and support we provide:

Our Employees

Why engagement matters
Workforce engagement is crucial to maintain operational excellence and a strong company culture.

Key areas of mutual interest
- Employment terms and benefits
- Worker rights and representation
- Professional development
- Workplace safety and wellbeing

How we engage
- Regular engagements with worker unions representatives on a quarterly basis.
- Continuous forums to resolve matters related to employee relations and employment benefits, terms, and conditions.

Government & Regulators

Why engagement matters
It ensures regulatory compliance and contributes to policy development.

Key areas of mutual interest
- Environmental compliance
- Climate change adaptations
- Industry regulations
- Community development

How we engage
- Regular consultations on environmental and social impacts.
- Participation in government initiatives and dialogues.
- Engagement in SDG forums and other sustainability forums.
- Input provision for climate change and environmental regulations.

Vendors and Business Partners

Why engagement matters
It builds sustainable and responsible supply chain relationships.

Key areas of mutual interest
- Corporate governance
- Sustainability initiatives
- Code of Conduct compliance and MedcoEnergi's Code of Suppliers
- Operational efficiency

How we engage
- Regular familiarisation of our Corporate Governance Manual, Corporate Values, Code of Conduct, Code of Supplier and Initiatives in Sustainability
- Regular quarterly/monthly meetings for business updates from Medco Energi to our partners as well as during the annual Vendor Day and Contractor Forum, held for our partners in oil and gas and power subsidiaries.
- Equator Principal (EP4) compliance collaboration and lenders monitoring

Banks and Investors

Why engagement matters
It secures financial support for sustainable operations and growth.

Key areas of mutual interest
- ESG performance
- Project financing
- Risk management
- Sustainability initiatives

How we engage
- Sustainability reports
- Submission of lenders' regular monitoring reports
- Publications of quarterly investor updates in our website
- Roadshows on sustainability/ESG themes
- Equator Principal (EP4) compliance collaboration and lenders monitoring

Media

Why engagement matters
It maintains transparent communication with the public.

Key areas of mutual interest
- Corporate updates
- Industry developments
- Public awareness
- Accurate reporting

How we engage
- Engage the media and hold press conferences at the local and regional levels.
- Conduct awareness and competency training for journalists in the oil and gas industry.

Shareholders

Why engagement matters
It maintains transparency and trust with shareholders who support the Company's growth.

Key areas of mutual interest
- Corporate performance
- Material decisions
- Corporate governance
- Risk management

How we engage
- General meetings to present annual results.
- Regular meetings between management and investors.
- Corporate updates and disclosures.

Consumers

Why engagement matters
It delivers value while promoting sustainable practices.

Key areas of mutual interest
- Service reliability
- Oil and natural gas use
- Product accessibility
- Environmental impacts

How we engage
- Support government objectives of natural gas use for Indonesia and Singapore.
- Develop supply chain with local enterprises
- Collaborate with state-owned electricity company.

Local Communities

Why engagement matters
It maintains our social license to operate and create shared value.

Key areas of mutual interest
- Community development
- Environmental protection
- Youth engagement
- Grievance resolutions

How we engage
- Facilitate and implement stakeholder engagements and community development plans.
- Familiarise them with our grievance mechanisms in our Social Management System (SMS)
- Engage youth in programmes that focus on cultivating a culture of integrity and awareness about anti-corruption measures.

Academia

Why engagement matters
It advances research and industry knowledge.

Key areas of mutual interest
- Research collaboration
- Knowledge sharing
- Capacity building
- Industry expertise

How we engage
- Collaborate with universities to provide access to cutting-edge research and expertise.
- Initiate capacity building programmes.
- Conduct knowledge sharing sessions.

Non Governmental Organisation (NGO)

Why engagement matters
It ensures environmental, social and governance responsibility.

Key areas of mutual interest
- Community empowerment
- Environmental protection
- Social development
- Stakeholder feedback

How we engage
- Cooperate with and collaborate on government initiatives to empower local communities, support our workforce and mitigate adverse environmental and social impacts.
- Maintain communication to gather their feedback.

MedcoEnergi's Memberships

We engage with industry associations to collaborate and expand our influence in the energy sector.

Country	Name of Association	Position
Indonesia	Association of Indonesian Oil and Gas Industry Remuneration Practitioners (APRIMI)	Member
	Indonesia Carbon Capture and Storage Center (ICCSC)	Member
	Indonesia Corporate Secretary Association (ICSA)	Member
	Hydropower Plant Developers Association (APPLTA)	Member
	Indonesia Business Council for Sustainable Development (IBCSD)	Co-founder and Member
	Indonesian Employers Association (APINDO)	Member
	Indonesian Chamber of Commerce and Industry (KADIN)	Member
	Indonesian Electrical Power Society (MKI)	Member
	Indonesian Environmental Impact Assessment Forum (FAI)	Chairman
	Indonesian Geothermal Association (INAGA)	Member
	Indonesian Petroleum Association (IPA)	Board of Directors and Member
	IPA – Environmental and Safety Committee	Member
	IPA – Energy Transition Committee	Member
	Indonesian Independent Power Producers Association (APLSI)	Chairman and Member
	Indonesian Renewable Energy Society (METI)	Board of Supervisors
	International Society of Sustainability Professionals (ISSP)	Member
	The Climate Reality Project Indonesia	Member
	United Nations Global Compact (UNGC)	Member
	Indonesia Global Compact Network (IGCN) Business Ethics Governance Working Group (BEGWG)	Member
Thailand	Oil Industry Environmental Safety Group Association (IESG)	Member
	Petroleum and Energy Institute of Thailand (PEIT)	Member
	Society of Petroleum Engineers (SPE)	Member
Oman	Oman Chamber of Commerce and Industry (OCCI)	Member
	Oman Society for Petroleum Services (OPAL)	Member

Pursuing Excellence in Governance

This picture is the 1st winner under the 'Governance' category of the MedcoEnergi 2025 Photography Competition



46 Approaches, Commitments, and Goals

47 Good Corporate Governance (GCG) Structure

48 Risk Management

48 Corporate Governance Assurance Framework, Programmes and Policies

56 Anti-Corruption Collective Actions

57 Supply Chain Management

58 Alignment of Sustainability Initiativeswith the UN SDGs

59 Action Plans

MedcoEnergi maintains high standards of ethical governance, embedding compliance, integrity, and transparency into every aspect of our operations. We are committed to fostering trust and accountability across our business ecosystem to create value for all stakeholders.

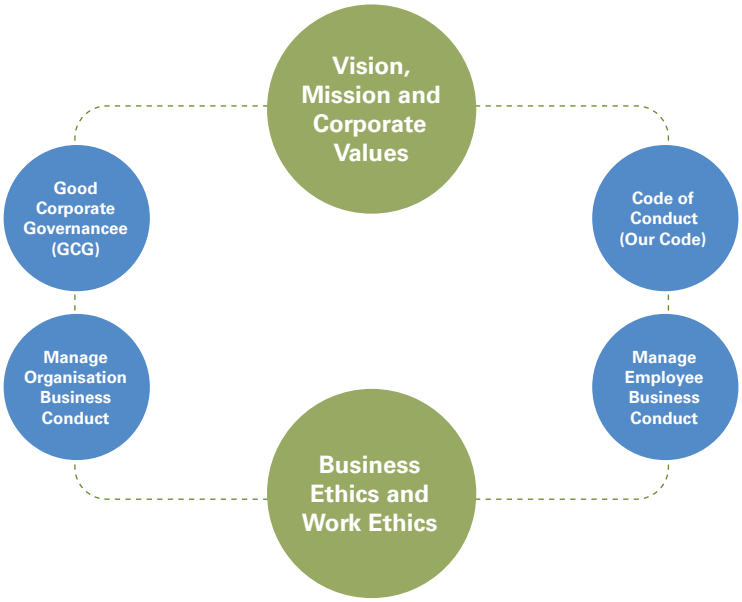
Approaches, Commitments, and Goals

We implement Good Corporate Governance (GCG) and our Code of Conduct (Our Code) at MedcoEnergi and all of its subsidiaries. As illustrated in the figure below, GCG provides the framework for how the organisation is governed, while Our Code guides employee conduct and the way the Company's business is carried out. Together, they form a unified framework, referred to as the Corporate Governance Assurance Framework, which supports compliance with applicable laws, regulations, and international standards.

Our commitment extends beyond internal operations. We engage partners to strengthen transparency and governance across the supply chain, reinforcing ethics as a shared responsibility. See more details in the Supply Chain Management section.

Find more information about Good Corporate Governance here.

Relationship Between GCG and Our Code



Good Corporate Governance Principles

We embed the principles of transparency, accountability, responsibility, independence, and fairness within our Good Corporate Governance (GCG) framework, forming a strong foundation for ethical business conduct. These principles guide the Board of Commissioners (BoC) and the Board of Directors (BoD) in exercising responsible leadership and sound decision-making. Details of implementation are outlined in MedcoEnergi's GCG Implementation Guidelines here. In addition, the implementation of GCG is further described in MedcoEnergi's 2025 Annual Report.

MedcoEnergi's Good Corporate Governance Principles



MedcoEnergi Code of Conduct

We are committed to upholding the highest ethical standards across all operations. Our tagline, "Know the Code, Know the Commitment," reflects our dedication to integrity and the principles set out in our Code of Conduct. The Code defines the standards, duties, and responsibilities expected of all personnel, covering key areas such as human rights, anti-corruption, data privacy, and anti-money laundering, in line with global best practices.

We expect all stakeholders to comply with the Code consistently wherever they operate. To support continued relevance and effective implementation, we regularly review and strengthen Our Code. In 2025, MedcoEnergi conducted the Code of Conduct benchmarking and enhancement initiative. This resulted in the enhancement of eleven (11) existing areas of the Code and introduction of four (4) new topics. Further details on the outcomes of this initiative are described in the MedcoEnergi 2025 Annual Report.

Code of Supplier

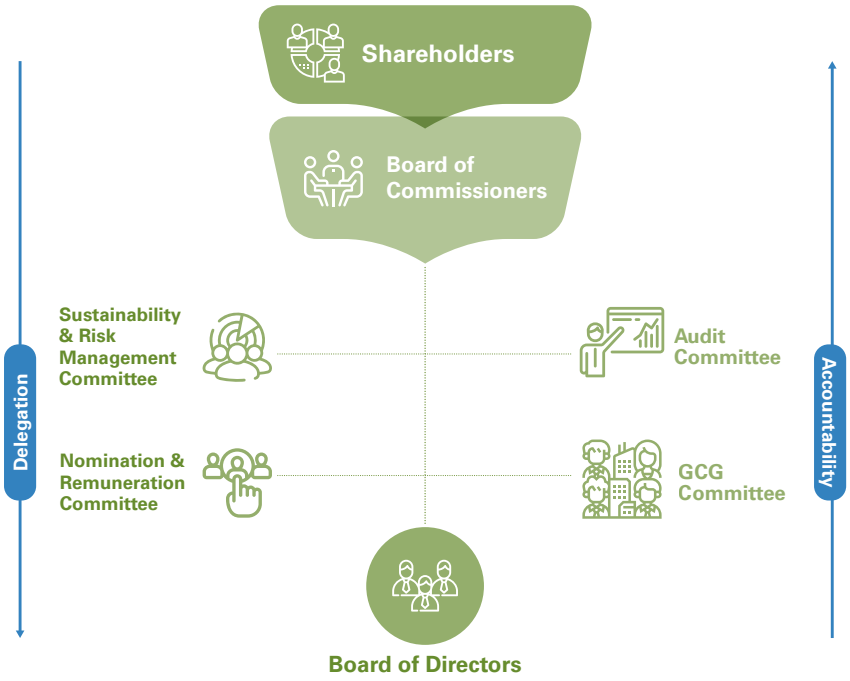
We view our suppliers as vital partners to achieve strong corporate governance and sustainable success. In 2022, we introduced the Code of Supplier to set clear expectations and standards for our suppliers, addressing legal and compliance risks while providing a framework for proactive business impact management. This initiative encourages partners to adopt ethical, responsible, and forward-looking practices. The Code of Supplier is available here. The Code of Supplier is part of our initiative to enhance the Code. -

Public Policy

MedcoEnergi maintains a neutral stance on political matters and does not contribute or donate to any political party or affiliated organisation in any of our operating locations. We fully respect employees' rights to participate in political processes and support their preferred parties or candidates. However, any political involvement, including party membership or election campaigning, must comply with company policies and regulations. Prior to each election, employees are provided with internal communications outlining our position on donations and contributions.

Good Corporate Governance (GCG) Structure

MedcoEnergi's GCG framework defines the governance and oversight responsibilities of the Board of Commissioners (BoC) and Board of Directors (BoD). The structure ensures a clear separation of duties: the BoC provides oversight and strategic guidance, while the BoD is responsible for operational execution and decision-making. Both boards play a key role in promoting accountability, including integrating sustainability and climate considerations into business practices. The Sustainability and Risk Management Committee (SRMC) and Corporate Sustainability and Risk Management (CSRM) further support these efforts as outlined in Chapter 4.



Board of Commissioners (BoC)

The Board of Commissioners (BoC) oversees the Board of Directors (BoD), ensuring that GCG principles are consistently applied across the organisation. BoC members' duties and responsibilities are detailed in MedcoEnergi 2025 Annual Report.The BoC is supported in its role by the Audit Committee, Nomination and Remuneration Committee, Sustainability & Risk Management Committee (SRMC), and GCG Committee.

Board of Directors (BoD)

MedcoEnergi's Board of Directors (BoD) plays a key role in aligning the Company's strategic direction with the interests of its shareholders. The roles and responsibilities of each BoD member are outlined in the Annual Report.

Corporate Ethics and Compliance Committee (CECC)[1]

The Corporate Ethics and Compliance Committee (CECC), established in October 2024, ensures fair, objective, and transparent handling of allegations reported through whistleblowing channels. Detailed information on the CECC can be found in the MedcoEnergi 2025 Annual Report.

Sustainability-linked Remunerations

MedcoEnergi aligns its Board of Directors (BoD) and executive remunerations with sustainability performance to strengthen ESG accountability. The Nomination & Remuneration Committee reviews annual sustainability outcomes, roles, and industry best practices, and submits remuneration proposals to the Board of Commissioners for shareholders to approve at the Annual General Meeting (AGM).

Our performance-based compensation programmes are linked to sustainability and climate action performance; this includes reducing GHG and methane emissions and increasing installed renewable capacities. Each year, Team Performance Contracts (TPCs) and Individual Performance Contracts (IPCs) are established for all levels, from executive leadership to individual employees. TPCs cover five dimensions: HSE & Sustainability, Availability & Production, Growth, Operational Excellence, and Financial. Moreover, climate-related KPIs make up the majority of the HSE & Sustainability dimensions and are monitored quarterly.

In 2025, 20% of all the board-level monetary incentives were linked to the HSE & Sustainability dimensions, which includes climate-related targets such as emission reductions and renewable energy milestones. This linkage ensures that executive performance is directly aligned with MedcoEnergi's sustainability objectives. Performance results are reviewed annually to assess target achievements and determine appropriate incentives, including salary adjustments.

1 The CECC reports to BoD to strengthen ethics and compliance, but it is not part of the GCG structure.

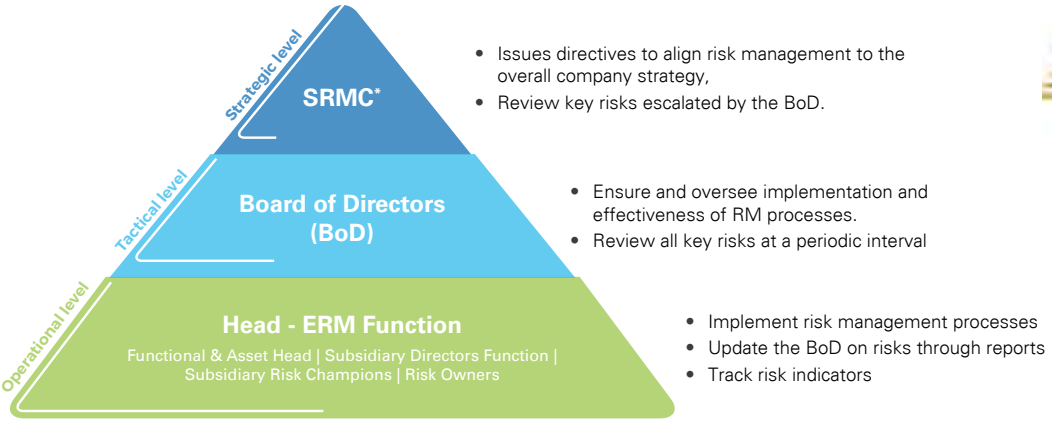
Risk Management

At MedcoEnergi, we implement an Enterprise Risk Management (ERM) framework to identify, assess, and mitigate risks that could affect operations and long-term sustainability. Aligned with ISO 31000:2018, this ERM framework forms a key part of our Sustainability Framework, providing a structured, proactive approach by identifying risks, assessing, monitoring, and reporting across all business functions.

This framework addresses a wide range of risks, including those involving business partners, and spans strategic, operational, financial, regulatory, social, and community dimensions. Integrating ERM into corporate governance enhances resilience, transparency, and accountability in decision-making.

As a recognition of these efforts, MedcoEnergi was named Runner-up in Category 2[1] of the 2025 ASEAN Risk Champion Awards, organised by ERMA, a Singapore-based global learning centre for enterprise risk management professionals. The award was presented in Kuala Lumpur, Malaysia, and recognises organisations that demonstrate strong enterprise risk management capabilities and the ability to effectively navigate complex challenges and opportunities in an evolving business environment.

Risk Governance Structure



- Issues directives to align risk management to the overall company strategy,
- Review key risks escalated by the BoD.

- Ensure and oversee implementation and effectiveness of RM processes.
- Review all key risks at a periodic interval

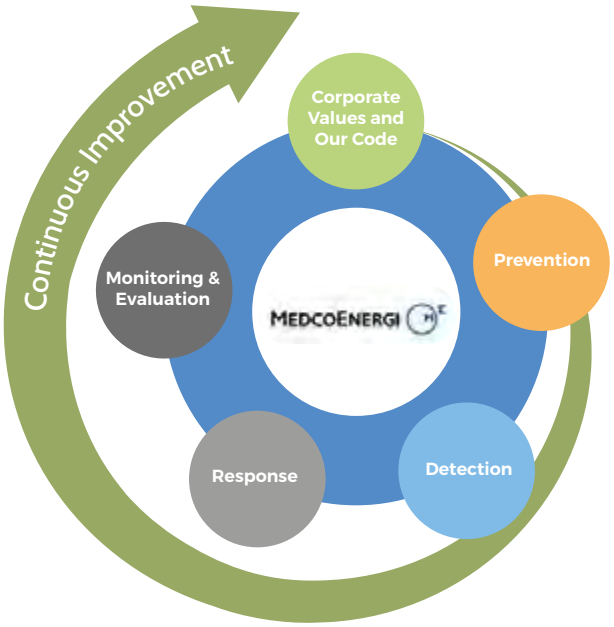
- Implement risk management processes
- Update the BoD on risks through reports
- Track risk indicators

*Sustainability and Risk Management Committee (SRMC)

Corporate Governance Assurance Framework, Programmes and Policies

The Corporate Governance Assurance Framework embodies the Board's commitment to Good Corporate Governance and compliance with Our Code. This framework rests on six core pillars: corporate values and the code of conduct, prevention, detection, response, monitoring and evaluation, and continuous improvement. Together, these pillars form a robust governance system that ensures accountability, transparency, and compliance across all operations.





1 Category 2 of the ASEAN Risk Awards refers to larger organisations, generally those with sales turnover over USD 75 million or more than 200 employees.

Corporate Values and Our Code

The Code of Conduct (Our Code) is grounded in MedcoEnergi's Corporate Values: professional, ethical, open, and innovative. Further information on the Company's Corporate Values is available in Our Code.

Our Corporate Values and Code are translated into programmes in alignment with recognised global standards on ethics and compliance. This ensures that they are implemented consistently when engaging all stakeholders across MedcoEnergi's operations.

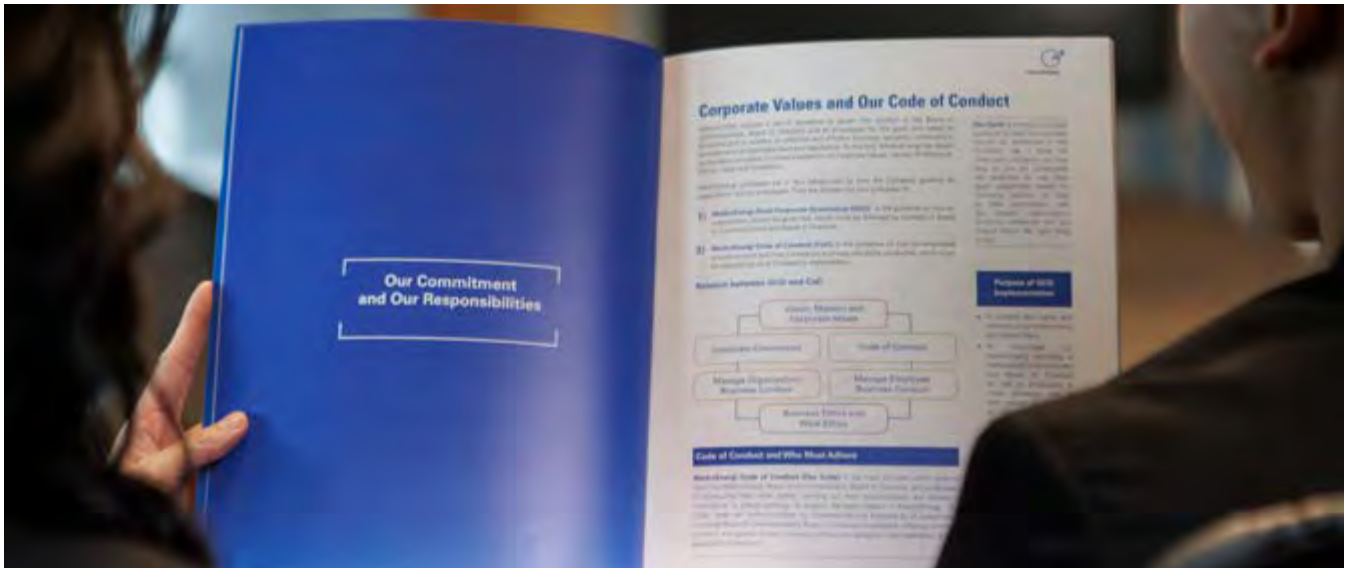
International Compliance Programme

MedcoEnergi's International Compliance Programme upholds globally recognized anti corruption, anti bribery, and ethical standards across all operations and business partners. The programme is designed to systematically prevent, detect, and address bribery and fraud worldwide through ISO 37001:2016 certification, risk based audits, robust due diligence processes, comprehensive ethics training, strengthened whistleblowing mechanisms, and the integration of compliance into corporate governance.

Our operations involve port activities connected to international shipping lanes and trading with international business partners. To address the associated marine-related and security risks, we implement the International Ship and Port Facility Security (ISPS) Code compliance programme. Every year, we conduct annual audits at special terminals in Corridor, South Natuna Sea Block B and JOB Tomori to strengthen port security measures.

The table below outlines our international compliance programmes with sanctions and anti-money laundering. We also conduct due diligence that covers our international operations, as presented in the Third Party Risk Management Programme section on page 53.

International Compliance Programmes	
Corporate Sanctions Compliance	**Anti-Money Laundering (AML)**
Since its launch in 2021, MedcoEnergi has continually strengthened its Corporate Sanctions Compliance Policy and programme, which supports compliance with international sanctions requirements. This programme includes sanctions awareness sessions and risk assessments across all divisions to help identify and manage sanctions-related risks.	In March 2024, MedcoEnergi formalised its Anti-Money Laundering (AML) Policy, reinforcing its commitment to mitigate money laundering risks in collaboration with business partners. This issuance further strengthens our Code in compliance and preventative measures.
2025	
MedcoEnergi conducted Corporate Sanctions Compliance Workshops for relevant business units and leadership. These sessions focused on improving understanding of sanctions requirements, identifying and assessing related risks, and strengthening practical approaches to compliance in daily operations.	MedcoEnergi held AML workshops for relevant business units and leadership to strengthen understanding of anti-money laundering obligations and practical compliance skills. The sessions covered key AML principles, relevant legal requirements, and the Company's internal policies, including country risk considerations, customer and business partner identification processes, due diligence practices, and approaches to identify and monitor potential money laundering risks.
2024	
Due diligence sanctions and recommendations.	AML policy dissemination and leadership workshops.
2023	
Marine sanctions prioritisation and risk assessment workshops.	AML policy development, training, symposium participation, and legal counsel engagement.



Prevention

Prevention includes promoting ethical business practices through sound governance, anti-corruption measures, and efforts to discourage unethical behaviour.

Ethics Ambassador Programme: A commitment to Integrity and Sustainability

MedcoEnergi fosters integrity and sustainability through the Ethics Liaison Officer (ELO) and Compliance Champion (CC) programmes, engaging line management to strengthen compliance. ELOs serve as champions of MedcoEnergi's values, ensuring ethical standards are upheld across all levels of the organisation. The Ethics Ambassador Programme empowers employees to embrace these principles, reinforcing our zero-tolerance stance on corruption and bribery.Through training, workshops and coaching clinics, ambassadors promote ethical decision-making and open dialogue. Senior management selects and approves ELOs, demonstrating our commitment to a strong ethical culture.

Items	Oil & Gas	Power
Programme Title	Ethics Liaison Officers (ELO) Programme	Compliance Champion (CC) Programme
Number of Personnel in 2025	90	28
Roles and Responsibilities of Personnel	Facilitate ethics discussions and support company-wide ethics campaigns by sharing relevant materials.	Share ethics and compliance issues; ensure anti-bribery measures are implemented according to ISO 37001:2016; report progress to management.

Participation in the Ethics Ambassador Programme as of 2025 is shown below:

Asset	2023	2024	2025
Oil & Gas - Corporate and Indonesia	2,036	1,763	1,848
Oil & Gas - International	38	41	8
Power	359	1,329	360
Total Number of Participants	**2,433**	**3,133**	**2,216**

Communication and Education Initiatives

We prioritise ethics and compliance education to foster integrity and strengthen employees' commitment to ethical conduct, thereby reducing non-compliance risks.

In 2025, key initiatives included several compliance sessions for employees that covered personal data protection, ethics, respectful workplace, and unlicensed software. Partnerships with key internal functions also reinforced for new hires and leaders both the Human Rights and Respectful Workplace Policy, together with ongoing business ethics training.



Field Compliance Socialisation session in Corridor, South Sumatra, Indonesia

Annual Statement of Adherence (SOA) and Conflict of Interest (COI) Declarations

MedcoEnergi requires all employees to submit Statements of Adherence (SoA) and Conflict of Interest (CoI) declarations annually to ensure the organisation remains transparent and accountable. These submissions are reviewed each year to reinforce compliance. In 2025, we also required that the Contractors' Statement of Ethical Compliance (CSEC) and CoI declarations be completed to ensure that vendors' top management remain committed.

2025 Submissions[1]:

- SoA[2]: 2,424 (Medco Oil & Gas employees) and 1,037 (Medco Power employees). A total 6,185 employees and contract service workers were recorded.
- CSEC: 491 submissions from Medco Oil & Gas vendors and 82 from Medco Power vendors.
- CoI: 5,389 (Medco Oil & Gas employee and other subsidiaries) and 862 (Medco Power employees). A total of 4,114 contract service workers across Indonesian assets.

These initiatives continually strengthen ethical awareness, mitigate risks, and reinforce a culture of compliance across all levels of the organisation.

1 The total count of SoA and CoI submissions includes permanent employees, direct contract employees, and third-party contractors.
2 The assured numbers are only applied to the number of SoA submission (GRI 205-2) for permanent employees.

Detection

MedcoEnergi implements a fraud detection programme to identify anomalies in financial activities, employee conduct, asset management, and third party interactions that may signal fraudulent behaviour. The programme applies data analytics, transaction monitoring, and structured oversight, supported by systems for reporting Code of Conduct violations and ensuring accountability. Since 2024, the Integrated Audit Management System has been streamlined to enhance audit planning, execution, monitoring, and reporting.

MedcoEnergi Internal Ethics Hotline

In 2025, the majority of inquiries received through MedcoEnergi's internal ethics hotline related to conflicts of interest (CoI), particularly those involving the giving and receiving of meals and entertainment, payments to government officials, and guidance on ethical leadership obligations.

A decline in hotline inquiries was observed in both 2024 and 2025 compared with 2023, reflecting the effectiveness of enhanced communication, awareness, and training initiatives. Expanded classroom based engagements including field compliance sessions, due diligence workshops, and fraud risk assessments enabled more direct interaction with employees. These initiatives strengthened understanding of ethical requirements and decision making, reducing reliance on hotline inquiries for routine guidance while reinforcing proactive compliance behaviour.

MEDCOENERGI ETHICS HOTLINE CODE OF CONDUCT

Internal Ethics Hotline

Office Visit: The Energy Building - Audit & Integrity Compliance Division, 21st Floor, SCBD Lot 11A, Jl. Jendral Sudirman Kav 52-53, Jakarta 12190

Hotline Email: EthicsHotline@medcoenergi.com Ethics Hotline : 021-29954443

Fraud Risk Assessment (FRA) Workshops

Fraud Risk Assessments (FRA) are crucial for identifying potential fraud risks and require specialised expertise for effective execution. To reinforce anti-fraud measures, we conduct FRA workshops that equip employees with the skills to detect and mitigate fraud within their areas of responsibility.

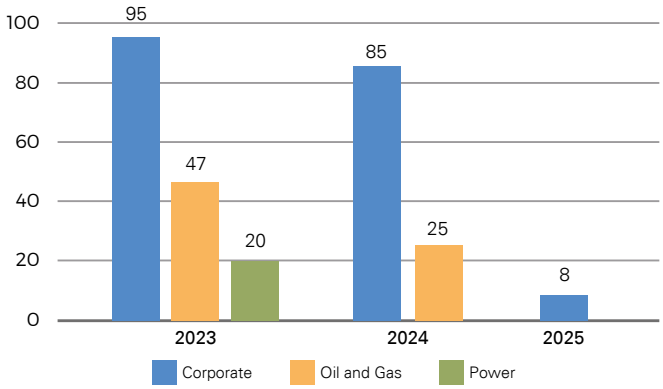
In December 2025, MedcoEnergi conducted a Fraud Risk Management (FRM) workshop to strengthen its capacity to assess and manage corruption and fraud risks, in alignment with GRI 205 requirements and broader fraud risk management practices. The workshop covered key topics including country specific risk considerations, GRI disclosure expectations, fraud risk awareness, and the development and application of FRM frameworks and tools. The session also incorporated practical business case discussions and lessons learned relating to fraud risks in Finance and Procurement, as well as associated disclosures. These discussions enabled participants to better contextualize fraud risks and mitigation strategies within day to day operational activities and sustainability reporting processes.

As illustrated in the figures, participation in the Fraud Risk Management (FRM) Workshop decreased compared with previous years. This reduction was primarily due to the cancellation of the session planned for Oil and Gas asset participants in Block A, following severe flooding in Sumatra in November. In addition, most relevant corporate functions had already been covered through FRM workshops conducted in 2023 and 2024. Consequently, the 2025 session was focused on the remaining target participants, with a total of eight employees in attendance.



Group discussions during an FRM Workshop

MedcoEnergi Fraud Risk Assessment Workshop Participants



Internal Audits

MedcoEnergi conducts regular risk-based internal audits across all operations, providing independent assurance to the Board of Directors, corporate divisions, and business units while evaluating operational efficiency and effectiveness.

Annual audits of the Anti-Bribery Management System (ABMS) ensure compliance with ISO 37001:2016 and readiness for surveillance audits by an independent certification body.

We also maintain International Ship and Port Facility Security (ISPS) audits for marine assets in Corridor, South Natuna Sea Block B, and JOB Tomori, ensuring full compliance with ISPS Code requirements at terminals and ports.

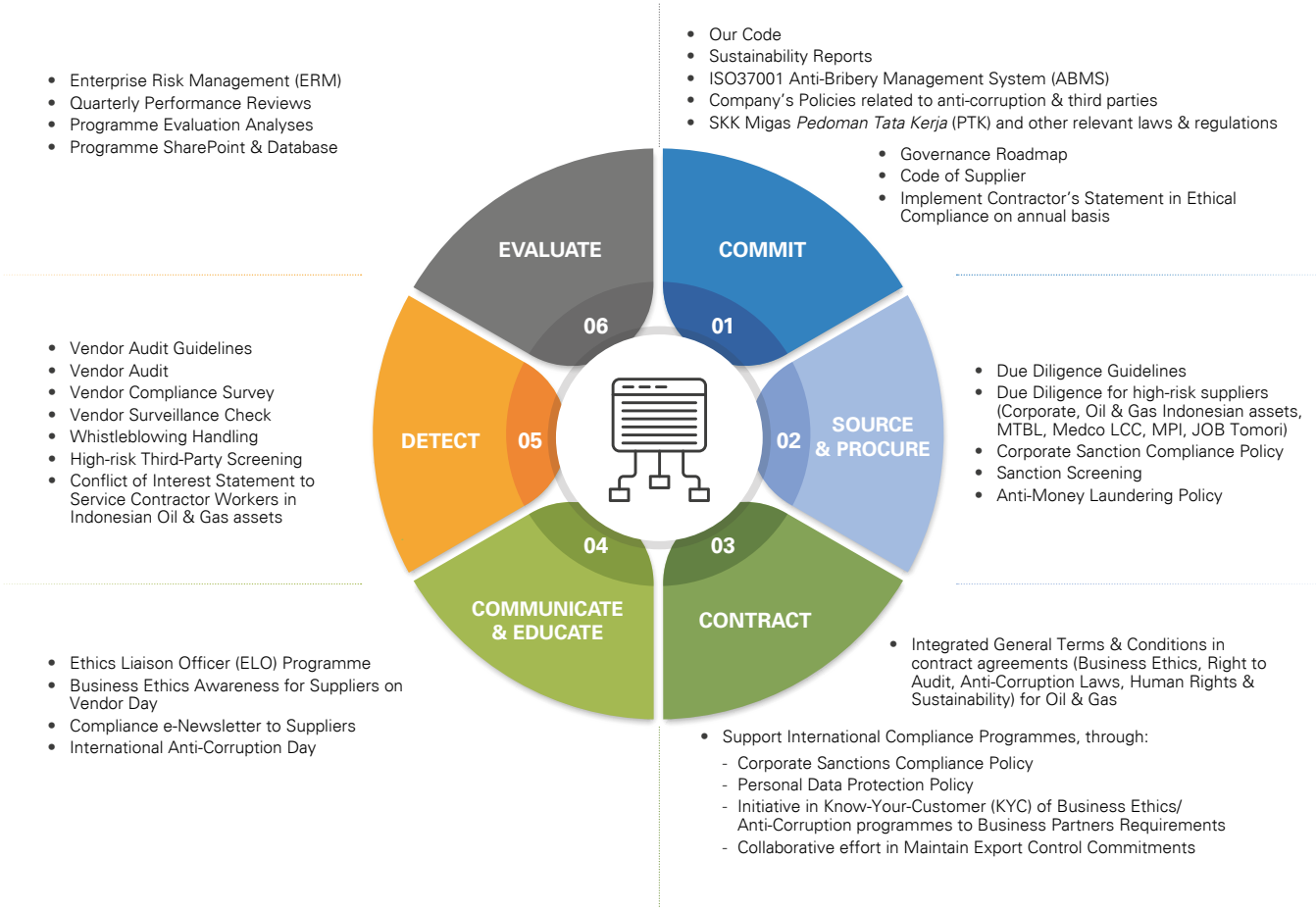
Description	Locations	Audit Interval	2023	2024	2025
Internal Audits: Oil & Gas	Corporate	Every 2 -3 years	Mexico Block 12, PT Transportasi Gas Indonesia and DSLNG	Not Applicable in 2024	DSLNG
	Division/ Department		ISPS Code Audit for Corridor, South Natuna Sea Block B and JOB Tomori	ISPS Code Audit for Corridor, South Natuna Sea Block B and JOB Tomori, General Services	ISPS Code Audit for Corridor, South Natuna Sea Block B and JOB Tomori
	Oil & Gas (Indonesia and International)		Oman, Rimau, Lematang and Block A	Thailand, Corridor, South Sumatera Block, South Natuna Sea Block B	East Java, Bangkanai, Rimau and Lematang
	Partnerships with JOB		DSLNG and JOB Tomori	Not Applicable in 2024	JOB Tomori
Internal Audits: Power	Headquarters	Every 2-3 years	Not Applicable in 2023	TJBPS O&M, Cibalapulang Mini-hydro, Sarulla Geothemal, MRPR	TJBPS O&M, Cibalapulang Mini-hydro, Sarulla Geothemal
	Subsidiaries		MEB, DEB, Sarulla Geothemal,Cibalapulang Mini-hydro and Pusaka Mini-hydro, Sumbawa Solar PV, TJBPS O&M	Not Applicable in 2024	Not Applicable in 2025
Internal Audits on Anti Bribery Management System (ABMS)	Oil & Gas	Annually	International: Bualuang Indonesia: Corridor, P2P Oil & Gas, South Natuna Sea Block B, JOB Tomori	International: Bualuang & Oman KSF Indonesia: Corridor, P2P Oil & Gas, South Natuna Sea Block B, JOB Tomori	International: Oman KSF Indonesia: Corridor, P2P E&P, South Natuna Sea Block B, JOB Tomori
			Medco Power Headquarters, MEB, DEB, ELB, TJBPS O&M	Medco Power Headquarters, MEB, DEB, ELB, TJBPS O&M, MRPR	MEB, DEB, ELB, TJBPS O&M, MRPR

Third Party Risk Management Programme

Engaging Third Parties

MedcoEnergi actively collaborates with business partners to manage third-party risks and ensure compliance. Between 2023 and 2027, we reviewed our programme and implemented a risk-based approach to enhance corporate third-party compliance.

MedcoEnergi Third Party Compliance Programme Framework



Our Third-Party Compliance Programmes

Meeting the Know-Your-Customer (KYC) Requirements from Our Partners

At MedcoEnergi, we conduct KYC assessments to evaluate bribery and risks related to corruption, money laundering, and sanctions.

Due Diligence

In 2025, MedcoEnergi continued to apply a risk-based approach to third-party due diligence, with particular attention to sanctions-related checks. Targeted reviews were conducted, especially in response to changes in counterparties during the fourth quarter. These actions are aligned with the Company's 2023–2027 due diligence priorities and are implemented through established risk escalation and review processes.

Assets	2023	2024	2025
Oil & Gas - Indonesia	8	15	13
Oil & Gas - International	15	16	28
Power	3	3	3
JOB Tomori	3	4	4
Total Number of Vendor Due Diligence	**29**	**38**	**48**

Third-Party Risk Detection Initiatives

Our initiatives uphold business transparency and strengthen stakeholder trust in our governance with third parties. We continue to maintain ethical declarations for contractors' top management and Conflict of Interest submissions for service contract workers across Onshore, Offshore, and Corridor assets. Further details can be found in the Prevention – Annual Statement of Adherence and Conflict of Interest section on page 50.

Anti-Bribery and Corruption (ABC), Contract Compliance, and Internal Control Vendor Audits

MedcoEnergi conducts ABC, Contract Compliance, and Internal Control Vendor audits. In 2025, we completed 22 ABC audits, including at Thailand. Internal Control audits further strengthened compliance, contract adherence, and business controls.

No	Categories	Assets	2023	2024	2025
1	Oil & Gas	Indonesia	13	11	12
		International	2	5	2
2	Power		3	2	4
3	JOB Tomori		4	4	4
Number of ABC, Contract Compliance, and Internal Control Vendor Audits			22	22	22

We apply a risk-based approach to vendor audits and third-party due diligence, prioritising vendors with higher anti-bribery and corruption (ABC) risks based on factors such as reputational exposure to corruption and associations with politically exposed persons (PEPs).

Key Focus Areas



Response

We uphold our Code of Conduct through a Zero Tolerance policy on bribery, corruption, fraud, and all ethical violations. Verified allegations result in prompt corrective actions.

Raising concerns: Whistleblowing Channels

MedcoEnergi encourages employees to speak up about concerns or suspected violations of Our Code, reinforcing our Zero Tolerance Policy and regulatory compliance.

MedcoEnergi Whistleblowing Channels

MedcoEnergi provides secure, multilingual channels to report violations such as fraud, corruption, bribery, conflicts of interest, breaches of the Code of Conduct and Respectful Workplace Policy, and other unethical practices. Reports can be made via website, phone, SMS, or WhatsApp, with the option to remain anonymous. All reports are monitored by the Corporate Ethics and Compliance Committee (CECC). Retaliation against whistleblowers is strictly prohibited and subject to disciplinary action, including termination.

In 2025, we continued implementing ISO 37002:2021 to strengthen trust, transparency, fairness, and protection within our whistleblowing framework. Key policies and procedures are the Corporate Whistleblowing Policy, Whistleblowing Management System Manual, and Investigative Examination Procedure, which aim to:

- Promote and simplify misconduct reporting
- Safeguard whistleblowers and involved parties
- Ensure timely and proper handling of reports
- Strengthen organisational integrity culture and governance
- Minimise the risk of unethical behaviour

External Ethics Hotline
(managed by appointed indenpendent party)

INDONESIAN	THAI	ARABIC	MANDARIN
Phone **0800-150-3020** Text Messages (SMS) & WhatsApp Messenger **(+62) 8138 870 3300**	Phone **1800-010-316** Text Messages (SMS) **(+66) 65986 1887** WhatsApp Messenger **(+62) 8138 870 3300**	Phone **8007-4565** Text Messages (SMS) **(+27) 72 014 4445** WhatsApp Messenger **(+62) 8138 870 3300**	Phone **0800-150-3020** Text Messages (SMS) & WhatsApp Messenger **(+62) 8138 870 3300**

Direct website: https://idn.deloitte-halo.com/lapor-medcoenergi/ | Email: lapor-medcoenergi@tipoffs.com.sg

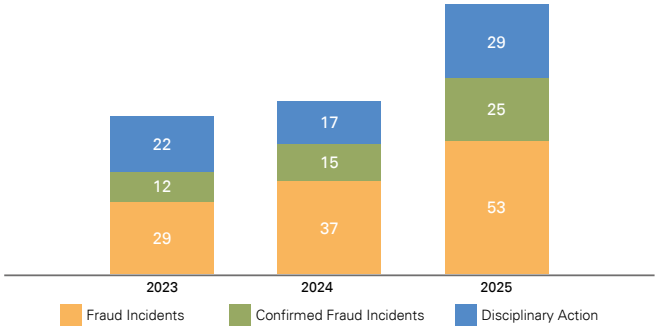
To ensure independence, MedcoEnergi appointed PT Deloitte Advis Indonesia (Deloitte) to manage its external whistleblowing channels. Deloitte screens and classifies incoming reports before forwarding them to the President Director and the Head of Corporate Audit & Integrity Compliance for investigation and follow-up. Reports can be submitted through the MedcoEnergi website here or Deloitte's dedicated platform here.

Incident Disclosures

We strengthened our whistleblowing governance framework with the Corporate Whistleblowing Policy, signed in 2024. This was followed by the Whistleblowing Management System Manual and Investigative Examination Procedure, issued in Q1 2025.

In 2025, we processed 86 alleged violations, identifying 53 fraud incidents, 25 of which were substantiated. Substantiated fraud incidents in 2025 include extortion, theft, embezzlement, counterfeiting, illegal gratuities, gifts and entertainment, relationships with suppliers, undeclared outside work, cost markups, and subcontracting abuse.

Sanctions were imposed on 52 individuals, comprising employees, contractors, and suppliers, including 29 cases related to fraud and 23 related to business ethics violations. Disciplinary measures ranged from verbal warnings to termination. Compared to the previous year, reported fraud cases increased by 16, substantiated cases by 10, and individuals subject to disciplinary action by 12. These figures may not correspond directly, as a single case may involve multiple individuals, and sanctions may apply to vendors or cases confirmed in prior reporting periods. The graph below shows year-on-year comparison on the number of fraud incident, confirmed fraud incidents and disciplinary actions.



The increase in reported and substantiated cases reflects the continued strengthening and maturity of MedcoEnergi's whistleblowing systems as well as improved employee awareness and confidence in reporting concerns. In parallel, we apply a structured approach to investigating, responding to, and closing cases, ensuring appropriate corrective actions and sanctions are implemented.

Monitoring and Evaluation

We continuously monitor and evaluate our responses to claims and reports to assess the effectiveness of our actions, which reinforces transparency, accountability, and corporate governance.

Anti-Bribery Management System (ABMS)

Our Anti-Bribery Management System (ABMS) is designed to detect, prevent, and respond to bribery and corruption. Since its launch in 2018, we have continuously enhanced its effectiveness. ISO 37001:2016 – the Anti-Bribery Management System, has been successfully implemented across ten existing assets and Procure-to-Pay process.

Details of our ISO 37001:2016 ABMS journey are available on the Annual Report and MedcoEnergi ABMS website.

Continuous Improvement

We continuously enhance our standards, policies, and initiatives to align with MedcoEnergi's expanding portfolio, ensuring ongoing improvements through organisational feedback mechanisms.

Respectful Workplace Policy

To foster respectful and inclusive workplaces while ensuring compliance with the Indonesian Ministry of Manpower Decree No. 88/2023, MedcoEnergi issued a Respectful Workplace Policy in 2025, reinforcing our commitment already outlined in Our Code. Beyond regulatory compliance, we are dedicated to maintaining workplaces that are free from harassment.

Personal Data Protection (PDP)

In 2025, we conducted awareness sessions on Indonesia's Personal Data Protection (PDP) Law No. 27/2022, to support the establishment of MedcoEnergi Personal Data Protection Policy. We aim to benchmark and incorporate the lessons learned from Bualuang since Thailand adopted similar regulations in 2022.

Transparency in Payments to Governments

Transparency in payments to governments is an integral part of MedcoEnergi's governance approach, supporting accountability, fair business practices, and the management of ethical risks. This commitment is embedded in the way the Company manages, records, and reports government-related payments, supported by internal controls and employee awareness.

We have moved to non-cash payment mechanisms in Medco Oil & Gas operations in Indonesia. The measures have provided a consistent basis to manage government-related payments and mitigate bribery risks; they remain in effect as part of ongoing business processes.

At a national level, MedcoEnergi continues to participate in Indonesia's Extractive Industries Transparency Initiative (EITI) reporting process. Through annual submissions to the Government of Indonesia's Coordinating Ministry for Economic Affairs (CMEA), the Company contributes payment-related data that is consolidated with disclosures from other extractive companies and published through the EITI reporting mechanism, subject to the national validation process.

Company disclosures included in Indonesia's EITI country report are available at: https://eiti.org/eiti-country-reports?field_countries=indonesia

MedcoEnergi Recognised for Excellence in Sustainability Reporting

In 2025, PT Medco Energi Internasional Tbk's 2024 Sustainability Report was recognised with an 'A' rating in a study conducted by FIHRRST and Moores Rowland, which assessed all publicly listed companies in Indonesia. The study measured the alignment of sustainability reports with OJK Regulation 51/2017 and GRI Standards, reflecting best practices in environmental, social, and governance (ESG) reporting. This recognition underscores MedcoEnergi's commitment to transparency, robust ESG management, and continuous improvements in sustainability reporting. We were honoured to serve as a key speaker at the launching of the study, "Strengthening Governance Measures to Support Sustainability".

Anti-Corruption Collective Actions

MedcoEnergi's anti-corruption efforts involve collaboration with professional associations and stakeholders to promote integrity across the industry, recognising that collective action is key to building an anti-corruption culture. Our initiatives include supporting local anti-corruption programmes and engaging in joint efforts with international organisations.

Contributions to Local Anti-Corruption Initiatives

MedcoEnergi actively participates in anti-corruption initiatives to promote integrity and ethical business practices in local communities.

Strengthening Integrity through Women's Leadership at Corridor

MedcoEnergi, in collaboration with "I Am a Woman Against Corruption" (*Saya Perempuan Anti Korupsi*/SPAK), held a "Collective Action Women's Group" programme at the Corridor asset in July 2025. The event gathered 60 women from community groups, including educators, healthcare workers, and local micro and small enterprises, as part of MedcoEnergi's efforts to promote community integrity and strengthen social accountability to support its sustainability goals.

Delivered under the theme "*Women of Integrity, Pillars of Anti-Corruption,*" the workshop highlighted the role of women in promoting ethical values and integrity within families, communities, and workplaces. Discussions covered the impacts of corruption, human rights responsibilities, and the importance of collective community action. The programme also contributed to strengthening participants' abilities to act as integrity advocates and was documented as part of MedcoEnergi's human rights awareness initiatives for Corridor stakeholders.



Promoting Integrity, Ethical Leadership and Collective Action through Womens Group Programme at Corridor, South Sumatra, Indonesia

Youth Integrity Programme in East Java

We held a Youth Integrity Programme in Politeknik Madura in February 2025. The event engaged 432 students and 64 lecturers, covering business ethics, anti-corruption measures, compliance risks, and MedcoEnergi's sustainability efforts. It aimed to equip participants with practical knowledge and skills to prevent and address corruption and ethical dilemmas.



Fostering Ethical Leadership in Youth Integrity Programme in Politeknik Madura, Sampang, East Java, Indonesia

Youth Integrity Programme in a Senior High School in Kabupaten Anambas

We conducted anti-corruption workshops in two high schools near South Natuna Sea Block B in August 2025. SMAN 1 Palmatak hosted 70 students and 7 teachers, while SMAN 1 Siantan hosted 69 students and 7 teachers. Workshops covered an overview of South Natuna Sea Block B, anti-corruption education, ethical awareness, compliance risks, types of ethical violations, organisational protection measures, and MedcoEnergi's sustainability strategies, including climate change initiatives.



Increasing Anti-Corruption Awareness Workshops in High Schools, Matak, Riau Islands, Indonesia

Joint Anti-Corruption Efforts with International Organisations

MedcoEnergi attended the IGCN Annual Members Gathering in October 2025 in Jakarta, hosted by the UN Global Compact Network Indonesia (IGCN). The event convened leaders from business, civil society, academia, and government, including the Vice Foreign Minister of Indonesia; the Deputy for Food, Natural Resources, and Environment at the National Development Planning Agency; and the UN Resident Coordinator in Indonesia. The conference focused on progress that has been made on the UN Global Compact's Ten Principles and advancing the SDGs through governance, environmental stewardship, inclusive business, and policy advocacy. MedcoEnergi shared its experience in engaging government officials during the Members Journey: Governance, Partnership, and Policy Advocacy session.

MedcoEnergi actively participated in national integrity dialogues, including the Responsible Business Forum 2025, organised by the IGCN and the UN Office on Drugs and Crime (UNODC), to promote anti-corruption as a core element of ESG and sustainable business. At this event, the Company shared its experience in implementing the ISO 37001:2016 Anti-Bribery Management System, highlighting its commitment to ethical and responsible governance.



Engaging for Sustainable Development: MedcoEnergi at IGCN Annual Members Gathering 2025

Supply Chain Management

MedcoEnergi places integrity as a fundamental principle in all business activities, demonstrated through ethical conduct and its transparent procurement processes. We expect our vendors to comply with applicable regulations and adopt leading sustainable practices that uphold the highest standards in health, safety and environmental (HSE) performance; respect human rights; protect company assets; safeguard confidentiality (including intellectual property rights); ensure fair competition; and adhere to anti-corruption measures. Child and forced labour are strictly prohibited across our operations, and we require the same commitment from our suppliers. These expectations are embedded in our vendor selection processes and contractual agreements, with our terms and conditions requiring compliance with both the Code of Conduct and the Code of Supplier[1].

Approaches, Commitments, and Goals

At MedcoEnergi, we are committed to managing an efficient and resilient supply chain that supports growth and ensures the timely delivery of safe, reliable, and high-quality products and services. We uphold Good Corporate Governance and our Code of Conduct across all subsidiaries and divisions. While governance guides our business, the Code directs our behaviour, ensuring compliance with laws, regulations, and industry standards. Beyond our operations, we engage partners to strengthen transparency, accountability, and ethical practices across the supply chain.

Ethical Engagement with Suppliers

In implementing the Code of Supplier, we aim to conduct business with high standards of integrity and recognise the pivotal role our business partners play in delivering value. This encompasses suppliers of goods, materials, and services, as well as contractors and subcontractors.

As part of this implementation, business partners are expected to align with MedcoEnergi's ethical standards throughout their engagement with the Company.

Key expectations include:

- Safeguarding confidentiality & proprietary information.
- Engaging in fair competition and dealings.
- Gathering of competitive intelligence with integrity.
- Reporting any potential misconduct, ethical violations of the Company's Codes and policies, and applicable laws.

To reinforce these expectations in practice, MedcoEnergi engages with suppliers and vendors through various communication and outreach activities.

Promoting Integrity and Sustainability in Supply Chain Management

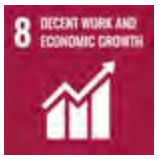
MedcoEnergi recognises suppliers as key partners in promoting sustainable and ethical business practices. In 2025, MedcoEnergi strengthened engagement with vendors through quarterly Anti-Money Laundering (AML) newsletters, Vendor Day events, contractor forums, human rights and sustainability workshops, and vendor engagement programmes. For example, the Indonesian Vendor Day in February 2025 included a sharing session on Scope 3 GHG emissions. We continue engaging suppliers to assess their levels of awareness and knowledge on the complex topics of sustainability and climate change. This will be part of a long-term effort to collaborate along our value chain in line with Scope 3 emissions.

We work closely with key vendors and advance strategic collaborations with renewable energy suppliers, such as Tier-1 photovoltaic and battery storage manufacturers, to support local content development and investment in Indonesia. Collectively, these efforts enhance transparency, reinforce ethical practices, and strengthen long-term partnerships, supporting operational efficiency, compliance, and sustainable value creation across the supply chain.

1 This policy is assured and covered in the GRI 2-23 (Policy Commitment) and GRI 2-24 (Embedding Policy Commitment)

Alignment of Sustainability Initiatives with the UN SDGs

The table below aligns MedcoEnergi's initiatives to pursue excellence in governance with the relevant United Nations Sustainable Development Goals (UN SDGs). These initiatives only highlight MedcoEnergi's effort and do not imply MedcoEnergi has set or measured targets for host governments in our operational areas regarding the achievement of the UN SDGs.

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	4.7	Policies and initiatives on ethics and compliance, fraud risks, human rights, anti-bribery and corruption.
	12.6	Publication of sustainability reporting.
	16.3, 16.5, 16.6, 16.7	• Policies and initiatives on ethics and compliance, fraud risks, human rights, anti-bribery and corruption • Annual SoA and CoI declarations.
	17.17	External collaborations to promote business transparency, integrity and anti-corruption measures.
	8.3, 8.7, 8.8	• Code of Supplier • Human Rights Policy Workshop



Youth Integrity Programme in East Java, Indonesia

1 The targets can be found in UN SGDs website (https://sdgs.un.org/goals)

Action Plans

The following action plans will enable us to meet our objectives and continue pursuing excellence in governance. We regularly measure, monitor and report on our progress and performance and match them against these actions. The progress report of these action plans refers to the 2023 - 2027 Sustainability Road Map. Since we have passed the short term period and actions were concluded in 2025, our current focus is on the status of the medium/long term actions.

Category	Short-term Actions	Medium/Long-term Actions	Status
Anti-Corruption	Require all employees to sign an annual anti-corruption declaration after completing an online evaluation.		Employees have signed anti-corruption declarations annually (May - June).
	Conduct communication and education training in anti-corruption efforts.		In 2025, the ELO Opening Workshop included Field Compliance sessions in East Java, CST, Matak and Corridor. Other activities included the ELO Mid-Year Workshop, ABMS Awareness at Corridor, International Anti-Corruption Day at MEPI, AML Workshop for Commercial, and SCM Leadership. Total participation: 548 people.
	Conduct training for hosting government officials; Advanced Fraud Risk Assessment (FRAs) for new assets (post-merger and acquisition) to support growth strategy; and one refresher session in the organisation in high-risk areas. Also, discuss anti-corruption programmes in Oil & Gas forums.		Completed Fraud Risk Management Workshop for the CSRM and Corporate Shared Service Center functions in Dec 2025. Total participants: 8 people.
	Aligned Integrity Champion ex Corridor Programme for Ethical Liason Officers (ELO) programme and continue it for other international business units.	Continue ELO programme in Indonesia and international business units.	Continued implementing ELO programme in Medco Oil & Gas. Total ELO: 90 personnel.
	Continue Compliance Champion Programme for Medco Power.		Continued the implementation of Compliance Champion in Medco Power. Total Compliance Champion: 28 personnel.
	Obtain and implement ISO 37001:2016 Anti-Bribery Management System (ABMS) certification for high risk assets in Medco Oil & Gas and Power.		MRPR was certified in February 2025. Passed 1st surveillance in 2025.
	Obtain and implement ISO 37001:2016 Anti-Bribery Management System (ABMS) certification in South Natuna Sea Block B.		The asset was recertified in September 2025.
	Obtain and implement ISO 37001:2016 Anti-Bribery Management System (ABMS) certification for Procure to Pay (P2P) process in Oil & Gas Indonesian assets such as Rimau, South Sumatra Block, Lematang, Block A, Tarakan, South Natuna Sea Block B, Corridor, Sampang, Madura Offshore, West Bangkanai, and Bangkanai.		Medco Power Headquarters was recertified in August 2023 and passed first and second surveillance ISO 37001: 2016 in 2024 and 2025.
	Obtain and implement ISO 37001: 2016 ABMS Certification for Medco Power Assets.		Medco Power Headquarters was recertified in August 2023 and passed first and second surveillance ISO 37001: 2016 in 2024 and 2025. The Medco Power subsidiaries: MEB/ ELB, DEB and TJBPS were recertified in June 2024 and passed 1st surveillance in 2025.
	Obtain and implement ISO 37001: 2016 ABMS Certification for JOB Tomori.		JOB Tomori was recertified in August 2024 and passed 1st surveillance in 2025.
	Obtain and implement ISO 37001: 2016 ABMS Certification for Bualuang, Thailand.		The asset was recertified in November 2025.

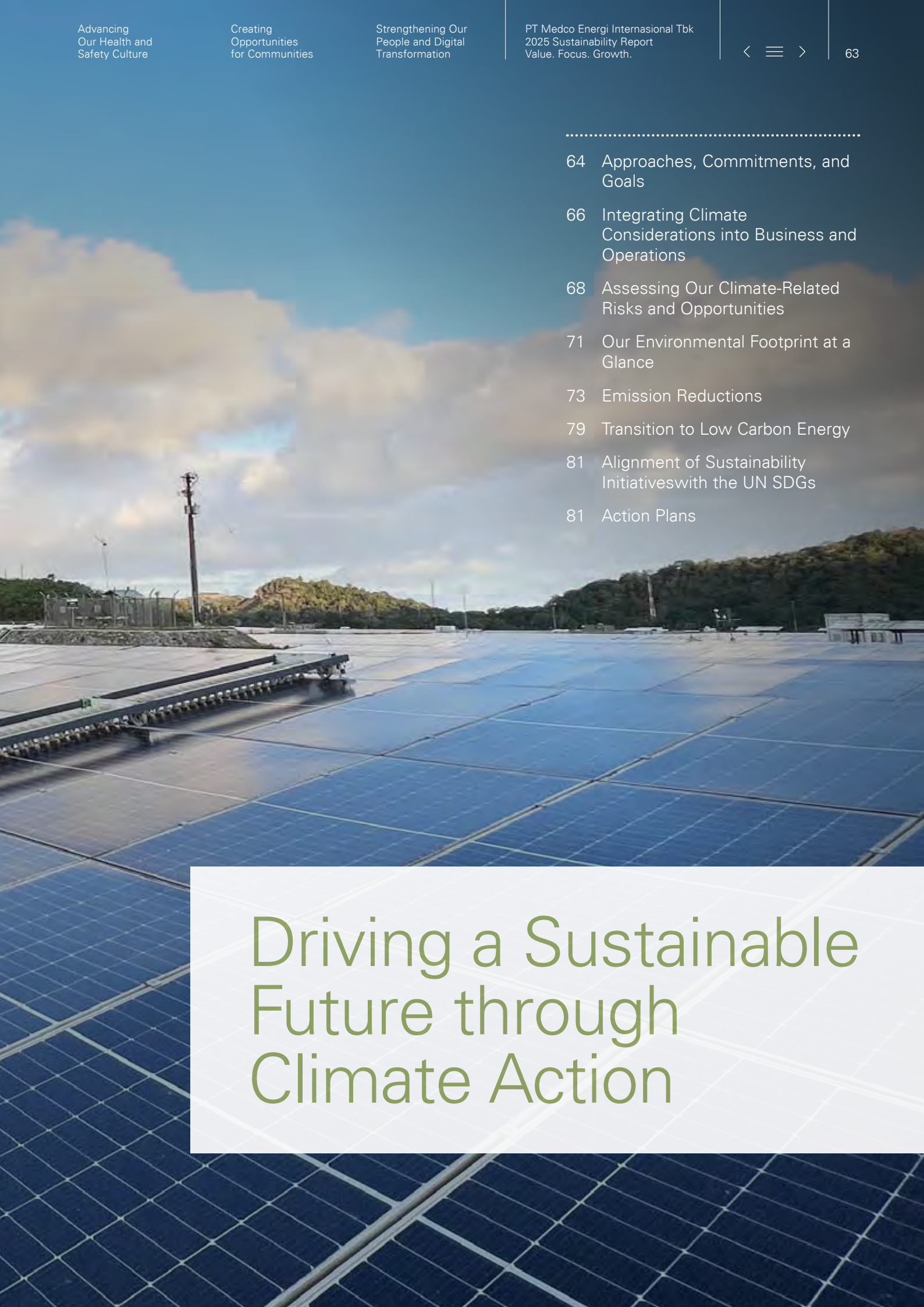
Category	Short-term Actions	Medium/Long-term Actions	Status
Anti-Corruption	Plan to obtain and implement ISO 37001: 2016 ABMS Certification for Corridor Asset.	Obtain and implement ISO 37001: 2016 ABMS Certification for Corridor	The certification was obtained in December 2023 and passed the first and second surveillance ISO 37001: 2016 in 2024 and 2025.
Anti-Corruption	Plan to develop ISO 37001: 2016 for Oman.	Obtain and implement ISO 37001: 2016 ABMS Certification for Oman and MRPR.	The certification was obtained in December 2024 for Oman KSF and passed 1st surveillance in 2025.
	Conduct anti-bribery and corruption vendor audits (minimum of 22 vendor audits per year)		Conducted 22 vendor audits in 2025.
	Establish standards for vendors' due diligence process. Complete targeted selected vendor compliance survey in Oman.	Conduct due diligence with high-risk criteria based on current compliance risks. Complete vendor compliance survey in Indonesia and Thailand.	• Conducted 19 ethical due diligence at Bualuang. • Conducted 11 desktop reviews of due diligence for Commercial at South Natuna Sea Block B, Corridor, Bualuang and JOB Tomori. • Conducted desk top reviews of due diligence of Oman KSF : 5 due diligences. • Conducted 4 desktop due diligences at JOB Tomori. • Conducted 3 desk top due diligences for vessel ownership changes. • Conducted 3 desktop due diligences at Medco Power. • Conducted 3 desktop due diligences (1 in South Natuna Sea Block B, 1 in Corridor and 1 in Corporate Treasury). - Total: 48 due diligences. • Completed compliance survey of 57 vendors in Bualuang in Nov 2025.
Business Ethics	Carry out Code of Conduct (COC) assurance: Statement of Adherence (SoA) self- tests.		In 2023, to align the declaration with the 5-year Sustainability Governance roadmap, the SOA was expanded to include statements on personal data privacy protection, human rights, political involvement, and AML awareness in assurance test questionnaires. 100% of our Oil & Gas and Power employees submitted their SOAs, with passing the SOA Assurance Test as a requirement. The results show that employees have a strong understanding of our Code and Conflict of Interest Policy & Procedures.
	Automate Conflict of Interest (CoI) deterrence to be included in the system and train new personnel (if we have any new assets)		Not applicable since we did not acquire any new assets.
	Standardise CoC practices related to SoA declarations, Conflict of Interest (CoI) declarations, Governance & Ethics Policy, Government Hosting Guidelines and Gift Entertainment Guidelines.		• Received 100% or 6,251 Conflicts of Interest (CoI) submissions from permanent employees and third-party contractors in Medco Oil & Gas and Medco Power in 2025. • Expanded the CoI declaration process to include targeted service contractor workers in Corridor, Onshore, and Offshore. We received 4,114 submissions: a 100% completion rate in 2025.
	Finalise and implement a standardised, rigorous compliance programme (covering prevention, detection, responses) across MedcoEnergi.		• Implemented one Our Code Standard across MedcoEnergi. • Implemented ABMS in key overseas assets. • Standardised third-party risk managements.
Internal Audit	Ensure the effectiveness of the 2025 audit plan (>90% audit plan completion) covering key business risks and controls within assets, partnership and functional areas.		Completed audits for Oil and Gas at: East Java, Bangkanai, Rimau, Lematang and JV audit of DSLNG and JOB Tomori.
	International ship and port security audits: Corridor, South Natuna Sea Block B and JOB Tomori.		Completed the implementation of the ISPS Code audit at Corridor, South Natuna Sea Block B, and JOB Tomori in 2025.

Category	Short-term Actions	Medium/Long-term Actions	Status
Sanction Compliance Programme	Conducted Sanctions Workshop in high-risk areas.		A Sanction Workshop for Bualuang Leadership was conducted in May 2025.
Anti Money Laundering (AML) Programme	Established AML Policy in year 2023	Review AML controls in relevant functions; develop a working procedure to detect money laundering risks.	• AML Policy launched in March 2024 and available at MedcoEnergi website. • AML Workshop for Commercial was conducted in May 2025, attended by 8 key personnel. AML Workshop for SCM Leadership was conducted in December 2025, attended by 15 key personnel.
Personal Data Protection (PDPA) Programme	Increase awareness of PDPA related to HR, IT, HSE, and SCM.	Regularly conduct PDPA training and workshops.	Support the launching of Personal Data Protection Policy in February 2025.
Whistleblower Management System (WMS) Programme	Implemented Whistleblower in Partnership		WBS has been implemented in DSLNG and JOB Tomori since 2022.
	Assess Conformity ISO 37002.	Full adoption and conformity of ISO 37002.	Adopted ISO 37002:2021 Whistleblowing Management System (ISO 37002) in 2025. This standard provided a comprehensive framework to create a robust whistleblowing management system based on the principles of trust, impartiality, and protection.
	GRI 205-3 Disclosure (without assurance)	GRI 205-3 disclosure in year 2024 (without assurance) and assured GRI 205-3 from 2025 – 2027.	Data related to GRI 205-3 was disclosed in the 2021 Sustainability Report – continued in Sustainability Report 2022 - 2025.
Human Rights	Establish Human Rights Policy and framework.	Conduct Human Rights Training for all employees and vendors.	Developed platform and deployed Human Rights e-learning to MEI, Corridor, MTBL Thailand and Onshore.
	Conduct Human Rights assessments for major assets.		Vendor screening for Human Rights Risk and Impact Assessment.
	Harassment Free Workplaces.		Established Respectful Workplace Policy in March 2025.
Public Policy	Develop an accountability mechanism to monitor MedcoEnergi's public policy statements versus execution, and agenda versus implementation		Completed the accountability mechanism and reported to BOD in 2025
Socioeconomic Compliance	Support industry efforts to increase simplification and transparency around social and environmental permits for Medco Oil & Gas assets through the IPA Ethics & Compliance Committee.		Ongoing authority engagement through the National Anti-Corruption Strategy Forum.
Responsible Procurement Practices	Develop 3rd party capacity building (Human Rights).	Partnership programme to promote data transparency and implement best practices in the value chain.	Conducted hybrid Human Rights Training / Workshop for active vendors.
	Regularly conduct 3rd party engagement through Vendor Days.		Organised a virtual Vendor Day for Indonesian Oil & Gas assets. Issued an SCM e-Newsletter for Oil & Gas and Power assets. Conducted contractor forums at MEB, DEB, and ELB, delivering key messages on HSE, Sustainability, Ethics and Compliance, SCM, and Social Media Guidelines.



Enhancing Renewable Energy Efficiency through Solar PV Module Cleaning, Sumbawa Solar PV, West Nusa Tenggara, Indonesia

This picture is the 2nd winner under the 'Environment & Climate Change' category of the MedcoEnergi 2025 Photography Competition



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Driving a Sustainable Future through Climate Action

Managing the transition to low-carbon energy and mitigating climate-related transition and physical risks are integral to creating long-term value. Our Climate Change Strategy and Net Zero targets, established in 2021, remain the foundation of our decarbonisation pathway. The interim targets we established in 2022 to reduce greenhouse gas (GHG) and methane emissions, and increase our renewable mix installed capacity, guide our ner and medium-term actions, introduced in 2022, guide our near and medium-term actions. Together, these commitments frame our approach to advancing climate action alongside delivering reliable, affordable, and sustainable energy and natural resources.

Grounded in these commitments, we continue to advance measurable results across our climate agenda. On a consolidated basis, Scope 1 and 2 GHG emissions from Oil & Gas operations in 2025 were relatively flat compared with the prior year. Increased emissions at South Natuna Sea Block B, stemming from additional flaring linked to a new development facility, were partially mitigated by emissions-reduction initiatives across our assets and the natural decline in production. As of 2025, we reduced Scope 1 and 2 GHG emissions by 30% from the 2019 baseline, surpassing our interim 2025 target of a 20% reduction. We also achieved a 40% reduction in methane emissions from Oil & Gas operations relative to 2019 levels, exceeding our 2025 methane reduction target of 25%. In parallel, we increased our renewable energy mix installed capacity to 26%, in line with our interim target.

These outcomes demonstrate the continued integration of climate considerations into our operations and strategic planning. In parallel, we advanced our climate adaptation and resilience efforts to address physical climate risks, including completing in-house quantitative Climate Change Risk Assessments (CCRA) for two assets and establishing a dedicated CCRA platform to support consistent analysis across the portfolio. Collectively, these efforts reinforce our commitment to strengthening our response to emerging climate-related challenges and advancing our transition toward a low-carbon energy system.

Approaches, Commitments, and Goals

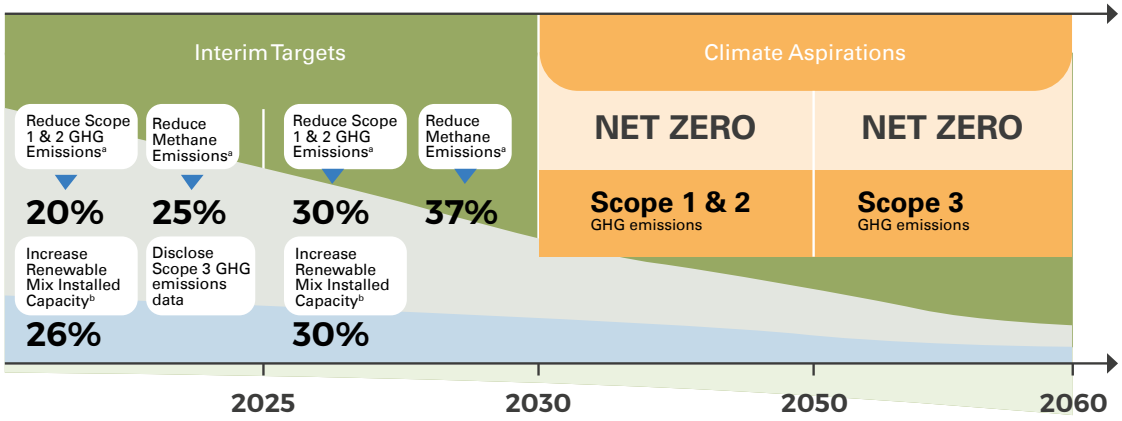
Our Net Zero ambition sets the long-term direction for climate action, targeting net-zero Scope 1 and 2 GHG emissions by 2050 and extending to Scope 3 by 2060. These long-term targets shape the pathways defined under our Climate Change Strategy. As outlined in Chapter 4, this strategy is integrated into our core vision, mission, and sustainability framework, and aligns with the Paris Agreement and the Nationally Determined Contributions (NDCs) of the countries where we operate. Climate scenario analyses further support this approach by identifying climate-related risks and opportunities that may influence our business activities over the short, medium, and long term.

We continue to reduce GHG emissions by adopting proven technologies, best practices, and carbon removal efforts whenever applicable. Our transition to low-carbon and sustainable energy includes expanding our natural gas portfolio as a transitional fuel alongside developing renewable energy to support national development goals in Indonesia and other countries. In 2025, we also strengthened our consideration of physical climate risks and enhanced methane management through our Sustainability Assessment process, which incorporated gate reviews and project surveillances for selected projects to further embed climate considerations into decision-making. Further details are provided in the Sustainability Assessment sections of Chapter 4 and Chapter 7.

Long-Term Climate Aspirations and Interim Targets

MedcoEnergi climate aspirations sets the long-term direction for our climate action, while interim climate targets translate these aspirations into measurable milestones that guide implementation and enable progress tracking over time. These targets were developed through a structured process that considered the NDCs of our host countries, internal long-term planning assumptions, industry benchmarking, climate-related risks and opportunities, past and ongoing emissions reduction efforts, and evolving regulatory and market conditions. Following updates to national commitments, including the submission of Indonesia's Second NDC, we continue to support the climate objectives of the countries where we operate.

Having achieved our 2025 interim targets, we are now entering the next phase of the Net Zero pathway, focused on implementing our priority targets by 2030. This phase will further strengthen the integration of emissions reduction, energy transition, and business planning across our operations. It also includes increasing the share of renewable energy in our power portfolio to 30% by 2030[1] supporting our broader progression toward long-term climate goals.



a Medco Oil & Gas emissions based on the operational control approach and reduction from the 2019 base year.
b Equity shared installed capacity. The Government of Indonesia's renewable energy mix target is 23% by 2025 and 25% by 2030.
c This graph is an illustration of the GHG emissions and offsets trajectory to achieve Net Zero and does not describe MedcoEnergi's projected GHG emissions and carbon offsets.

1 This target was originally set with reference to Indonesia's previous Nationally Determined Contribution (NDC), which aimed for at least 23% of installed capacity from new and renewable energy by 2025 and 30% by 2030. Following the issuance of Government Regulation No. 40 Year 2025 on National Energy Policy, which reflects Indonesia's Second NDC, the national target for new and renewable energy is set at 19%–23% by 2030.

Building Organisational Capability for Climate Action

In 2025, MedcoEnergi continued to strengthen organisational capabilities in sustainability and climate change across all levels of the workforce. We delivered a series of structured capability-building programmes for employees, management, executives, and key suppliers to prepare the organisation for effective climate action. These programmes covered both strategic and operational aspects of sustainability, ensuring that climate considerations are embedded into decision-making, risk management, and investment planning across the business.

Throughout the year, senior leaders and Green Ambassadors for Inclusive climate Action (GAIA) Champions participated in training sessions covering a broad range of sustainability and climate-related topics. These included updates on global and regional climate policies and reporting frameworks such as CDP, IFRS S1 & S2, and methodologies for nature-related risk assessments aligned with the TNFD framework. Additional sessions focused on climate risks and resilience, climate change risk assessments, GHG and methane management, Renewable Energy Certificates (RECs), global initiatives such as OGMP 2.0, Carbon Capture Storage (CCS)/Carbon Capture, Utilisation and Storage (CCUS), and sustainable finance.

The GAIA Champions initiative and continuous learning programmes further enhanced our organisational capabilities in sustainability. In 2025, 40 GAIA Champions were appointed across assets and successfully shared sustainability knowledge to more than 950 employees, strengthening functional level understanding of sustainability roles and responsibilities. Senior leaders also participated in certification programmes from globally recognised institutions such as MIT and the University of Cambridge, enhancing strategic competencies in sustainability and climate change. In parallel, our expanding e-learning programmes on sustainability and climate fundamentals have reached more than 5,000 employees since their launch in 2023. Collectively, these efforts reinforce a culture of common responsibility and ensure that sustainability is deeply embedded across MedcoEnergi's operations and long-term business strategies.

Organisational capability was further strengthened through external programmes. In 2025, we took part in the United Nations Global Compact (UNGC) Climate Ambition Accelerator Program, a six-month initiative designed to equip companies with the knowledge and skills to set emissions reduction targets and direct them towards net-zero emissions by 2050.

Members of the Climate Change and Energy Transition Working Group were also selected to participate in international scholarships focused on climate change and energy transition. These included the ASEAN-Australia Centre Short Course on Resources in Energy Transition and the University of Texas at Austin McCombs School of Business for Sustainability Leadership Program. These programmes have further strengthened our internal capabilities and brought valuable global insights to support MedcoEnergi's climate agenda.



2025 GAIA Champion Session, in Jakarta, Indonesia

Participating in Global and Regional Climate Events and Conferences

In 2025, we continued to engage in global and regional climate and energy-focused forums as part of the "Collaboration and Engagement" under our Climate Change Strategy. Through these platforms, we contributed perspectives on climate resilience, decarbonisation pathways, and the energy transition while engaging with policymakers, industry peers, financial institutions, and other stakeholders.

We demonstrated our leadership in climate action by attending and speaking at the key climate events and forums throughout the year:

- Oman Sustainability Week as part of the Oman Petroleum & Energy Show managed by the Ministry of Energy and Minerals of the Sultanate of Oman.
- Risk Beyond 2025: "Climate Extremes and Energy Futures: Rebuilding Strategy for Resilient Growth", hosted by Enterprise Risk Management Academy (ERMA).
- International and Indonesia Carbon Capture & Storage (IICCS) Forum: "Industrial Transformation through CCS Integration", hosted by the Indonesia CCS Centre.
- Indonesia Best Electricity Award (IBEA) organised by Majalah Listrik Indonesia.
- Energy Asia Conference, with sessions on the future of energy markets, company strategies, and decarbonising hard-to-abate sectors.
- Unlocking Energy Transition Finance towards Inclusivity and Sustainability in ASEAN, convened by the ASEAN Centre for Energy.
- Advantage Oman Forum, including sessions on energy transition and biodiversity, hosted by the Oman Ministry of Commerce, Industry and Investment Promotion.
- Ecoprosperity Week 2025 – "Inclusive Energy Transition: Workforce Transformation Priorities in APAC", organised by World Business Council for Sustainable Development (WBCSD) and Environmental Resource Management (ERM).

Integrating Climate Actions Into Remuneration

Climate-related objectives are integrated into MedcoEnergi's performance-based remuneration framework to reinforce accountability and support the delivery of the Company's climate aspirations. While sustainability-linked remuneration is addressed more broadly in Chapter 5 Page 47, this section outlines the specific linkage between climate performance and remuneration, particularly at the executive level.

MedcoEnergi links incentive pay policies to sustainability and climate action performance, focusing specifically on both reducing greenhouse gas (GHG) and methane emissions and increasing renewable installed capacity. Team Performance Contracts (TPCs) are established annually across the organisation, from board-level executives to individual employees. Each TPC consists of five dimensions: HSE and Sustainability, Availability and Production, Growth, Operational Excellence, and Financial Performance.

Sustainability and climate-related KPIs constitute the majority of the HSE and Sustainability dimensions and are monitored and evaluated quarterly. Performance against these KPIs is reviewed annually to determine whether targets have been achieved and inform performance-based incentives, including salary reviews. At the executive level, climate-related factors are incorporated into performance scorecards through selected KPIs linked to priority climate outcomes. These include progress on GHG emission reductions, methane management, and the expansion of renewable installed capacity. In 2025, each dimension of the Board's TPCs were equally weighted at 20% more of total TPC, with emphasis on the HSE and Sustainability dimension.

Integrating Climate Considerations into Business and Operations

MedcoEnergi integrates both climate adaptation and mitigation into its corporate business and operational processes. This approach is anchored in our Enterprise Risk Management framework, in which climate-related physical and transition risks and opportunities are embedded within Company's risk universe to support the assessment and management of climate-related impacts on the business, as described in Chapter 4 page 41. In addition, as discussed in Chapter 7, climate-related issues are integrated into the Sustainability Assessment Guidelines under the Medco Project Excellence Process (MPEP) framework.

To support consistent and structured climate adaptation planning, MedcoEnergi introduced Climate Change Risk Assessment (CCRA) guidelines in 2024, which were applied in 2025. We continue to disclose climate-related information through multiple channels, including alignment with the Task Force on Climate-related Financial Disclosures (TCFD) since 2022 and participation in the CDP Climate. In 2025, we received a B rating from CDP, exceeding the Oil & Gas Extraction and Production sector average. While current disclosures remain aligned with TCFD recommendations, MedcoEnergi is progressing toward closing identified gaps against International Financial Reporting Standards (IFRS) S1 and S2 requirements in 2025. This includes preparing for adoption under the forthcoming Indonesian Sustainability Disclosure Standards 1 and 2 (*Standar Pengungkapan Keberlanjutan*/SPK 1 dan 2).

The following section provides an update of our climate action and performance, structured in accordance with the disclosure requirements of IFRS S2:

IFRS S2 Core Element	Recommended Disclosures	Summaries of Progress by 2025	Links
Governance	a. The governing body or individuals responsible for overseeing climate-related risks and opportunities. b. Management's role in the governance, controls, and procedures used to monitor and manage climate-related risks and opportunities.	• Formalised the use of the Climate Change Risk Assessment Guidelines, which provides the basis for internal governance to conduct in-house CCRA. • Conducted climate change capability-building, including sessions for executives and senior leaders. • Embedded climate change mitigations and adaptations into the Sustainability Assessment Guidelines.	Sustainability Report 2025, Chapter 4 page 39, 41 Chapter 6 page 65-66.
Strategy	The climate-related risks and opportunities on: a. Climate-related risks and opportunities that could affect the company's prospects. b. Business model and value chain: The current and anticipated effects of these climate-related risks and opportunities on the company's business model and value chain.	• Conducted the fourth annual CCRA using scenario analysis consisting of qualitative physical risk assessments of 25 assets and quantitative risk assessments of 2 assets, i.e. South Natuna Sea Block B and Sumbawa Solar PV.	Sustainability Report 2025, Chapter 4 page 41 and Chapter 6 page 68-71.

IFRS S2 Core Element	Recommended Disclosures	Summaries of Progress by 2025	Links
Strategy	c. Strategy and decision-making, including climate-related transition plan d. Financial position, financial performance, and cash flows and their anticipated effects over the short, medium and long term. e. Climate resilience of the company's strategies and its business model to climate-related changes.	• Used the CCRA Platform[1] to conduct the aforementioned qualitative physical risk assessments. • Enhanced the depth of the climate change risk assessments by analysing the impact of climate hazards at the equipment level, enabling the financial impacts to be identified at the asset level. • Documented mitigation and adaptation measures implemented by asset teams where quantitative assessments were conducted.	
Risk Management	a. The processes and policies used to identify, assess, prioritise and monitor climate-related risks and opportunities, including if and how the company uses climate-related scenarios. b. To which extent the company integrates its processes to manage climate-related risks and opportunities in its risk management system.	• Applied the CCRA Guidelines to standardise the assessments and management of physical and transition risks. These included prioritising assets, assessing periodic risks, and identifying measures to mitigate risks and adapt to climate change. Identified risks and treatments were integrated into the quarterly risk register and site-level monitoring and reporting processes.	Sustainability Report 2025, Chapter 4 page 41
Metrics and Targets	a. Climate-related metrics: Scope 1,2, and 3 GHG emissions; transition and physical risks; opportunities. b. Climate-related targets: quantitative and qualitative targets to monitor progress. c. Climate-related targets: approaches to setting and reviewing each target and monitoring progress against each target.	• Maintained our commitment to achieve net zero for Scope 1 and Scope 2 emissions by 2050 and Scope 3 emissions by 2060. • Achieved 2025 interim targets for Scope 1 and 2 GHG emissions and methane reductions. • Monitored how renewable power plants were established and operated to support progress toward 2030 interim targets. • Improved data quality and disclosure to align with the IFRS S2 requirements. • Strengthened how GHG monitoring and internal carbon pricing were implemented by further integrating these practices into one of the factors for investment decision-making, business models, project and operational planning to determine downside risks and business impact.	Sustainability Report 2025, Chapter 6 page 64, 71-75, 79-80

In addition to integrating climate factors into business processes and risk management, we also recognise that the transition toward a lower-carbon energy system must be managed in a fair, inclusive, and people-centred manner. As outlined in Chapter 4, we have begun formalising our Just Transition Plan in connection with our long-term sustainability strategy. This approach reflects our commitment to ensure that climate actions deliver environmental benefits as well as positive social and economic outcomes for workers, communities, and other stakeholders who may be affected by the energy transition.

At this stage, we are strengthening internal awareness and capacity across relevant functions to better understand the workforce and community implications of decarbonisation initiatives. We are gradually embedding just transition considerations into climate-related planning and decision-making processes, guided by international frameworks such as the International Labour Organization's (ILO) Just Transition Guidelines, the Paris Agreement, and the UN Guiding Principles on Business and Human Rights.

MedcoEnergi's approach to a just transition is guided by four priority areas, as outlined in the figure below. We aim to ensure that the shift toward a lower-carbon future remains fair and inclusive. Our just transition considerations focus on stakeholders who may be most affected by transition-related changes, including workers, local communities, suppliers, and vulnerable groups such as women, children, Indigenous Peoples, and migrant workers.

1 The CCRA platform is MedcoEnergi's internal tool for conducting qualitative physical climate risk assessments. It uses climate projections from an industry-leading global climate database and incorporates asset-specific vulnerability data to screen potential exposures to different climate hazards.

Priority Areas

Workforce Retention & Reand/or Upskilling	Investing in training and workforce development programmes to equip our employees with the skills they need for emerging roles in a low-carbon economy.
Access to Decent and Green Jobs	Promoting inclusive access to safe and environmentally sustainable employment opportunities across our operations and supply chains.
Social Dialogue & Stakeholder Engagement	Maintaining inclusive and continuous engagement with our stakeholders, especially workers and local communities to build trust and shape fair transition strategies.
Social Protection & Social Impact Management	Identifying and managing the potential social impacts of our transition and supporting appropriate measures for social protection and well-being, as well as managing potential social impacts associated with climate transition measures.

Impacted Stakeholders



In implementing our Just Transition Plan, Medco Power continued to advance preparations in 2025 for a collaborative project with the Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH under the develop funding programme of the German Federal Ministry for Economic Cooperation and Development (BMZ). Together, we refined the project design and reviewed the legal agreements required for implementation. Scheduled to begin in 2026 and run through 2028, the project aims to strengthen skills within Indonesia's renewable energy sector by developing and expanding training programmes on renewable energy technologies. This includes training-of-trainers modules, pilot training for employees, students, and local communities, as well as the development of policy briefs to share best practices across industries and government institutions. Through its focus on workforce capability, education, and multi-stakeholder collaboration, the initiative contributes to SDG 4 (Quality Education), SDG 7 (Affordable and Clean Energy), SDG 8 (Decent Work and Economic Growth), and SDG 17 (Partnerships for the Goals), supporting national efforts to address skills gaps and advance Indonesia's transition toward a cleaner energy system.

Assessing Our Climate-Related Risks and Opportunities

We continue to assess climate-related risks and opportunities to identify and analyse both physical and transition factors relevant to our business and operations. Over time, we are expanding the scope of assets and locations covered by these assessments. The assessments are conducted using the frameworks and methodologies outlined in our Climate Change Risk Assessment (CCRA) Guidelines, which provide a structured basis for evaluating potential climate impacts. Scenario analyses are applied to consider climate-related effects across short-, medium-, and long-term time horizons, with further details described in our TCFD Report.

Physical Risk Assessments

Physical climate risk assessments follow a structured process that includes asset selection and prioritisation, as well as the identification, analysis, and evaluation of relevant risks. Climate hazards are identified and assessed using datasets derived from global climate models, while exposure and vulnerability are evaluated based on the characteristics and operating conditions of the assets being assessed. Two contrasting climate scenarios are used to capture potential future conditions, and risks are evaluated through a vulnerability-based framework that considers hazards, exposure, and vulnerability. Depending on materiality, risks are assessed qualitatively and, where required, are evaluated further through more detailed quantitative analyses of financial impacts. The results are used to prioritise risks and inform appropriate risk management and climate adaptation measures.

Qualitative Physical Risks Assessments

In 2025, we expanded the scope of qualitative physical risk assessments to include 25 additional assets, bringing the total number of assets qualitatively assessed to 80. These assessments were conducted using MedcoEnergi's CCRA platform, which processes climate data into indicative physical risk levels. These assessments consider key aspects such as climate scenarios, timeframes, and climate risk drivers, as summarised in the figure below.

4 Countries
- Indonesia
- Thailand
- Oman
- Singapore

2 Timeframes
- Mid-term (2030)
- Long-term (2050)

8 Climate Risk Drivers

Extreme Heat, Coastal Floods, Inland Floods (Extreme Rainfall), Inland Flood (River Flooding), Cyclone and Wind, Water Scarcity, Rainfallinduced Landslide and Wildfires.

80 Assets
- Oil & Gas: Onshore & Offshore
- Office, Warehouse, Jetty, Airport
- Power: Natural Gas, Thermal & Fossil Fuels, Hydropower, Geothermal, Solar Photovoltaic
- Mineral Processing

2 Scenarios

Share Socioeconomic Pathway (SSP) referring to Intergovernmental Panel on Climate Change:
- 1-2.6 Low Emission (1.7°C in 2041-2060)
- 5-8.5 High Emission (2.4°C in 2041-2060)

These risk levels reflect initial screening results under a high-carbon climate scenario, representing a worst-case outlook, and do not take into account existing or planned mitigations. These findings highlight the importance of climate adaptation in addressing potential risks, particularly those related to extreme weather events. The results of the screening-level qualitative assessment by asset type are presented below.

Qualitative Climate Screening Level Assessment Results

Asset Type	Extreme Heat			River Flooding			Extreme Rainfall Flooding			Coastal Floods			Extreme Winds & Storms			Rainfall-Induced Landslides			Wildfires			Water Scarcity		
	Baseline	2030	2050	Baseline	2030	2050	Baseline	2030	2050	Baseline	2030	2050	Baseline	2030	2050	Baseline	2030	2050	Baseline	2030	2050	Baseline	2030	2050
Oil & Gas: Offshore																								
Power: Geothermal																								
Power: Solar PV																								
Power: Thermal & Fossil Fuels																								
Power: Mini Hydro																								
Oil & Gas: Onshore																								
Real Estate: Office																								
Transport: Jetty & Airport																								
Mineral Processing																								

Risk Level Index:	Minimal	Low	Moderate	High	Very High
	0 ≤ Score < 1	1 ≤ Score < 2	2 ≤ Score < 3	3 ≤ Score < 4	Score ≥ 4

Based on the qualitative assessments, critical assets and climate hazards identified as having the greatest potential impact were selected for further analysis through quantitative assessments. They include validations using site-specific data and the estimation of potential financial impacts to provide a deeper understanding of material climate-related risks.

Quantitative Physical Risks Assessments

We continued our quantitative physical climate risk assessments in 2025 to two additional assets: Sumbawa Solar PV and South Natuna Sea Block B. These assessments build on the outcomes of the qualitative screening; with climate hazards selected for further analyses based on their materiality and relevance to asset operations. The analyses apply both low- and high-emissions climate scenarios across the same short-, medium-, and long-term timeframes, consistent with the qualitative assessments. For each prioritised risk, financial impact models were developed using inputs and assumptions provided by MedcoEnergi subject matter experts to estimate potential costs and performance implications under projected climate conditions.

2025 Assessments Results

South Natuna Sea Block B

South Natuna Sea Block-B anticipates two climate hazards, which are extreme wind and water stress.

Production curtailment from our facilities due to prolonged consecutive periods of extreme wind may defer the oil lifting schedule at the South Natuna Sea Block B Asset. Mitigation measures for oil lifting disruptions due to extreme wind include adjusting lifting volumes to extend allowance days and avoid production curtailment during monsoon season. Continuous wind forecasting and monitoring will support operational planning within safe weather windows, complemented by regular risk assessments that consider trends of increasing high-wind days.

Meanwhile, the potential financial impact to mitigate water stress at Matak Shore Base, Matak Island, Riau Islands is approximately USD 550,000 for freshwater purchase and Sea Water Reverse Osmosis (SWRO) installation targeted in-place in 2026.

Sumbawa Solar PV

Based on our assessment, Sumbawa Solar PV asset is potential to be exposed to two climate hazards, which are extreme heat and flood. The potential financial impacts arising from extreme heat across all timeframes and scenarios range between approximately USD 3,500 in 2030 and USD 20,000 in 2042. The potential financial impact due to 8-year flood cycle is estimated to be USD 585,000 in 2030 and USD 835,000 in 2042.

To mitigate extreme heat risk, we developed written Standard Operating Procedure (SOP) for PV operations under extreme heat conditions, assessed fire hazard protection, implemented regular maintenance programmes, and progressing in applying engineering and design measures, and reviewing heat-resilient components.

To mitigate flood risks, we evaluated the existing facility design, maintained drainage system, and established Emergency Response in anticipation of potential flooding in near future.

Based on the above results from the quantitative assessments of South Natuna Sea Block B and Sumbawa Solar PV, the CCRA indicate that the potential financial impacts of physical climate risks remain relatively limited within the overall risk exposure. We maintain adequate insurance coverage to safeguard our assets and support operational activities. Insurance packages are reviewed at least annually to ensure they are fit for purpose and cost efficient. Current insurance policies cover loss arising from a natural catastrophe.

We also conducted Quantitative Climate Physical Risk Assessments in 2023 for Block A and JOB Tomori, and in 2024 for Corridor and MRPR. Details of the assessment results are presented in the Sustainability Reports for 2023 and 2024.

Transition Risk and Opportunity Assessments

Quantitative transition risks assessments were conducted in 2024 and remain relevant throughout the 2025 reporting year as transition-related risks are primarily assessed at the business unit level and are expected to remain broadly consistent in the short term. The assessments applied science-based scenario analyses from the International Energy Agency (IEA), including the Stated Policies Scenario (STEPS) and Announced Pledges Scenario (APS), to evaluate potential financial and operational impacts of the energy transition across short-, medium-, and long-term timeframes. The information about our assessments is shown in the figure below.

4 Countries
- Indonesia

2 Timeframes
- Short term (2025-2030)
- Mid term (2030-2040)
- Long term (2040-2050)

1 Transition Driver
- Carbon Pricing

80 Business Units
- Oil & Gas
- Power

2 Scenarios

Climate Scenarios from International Energy Agency (IEA):
- Stated Policies Scenario (STEPS) as high emission scenario
- Announced Pledges Scenario (APS) as low emission scenario

Carbon pricing emerged as a key transition risk with potential financial implications for MedcoEnergi. Indonesia's Presidential Regulation No. 98/2021 established the framework for carbon pricing through carbon trading and results-based payments, while Law No. 7/2021 introduces a carbon tax initially applied to coal-fired power plants. Although implementation guidelines for the oil & gas sector have not yet been issued, these developments indicate potential future exposures to carbon costs.

To assess these risks, MedcoEnergi applies an internal carbon pricing mechanism, which was updated and monitored in 2025 in line with regulatory developments and market benchmarks. The methodology considers both carbon tax and cap-and-trade mechanisms. Potential costs are estimated by applying carbon price assumptions to projected emissions under different emission scenarios, including cases with and without emissions reduction measures.

Using this methodology, potential financial exposures are assessed based on our gross operational controls across both Oil & Gas and Power assets. For the short-term, if the carbon tax currently applied to coal power plants (USD 2.07/tCO_2e) is extended to the Oil & Gas sector, the potential impact on net cash flow could reach up to approximately USD 2 million in 2025. For the medium-term horizon, assuming carbon price trajectories are aligned with IEA scenarios (USD 33/tCO_2e under STEPS and USD 61/tCO_2e under APS), the potential exposure could reach up to approximately USD 9 million in 2033.

Given the uncertainty regarding the timing, scope, and application of future regulations, these estimates are presented as conservative, worst-case scenario assumptions. The assessments are based on assured 2024 GHG emissions data and covers operated Oil & Gas and Power assets using the best available information.



Rooted in Energy and Ecology

This picture is the 3rd winner under the 'Environment & Climate Change' category of the MedcoEnergi 2025 Photography Competition

Our Environmental Footprint at a Glance

Key Oil & Gas Total Scope 1 & 2[1] GHG Emissions Reduction Performance between 2024 and 2025[2]



Oil & Gas Assets	Year-on-Year Percentage Reductions	Year-on-Year Amount Reductions (tCO_2e)
Tarakan	41%	5,818
Bangkanai	28%	961
South Sumatra Block	26%	47,083
Madura Offshore	25%	15,269
Corridor	4%	87,950

Further details on initiatives to reduce GHG emissions at our Oil & Gas assets are presented in the Strategic Initiatives section later in this chapter.

1 We disclose absolute Scope 2 GHG emissions using Market-Based Method.

2 The total values of Scope 1 and Scope 2 GHG emissions have been assured, and we performed internal calculations on the performance of the Scope 1 and Scope 2 GHG emission reductions.

2025 Oil & Gas Scope 1 & 2 GHG[1] and Methane Emissions Reduction Highlights

0.4%
Increment of Scope 1 & 2 GHG emissions in 2025 **from 2024**

30%
Reduction of Scope 1 & 2 GHG emissions in 2025 **from 2019**

The increases in 2025 were driven by higher production at South Natuna Sea Block B. Nevertheless, the implementation of reduction initiatives comprised of:

- Operational improvements
- GHG emission reduction projects

9%
Increment of methane (CH_4) emissions in 2025 **from 2024**

40%
Reduction of methane (CH_4) emissions in 2025 **from 2019**

The increases in 2025 were driven by higher production at South Natuna Sea Block B. Despite this, abatement efforts continued, including:

- Fuel gas optimisation initiatives
- Flare gas recovery measures
- Gas Turbine Compressor (GTC) deactivation

2025 Oil & Gas Scope 1 & 2 GHG and Methane Emission Reductions Against Our Interim Target

Achieved
We achieved the 2025 interim targets from base year 2019 to reduce Scope 1 and 2 GHG and methane emissions.

Strategies for further reductions, among others:

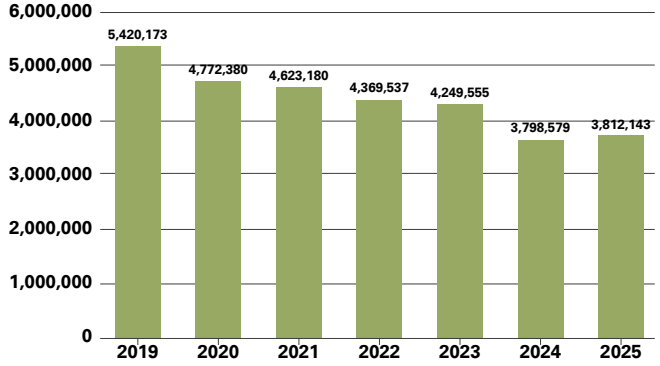
- Fuel optimisations
- Electrification
- Flare reductions
- Renewable energy

On Track
We are on track to achieve our 2030 interim targets to further reduce both Scope 1 and 2 GHG and methane emissions and on our trajectory to achieve net zero.

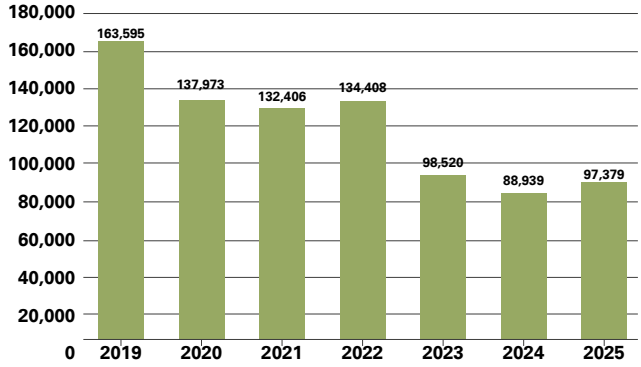
Strategies for further reductions include, among others:

- Flare reductions
- Storage tank blanketings using nitrogen
- Facility footprint optimisations

Oil & Gas Scope 1 and Scope 2[2] GHG Emissions (tCO_2e)



Oil & Gas Scope 1 GHG Emissions from Methane (CH_4) (tCO_2e)



1 The total values of Scope 1 and Scope 2 GHG and methane emissions have been assured, and we performed internal calculations on the performance of the Scope 1 and Scope 2 GHG and methane missions reductions.

2 We disclose absolute Scope 2 GHG emissions using Market-Based Method.

Emission Reductions

The Emission Reduction pillar of our Climate Change Strateg y continues to focus on lowering emissions from our operations and value chains while improving energy and resource efficiency. Alongside operational measures, we continue to consider the role of nature-based solutions and technology for carbon sequestration as part of our broader approach to managing and reducing our carbon footprint.

GHG Emissions Performance

We continue to maintain consistent tracking, management, and reporting of Scope 1 and Scope 2 GHG emissions while continuing to strengthen our Scope 3 disclosures. Following the first disclosure of assured Scope 3 emissions in the previous year, we continued to strengthen data quality and methodologies, alongside enhancing engagements with downstream value chain partners to improve the management of Scope 3 emissions. Our standardised Air and GHG Emissions Calculation Tools remain compliant with applicable laws and regulations and are aligned with relevant standards and frameworks[1].

Direct GHG Emissions (Scope 1)

Our Scope 1 GHG emissions include direct emissions from our Oil & Gas and Power assets, primarily arising from natural gas combustion and operational flaring.

Oil & Gas

In 2025, absolute Scope 1 GHG emissions[2] from our Oil & Gas assets amounted to 3,739,916 tCO_2e, remained relatively flat year-on-year. There was an increased emissions driven primarily by higher production at South Natuna Sea Block B. Despite the increase, GHG emission reduction efforts persisted through from operational efficiency improvements. The adjacent table presents a breakdown of Scope 1 GHG emission sources in tCO_2e. The table details the sources of our Scope 1 GHG emissions in tCO_2e[3]:

In 2025, our CH_4 emissions increased by 9% compared with the previous year, driven by higher flaring and fugitive emissions at South Natuna Sea Block B due to increased production from Terubuk and Forel. The table below presents detailed CH_4 emission values as part of our Scope 1 GHG emissions:

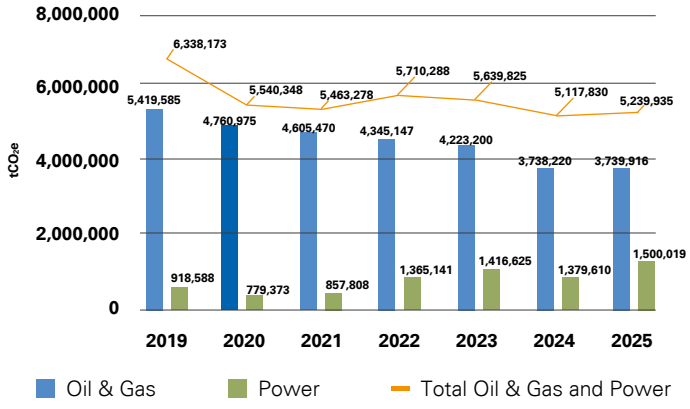
Power

In 2025, absolute Scope 1 GHG emissions[4] from our power business amounted to 1,500,019 tCO_2e, compared to 1,379,610 tCO_2e in the previous year. The variance is due to increasing natural gas fuel consumption as a result of increasing electricity production. For our newly operated power asset, East Bali Solar PV and Ijen Geothermal, the scope of GHG emissions is limited to direct emissions arising from operational vehicles and electricity generation activities under our operational control.

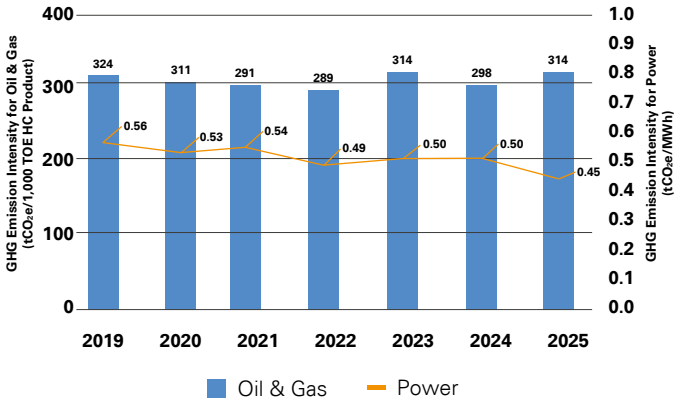
Type of GHG Emissions Source	2023	2024	2025
Combustion	3,835,109	3,360,378	3,171,554
Flaring	317,247	312,829	466,449
Venting	28,093	23,000	21,215
Process (feedstock)	2,155	864	622
Fugitives	40,597	41,148	80,076
TOTAL	**4,223,200**	**3,738,220**	**3,739,916**

Description	2023	2024	2025
Scope 1 GHG emissions from CH_4 in tCO_2e	98,520	88,939	97,379
Percentage of Scope 1 GHG emissions from CH_4	2.3%	2.4%	2.6%

Oil & Gas and Power Absolute Scope 1 GHG Emissions



Oil & Gas and Power Scope 1 GHG Emissions Intensity



1 For further information on the details of GHG emissions calculation methodology, please refer to the 2025 GRI Performance Data in GRI 305 – Emissions.

2 The list of assets that calculate GHG Scope 1 Emissions in 2025 — International: Oman KSF and Thailand; Indonesia: Rimau, South Sumatra Block, Lematang, Bangkanai, Tarakan, Block A, Palembang Office, Banda Aceh Office, South Natuna Sea Block B, Sampang, Madura Offshore, Corridor and Jakarta Office.

3 For further information on the trends and statistics of this Scope 1 GHG emission data, please refer to the 2025 GRI Performance Data in GRI 305 – Emissions for Oil & Gas.

4 The list of assets in 2025 — ELB, EPE, MPE, MEB, DEB, MRPR, Cibalapulang Mini-hydro, Pusaka Mini-hydro, East Bali Solar PV (limited to operational vehicles of East Bali Solar PV as other sources are not yet under East Bali Solar PV operational control), Ijen Geothermal and MPI Headquarters.

Indirect GHG Emissions (Scope 2)

Our Scope 2 GHG emissions represent indirect emissions from purchased electricity and steam.

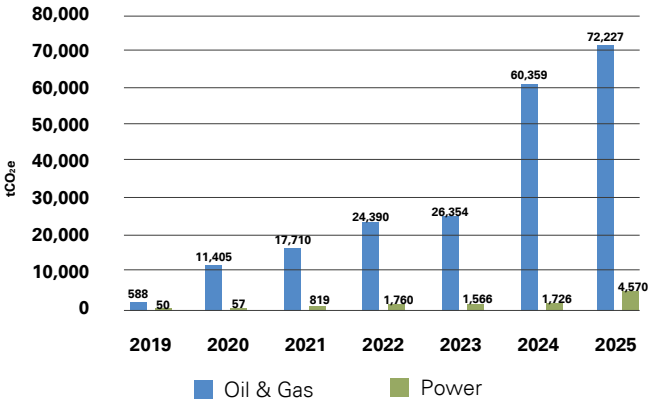
Oil & Gas

In 2025, we continued to report Scope 2 GHG emissions using the market-based approach. Scope 2 emissions from our Oil & Gas assets totalled 72,227[1] tCO_2e, compared with 60,359 tCO_2e in the prior year. The change reflects ongoing reliance on purchased electricity and steam at certain assets, particularly steam-related operations at Oman KSF.

Power

Scope 2 GHG emissions from our power assets in 2025 amounted to 4,570 tCO_2e, compared with 1,726 tCO_2e in the previous year[2]. The increase in GHG Scope 2 emissions is mainly driven by unplanned outages at MRPR due to equipment reliability issues. These outages led to increased utilisation of purchased electricity during start-up and conditioning activities.

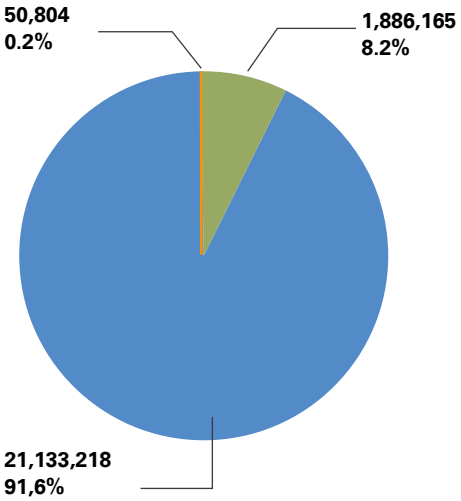
Oil & Gas and Power Absolute Scope 2 GHG Emissions



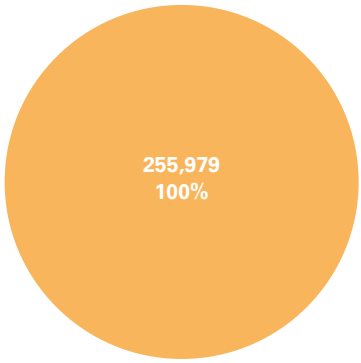
Indirect GHG Emissions (Scope 3)

Scope 3 GHG emissions comprise of indirect emissions from across our value chain, beyond Scope 1 and Scope 2 emissions. In 2025, we continued to apply the operational control approach for Scope 3 emissions and further enhanced data quality and internal processes supporting disclosures. Our Scope 3 inventory focuses on material categories, including Category 3 (fuel-and energy-related activities), Category 10 (processing of sold products), and Category 11 (use of sold products)[3,4]. Calculations continue to follow the GHG Protocol and relevant industry guidance, supported by emission factors and data from recognised sources, including downstream value chain partners[5].

Oil & Gas Absolute Scope 3 GHG Emissions in 2025 (tCO2e)



Power Absolute Scope 3 GHG Emissions in 2025 (tCO2e)



Category 3: Fuel- and energy-related activities (not included in Scope 1 or Scope 2)

Category 10: Processing of sold product

Category 11: Use of sold product

1 For further information on the details of Scope 2 GHG emission data, please refer to the 2025 GRI Performance Data in GRI 305 – Emissions for Oil & Gas.

2 The list of assets in 2025 include ELB, EPE, MPE, MEB, DEB, MRPR, Cibalapulang Mini-hydro, Pusaka Mini-hydro, East Bali Solar PV, Ijen Geothermal and MPI Headquarters.

3 For Oil & Gas, the list of assets that calculate GHG Scope 3 Emissions in 2025 — International: Oman KSF, Thailand and Singapore Office; Indonesia: Rimau, South Sumatra Block, Lematang, Bangkanai, Tarakan, Block A, Palembang Office, Banda Aceh Office, South Natuna Sea Block B, Sampang, Madura Offshore, Corridor and Jakarta Office. Oman KSF is not included in Category 10 & 11 calculation due to the production belonging to Petroleum Development Oman (PDO).

4 For Power, the list of assets in 2025 include ELB, EPE, MPE, MEB, DEB, MRPR, Cibalapulang Mini-hydro, Pusaka Mini-hydro, East Bali Solar PV, Ijen Geothermal and MPI Headquarters.

5 For Oil & Gas, Scope 3 Category 3 includes well-to-tank emissions for purchased fuel, electricity, steam, and the transmission and distribution losses of purchased electricity. Scope 3 Category 3 emissions from purchased electricity, including transmission and distribution losses, are calculated using location-based method. However, the calculations exclude transmission and distribution losses of purchased steam due to on-site steam generated by a third-party company. For Power, Scope 3 Category 3 includes well-to-tank emissions for purchased fuel, electricity and the transmission and distribution losses of purchased electricity.

Energy Performance

We continue to improve energy efficiency as part of our efforts to reduce environmental impacts. Energy audits are conducted on a regular basis to monitor consumption patterns and identify opportunities to improve performance. Further details on energy consumption and energy intensity calculations are provided in the GRI Performance Data section.

Oil & Gas

In 2025, total energy consumption across our Oil & Gas assets amounted to 33,817,389 GJ, compared to 35,967,423 GJ in the previous year, reflecting a 6% reduction year on year. Energy consumption from renewable sources also decreased by 6% compared to the previous year. This decrease was primarily driven by operational improvements, the implementation of several GHG emission reduction initiatives, and reduced drilling activities in Madura Offshore.

Oil & Gas Energy Consumption by Source[1]

Description	2023 (GJ)	2024 (GJ)	2025 (GJ)
Electricity Consumption	177,400	246,982	283,911[2]
Renewable Energy Sources (e.g., biodiesel B30, B35, B40, gasohol E5 and solar energy)	264,407	332,817	312,417[3]
Non-renewable Energy Sources (e.g., gasoline, natural gas, diesel, and crude oil)	38,296,845	34,899,653	32,563,539[4]
Steam Consumption	-	487,972	657,522[5]
TOTAL	**38,738,652**	**35,967,423**	**33,817,389**[2,3,4,5,6,7]
Energy Intensity (GJ/TOE HC Product)	**2.88**	**2.86**	**2.84**[3,4,5,6,7,8]

Power

Total energy consumption for our power assets in 2025 reached 15,668,894 GJ, compared to 14,568,183 GJ in the previous year, representing a 7.6% increase. Variations in energy consumption were influenced by the increasing amount of electricity production and natural gas consumption. Even though our energy consumption increased, our energy intensity decreased due to higher electricity generation following the commissioning of new renewable power plants (East Bali Solar PV and Ijen Geothermal).

Power Business Energy Consumption by Source[9]

Description	2023 (GJ)	2024 (GJ)	2025 (GJ)
Electricity Consumption	6,070	6,675	17,551
Renewable Energy Sources (e.g., biodiesel, B40, solar energy and hydropower)	570	434	3,523[10]
Non-renewable Energy Sources (e.g., gasoline, diesel, and natural gas)	25,226,144	24,567,004	26,603,347[11]
Electricity Sold	10,132,680	10,005,930	12,270,750[12]
TOTAL ENERGY CONSUMPTION[13]	**15,100,104**	**14,568,183**	**15,668,894**[14]
Energy Intensity (GJ/MWh)	**5.36**	**5.23**	**4.72**

1 The list of assets refers to 2025 GRI Performance Data GRI 302 – Energy for Oil & Gas.
2 The increase in purchased electricity consumption is due to full year implementation of power conversion to national grid in Lematang.
3 The decrease in energy consumption from renewable sources is due to lower biodiesel fuel consumption in 2025, which was mainly driven by fewer drilling activities in Madura Offshore.
4 The decrease in energy consumption from non-renewable sources is due to lower fuel gas consumption, which was mostly attributed to operational improvements and several projects to reduce GHG emissions.
5 The increase in purchased steam consumption is due to our steam flood operations in Oman KSF.
6 The list of assets in 2025 — International: Oman KSF, Thailand and Singapore Office; Indonesia: Rimau, South Sumatra Block, Lematang, Bangkanai, Tarakan, Block A, Palembang Office, Banda Aceh Office, South Natuna Sea Block B, Sampang, Madura Offshore, Corridor and Jakarta Office.
7 The list of assets in 2025 that consume energy from purchased electricity consist of Rimau, South Sumatra Block, Lematang, Tarakan, Block A, Bangkanai, Palembang Office, Banda Aceh Office, South Natuna Sea Block B, Sampang, Thailand, Oman KSF, Singapore Office, Jakarta Office and Corridor.
8 The decrease in energy intensity is due to operational improvements and several projects to reduce GHG emissions.
9 The list of assets refers to 2025 GRI Performance Data GRI 302 – Energy for Power.
10 The increase in renewable energy consumption is mainly driven by higher internal consumption of self-generated electricity from hydropower plants in Cibalapulang Mini-hydro and Pusaka Mini-hydro.
11 The increase of non-renewable energy consumption is mainly due to increasing amount of electricity production and natural gas consumption.
12 The list of assets in 2025 — ELB, EPE, MPE, MEB, DEB, MRPR, Cibalapulang Mini-hydro, Pusaka Mini-hydro, East Bali Solar PV (limited to operational vehicles of East Bali Solar PV as other sources are not yet under East Bali Solar PV's operational control), Ijen Geothermal and MPI Headquarters.
13 Total energy in power is calculated as the sum of non-renewable fuel consumed, renewable fuel consumed, electricity purchased for consumption, self-generated electricity which are not consumed, minus electricity sold.
14 The increase of energy consumption is mainly due to increasing amount of electricity production and natural gas consumption.

Strategic Initiatives

We continued to reduce GHG emissions across our Oil & Gas assets in 2025.

We implemented 44 initiatives in 2025, resulting in an estimated reduction of 95,481 tCO_2e

Additionally, a one-time reduction of 47,362 tCO_2e was achieved through initiatives such as optimising operating modes, deactivating compressors, and avoiding flares from well clean-up & testing

Of this, CH_4 emissions were reduced by 1,834 tCO_2e, with a one-time reduction of 665 tCO_2e

Total investment in GHG reduction programmes and initiatives in 2025 amounted to:
USD 7.5 million

We continue to prioritise methane management in our gas operations, recognising methane's significantly higher global warming potential compared to carbon dioxide. As part of our Climate Change Strategy and interim targets, we are strengthening methane management by reducing emissions from flaring, fugitive sources, and venting. Our efforts align with applicable Government of Indonesia regulations and global initiatives aimed at achieving zero routine flaring by 2030. In 2025, we advanced actions to reduce routine and non-routine flaring at selected assets and continued studies and implementation plans to eliminate routine flaring across our Onshore, Offshore, and Corridor operations.

To further enhance transparency and performance, we continued strengthening our methane management approach in 2025. One of our subsidiaries, PT Medco E&P Indonesia, joined the Oil & Gas Methane Partnership (OGMP) 2.0, the United Nations Environment Programme's (UNEP) flagship initiative for improving methane measurement and reporting in the Oil & Gas sector. Building on previous pilot activities, we are progressing initiatives related to direct methane measurement, the optimisation of flaring practices, and improvements to monitoring and control systems.

Overall, our emissions reduction efforts reflect ongoing improvements in operational performance across our assets. These efforts are supported by technological upgrades, process optimisations, and the gradual transition to cleaner energy sources, contributing to greater operational efficiency. We remain committed to further reducing emissions through strategic initiatives that support our long-term target of achieving net-zero emissions for Scope 1 and Scope 2 emissions by 2050.

Onshore

Our onshore assets continued to strengthen decarbonisation efforts in 2025 through a series of initiatives focused on energy efficiency and reducing emissions. These efforts included optimising operations, improving equipment performance, managing flares and methane, and deploying small-scale renewable energy solutions to support operational needs. Together, these actions contributed to reducing fuel consumption, fugitive and flaring emissions, and overall GHG emissions. The initiatives implemented during the year, along with their estimated annual emission reductions, are summarised in the graphic below.

Rimau	Estimated annual emission reduction of 34.4 tCO_2e	Emissions reductions were achieved through waterflood optimisation, solar lighting installation, decommissioning of Kerang Station, and fugitive emissions monitoring and repairs.
South Sumatra Block	Estimated annual emission reduction of 993 tCO_2e	Switched power supply from on-site generation to the PLN grid, supported by Renewable Energy Certificates (RECs).
Bangkanai	Estimated annual emission reduction of 168.25 tCO_2e	Switched power supply from on-site generation to the PLN grid, supported by Renewable Energy Certificates (RECs).
Block A	Estimated annual emission reduction of 33 tCO_2e	Installed a small solar PV system at Water Injection Well to power lighting and basic operational needs.
	Estimated annual emission reduction of 2,779 tCO_2e	Cleaned boilers to improve efficiency and reduce fuel consumption.
	Estimated annual emission reduction of 4,367 tCO_2e	Mechanical and chemical cleaning improved Sulphur Recovery Unit performance and reduced steam and fuel use.
	Estimated annual emission reduction of 2,498 tCO_2e	Maintenance optimisation stabilised the Acid Gas Removal Unit (AGRU) and reduced flaring and fuel consumption.
Lematang	Estimated annual emission reduction of 59.56 tCO_2e	Optimised boiler temperature settings to improve efficiency and reduce fuel consumption in the dehydration unit.
	Estimated annual emission reduction of 3,970 tCO_2e	Optimised the thermal oxidiser to lower fuel consumption.

Thermal Oxidiser Fuel Optimisation at Lematang

Between December 2024 and September 2025, fuel optimisation was carried out at the Lematang Thermal Oxidiser to address high fuel gas consumption. Fine-tuning of fuel gas control valves, quenching air supply, and operating parameters reduced fuel consumption from 0.8 MMSCFD to 0.6 MMSCFD, leading to an estimated GHG emissions reduction of 3,970 tCO_2e per year.

Boiler Efficiency Improvement at Block A

In 2025, a boiler cleaning programme was implemented at Block A to address declining boiler efficiency and rising fuel intensity. This programme improved Boiler B efficiency from 75.6% to 81.3%, resulting in the increment in steam generation per unit of fuel input by 2,300 lb/hr per BBTUD. This efficiency gain is equivalent to a reduction in fuel consumption of 0.14 MMSCFD and a corresponding GHG emissions reduction of 2,779 tCO_2e per year. The improvements also enabled additional gas sales, which contributed to additional revenue.

Solar PV Installation for Remote Well Operations at Block A

A 6 kWp solar photovoltaic (PV) system was installed at the JR #38 water injection well in Block A to supply electricity for lighting and security post operations, including communication device charging and basic facility needs. Located far from the Central Processing Plant (CPP) and without grid connection, the well previously relied on alternative power sources. The solar PV installation supports renewable energy in remote operations while reducing reliance on diesel generators or grid electricity. The system delivers energy efficiency of 6 kWp and reduces GHG emissions by an estimated 33 tCO_2e per year.

Corridor

In 2025, decarbonisation efforts across the Corridor asset focused on optimising operations, energy efficiency, and reducing flaring and fuel gas use. These initiatives targeted key emission sources while maintaining operational reliability and production performance, contributing to lower GHG and methane emissions across Corridor operations.

Estimated reduction of **79,332 tCO_2e** from various process optimisation initiatives in 2025

Estimated avoidance of **8,618 tCO_2e** from flare avoidance from well clean-up and testing in various wells as a one time reduction in 2025

Well Clean-up and Testing	Estimated annual emission avoidance of 8,618 tCO_2e (GHG), 648 tCO_2e (methane)	Well clean-up and testing activities were optimised by directing flows to production facilities where feasible, reducing flaring and minimising production losses.
Multiple Plants	Estimated annual emission reduction of 934 tCO_2e	On-grid solar PV systems were installed at Suban, Grissik, Sumpal, and Dayung facilities to support renewable electricity use.
Suban	Estimated annual emission reduction of 13,424 tCO_2e	The operating mode adjustment of Suban Compression Project (SBCP) gas compressors to reduce the number of running units.
	Estimated annual emission reduction of 1,179 tCO_2e (GHG), 1,169 tCO_2e (methane)	Conversion of the tank blanketing system from natural gas to nitrogen.
	Estimated annual emission reduction of 4,169 tCO_2e	Optimisation of the glycol regeneration system by supplying two process trains from a single regeneration unit.
	Estimated annual emission reduction of 11,911 tCO_2e	Optimisation of Suban Gas Turbine Generators (GTG) operating to improve load efficiency.
Suban Baru	Estimated annual emission reduction of 8,774 tCO_2e (GHG), 755 tCO_2e (methane)	Eliminated flaring at Suban Baru by connecting its gas production to the Suban flowline.
Grissik	Estimated annual emission reduction of 19,852 tCO_2e	Optimisation of Waste Heat Boiler (WHB) operations by transitioning to a single-unit configuration earlier than planned.
Dayung	Estimated annual emission reduction of 7,963 tCO_2e	Optimisation of GTG operations improved efficiency and reduced fuel gas consumption while maintaining reliable power supply.
Rawa	Estimated annual emission reduction of 3,970 tCO_2e	Switching power supply from on-site generation to the PLN grid improved energy efficiency.
	Estimated annual emission reduction of 7,156 tCO_2e (GHG), 373 tCO_2e (methane)	Reduce excess flare gas from condensate flash gas in medium pressure separator by running compressor PK-101.

Grissik Waste Heat Boiler (WHB) Operating Mode Optimisation

At the Grissik Plant, WHB recovers heat from process streams to generate steam and support plant operations. Historically, the WHB system operated in a two-out-of-three (2oo3) configuration, with a transition to one-out-of-three (1oo3) operation originally planned for a later stage. In 2025, following successful performance testing, the optimisation was achieved by transitioning to a single WHB operating configuration while maintaining stable steam pressure and safe operating conditions. This change reduced fuel gas consumption by approximately 1 MMSCFD, reducing GHG emissions by an estimated 19,852 tCO_2e per year and improving overall energy efficiency at the Grissik Plant.

Nitrogen Blanketing Conversion at Suban Plant

The tank blanketing system at Suban Plant was converted from natural gas to nitrogen to reduce fuel gas consumption and associated greenhouse gas emissions. Nitrogen serves as an inert blanketing medium while maintaining safe operating conditions for storage tanks. This conversion eliminated the continuous use of natural gas for blanketing purposes, reducing fuel gas consumption by approximately 0.5 MMSCFD. This initiative reduced GHG emissions by an estimated 1,179 tCO_2e per year and methane emissions by 1,169 tCO_2e per year.

Solar PV Deployment Across Corridor Facilities

To support renewable energy and reduce greenhouse gas emissions, on-grid solar PV systems were deployed with a total installed capacity of approximately 886 kWp across Corridor facilities, including Suban, Grissik, Sumpal, and Dayung. These systems supply clean electricity to building operations and are fully integrated with monitoring systems. Since being installed, the solar PV systems generate an estimated 1,124 MWh of renewable electricity annually, reducing fuel gas consumption by approximately 0.046 MMSCFD. This initiative reduced GHG emissions by an estimated 934 tCO_2e per year.


Solar PV Installation in Grissik, Corridor, South Sumatra, Indonesia

Offshore

Decarbonisation efforts across offshore operations focused on optimising power supply, reducing fuel gas consumption, and improving compression efficiency through targeted operational adjustments.

Belida	Estimated annual emission reduction of **158.51 tCO_2e**	Electricity supply to a wellhead platform was restored from the Lift Gas Platform (LGP), reducing reliance on diesel generators.
North Belut	Estimated annual emission reduction of **10,521 tCO_2e**	Export gas pressure was optimised following operational trials, reducing fuel gas consumption.
Bangkanai	Estimated annual emission reduction of **8,635 tCO_2e**	Direct route of well flow to the high pressure compressor enabled partial shutdown of medium and low pressure compressors.
Terubuk	Estimated annual emission reduction of **14,186 tCO_2e**	Well operating mode was optimised by prioritising oil mode in early production, reducing reliance on gas export compression.
Kerisi	Estimated annual emission reduction of **3,971 tCO_2e**	Compression system pressures were adjusted to improve efficiency, reducing fuel gas consumption across compression stages.

Operating Mode Optimisation for Terubuk Well

An operating mode was optimised at the Terubuk well to manage increased production while reducing fuel gas consumption. During the early production phase, oil mode operation s were prioritised, allowing liquids from Terubuk and Belida to be processed and stored without routing gas through the gas export compressor. This enabled the gas export compression system to be temporarily bypassed, reducing both fuel gas consumption by approximately 1.225 MMSCFD and GHG emissions by an estimated 14,186 tCO_2e per year even as production performance and operational reliability were maintained.

Power Supply Optimisation at Well Head Platform B (WHPB)

Since the subsea power cable was damaged in 2009, the WHPB platform had to rely on diesel generators for its electricity, consuming around 200 gallons of diesel per day. In 2025, a new power supply was configured to restore electricity supplies from the nearby Lift Gas Platform/LGP platform, which significantly reduced the need for diesel-based generation. This initiative is expected to reduce both diesel consumption by approximately 276 kL per year and GHG emissions of around 158 tCO_2e per year.

International

Solar PVs Installation at the Sattahip Warehouse

Solar panels were installed at the Sattahip Warehouse in Thailand to reduce reliance on grid electricity and lower indirect emissions (Scope 2). The system generates approximately 43,000 kWh of renewable electricity annually for internal use, directly offsetting purchased power from the national grid. This initiative reduces GHG emissions by around 20.5 tCO_2e per year while lowering electricity costs and strengthening energy resilience, supporting our commitment to sustainable and low-carbon operations.

High-Efficiency Electrical Submersible Pump (ESP) Deployment in Oman

The Oman KSF team piloted the use of a high-efficiency Permanent Magnet Motor (PMM) Electrical Submersible Pump (ESP) on a new well to manage rising power demand while decoupling production growth from energy intensity. This pilot project reduced annual electricity consumption by 24.8 MWh, eliminated 11.88 tCO_2e of GHG emissions, and delivered USD 1,884 in annual OPEX savings. This validated PMM technology and supported expanding its deployment across future ESP-equipped wells.

Transition to Low Carbon Energy

Our transition to low-carbon energy, as part of our Climate Change Strategy, continues to guide the integration of lower-emissions solutions across our operations and value chain, supporting the global energy transition while maintaining energy reliability. Natural gas remains an important transitional fuel in our portfolio; it enables us to reduce emissions and meet growing energy demands even as renewable energy continues to play an increasingly important role in diversifying our energy mix.

In 2025, power sales reached 4,371 GWh, reflecting continued progress across our power portfolio. The share of renewable energy in our energy mix reached 26%, which enabled us to achieve our 2025 renewable energy mix target and position the Company toward the next milestone of 30% renewable energy by 2030.

Enabling The Energy Transition through Natural Gas

We continue to strengthen electricity supplies by using natural gas as a key transitional fuel. The following highlights our progress to expand gas-fired power plant operations in 2025:

70 MW (Existing) + 39 MW (ELB Add-on Combined Cycle)

Gas-fired Powerplant
Tanjung Ucang, Batam

- Owned and operated by PT Energi Listrik Batam (ELB)
- The existing Simple Cycle Power Plant (SCP) has been in operation since 2017
- Installation of the 39 MW add-on Combined Cycle unit has been completed, with commercial operations date in November 2025.

85 MW (Existing - DEB) + Potential Expansion

Gas-fired Powerplant
Panaran, Batam

- Owned and operated by Dalle Energy Batam (DEB)
- Current capacity of 85 MW with plan to expand its capacity as required by Batam grid system

During the year, MedcoEnergi further strengthened its presence in the Indonesian gas market by executing new gas sales agreements and amendments to existing contracts. Key developments in 2025 included:

GSA	Description
Block A – Pertagas Niaga	Adjustments to the gas prices in line with the decision by the Ministry of Energy and Mineral Resources.
South Sumatra Block – PGN	Amendments to the gas sales agreement, including updates to delivery points, contracted volume, gas pricing, and contract tenure.
East Java – Sarana Cepu Energi	Extension of the Gas Sales and Purchase Agreement and revisions to the gas prices.

Advancing Our Renewable Energy Growth

In parallel with gas development, we continue to expand our renewable energy portfolio as part of our low-carbon transition with a focus on solar PV and geothermal power through our Power business. The table below presents our renewable energy revenues and their contribution to total Medco Power revenues in 2025.

Description	2023	2024	2025
Total MPI revenue[1] from renewables in USD	286,761,356.36	210,578,328	186,863,321[2]

Description	2023	2024	2025
Renewables	60%	46%	23%
Non Renewables	40%	54%	77%

Solar Photovoltaic (PV)

We have continued to grow our solar PV portfolio, with the following highlights for our projects as of 2025.

Project	Progress in 2025
East Bali Solar PV (Solar PV 25 MWp)	• Commenced commercial operations in July 2025. • Supplies electricity to the local grid under a 20-year Power Purchase Agreement (PPA) with PLN.

1 Including revenues from progress construction and excluding intercompany eliminations.

2 The lower total MPI revenue in 2025 is primarily attributable to construction-phase revenue recognition, rather than electricity generation, following the completion of the Ijen Geothermal and East Bali Solar PV projects in February and July 2025.

Geothermal Projects

MedcoEnergi, through Medco Power, is further developing geothermal capacity in Indonesia as part of our commitment to provide clean and reliable energy.

110 MW

Ijen Geothermal (Phase 1)
East Java

- Owned & operated by Medco Cahaya Geothermal
- O&M services by Medco Power Geothermal Services
- Potentially reduces 235,000 tCO_2e/year
- Began commercial operations in phases, with the first 35 MW unit commencing in February 2025
- Supplies clean energy to the grid under a 30-year Power Purchase Agreement (PPA)
- New O&M contract for Phase-1 until 2030

60 MW

Bonjol Geothermal
West Sumatra

- Completed exploration activities under the Preliminary Survey and Exploration (PSPE) Bonjol geothermal project in 2025

40 MW

Samosir Geothermal
North Sumatra

- Continued resource studies, including geoscience surveys, with completion targeted in the first quarter of 2026

Wind Energy Project

Medco Power has installed two 140-metre measurement towers in West Sumbawa as part of the initial feasibility study for its first wind power project in December 2025. The towers will collect wind and meteorological data over the next 12 months to assess the area's renewable energy potential and support further technical, environmental, and commercial evaluations. This initiative reflects Medco Power Indonesia's commitment to expand its clean energy portfolio and support Indonesia's energy transition.

EV Ecosystem

Medco Power further contributed to energy transition by expanding the number of Electric Vehicle Charging Units (EVCUs) at The Energy Building in November 2025. This enhancement confirms Medco Power's continued commitment to support government initiatives to accelerate the adoption of electric mobility and reduce carbon emissions nationwide.

Pursuing Decarbonisation through CCS/CCUS

As part of our Climate Change Strategy, we have completed a review of potential CCS applications in Medco's gas field developments. Meanwhile, we are continuing to explore developing a CCS regional hub project to serve industrial emitters, including transborder sources.


Ijen Geothermal, East Java, Indonesia

Enhancing Transparency and Assurance in Sustainability Reporting

At MedcoEnergi, we remain committed to transparency in our ESG performance reporting, with a strong focus on climate change initiatives. We uphold strong standards of integrity and transparency by engaging KAP PSS-EY as an independent party to conduct a limited assurance for selected GRI indicators in our Sustainability Report. In 2025, the limited assurance covered 101 GRI indicators, the same number as 2024, and a significant increase from the 31 indicators assured in 2017. This reflects our continuous efforts to comprehensively report and address stakeholder feedback.

As part of the limited assurance process, sites are visited annually to gather assurance evidence and documentation on selected GRI indicators. Each year, our limited assurance provider visits one Oil & Gas site and one Power site. In 2025, Corridor, MEB and DEB were selected. Since 2018, sites visited have included Rimau, South Sumatra Block, Corridor, South Natuna Sea Block B, Block A, MEB, DEB, ELB, and MRPR, which were selected due to their relatively high GHG emissions.

These site assessments focus on emissions, energy, occupational health and safety (OHS), local community, and indirect economic impacts. The conclusion of this limited assurance process can be found on page 3 of this Sustainability Report. For more information on OHS, refer to Chapter 8; insights into local community engagements and indirect economic impacts are available in Chapter 9.

Alignment of Sustainability Initiatives with the UN SDGs

The table below aligns MedcoEnergi's initiatives to drive a sustainable future through climate action with the relevant United Nations Sustainable Development Goals (UN SDGs). These initiatives only highlight MedcoEnergi's effort and do not imply MedcoEnergi has set or measured targets for host governments in our operational areas regarding the achievement of the UN SDGs.

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	7.2, 7.3, 7.A, 7.B	• Renewable energy development: solar PVs and geothermal • Climate capability building training sessions focusing on developing renewable energy and engaging communities.
	12.2, 12.6	Key initiatives in the Climate Change Strategy.
	13.1, 13.2, 13.3	• Key initiatives within the Climate Change Strategy. • Renewable energy development: solar PVs and geothermal. • Climate capability building training sessions. • Participation in climate-related events and conferences. • Climate change risk assessments to identify and manage climate risks, supporting long-term operational resilience.
	17.17	• Collaborative project between Medco Power with the Deutsche Gesellschaft fr Internationale Zusammenarbeit (GIZ) GmbH under the develop funding programme of the German Federal Ministry for Economic Cooperation and Development (BMZ) to strengthen skills within Indonesia's renewable energy sector by developing and expanding training programmes on renewable energy technologies. • External collaborations to promote climate action and energy transition (engagement in global and regional climate and energy forums).

Action Plans

The following action plans will enable us to meet our objectives and continue driving a sustainable future through climate action. We regularly measure, monitor and report on our progress and performance and match them against these actions. The progress report of these action plans refers to the 2023 - 2027 Sustainability Road Map. Since we have passed the short term period and actions were concluded in 2025, our current focus is on the status of the medium/long term actions.

Category	Short-term Actions	Medium/Long-term Actions	Status
Climate Risks and Resilience	Assessed and identified low, medium, and high-priority physical hazards for MedcoEnergi's business operations and assets through quantitative physical risk assessments.	Update the physical risk assessments and quantify the financial impacts of climate related physical risks.	Completed the quantitative site-specific assessments for South Natuna Sea Block B and Sumbawa Solar PV, done by the internal team. High priority hazards identified include extreme heat, flooding and water stress.
	Assessed asset-level risks for all assets across MedcoEnergi's portfolio to evaluate the physical impacts of the identified hazards.	Continuously improve MedcoEnergi's physical risk assessments across our assets and business operations.	Conducted qualitative assessments for 25 additional assets and completed quantitative assessments for South Natuna Sea Block B and Sumbawa Solar PV. In total, qualitative assessments have been conducted for 80 assets.
	Quantitatively analysed financial impacts of the hazards on MedcoEnergi's assets and overall business operations.	Continuously update scenario data when quantifying the financial impacts of climate related physical risks of our assets.	Completed the quantitative site-specific assessments for South Natuna Sea Block B and Sumbawa Solar PV using two timeframes (Mid-Term and Long-Term) and two IPCC scenarios (Low Carbon and High Carbon).

1 The targets can be found in UN SGDs website (https://sdgs.un.org/goals)

Category	Short-term Actions	Medium/Long-term Actions	Status
Climate Risks and Resilience	Developed climate hazard mitigation and adaptation plans linked to the risk management plans and performance of adaptation and resiliency measures.	N/A	Developed and ensured that the prioritised mitigations and adaptations are implemented at the asset level based on the findings from the climate risk assessments.
Climate Mitigation	Planned and executed compliance efforts for the Government of Indonesia's regulations on Zero Routine Flaring by 2030.	Scale-up MedcoEnergi's efforts towards Zero Routine Flaring by 2030.	Completed the execution to eliminate routine flaring in Suban Baru (Corridor).
	Explored and implemented flare gas use/optimisation opportunities to manage methane in existing fields and future development.	Develop plans to use or conserve all the field's associated gas without routine flaring in the new fields.	Optimised flare purged gas throughout the Corridor field.
	Evaluated The Oil & Gas Methane Partnership 2.0 (OGMP 2.0) commitment and associated requirements.	Establish the OGMP 2.0 commitment.	• Conducted direct measurement trials in Corridor. • Oil & Gas assets joined OGMP 2.0 in Sep 2025, strengthening our commitment to transparent, globally aligned methane reporting.
	Strengthened sustained and consistent organic processes to promote, evaluate, approve, and execute GHG-reduction opportunities.	Continuously evaluate best available technologies to abate GHG emissions in the market and identify potential mitigation measures at the operation level.	Opportunities are evaluated and executed as part of the asset plans and integrated into operational processes, with the Climate Change Governance Task Force overseeing them. Implementation results are reviewed internally by the respective assets and reported to Corporate HSE monthly.
	Sought and acted on opportunities to reduce GHG emissions and energy intensity.	Continuously improve energy efficiencies at the operational level by adopting best technologies and practices.	Implemented 44 initiatives in 2025 that will potentially reduce up to 95,481 tCO_2e/year, with a one-time reduction of 47,362 tCO_2e. The total investment was USD 7.5 million.
	Established industry and regulatory collaborations and tracked best technologies to promote high performance in operations.	Conduct studies and collaborate with partners to promote digitalisation and renewable energy technology.	• Continuously monitor regulation updates related to climate change and energy transition. • Assessed and selected new technologies to reduce emissions.
	Promoted partnerships and knowledge sharing with our value-chain stakeholders to accelerate MedcoEnergi's Net Zero commitments and low-carbon energy transition.	Establish partnerships with experienced organisations (e.g. Universities, Research Institutes) to promote technological innovations. Create partnership programmes to promote data transparency and adapt the best practices into the value chain.	• In September 2024, Medco Power, which partnered up with the Indonesian Solar Panel Industry and Renewable Alliance (INSPIRA), closely collaborated with the Government of Indonesia (GoI) during the Indonesia International Sustainability Forum (ISF). Terms were signed between Medco Power, another power company, and PV suppliers related to the supply of photovoltaic equipment. The term sheets covered local content requirements and plans to manufacture solar PV in Indonesia. • Progressed with project preparations, including refining the project's designs and reviewing the legal agreements to collaborate with Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH for upskilling during the energy transition.

Category	Short-term Actions	Medium/Long-term Actions	Status
Climate Mitigation	Defined Scope 3 for MedcoEnergi.	Disclose Scope 3 GHG emissions and mitigation commitments.	Continued to disclose and assure GHG Scope 3 for relevant and significant categories.
	Evaluated Scope 3 related to key suppliers and considered integrating GHG performance into contract screening criteria.	Explore opportunities to develop a digital platform and calculation tools to manage climate data to be shared with MedcoEnergi's partners.	Engaged suppliers to ascertain their levels of awareness and knowledge on the complex topics of sustainability and climate change.
Climate Adaptation	Established a process to conduct climate vulnerability studies for material climate-related risks.	Continuously improve methods to assess MedcoEnergi's physical risks and biodiversity.	Completed developing the Climate Change Risk Assessment Guidelines.
	Developed and established assessment approaches to evaluate risks and impacts to surrounding biodiversity.	Consider using scenario analyses when assessing physical risks and biodiversity.	Assessed biodiversity impacts during the preliminary study for the environmental permits for assets in development. Findings are reported periodically to the government through the Environmental Management & Monitoring (RKL & RPL) Report as part of compliance.
	Screened future investments to evaluate their financial and operational viabilities. Updated the Medco Project Excellence Process/MPEP Sustainability Assessment Guidelines. Completed developing the Carbon Internal Pricing Guidelines to support future investment screenings and decision-making.	N/A	Completed in 2024
	Established approaches to assess climate risks based on the results of climate vulnerability studies and ensured coverage of key material risks.	Continue to integrate climate risk assessment into future engineering designs and account material risk for future projects.	Established the CCRA guidelines and platform as an internal assessment tool in 2024, followed by capability-building initiatives for users in 2025. Updated the MPEP Sustainability Assessment Guidelines and familiarised the MPEP gate reviewers with them.
	Integrated climate risk assessments into the design process of future engineering projects.	Continuously improve MedcoEnergi's approaches to climate designs and climate-proof future assets.	Incorporated the results of the Climate Physical Risk assessments in South Natuna Sea Block B and Sumbawa Solar PV as a basis for future engineering designs.
	Conducted climate vulnerability studies for material risks for future engineering projects.	Consider integrating scenario analyses and planning in MedcoEnergi's climate risk assessments to further climate-proof assets.	Integrated SSP scenario analyses and planning into MedcoEnergi's climate risk assessments to further climate-proof assets.

Enhancing Our Environmental and Social Safeguards

Small Footsteps, Long-Term Impact
This picture is the 1st winner under the 'Environment & Climate Change' category of the MedcoEnergi 2025 Photography Competition.



86 Sustainability Assessment
88 Health, Safety, and Environment Management System (HSEMS)
89 The Performance Rating Programme in Environmental Management (PROPER)
89 Environmental Management and Monitoring Programmes
94 Biodiversity Conservation
98 Social Management System (SMS)
99 Alignment of Sustainability Initiatives with the UN SDGs
100 Action Plans

Our Operational Excellence framework, together with our Health, Safety, Environment Management System (HSEMS), Social Management Systems (SMS), and project excellence process, supports our goal of zero environmental and social incidents. These integrated systems safeguard employees, stakeholders, and communities whilst continuously advancing safety and environmental performance.

Approaches, Commitments, and Goals

We are committed to work safely, responsibly, and respectfully in the communities and environments where we operate. Our operational excellence framework guides us in delivering reliable and efficient operations whilst minimizing environmental and social impacts and protecting local ecosystems. More details are available in Chapter 8.

Before starting any project, we carefully assess potential environmental, social, health, and biodiversity impacts. These assessments include research, field verifications, focus group discussions, and consultations with stakeholders. They comply with host governments' regulations and permit requirements, and result in management and monitoring plans designed to reduce risks and enhance positive outcomes for communities and ecosystems.

In conducting Oil & Gas and Power operations, we are committed to complying with applicable regulations and implementing international best practices related to environmental and social management. Expenditure associated with these efforts includes environmental impact studies and/or assessments, water pollution prevention programmes, waste management, and other pollution prevention initiatives. Details of the total costs incurred for GHG emissions reduction, replanting activities, and community development programmes are presented in Chapters 6, 7, and 9 of this Report.

We follow all applicable environmental and social laws and regulations. In 2025, none of our operational sites recorded any non-compliance incidents that could have led to significant monetary penalties, non-monetary sanctions, or dispute resolutions.

Sustainability Assessment

Our Sustainability Assessment reviews environmental and social indicators across all project stages, going beyond compliance to address stakeholder expectations and areas for improvement. It helps prevent, mitigate, and manage risks in line with the International Finance Corporation's performance standards.

We strengthened our Sustainability Assessment Guidelines©[1] in 2024 by integrating physical climate risks into project designs, requiring methane management for new projects, and aligning our GHG reduction efforts with government commitments to end routine flaring. In 2025, we refined these guidelines further with clearer parameters, improved evaluation criteria, and closer alignment with evolving sustainability and climate priorities. More details are available in Chapter 4.

Since 2021, we have applied Sustainability Assessment to oil and gas projects within our project excellence framework and conducted regular surveillance audits at 10%, 50%, and 90% execution progress to monitor sustainability indicators whilst they were being implemented.



Powering progress, preserving nature: Ijen Geothermal, East Java, Indonesia

This picture is one of the entries in the 'Environment & Climate Change' category of the MedcoEnergi 2025 Photography Competition

1 Sustainability Assessment Guidelines© for projects received legal protection from Indonesia's Ministry of Law and Human Rights on March 4, 2024, ever since they were first implemented in January 2021. This protection enables MedcoEnergi to share the guidelines externally with appropriate attribution.

Medco Project Excellence Process and Sustainability Assessment

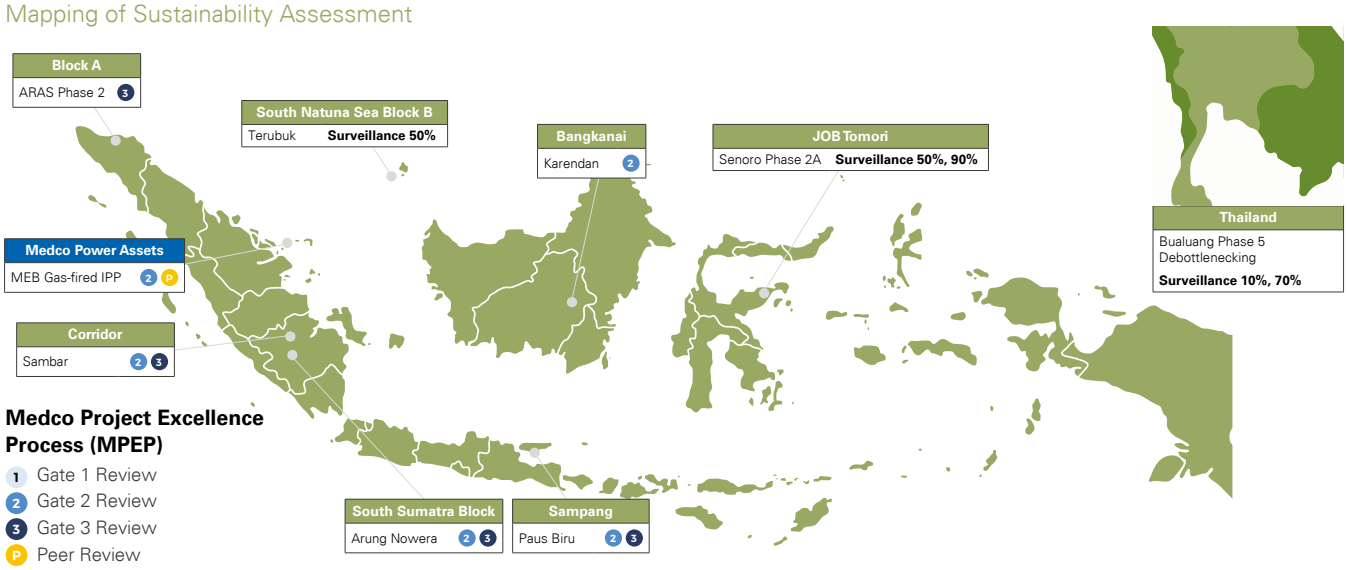
Sustainability Assessment

Appraise	Gate Review G1	Select	Gate Review G2	Define	Gate Review G3	Execute	Surveillance Audit
• All sustainability indicators are assessed together during the risk register development, including HSE risk identifications. • Initial identification for Stakeholders Engagement Plan (SEP), security issues, land acquisitions, and climate change.		• SEP updated • Document arrangements for Security Management Plans (SMP), labour & working conditions, grievance mechanism and community involvement. • Initial engagement • Energy/water efficiency & Climate Change Mitigation Plan calculated & forecasted. • Pollution prevention & mitigation plans included in the submitted Environmental, Social, and Health Impact Assessments (ESHIA/AMDAL) • Environmental management permit list. • Land Acquisition and Resettlement Action Plan (LARAP) development.		• SEP updated • Document arrangements for Security Management Plan (SMP), labour & working conditions, grievance mechanism and community involvement. • Emergency Response Plan (ERP) and Livelihood restoration plan (LRP) development. • Energy/water efficiency, Climate Change Action Benchmark and Plan, and biodiversity programme developed based on ESHIA/AMDAL or calculation. • Pollution prevention permits submitted. • LARAP approved and executed.		• SEP updated • Monitoring and reporting of SMP, labour and working conditions, grievance mechanism and community involvement. • ERP and LRP approved, including monitoring and reporting. • Pollution prevention approved. • Permit monitoring and reporting. • LARAP monitoring and reporting.	
• Project charter and mandate. • Preliminary Plan of Development (POD). • Risk register		• POD submitted. • ESHIA/AMDAL submitted. • Risk register updated. • Project Execution Plan defined.		• POD approved. • ESHIA/AMDAL approved. • Risk register updated. • Project Execution Plan executed. • Commissioning and Start Up Plan.		• Contracts awarded and executions begun. • Permits approved. • Risk register updated.	

Medco's Project Excellence Processes (MPEP)

Below is the progress of major projects that underwent the Sustainability Assessment gate reviews and project surveillances in 2025.

Mapping of Sustainability Assessment



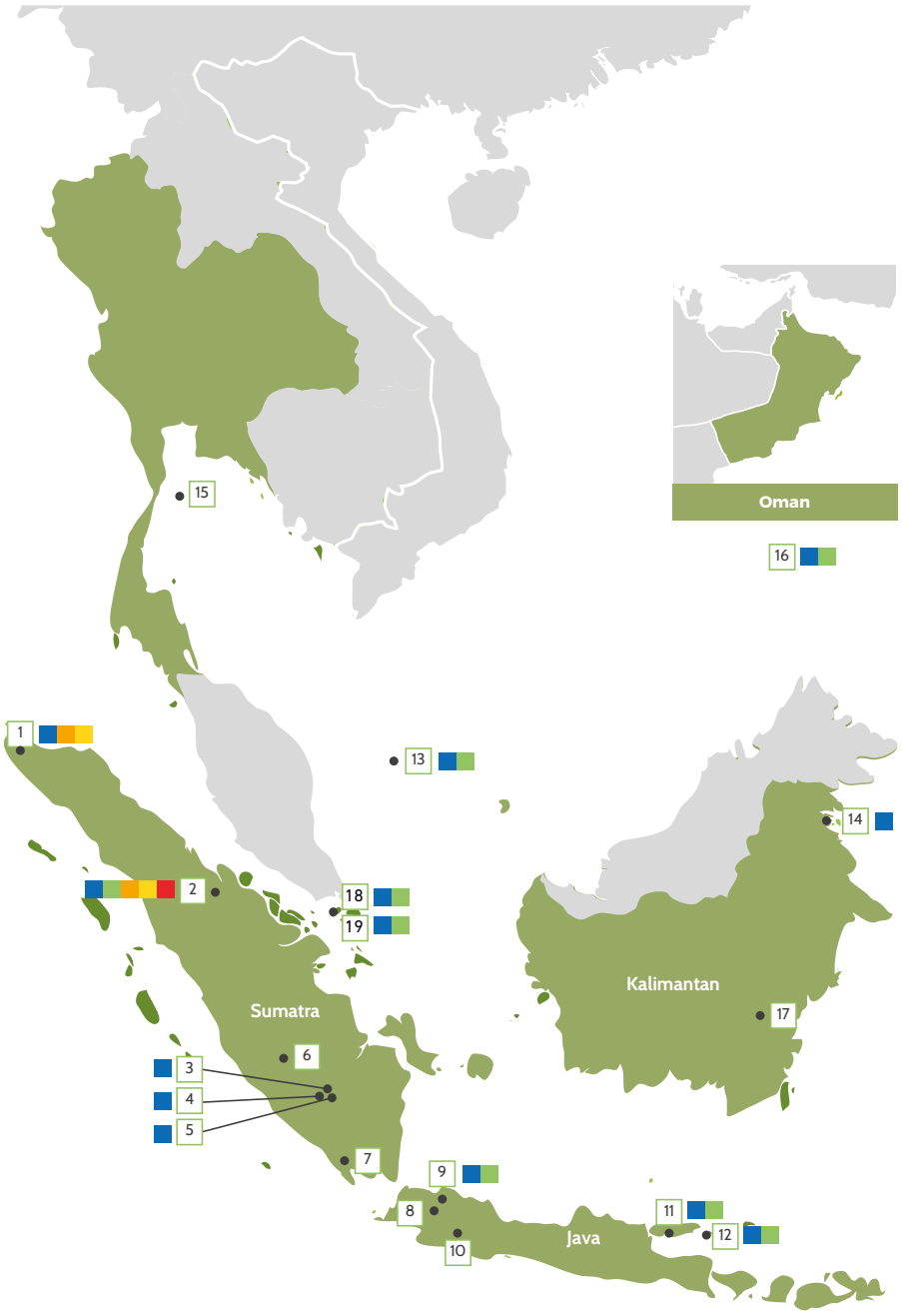
In September 2025, we delivered refresher Sustainability Assessment Training for Reviewers across relevant functions. The training covered land matters, government relations, community development, social sustainability, environmental management and compliance, communication, security, and human resources. Its objective was to strengthen reviewer capability to identify and manage environmental and social indicators and impacts within the project excellence process. The training also reinforced key frameworks, methodologies, and indicators used in Sustainability Assessment and was a tool to evaluate project readiness to mitigate environmental and social risks.

Health, Safety, and Environment Management System (HSEMS)

We maintain an ongoing review of our health, safety, and environment management practices to ensure robust governance of operational impacts. Our Health, Safety, and Environment Management System (HSEMS) provides an integrated and fit-for-purpose approach to identifying, assessing, controlling, and monitoring environmental risks and performance across our operations. Through this system, we work to minimize impacts, strengthen stakeholder trust, maintain compliance with applicable environmental regulations, and uphold best international practices.

Our HSEMS Manual, developed for both Oil & Gas and Power operations, references ISO 14001:2015, ISO 45001:2018, and other relevant regulatory requirements, providing a structured and comprehensive framework across all operations. Each asset develops its own procedures to align with the Manual, thus ensuring consistent application of standards across all operations. Compliance and continuous improvement are reinforced through regular environmental internal and external audits. By 2025, 37% of our assets had achieved certification under ISO 14001:2015, whilst 68% were certified under ISO 45001:2018 for the Occupational Health and Safety Management System.

MedcoEnergi's Certified Assets



1	Block A
2	MRPR Gas-fired IPP
3	Rimau
4	South Sumatra Block (SSB)
5	Lematang
6	Corridor
7	MPE and EPE Gas-fired IPP
8	BJI Mini-hydro
9	Medco Power Indonesia Headquarters
10	PPP Mini-hydro
11	Sampang
12	Madura Offshore
13	South Natuna Sea Block B
14	Tarakan
15	Bualuang
16	Karim Small Fields
17	Bangkanai
18	MEB/DEB Gas-fired IPP
19	ELB Gas-fired IPP

- ISO 14001:2015 Environmental Management System (EMS) Certified
- ISO 45001:2018 Occupational Health and Safety (OHS) Certified
- International Finance Corporation (IFC) Performance Standards
- Equator Principle (EP)
- Asian Development Bank (ADB) Safeguards

The Performance Rating Programme in Environmental Management (PROPER)

The Indonesian Ministry of Environment conducts the annual Performance Rating Programme in Environmental Management (PROPER) to evaluate corporate compliance with Indonesia's environmental regulations. These assessments cover emissions, wastewater, waste, and hazardous materials management. Beyond regulatory compliance, the programme reviews environmental management systems, resource efficiency, biodiversity initiatives, and Corporate Social Responsibility (CSR) programmes that support sustainable business practices.

In 2025, Indonesian assets[1] participating in the programme obtained Blue ratings, signifying full compliance with applicable environmental standards, with MRPR joining PROPER for the first time.

Our non-operated assets were also recognised for their performance. JOB Tomori and TJBPS achieved Green PROPER, reflecting performance that went beyond regulatory requirements. These results have reinforced our ongoing commitment to responsible operations and continuous improvement across our portfolio.

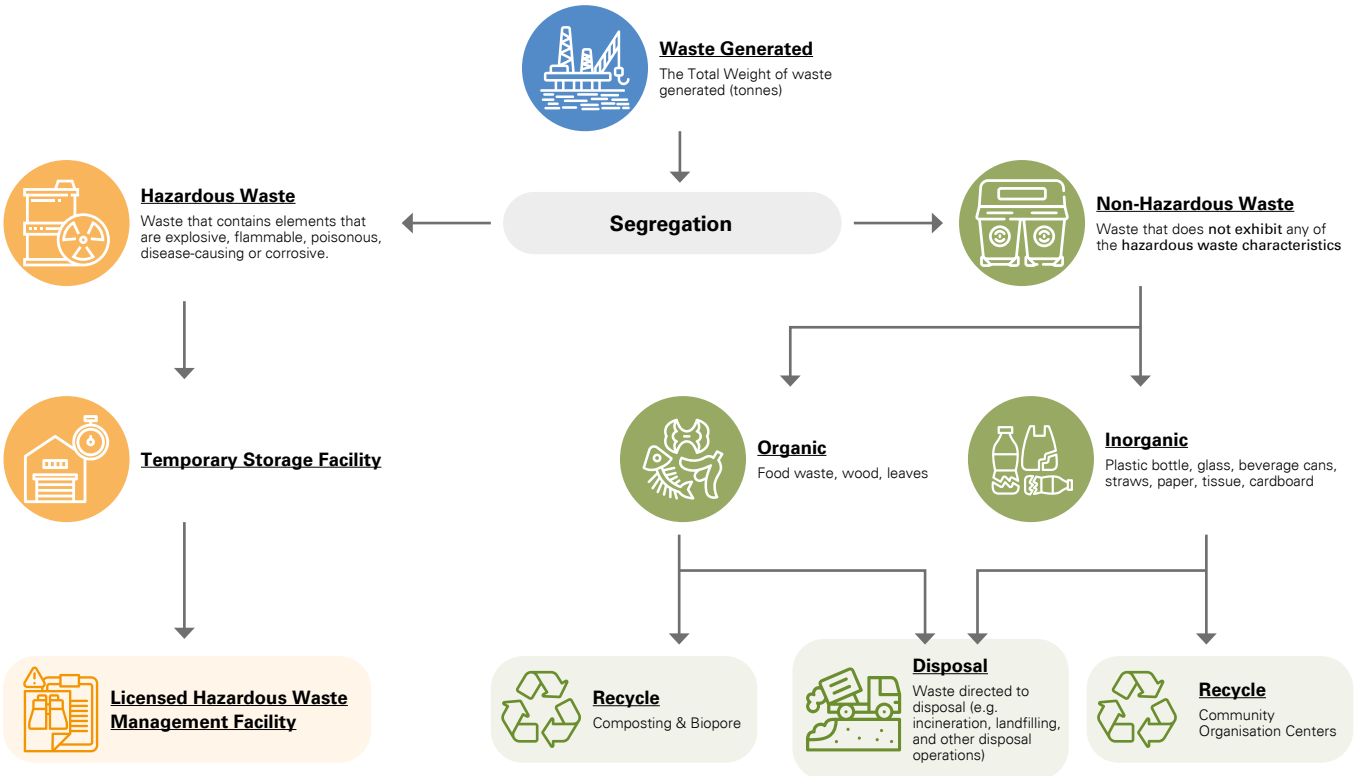
Environmental Management and Monitoring Programmes

Our environmental management system guides environmental management and monitoring programmes across our operating assets, supporting improved sustainability performance, regulatory compliance, and stronger impact management. Some of these initiatives that brought wider benefits to local communities are elaborated in Chapter 9.

Waste Management

Our integrated waste management approach applies the Best Available Technologies (BAT) for waste segregation, disposal, and treatment.

Waste Management at MedcoEnergi



1 Block A, Rimau, South Sumatra Block (SSB), Lematang, Tarakan, Madura, Corridor, MRPR, DEB, MEB, and MPE.

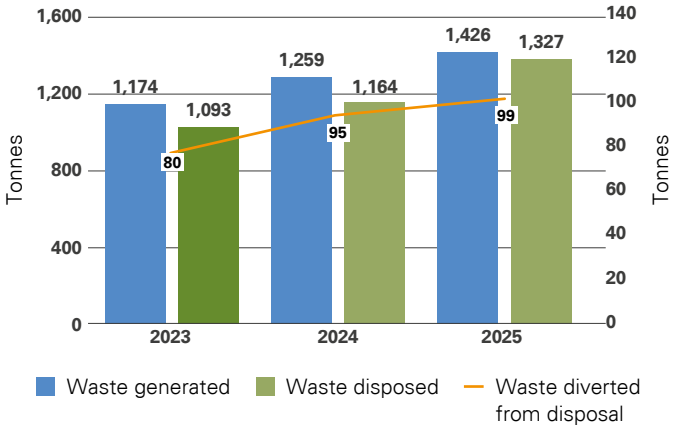
Non-Hazardous Waste

Our operations' non-hazardous waste is managed in line with the Reduce, Reuse, Recycle (3Rs) principles. Waste is segregated into organic and inorganic streams, with organic waste sent to composting facilities and inorganic waste further sorted into recyclable and residual factions. Recyclable materials are delivered to community recycling centres, whilst residual waste is directed to landfills or incineration facilities.

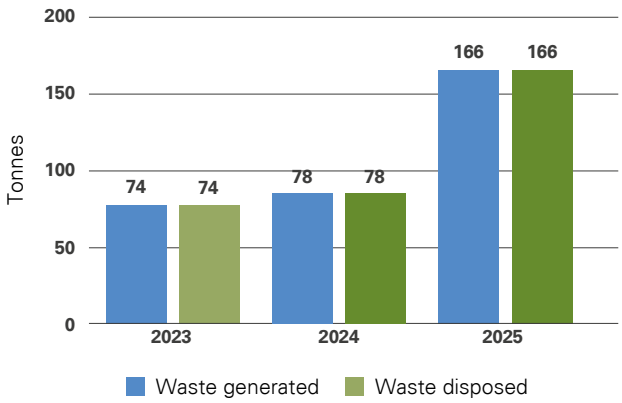
In 2025, our Oil & Gas assets generated 1,426 tonnes of non-hazardous waste. The increase compared to 2024 was primarily attributable to higher waste volumes at the Karim Small Fields (KSF) in Oman, largely resulting from third-party construction activities. We strengthened waste management initiatives across our operations and achieved 99 tonnes of waste diversion from final disposals, driven mainly by improved waste recording in Rimau.

Our Power assets generated 166 tonnes of non-hazardous waste in 2025, with the increase linked to construction activities at the ELB.

Oil & Gas Non-Hazardous Waste



Power Non-Hazardous Waste



Strengthening Waste Management through Assessment and Awareness

In 2025, MedcoEnergi continued to enhance waste management practices at the Jakarta Office and across Medco Power subsidiaries. At the Jakarta Office, we initiated a waste management improvement programme supported by Waste4Change, a waste management company. This programme included a comprehensive performance assessment, practical training on waste sorting and proper storage, and awareness-building activities to reduce waste at the source and improve disposal practices. The assessment identified paper, food waste, and rigid plastics as the dominant waste streams, and we are implementing improved segregation measures to optimize overall waste management effectiveness.

Medco Power also conducted an Enviro Webinar for employees across MPI subsidiaries. This programme covered waste classification, source segregation, and responsible handling, with over 100 participants attending. The session highlighted 3R principles and circular economic approaches, supporting the Company's long-term waste reduction goals.



Enviro Webinar Poster

Celebrating World Environment Day through Coastal Clean-Up Actions

To commemorate the World Environment Day, several assets organised coastal clean-up activities that brought together employees, local communities, and government officials to address plastic waste pollution and protect coastal ecosystems. Medco Power, through ELB, MEB, and DEB, collaborated with the Batam City Environmental Agency at the Horizon Industrial Area in Sungai Lekop Village, Sadotung District to foster public awareness and action around waste reduction.

In our South Natuna Sea Block B asset, we conducted clean-ups across Telayan Beach with the Transportation and Environment Agency of the Anambas Island Regency as well as around the coastal area near the Matak Jetty Warehouse with the Indonesian Navy Air Base Matak Team. In total, we collected 490 kilograms of waste, which demonstrates our commitment to coastal health and our role in facilitating community involvement to protect shared natural environments.


Clean Up Coastal Areas, Matak, Riau Islands, Indonesia



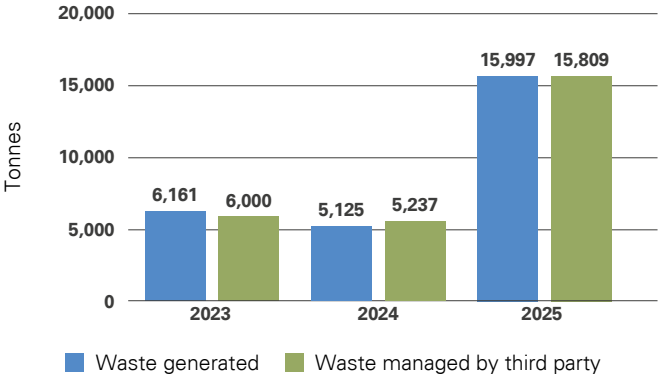
Hazardous Waste

We manage hazardous waste[1] responsibly through secure on-site storage and the use of licensed third-party disposal companies[2]. Hazardous waste is generated from routine operational activities, well operations, and exploration programmes.

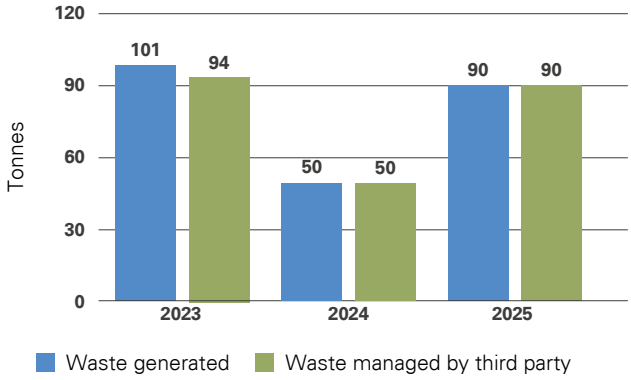
In 2025, our Oil & Gas assets generated 15,997 tonnes of hazardous waste. The increase from the previous year was driven by two main factors. First, higher waste volumes resulted from exploratory drilling activities in Corridor as well as oil spill clean-up efforts in certain onshore assets activities that generated temporary increases in hazardous waste. Second, the increase resulted from flowline cleaning activities at Oman KSF.

In 2025, our Power assets generated 90 tonnes of hazardous waste, an increase compared to 2024, primarily due to maintenance activities at DEB and MEB.

Hazardous Wastes from Oil & Gas Assets



Hazardous Wastes from Power Assets



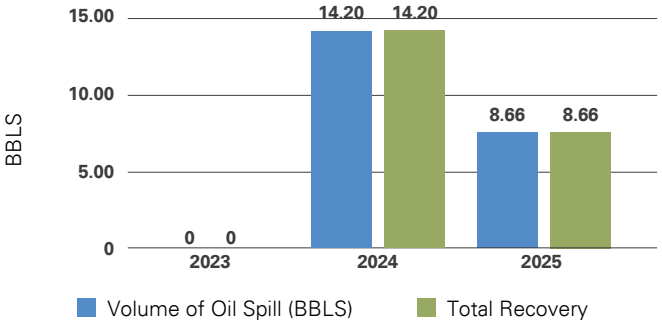
Throughout the year, we continued to advance our hazardous waste reduction initiatives through improved hazardous material management, optimised maintenance, and the substitution of materials with more environmentally responsible alternatives.

Oil Spill Incidents

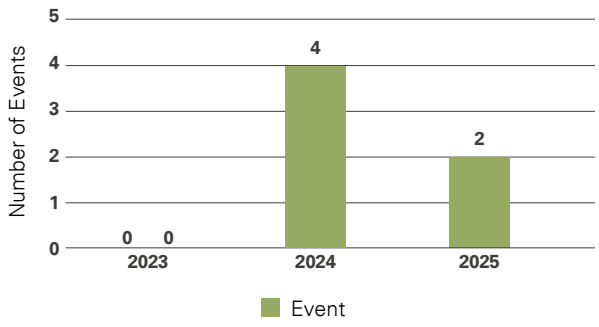
We remain committed to minimizing oil spills across our operations. Reporting follows international standards and regulatory requirements, with only spills to the environment of one barrel (bbl) or more disclosed publicly. All spill events regardless of volume are recorded internally to support operational learning and strengthen preventive measures.

In 2025, we recorded a total spilled volume of 8.66 barrels, primarily resulting from operational challenges such as equipment failures. Prompt action by our emergency response teams enabled them to recover substantial portions of the spilled oil. No injuries or community complaints were reported. We maintain regular emergency drills and training programmes to ensure our teams are effectively prepared for spills. Additional details of our emergency management approaches are presented in Chapter 8.

Volume of Oil Spill[3] and Recoveries[4]



Number of Oil Spill Incidents



Our oil-producing operations have established oil spill management measures that cover the following key programmes:

Oil Spill Prevention System

Preventive and Corrective Maintenance

Preparedness and Response Plans

Our Indonesian offshore assets participated as part of the Oil Spill Combat Team (OSCT) Indonesia, a private oil spill response organisation with nationwide bases. Through OSCT, we have enhanced our spill preparedness and response capabilities by accessing specialised equipment, technical expertise, and targeted training programmes. In Thailand, our Bualuang asset is a long-standing member of the Oil Spill Response Limited (OSRL) and the Thailand Oil Industry Environmental Safety Group (IESG). Working in coordination with OSRL Thailand, Bualuang has implemented a preventive maintenance programme to effectively reduce the risks of oil spills.

1 Hazardous waste is waste containing substance, energy and/or components which, due to their properties, concentrations and/or amounts, may directly or indirectly pollute and/or damage the environment and/or harm the health of humans or other living creatures in those areas. It could also mean waste designated "hazardous" or some similar term under the applicable regulatory requirements of the country where MedcoEnergi operates.

2 The waste managed in any given year may include carry-overs from the previous year. In other words, waste generated in one year might be stored temporarily and then delivered to a third party in the following reporting year. These approaches account for the discrepancies between the amounts of waste generated and the waste directed for disposal in any given year.

3 These oil spills include those caused by internal factors within MedcoEnergi. They exclude spills resulting from third-party actions, e.g., vandalism, collisions by third parties, etc.

4 "Recovery" includes recovered oil and recoverable spills from contaminated soil were sent for further treatment as per the host country's regulations.

Water Management

Our Health, Safety, and Environment (HSE) Policy guides water management practices that minimize environmental impacts across our operations. Water is primarily used for production activities, drilling, office needs, and domestic consumption.

In 2025, our Oil & Gas assets recorded total water withdrawals of 49,800 megalitres, an increase from 2024 largely due to the Forel and Terubuk fields in South Natuna Sea Block B coming on stream.

Our Power assets withdrew 314,923 megalitres of water in 2025, also higher than the previous year. This increase was mainly driven by higher power generation at Cibalapulang Mini-hydro and Pusaka Mini-hydro assets, supported by an extended rainy season that increased water flow through the turbines.

Water Withdrawals in Megaliters by Source[1,2]

Water Sources	Asset	2023	2024	2025
Surface Water	Oil & Gas	303	321	273
	Power	195,525	254,975	314,368
Seawater	Oil & Gas	12,403	12,549	11,333
	Power	116	34	452
Groundwater	Oil & Gas	1,758	2,238	2,362
	Power	3	2	3
Third Party	Oil & Gas	34	35	28
	Power	1	94	101
Produced Water	Oil & Gas	32,453	34,390	35,804
Total Water Withdrawal	**Oil & Gas**	**46,951**	**49,533**	**49,800**
	Power	**195,645**	**255,105**	**314,923**
Total		**242,596**	**304,639**	**364,723**

Water Withdrawals in Megaliters by Category

Water Sources	Asset	2023	2024	2025
Freshwater (incl. surface water, groundwater, third party)[3]	Oil & Gas	806	850	811
	Power	195,529	255,072	314,472
Non-freshwater (incl. seawater, produced water)[4]	Oil & Gas	46,145	48,683	48,989
	Power	116	34	452
Total		**242,596**	**304,639**	**364,723**

Freshwater Withdrawal Intensity

Supply	Unit	2023	2024	2025
Medco Oil & Gas	m^3/1000 TOE HC	59.99	67.74	68.12
Medco Power	m^3/MWH	69.38	91.64	95.45

The intensity of our freshwater withdrawals in our Oil & Gas operations has risen over time primarily due to expanded drilling activities. Meanwhile, freshwater withdrawal intensity across Medco Power varies annually in line with fluctuations in electricity generation output.

Enhancing Water Resilience through Freshwater Bunkering at South Natuna Sea Block B Asset

Through our CCRA, outlined in Chapter 6, we identified potential drought risks at the Matak Shore Base. In response, we introduced mitigation measures that include a freshwater bunkering system from the Floating Production Storage and Offloading (FPSO) Belanak to support operational vessels. The reverse osmosis unit onboard FPSO Belanak produces approximately 40 cubic metres of freshwater per day. With an average onboard consumption of around 34 cubic metres per day, the excess capacity of about six cubic metres is redistributed to supply support vessels operating in the South Natuna Sea Block B area, strengthening water supply and ensuring operational continuity.

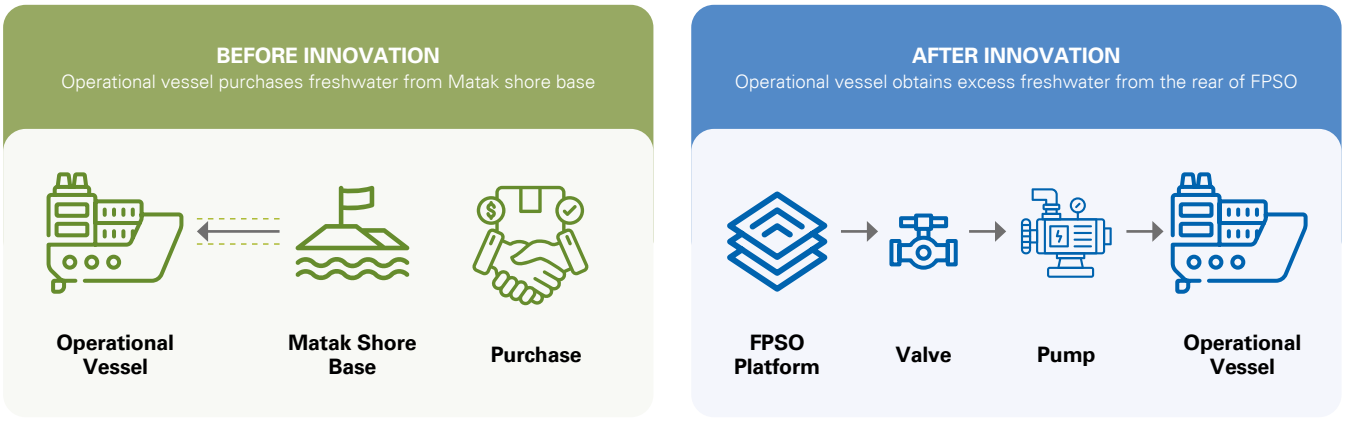
1 Data for Oil & Gas 2023-2025 water withdrawals include assets from International: Thailand Bualuang and Oman KSF; Indonesia: Block A, South Natuna Sea Block B, Corridor, South Sumatra Block, Rimau, Lematang, Madura Offshore, Sampang, Bangkanai, Tarakan. We exclude water produced in Oman as it is managed by our client (Petroleum Development Oman/ PDO).

2 Data for Power 2023 – 2025 water withdrawals include assets from MRPR, MEB, DEB, ELB, MPE, EPE, as well as Cibalapulang Mini-hydro and Pusaka Mini-hydro, Ijen Geothermal.

3 Freshwater for Oil & Gas excludes groundwater from Oman as it is classified as non-freshwater.

4 The figure includes groundwater from Oman KSF.

System Change from Innovation Programme



Updated Diagram Showing Operational Efficiency Improvements through Freshwater System

Managing Our Wastewater

We manage the produced water from our exploration and production activities by reinjecting it into injection wells or discharging it after proper treatment. We ensure compliance with applicable quality standards to protect the environment. Effluents are routinely monitored to meet the host governments' regulations and remain below Threshold Limit Values (TLVs).

In 2025, our Oil & Gas assets discharged 21,295 megalitres of wastewater into the environment, whilst our Power assets discharged 312,970 megalitres. The increase compared to 2024 is in line with higher water withdrawals during the year.

Water Discharge by Source

Water Sources	Asset	2023	2024	2025
Surface Water	Oil & Gas	195	195	195
	Power	194,609	253,949	312,618
Seawater	Oil & Gas	21,723	21,716	15,151
	Power	37	23	348
Groundwater	Oil & Gas	0	0	5,903
	Power	4	4	3
Third Party	Oil & Gas	53	51	45
	Power	0	0	0.03
Water Discharge to Environment Per Asset	Oil & Gas[1]	21,971	21,963	21,295
	Power	194,650	253,976	312,970
Total Water Discharge to Environment		**216,621**	**275,939**	**334,265**

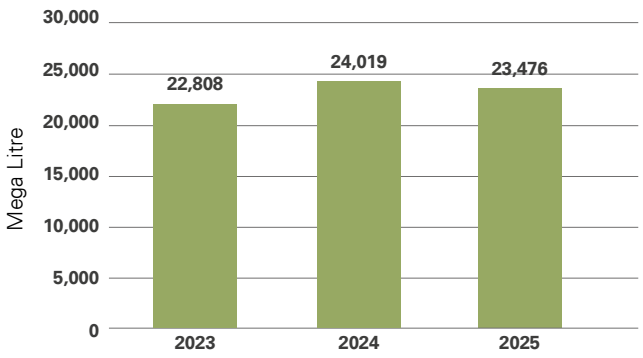
Managing Our Produced Water

We manage produced water through three strategies that include discharging treated water into water bodies, reinjecting into injection wells, or transferring to third-party entities. Our Produced Water Treatment (PWT) facilities treat this water to reduce hydrocarbon, chemical, and hazardous substance concentrations to meet regulatory and industry standards.

We ensure that treated produced water meets applicable quality standards prior to discharge into water bodies. We conduct periodic monitoring to ensure continued compliance with regulatory requirements.

In 2025, we reinjected a total of 23,476 megaliters, representing a decrease compared to the previous year. The decline was mainly due to lower production in Rimau as a result of equipment maintenance activities.

Reinjected Produced Water[2]



1 "Water discharge to environment" for Oil & Gas assets includes treated produced water discharged to the environment.
2 Data for reinjected produced water include Block A, South Sumatra Block (SSB), Rimau, Tarakan, Bangkanai, South Natuna Sea Block B, Corridor, Bualuang Thailand.

Air Emissions

Our Oil & Gas operations generate nitrogen oxides (NO_X), sulphur oxides (SO_X), volatile organic compounds (VOCs), and particulate matter (PM) emissions, whilst our thermal power plants emit NO_X, SO_X, H_2S, NH_3 and PM. Our 2025 GRI Performance Data tracked these emissions from 2023 to 2025.

Air emissions are managed in accordance with our Environmental Management and Monitoring Plans. Selected assets operate Continuous Emissions Monitoring Systems (CEMS) to track emissions in real time to support regulatory compliance and enable us to proactively manage the environment.

We comply with relevant national and regional regulatory frameworks. In Indonesia, we follow Ministry of Environment & Forestry (MoEF) Regulation No.11/2021 for internal combustion engine emissions and Ministry of Environment (MoE) Regulation No. 13/2009 for stationary combustion equipment, including boilers, turbines, and flares. Our Thailand asset adheres to the 2017 Department of Labour Protection and Welfare Notification on hazardous chemical concentration limits, whilst our power assets comply with MoEF Regulation No.15/2019 governing emission thresholds for thermal power plants.

Biodiversity Conservation

Biodiversity Management

We protect biodiversity through conservation efforts across our Oil & Gas and Power assets, implementing both compliance and beyond-compliance revegetation whilst safeguarding endangered species. Our commitment to protect biodiversity and preserve ecosystems is aligned with our Health, Safety, and Environment (HSE) Policy, which enables us to proactively manage potential environmental impacts from our operational activities.

MedcoEnergi conducted Environmental Impact Assessments/ EIA (*Analisis Mengenai Dampak Lingkungan Hidup*/AMDAL) prior to operations to assess baseline environmental conditions, which include identification of potential biodiversity risks and impacts. These assessments and mitigation actions are implemented within ISO 14001-certified Environmental Management System. Hence, biodiversity impacts are proactively identified, monitored, and managed in line with international environmental management standards.

We apply best-practice mitigations that prioritise avoiding impacts rather than minimising them, followed by compensation or restoration measures. Potential biodiversity risks and impacts are managed by collaborating with local governments and stakeholders, monitoring the area's biodiversity, and restoring environmental changes throughout operational and post-operational phases.

As an example, our Corridor asset operates near protected forests and wildlife reserves, which face risks such as forest encroachment, illegal logging, and wildlife disturbance along the pipeline right-of-way. We mitigate these risks by protecting the forests, restoring the habitats, managing pipeline integrity, monitoring the wildlife, and providing community environmental education programmes.

At our Power asset, MRPR, we have developed and implemented Biodiversity Action Plans (BAP) that reinforce our commitment to biodiversity conservation. The Environmental and Social Impact Assessments (ESIA) identified a portion of gas pipeline corridor that traversed a critical habitat area and the presence of International Union for Conservation of Nature/IUCN Red Listed species, including the Agile Gibbon (*Hylobates agilis*) and the Sunda Pangolin (*Manis javanica*). In response, the BAPs were established to ensure that appropriate mitigation and conservation measures were implemented in accordance with the mitigation hierarchy. The BAPs set out clear commitments, including strict controls on vegetation clearance, a zero-tolerance policy on poaching and wildlife disturbance, and continuous on-site biodiversity monitoring throughout the operational phase. As part of BAP implementation, MRPR also supports an ongoing Biodiversity Offset initiative in collaboration with Community Forest Enterprises (CFEs) in a REDD+[1] project that protects Village Forests (*Hutan Desa*) in Durian Rambun Village, Merangin District, Jambi Province. It covers approximately 4,484 hectares and is located adjacent to the Kerinci Seblat National Park, one of the most significant conservation landscapes in Sumatra.

Offshore operations may affect the marine environment through drilling activities; therefore, we conducted baseline assessments of the marine ecosystem, including bird species and coral reefs. None of our offshore operations are in biodiversity-sensitive areas, and no endangered species have been identified. Furthermore, we regularly monitor plankton biodiversity indices and manage potential impacts on marine organisms to ensure environmentally responsible operations.

In 2025, we continued a 3D seismic survey in Corridor asset, covering 16,973 hectares, with 8.693 hectares (51%) located in the Dangku Wildlife Reserve to assess gas discoveries. Seismic activities may generate biodegradable and non-biodegradable waste, noise, and air emissions. We therefore prohibited open burning and engaged licensed third party's waste facilities; we also encouraged natural decomposition, enforced vehicle speed limits, inspected equipment, and sprayed roads to control dust to mitigate these impacts.

Our Corridor asset comprehensively monitored vegetation and standing crops in accordance with the Government's requirements. As a result, this monitoring indicates vegetation conditions remained comparable to baseline levels, with only minor, temporary changes in lower vegetation due to land preparation. These observations reflect our commitment to conduct environmentally responsible operations through effective environmental management practices.

1 REDD+ is a voluntary climate change mitigation framework developed under the United Nations Framework Convention on Climate Change (UNFCCC). REDD' stands for 'Reducing Emissions from Deforestation and forest Degradation in developing countries. The '+' stands for additional forest-related activities that protect the climate, namely sustainably managing forests and both conserving and enhancing forest carbon stocks.

Biodiversity Conservation Programmes

We address biodiversity challenges through partnerships with local organisations. Our conservation initiatives combine replanting efforts with community engagement to ensure lasting, meaningful results. Below are our replanting programmes that support biodiversity conservation:

240 HECTARES

Planted areas in 2023-2025 beyond regulatory requirements[1] 240 hectares

761 HECTARES

Planted areas in 2023-2025 according to Forest Area Usage Approval (*Persetujuan Penggunaan Kawasan Hutan*/PPKH) and Environmental Permit (SKKL)[2] 761 hectares

Our investments, in USD, in replanting activities for both programmes listed below:

Investments in Replanting	2023	2024	2025
Revegetation as per Forest Area Usage Approvals (PPKH)	450,518	554,633	195,358
Revegetation as per commitments in Environmental Permits (SKKL)	30,977	-	-
Revegetation beyond regulatory requirements	75,605	108,787	275,569

To promote biodiversity in land and coastal areas, we replanted trees and mangroves across our assets in 2025, aligning with SKK Migas's national tree-planting campaign.

Beyond regulatory requirements	PPKH
170,366 trees planted[3]	**187,454** trees planted as new plantings[4]

2025 Upstream Oil & Gas Green Initiatives

Through the Medco Foundation, we continued the Nusataru programme[5] to restore critical land ecosystems, planting approximately 9,000 mangrove and bamboo trees in 2025 across the Karawang and Bekasi regencies in West Java and the Sleman Regency in Yogyakarta. This brings our cumulative total to 75,767 trees planted over the past six years.

We also sustained partnerships with local communities to monitor tree growth at several locations, including Gunung Gede Pangrango National Park in West Java. Our support for forest farmer groups (*Kelompok Tani Hutan*/KTH) includes assisting two KTH groups, representing 180 farmer members, who were in the process of applying for conservation partnership programmes under the Ministry of Environment. Together with these groups, we conducted routine tree maintenance and periodic monitoring to ensure long-term survival and ecosystem recovery.

Restoring Forest Ecosystems through Revegetation and Rehabilitation Programmes in South Sumatra and Riau

As holders of the Borrow-to-Use Forestry Permit (*Izin Pinjam Pakai Kawasan Hutan*/IPPKH), our South Sumatra Block (SSB), Lematang, and Rimau assets remain committed to rehabilitating forests and enhancing ecosystem resilience through revegetation initiatives. Since 2022, we planted 152,798 trees across 221.5 hectares under the Watershed Rehabilitation Programme, using a variety of forestry species such as *Shorea, Aquilaria, Alstonia pneumatophora,* and other productive species in multiple protected forest areas.

In 2025, we invested USD 156,062 to plant an additional 51,976 trees across 62.96 hectares at the SSB and Lematang assets, fulfilling our IPPKH obligations and supporting broader efforts to restore the landscapes.

Beyond regulatory requirements, our onshore assets continued collaborating with local partners on revegetation initiatives. In Block A, we partnered with the Faculty of Agriculture at Malikussaleh University to plant 2,435 high carbon-absorbing hardwood trees across 5.7 hectares. Meanwhile, the Rimau and Lematang assets planted 15,000 mangrove seedlings over 1.5 hectares within the Air Telang protected forest, supported by a combined investment of USD 25,439. These initiatives reflect our commitment to restore ecological balance and mitigate climate change by conserving forest ecosystems.

Our MRPR completed the Watershed Area Rehabilitation Programme in the Special Purpose Forest Area (*Kawasan Hutan Dengan Tujuan Khusus* /KHDTK) of the Bukit Suligi Training Forest in Rokan Hulu Regency, Riau Province. Over a three-year period, we carried out planting activities across 3.8 hectares, supervised by the Watershed and Protected Forest Management Agency (*Balai Pengelolaan Daerah Aliran Sungai dan Hutan Lindung* /BPDASHL) Indragiri Rokan and the Human Resources Education and Training Centre (Badan Penyuluhan dan Pengembangan Sumber Daya Manusia/BP2SDM) Region II. A mid-2025 evaluation reported a 94.87% tree-growth success rate, exceeding standards set by the Ministry of Environment. The rehabilitated area was formally handed over to (BP2SDM) Region II in October 2025 for continued management under the Social Forestry Programme.

1 The total planted areas from 2023 to 2025 exclude the areas planted through the Medco & I Two Trees programme.
2 The Surat Keputusan Kelayakan Lingkungan Hidup (SKKL), or Environmental Permit/Feasibility Letter, is a permit that outlines the environmental commitments that the company must fulfill, as regulated by Government Regulation Number 22 of 2021.
3 Trees planted include mangroves in Sunsang Village Banyuasin by Rimau, Lematang, Corridor; Matak; and trees in Sumenep and Sampang
4 Tress planted as new plantings include watershed rehabilitations in South Sumatra Block (SSB) Block III Meranti Sungai Merah (MSM), and plantings in Corridor and MRPR operational areas.
5 Nusataru is a programme to plant trees on degraded land in order to restore environmental functions and prevent natural disasters caused by land degradation.

Celebrating World Environment Day by Planting Trees in East Java

Our Sampang asset collaborated with the Madura State Polytechnic in June 2025 to plant 300 trees in the Sampang Regency, East Java, demonstrating our commitment on World Environment Day to both protect and preserve the environment. Government representatives, college students, and our team participated in planting a variety of productive and ornamental trees, including mango, Trumpet tree, Wild fig, Syzygium, Coral tree, Tropical ebony. This joint effort between industry, academia, and local government strengthens environmental preservation around our operational areas in East Java.



Community Tree Planting and Environmental Conservation Activities, East Java, Indonesia

Restoring Coastal Ecosystems by Conserving and Rehabilitating Mangroves

We have been implementing mangrove planting programmes at our non-operated asset, the Joint Operating Body (JOB) Tomori, Central Sulawesi, since 2013 to restore coastal ecosystems, protect shorelines from erosion, and support biodiversity in areas that depend on mangrove habitats. Through eleven years of consistent efforts, we covered approximately 115.66 hectares of mangroves with 180,477 seedlings planted across multiple coastal villages.

In 2025, we planted 16,200 seedlings in the Rata and Paisubuloli villages, Central Sulawesi through collaboration with Muhammadiyah University Luwuk, the Banggai Regency Environmental Agency, and local community groups. As a result, the biodiversity index at the conservation sites reached 4.19 whilst the number of species increased from 120 to 150, thus proving that mangrove ecosystems continue to support growing biological diversity.



Mangrove Vegetation near Senoro Field, Central Sulawesi, Indonesia

Protecting Endemic Species through Ex-Situ[1] Conservation at JOB Tomori

At our non-operated asset, the Joint Operating Body (JOB) Tomori, we have been conducting ex-situ conservation programmes for two critically endangered endemic species: the Maleo bird since 2019; and the Sulawesi Barn Owl since 2018. Both of these species serve vital ecological roles as the Maleo maintains natural regeneration cycles and the Sulawesi Barn Owl functions as a vital predator to preserve environmental balance.

For the Maleo conservation, Julang Sulawesi, Sea Turtle, we collaborated with the Natural Resources Conservation Agency (*Balai Konservasi Sumber Daya Alam*/BKSDA) of the Central Sulawesi province and Tadulako University Palu to protect natural nesting sites at the Bakiriang Wildlife Sanctuary. This has resulted in the successful release of 15 birds in 2025, which brought our total releases to 115 birds. Consequently, biodiversity index measurements increased from 4.20 in 2024 to 4.28 in 2025, indicating improved environmental quality at the conservation site.



Maleo Nesting Sites at Bakiriang Wildlife Sanctuary, Central Sulawesi, Indonesia

As part of the Sulawesi Barn Owl conservation initiative, we established a quarantine facility to rehabilitate owls injured by illegal hunting or accidentally caught in wild duck nets. This was carried out by collaborating with our Quality Health Safety and Environment (QHSE) and Community Development divisions. After being rehabilitated, the owls were released back into their natural habitat. The resulting biodiversity index measurements at the conservation site reached 4.10 in 2025, up from 3.99 the previous year.

Our firm resolve to protect endemic species and sustain ecological balance is thus demonstrated through these programmes, which are carried out in partnership with conservation authorities and local communities.



Barn Owl Conservation in Sinorang Village, Central Sulawesi, Indonesia

1 The conservation of components of biological diversity outside their natural habitats (source: CBD).

Restoring Marine Ecosystems by Transplanting Coral and Conserving Endemic Fish, and Sea Turtles

Since 2010, our non-operated asset, JOB Tomori, has implemented a multi-year coral transplantation programme to restore coral reef ecosystems and support local fisheries. Now in Phase VIII (2024–2026), the programme has increased coral-associated fish species from 275 in 2024 to 283 in 2025, alongside significant growth in fish abundance that benefits surrounding fishing communities. The subsequent biodiversity index at the coral transplantation site rose from 7.01 in 2024 to 7.10 in 2025, reflecting improved ecosystem health and sustained biodiversity.

In 2025, we also introduced 100 Banggai Cardinalfish (BCF) at the Kilo 5 Luwuk Beach transplantation site. This endemic species is on the IUCN Red List due to overexploitation in the ornamental fish trade. Our initiative builds on earlier releases at the Tiaka field site and supports population recovery efforts.

We additionally conducted biodiversity index assessments at the turtle conservation site in Sinorang Pantai Village with the Biodiversity Team from Tadulako University, Palu, Central Sulawesi. This site recorded a biodiversity index of 4.10 in 2025, indicating healthy ecological conditions. These initiatives reinforce our commitment to marine biodiversity, sustainable fisheries, and the protection of culturally significant species.



Release of BCF at The Kilo 5 Luwuk Coral Transplantation Site, Central Sulawesi



Sea Turtle Conservation Activities at Sinorang Village, Central Sulawesi

Empowering Communities through Bamboo Cultivation

Bamboo, once viewed as an ordinary plant, has now become a source of new opportunities for residents of Tenayan Industry Village, Riau. Medco Foundation, together with MRPR, held a training programme on bamboo cultivation and its use in both environmental conservation and communities' economic opportunities. The training provided practical skills whilst demonstrating how bamboo can serve as an environmentally friendly and commercially viable resource.



Bamboo processing training for value-added products in Tenayan Industrial Village, Riau, Indonesia

Fostering Biodiversity and Habitat Conservation through Education

The MRPR conducted a Biodiversity Action Plan campaign focused on raising awareness about biodiversity and conserving endangered animals. This two-day event was conducted at public elementary, junior and senior high schools along the MRPR gas pipeline route with a total of 170 student participants.

The MRPR is situated in Siak Regency, Riau which features a unique and rich ecosystem of flora and fauna. Through this initiative, we reinforced our commitment to the Sustainable Development Goals, particularly goals 13 (Climate Action) and 15 (Life on Land), which focus on conserving endangered species and restoring habitats.



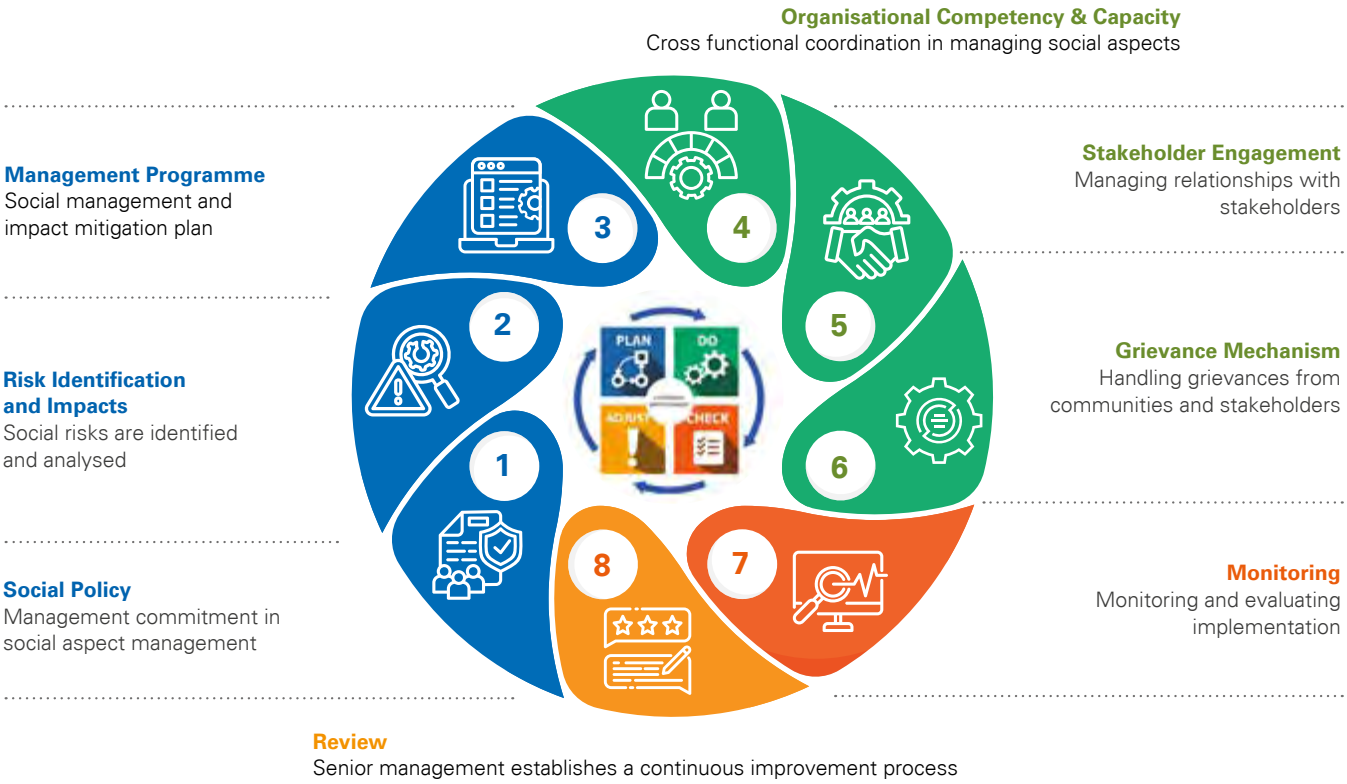
Biodiversity Awareness Campaign to at public schools near MRPR Gas-fired IPP, Riau Province, Indonesia

Social Management System (SMS)

We recognise that effective management of social aspects requires continuous engagement, as our operations and stakeholder expectations continue to evolve. Accordingly, our Social Management System (SMS) responds to these dynamic conditions by embedding social risk management within our Health, Safety and Environment Management System (HSEMS). This integration ensures alignment with our Sustainability Policy, while protecting both stakeholders and business operations.

The SMS operates through a continuous Plan–Do–Check–Act (PDCA) cycle to monitor performance and drive continual improvement. Key elements include the identification of emerging social risks, implementation of targeted management programmes, strengthening organisational capability, fostering meaningful stakeholder engagement, maintaining accessible grievance mechanisms, and robustly monitoring outcomes, all of which support the maintenance of our social licence to operate. An overview of the SMS framework is presented in the infographic below, with detailed information available on our website.

MedcoEnergi's Social Management System Elements



SMS Implementation

Effective implementation of the SMS depends on sustained cross-functional collaboration at both corporate and asset levels, supported by the continuous strengthening of organisational capability to manage social risks. Throughout 2025, we maintained full alignment of the SMS with our Sustainability Policy and Health, Safety and Environment Management System (HSEMS). Key initiatives included:

- Identifying and mitigating principal social risks at each asset, including social mapping, stakeholder engagement planning, and the assessment of potential community impacts to prevent operational disruption.
- Developing asset level implementation plans based on identified improvement areas and the outcomes of management reviews.
- Deploying an integrated dashboard to enhance management oversight, enabling systematic monitoring and timely resolution of social risks and issues.
- Strengthening asset level capabilities through regular knowledge sharing sessions, including Root Cause Analysis (RCA) training focused on social aspects to improve incident analysis and corrective and preventive actions.
- Revising grievance mechanism guidelines to ensure a systematic, effective and accessible process.
- Assessing the effectiveness of grievance mechanisms in line with the United Nations Guiding Principles on Business and Human Rights (UNGPs).



Root Cause Analysis (RCA) Training on Social Aspects, Jakarta, Indonesia

Social Management System Monitoring

Monitoring the SMS ensures effective management of social risks and impacts through structured oversight and evaluation. Reviews are conducted bi-annually at the management level, supported by routine asset-level assessments. These activities strengthen governance, enhance accountability, and drive continuous improvement across our operations.



Semi-annual SMS Implementation, Monitoring and Review in Jakarta, Indonesia

Alignment of Sustainability Initiatives with the UN SDGs

The table below aligns MedcoEnergi's initiatives to enhance our environmental and social safeguards with the relevant United Nations Sustainable Development Goals (UN SDGs). These initiatives only highlight MedcoEnergi's effort and do not imply MedcoEnergi has set or measured targets for host governments in our operational areas regarding the achievement of the UN SDGs.

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	3.9	• Health, Safety and Environment Management System • Social Management System • Sustainability Assessment • Environmental Compliance
	6.3, 6.4, 6.6	• Wastewater Monitoring and Management • Water Conservation and Efficiency • Watershed Rehabilitation
	12.2, 12.4, 12.5, 12.6	• Air Emissions Management • Hazardous and Non-Hazardous Waste and Effluent Management • Environmental Data Reporting
	14.1, 14.2, 14.5, 14.b	Oil Spill Reduction Efforts
	15.1, 15.2, 15.4, 15.5	• Revegetation and Mangrove Rehabilitation Programmes • Conservation of Endangered Species • Biodiversity Conservation and Education Initiatives

1 The targets can be found in UN SGDs website (https://sdgs.un.org/goals)

Action Plans

The following action plans will enable us to meet our objectives and continue enhancing our environmental and social safeguards. We regularly measure, monitor and report on our progress and performance and match them against these actions. The progress report of these action plans refers to the 2023 - 2027 Sustainability Road Map. Since we have passed the short term period and actions were concluded in 2025, our current focus is on the status of the medium/long term actions.

Category	Short-term Actions	Medium/Long-term Actions	Status
Water	Determined water usage (consumption) target based on benchmarking data.	Determine water usage reduction programmes for normal operations and drilling programmes; continue expanding them at Onshore, Corridor, Offshore and Marine Operations.	Completed water usage forecast and data benchmarking.
	Determined water usage reduction programme in normal operations and drilling programmes.	Establish Water Scarcity and Flood Monitoring System; implement the programmes at Corridor, Block A, Bangkanai, South Sumatera, Medco Power and other assets.	Implemented water reduction programmes, including seawater lift pump optimisation (Belanak), automatic taps and awareness campaigns (Offshore), and treated wastewater reuse (SSB, Rimau, Corridor, Lematang).
Air Quality	Developed strategies to align with and adapt to updated regulations.	Implement the strategies for Medco Oil & Gas and Medco Power assets and monitor their performance.	**Oil & Gas:** • Continued monitoring Indonesian Oil & Gas emissions per Permen LHK 11/2021; as of 2025, all engines comply. • Continued monitoring Indonesian Oil & Gas flaring reports per Permen ESDM 17/2021; as of 2025, all assets categorised flaring as regulated.
	Established Environmental Audit Protocol including air emissions.	Implement the protocols for Medco Oil & Gas and Medco Power assets.	Conducted environmental audits in compliance with the KLHK PROPER rating programme.
Effluents and Waste	Determined waste and effluents load targets based on benchmarking data.	Develop waste and effluent load reduction programme; implement the programme at Corridor as pilot project and expand to Onshore and Medco Power assets.	**Oil & Gas:** • Completed waste forecast and data benchmarking. • Implemented waste reduction programmes, including 3R initiatives (South Natuna Sea Block B, Corridor, Sampang, Lematang), refillable bottle campaigns (SSB, Lematang, Bangkanai, Rimau, Sampang), and composting (Block A, Rimau, Corridor). • Hazardous waste reductions include MGB catalyst optimisation (Belanak), quality-based lube oil replacements (South Natuna Sea Block B), LED light replacements (SSB, Corridor, Sampang), and rechargeable battery adoptions (SSB, Lematang, Sampang).
Biodiversity	Conducted biodiversity assessments (asset level).	Implement biodiversity monitoring.	Conducted biodiversity impact assessments for environmental permit development and reported it periodically in the RKL-RPL Report.
Local Community (SMS)	Developed annual SMS plans for all assets based on prior monitoring and management reviews.	Develop SMS plans based on identified improvement areas and management reviews.	**Oil & Gas:** • Developed asset-specific SMS implementation plans.

Category	Short-term Actions	Medium/Long-term Actions	Status
Local Community - SMS	Updated social risk identifications and mitigation measures.	Key social risks are identified and mitigated.	**Oil & Gas:** • Developed specific social risk and mitigation documents. **Power:** Updated social risk identifications for land compensations for Ijen Geothermal ROW Transmission, East Bali Solar PV Project and Sulut-1.
	Tracked, analysed, and resolved grievances through the R&S Integrated Dashboard.		**Oil & Gas:** • Analysed social grievance trends. • Monitored and recorded grievances on Integrated Dashboard.
	Reviewed and revised grievance mechanism guidelines as needed. Assessed effectiveness in accordance with the UN Guiding Principles on Business and Human Rights (UNGPs).		**Oil & Gas:** • Updated grievance mechanism guidelines. • Developed evaluation tools for grievance process stages. • Evaluated Corridor and SSR grievance mechanism implementation. **Power:** • Developed community grievance redress mechanisms in alignment with UNGP's criteria.
	Monitored asset SMS implementation progress and identified opportunities for continuous improvement.	Maintain SMS maturity level targets and identify improvements (i.e. continuous improvements).	**Oil & Gas:** • Conducted semi-annual SMS monitoring and senior management reviews. **Power:** • Continue to monitor Annual Stakeholder Engagement Programme implementation. • Continue to monitor annual SMS implementation.
	Developed guidelines on Social Incident Frequency Rate (SIFR).	Set social incident rate targets and achieve excellence in socially responsible management.	Developed SIFR guidelines.



Mangrove Growth Monitoring in Muara Gembong, West Java, Indonesia



Advancing Our Health and Safety Culture

Safe Working at Height

This picture is the 1st winner under the 'Health & Safety' category of the MedcoEnergi 2025 Photography Competition.



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MedcoEnergi is committed to protecting the well-being of our employees, business partners, and the environment. This commitment is built into our Health, Safety and Environmental (HSE) Policy and supported by our Operational Excellence (OE) Framework, helping us promote consistent, disciplined, and reliable HSE performance across our operations.

Approaches, Commitments, and Goals

Our core objective is to prioritise the health and safety of our workforce and stakeholders. We believe all work-related incidents and occupational illnesses are preventable. Guided by our HSE Policy and implemented through our HSEMS, we comply with host-government laws, industry best practices and relevant international standards, and pursue zero incidents by setting clear targets, monitoring performance and providing comprehensive training for employees and contractors. We also engage communities to raise safety awareness and enhance emergency preparedness.

Our HSE Policy reflects stakeholders feedback and aligns with global environmental treaties and policy objectives. Supported by strong HSE governance and ISO-aligned risk management across our Oil & Gas and Power operations, we foster a safe, resilient, and sustainable working environment for all.

Operational Excellence (OE)

We use a structured and collaborative OE Framework to drive safety, reliability and efficiency across all assets, applying the Plan–Do–Check–Adjust (PDCA) cycle for continual improvement.

Advancing Operational Excellence at Medco Oil & Gas

We continue to improve HSE performance, Asset and Operating Integrity (A&OI), operating efficiency and cost management through the OE Framework. Strategic improvement plans address performance gaps and sustain maturity.

In 2025 we strengthened OE embedding and workforce capability through leadership development, regular competency reviews and onsite certifications at the Competence Assessment Centre (*Tempat Uji Kompetensi*/TUK)[1] to build safe, efficient and reliable operating environments.



Leadership Development

The Operations Academy develops future leaders, targeting 26 personnel across all assets to support long-term strategic goals. Running from June 2025 to June 2026, this programme comprises three in-person workshops, three online mentoring sessions, and a final presentation.

It aims to:

- Build leadership aligned with Medco Leadership Behaviors and strengthen the talent pipeline.
- Empower supervisors to advance safety culture and operational excellence.
- Enhance technical skills for safe and effective operational problem-solving.

Workshops initially focus on technical skills, followed by leadership development in a high-performance culture.

Collaboration & Knowledge Sharing

Since 2023, initiatives have been ongoing to elevate Thailand's Operational Excellence (OE) Expectation to Level 3 in the A&OI and HSE pillars.

Key milestones include:

- Oct–Dec 2023: Development of Job Performance Profiles for operations personnel (assessed in Q1 2024).
- Nov 2024: Management of Change (MoC) personnel development programme (Go-Live: Mar 2025).
- Jun 2025: Learning Business Process and System development for BPM Operations Training & Certification (Go-Live: Dec 2025).

These initiatives strengthen workforce competencies and support the continued advancement of OE standards in Thailand.

1 *Tempat Uji Kompetensi* (TUK) or Competency Assessment Centre.

Operations Competency & Learning

In 2025, MedcoEnergi laid the groundwork for the upcoming 2026 Operations Apprentice Development Programme (OADP), a structured 12-month programme targeting 32 fresh graduates from polytechnics and the Oil and Gas Academy (Akademi Minyak dan Gas/AKAMIGAS). The preparation phase included programme design, curriculum development, and coordination with partner institutions to ensure the programme is equipped to produce technically competent, safety-conscious, and field-ready operators and technicians.

Regular Competency Assessments ensure operations are performed by qualified personnel, maintaining a safe work environment and complying with Medco Oil & Gas' requirements and government regulations. In 2025, assessments covered technicians and operators in South Natuna Sea Block B and Corridor, and operators in Sampang, Madura and Onshore, reinforcing workforce capability and operational safety across all assets.

Workforce Multiskilling & Certification



In Rimau, Tarakan, and Corridor, we improved safety and technical compliance through targeted training programs, delivering measurable efficiency gains and significant cost savings, particularly by reducing travel and external training expenses.

These initiatives demonstrate a structured approach to developing workforce competencies whilst ensuring operational efficiency and cost effectiveness.

Embedding a Culture of Operational Excellence at Medco Power

Medco Power positions OE as a central pillar of safe, reliable and efficient operations, focused on developing people, executing work through standardised processes and tools, and delivering measurable performance. It is designed to drive sustainable growth through value-focused performance, uphold high standards of safety and integrity, strengthen efficiency and cost discipline, and embed continuous improvement to deliver responsible power generation.

The PDCA cycle reinforces continuous improvement. Our programme identifies and executes opportunities using a structured methodology (e.g. Define–Measure–Analyse–Improve–Control, or DMAIC) to strengthen operational reliability. Follow ups and closures of corrective actions from corporate OE assessments remained a priority in 2025.

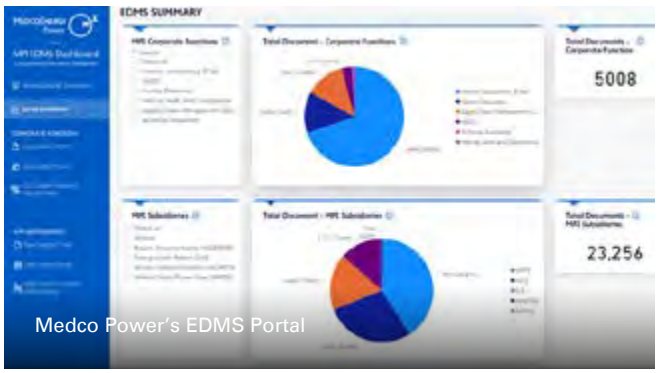
Operability Assurance (OA) was carried out in alignment with OE standards for key projects, including ELB Expansion in Batam, East Bali Solar PV and Ijen Geothermal, addressing high-risk activities, ensuring operational readiness and smooth transitions.

A company wide Document and Information Management Programme improved accessibility, integrity and efficiency of information through a centralised Electronic Document Management System (EDMS) portal.





Employees conducting operational checks at the Ijen Geothermal, East Java, Indonesia



Medco Power's EDMS Portal

Our Health, Safety, and Environmental Management System (HSEMS)

Our HSEMS, integral to the OE Framework, provides a consistent approach to identifying and managing HSE risks to protect people, assets and the environment. Each asset and business unit plans, oversees and strengthens HSE implementation; contractors and suppliers are required to comply. The HSEMS Manual sets out clear managerial responsibilities to enable consistent application and effective communication.

Quarterly

Corporate Board Committee (CBC)

Chairperson: Director & Chief Operating Officer

Co-chair: Director & Chief Administrative Officer

Members: Senior Vice Presidents (SVPs), MPI Chief Executive Officer, VP Project Development & Engineering Excellence, VP HSE, VP Technical Assurance

- Approve corporate HSE vision/mission, policies, management systems, standards, goals, KPIs.
- Approve corporate audit plans.
- Review corporate HSE performance and provide strategic direction.
- Approve incident investigations' terms of reference and incident investigation reports of high potential near misses & injuries and high-risk incidents.
- Approve Corporate HSE programmes.

Monthly

Asset Leadership Team (ALT)

Chairperson: VP Operations, General Manager

Members: Senior Managers, Managers

- Approve assets' timelines of corporate HSE procedures and tools implementations.
- Participate in corporate audits.
- Approve and implement asset's goals, KPIs, HSE programmes.
- Review asset's HSE Performance.
- Communicate and discuss incidents' lessons learned.

Monthly

Functional Leadership Team (FLT)

Chairperson: Operations Managers, Field Managers/ General Manager, Offshore Installation Managers

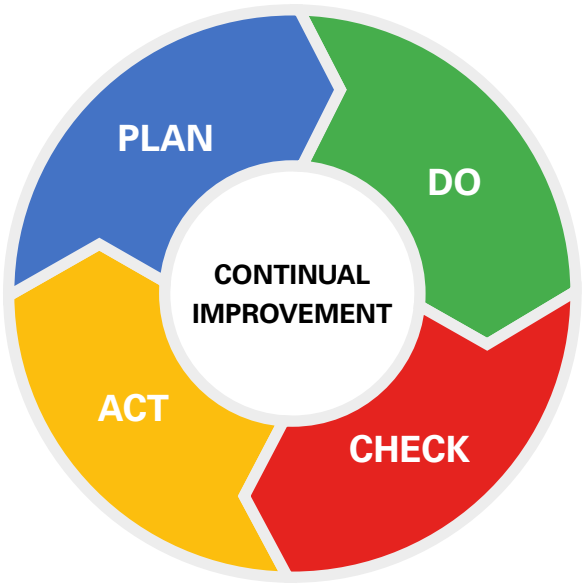
Members: Lead/Superintendent, HSE Managers

- Approve and implement HSE site specific procedures.
- Participate in corporate audits.
- Implement assets' goals, KPIs, HSE programmes.
- Review sites' HSE performance.
- Report any incidents and near misses.

MedcoEnergi's HSEMS is aligned with both global and national standards across operational assets. We adhere to ISO 45001:2018 for Occupational Health and Safety and ISO 14001:2015 for Environmental Management Systems; some assets maintain certification for both. A detailed list of certified Oil & Gas and Power assets is provided on page 88 of this report. Our Oil & Gas HSEMS also complies with Indonesia's regulatory requirements, including Government Regulation No. 50/2012 and the Safety Management System (Sistem Manajemen Keselamatan Migas/SMKM) of the Ministry of Energy and Mineral Resources.



Health, Safety, and Environmental Management System (HSEMS)



PLAN	**Element 1:** Leadership, Policy and Responsibility
	Element 2: Planning, Goals & Programmes
	Element 3: Risk and Opportunity
	Element 4: Legal Requirements and Operating Standards
DO	**Element 5:** Documented Information
	Element 6: Training, Competence and Awareness
	Element 7: Communication, Participation, Consultation and Campaigns
	Element 8: Operational Control
	Element 9: Asset Management and Operating Integrity
	Element 10: Contractor Management
	Element 11: Emergency Preparedness
CHECK	**Element 12:** Non-conformities, Investigation, Learning from Events and Corrective Actions
	Element 13: Monitoring and Measurement
	Element 14: Audit
ACT	**Element 15:** System Review

Hazard Identifications, Risk Assessments, and Implementation of Associated Control

The following table summarises our ongoing 2025 initiatives to strengthen hazard identifications and implement corresponding control programmes.

Category	Asset	2025 Activities
Oil & Gas In Indonesia – Onshore	Corridor	Hazard and operability (HAZOP) revalidations at Rawa, Ramba, and Suban Baru to enhance process safety across the assets.
	South Sumatra Block	HAZOP revalidations for South Sumatra Block (Matra Station, Matra Receiving, Meta, and Ibul) to improve process safety.
	Rimau	HAZOP revalidations for Rimau (Kaji Satellite & Semoga).
	Tarakan	HAZOP revalidation for Tarakan.
Oil & Gas In Indonesia – Offshore	South Natuna Sea Block B	Hazard identification (HAZID) workshop for Matak Jetty facilities focusing on berthing/unberthing, cargo handling and bunkering/ debunkering activities. HAZOP transient[1] in Forel Bronang focusing on Liquid Carryover (LCO) low pressure flare knock out drum activities.
	Sampang	HAZOP revalidations for Onshore Processing Facility (OPF) Grati to evaluate risks and identify hazards.
Oil & Gas International	Thailand	HAZOP revalidation and safety case update for Bualuang facilities.
	Oman KSF	HAZID workshop for the Ilham Steam Flood Pilot Project to enhance process safety measures.
Power	Ijen Geothermal	Construction risk assessments, HAZID/HAZOP studies, Safety Critical Elements (SCE) and Reliability, Availability, and Maintainability (RAM) studies as well as Pre-Start-Up Safety (PSSR) and Operational Readiness Reviews (ORR), to ensure safe start-up process and smooth operations.
	ELB Expansion Combined Cycle Power Plant (CCPP)	Construction risk assessments; HAZID/HAZOP; SCE; RAM studies; PSSR and ORR to ensure safe start-up and smooth operations.
	East Bali Solar PV	Safety and Operability (SAFOP) review, PSSR and ORR.

1 Hazard and Operability Study focused specifically on non-steady-state (transient) operating conditions, rather than normal steady-state operation.

Bualuang HAZOP Revalidation and Safety Case Updates

The HAZOP revalidation and safety case updates ensured process safety risks remained at acceptable levels after facility modifications. The review covered production, utility and power systems and reassessed major accident hazards (e.g. hydrocarbon releases, dropped objects, structural failures, helicopter/vessel operations and personnel transfers). Preventive and mitigative measures were reviewed to confirm the effectiveness of safety barriers.

Overall, the assessments confirmed that major hazards are effectively managed through technical, operational, and organisational measures that maintain safe and compliant operations in accordance with regulatory requirements.



HAZOP Revalidation for Bualuang asset, Thailand

Asset Integrity

In 2025, we assessed asset integrity across our Oil & Gas facilities and Power plants to maintain the ongoing reliability and safety of our operations. The activities are outlined as follows:

Category	Asset	2025 Activities
Oil & Gas In Indonesia – Onshore	Corridor	Inspections of topside facilities, including Risk-Based Inspection (RBI) and certification; review of small-bore and dead-leg systems; fugitive emissions survey using a Forward Looking Infrared (FLIR) camera; and implementation of the Abnormal Operating Risk Visualization (AORV) system for real-time operational risk monitoring.
	South Sumatra Block	Inspected 64 pressure vessels and six tanks; welding repairs on one pressure vessel at Gunung Kembang.
	Lematang	Replaced Flowline Singa 1 & 3 with above-ground carbon-steel piping; replaced high-corrosion gaskets and tightened uneven-gap flanges at Singa Central Processing Plant (CPP); installed mechanical clamps on corroded condenser gaskets; completed Alternating Current Voltage Gradient (ACVG) survey of underground piping at CPP.
	Rimau	Welding repairs on three pressure vessels; composite repairs on the Skimmer Tank at Kaji Satellite; inspections of 13 pressure vessels; tank chime sealing with viscoelastic material to prevent bottom-plate corrosion at Skimmer.
	Block A	Intelligent pigging of Alur Siwah Trunkline; shutdown inspections; repairs and re-coating of the sulphur silo; ACVG surveys; refurbished cathodic protection at CPP.
	Bangkanai	RBI baseline and follow-up inspections; intelligent pigging at Kerendan Cluster to Gas Processing Facilities (GPF); leak testing and repairs on buried closed drain; failure analysis of produced-water system; refurbished cathodic protection at Kerendan GPF.
	Tarakan	Surveyed all trunklines; identified potential damage mechanisms and planned corrective actions for 2026; re-routed sales-gas pipeline from G8 Station to Perusahaan Gas Negara (PGN) using non-metallic material.
Oil & Gas Indonesia – Offshore	South Natuna Sea Block B	Inspected risers and did minor repairs; repaired regen gas heater at Belanak; dead-leg and chemical injections; cathodic-protection readings; inspected tube-coolers and piping; inspected boltings at North Belut; completed RBI due in 2025.
	Sampang	Inspected flares and produced-water lines at Grati OPF; inspected stainless-steel equipment at Maleo Wellhead Platform (WHP); completed RBI due in 2025.
Oil & Gas International	Thailand	Addressed Under-Deposit Microbial Corrosion (UDMC) using High Velocity Thermal Spray–Metal Reinforced Polymer (HVTS-MRP) hybrid technology as part of sustainable remediation strategies.
	Oman KSF	Maintained well integrities via 303 wellheads and 55 subsurface integrity tests; inspected Glass Reinforced Epoxy (GRE) pipelines (four sections) above-ground and in windrows; conducted intrusive preventive maintenance on the steam generator at Basma Steamflood Facilities.
Power	MPI Subsidiaries (MRPR, MEB-DEB, Ijen Geothermal)	Developed Asset Integrity Management System (AIMS); AI workplans for MRPR, MEB DEB and Ijen Geothermal; baseline-inspected corroded fuel-gas piping (including SCEARA development) and air headers; baseline-inspected MRPR; supported material selections for Batam Expansion static equipment and MRPR Heat Recovery Steam Generator (HRSG) piping.

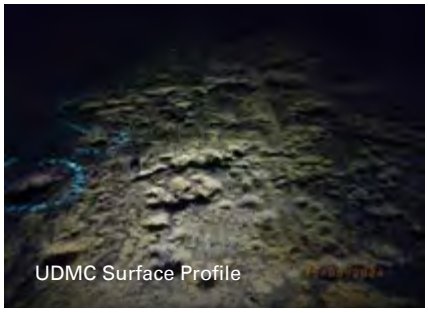
Asset Integrity Enhancement through Digital Risk Monitoring at Corridor Asset

Our Corridor Asset reinforces asset integrity through the implementation of a digital safety system called the Abnormal Operating Risk Visualization (AORV). This system enables comprehensive monitoring of abnormal operating conditions and provides clear visualization of cumulative risks that may not be readily identified through conventional assessments. AORV displays real-time data on structural and containment integrity deviations, deferred preventive maintenance, safety system bypasses, fugitive emissions, and Safety Critical Equipment (SCE) impairments. It also generates area-specific risk profiles that are integrated with active Work Permits and other high-risk activities. This integrated view provides field leaders with a holistic understanding of current operational risk, supporting timely, risk-based decision-making in line with prevailing site conditions. The plan is to extend the implementation of this system to both Onshore and Offshore assets.

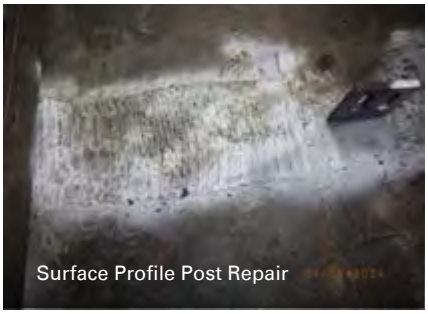
Bualuang Under-Deposit Microbial Corrosion (UDMC) Remediation

To ensure long-term operational integrity against UDMC, MedcoEnergi implemented sustainable corrosion remediation strategies using High Velocity Thermal Spray-Metal Reinforced Polymer (HVTS-MRP) hybrid technology. Severe microbial corrosion in Bualuang separators and produced water drums was addressed with a hybrid system combining NiCrMo alloy thermal spray and polymer overlay, replacing short-term weld build-ups and biocide dosing[1].

These solutions restored structural integrities, provided dense corrosion barriers, extended vessel life by over 11 years with metal loss below 0.05 mm per year, reduced lifecycle costs by 40%, and lowered HSE exposure by 66% due to fewer intrusive repairs. This first Gulf of Thailand HVTS-MRP application offered a replicable, sustainable approach to managing corrosion risks that ensured safe, reliable, and cost-efficient operations through the end of the Bualuang concession. They also fully complied with the American Petroleum Institute (API), the American Society of Mechanical Engineers (ASME), and the National Board Inspection Code (NBIC) standards.


UDMC Surface Profile


HVTS-MRP Works


Surface Profile Post Repair

2025 Best Partner Award

Medco Oil & Gas, through its Operations Competency & Learning (OCL) Department, was honoured with the Best Partner Award at the PPSDM Migas Appreciation Day 2025 on 24 January 2025. This recognition celebrates our ongoing commitment to develop employee competencies and support professional certifications.


Best Partner Award at PPSDM Migas Appreciation Day 2025

2025 Patra Nirbhaya

MedcoEnergi's assets (i.e. JOB Tomori, Corridor, Block A, Lematang, Tarakan, Bangkanai, JOB Simenggaris, Sampang, Madura Offshore) received Patra Nirbhaya awards during the Migas Safety Recognition 2025. This national award, given by the Ministry of Energy and Mineral Resources, is presented to Oil & Gas companies that have achieved high numbers of safe working hours without any lost workdays due to accidents.

2025 Soebroto Award

PT Medco Energi Internasional Tbk (MedcoEnergi), through two of its PSCs, received the 2025 Subroto Award from the Indonesian Ministry of Energy and Mineral Resources. This award was presented to Corridor in the categories of Oil & Gas Safety and Gas Flaring Optimization, and to Rimau in the categories of Non-Tax State Revenue (*Penerimaan Negara Bukan Pajak*/PNBP) and Upstream Oil & Gas Financial Performance.



1 Biocide Dosing: Adding chemicals to water systems (e.g., cooling towers, chillers) to control microbial growth, including bacteria, algae, and fungi, using either slug dosing (intermittent shock doses) or continuous dosing.

Contractor HSEMS (CHSEMS)

Contractors make up the majority of our workforce; effective contractor management is therefore critical. Our CHSEMS, integrated with OE and HSEMS, sets clear expectations, including pre-screening for safety performance in line with regulatory requirements.

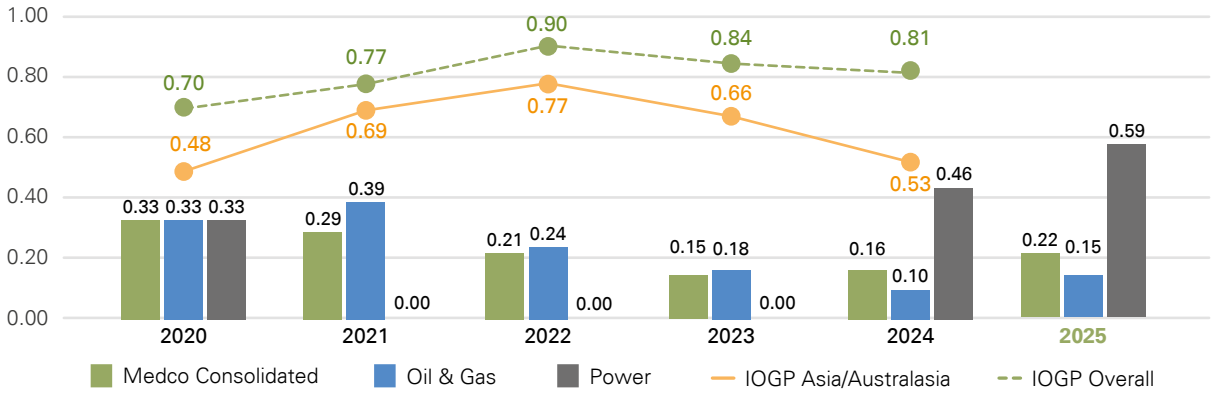
As part of MedcoEnergi's commitment to continuous improvement in contractor management and safety performance, contractors' performance is monitored across all active contracts, covering Operations, Projects, Wells, and other functions. We monitor consistently throughout contract lifecycles, from premobilisation to work-in-progress audits and final evaluations, to verify readiness, monitor compliance, and assess overall contractor performance. Monthly forums share results, progress, and lessons learned to promote accountability and continual improvements.


Monthly Contractor HSE Forum and Performance Review

Health and Safety Performance

We closely monitor our Occupational Health and Safety (OHS) performance using KPIs to identify areas to improve and ensure that programmes are effectively implemented. In 2025, our focus remained on improving the Total Recordable Incident Rate (TRIR) for both Medco Oil & Gas and Medco Power. Our consolidated TRIR remained low below the International Association of Oil & Gas Producers (IOGP) benchmark; however, it increased slightly from 0.16 in 2024 to 0.22 in 2025. This underscored the need to continually strengthen safety culture and operational assurance. Notably, we achieved zero fatalities for the fifth consecutive year, reaffirming our dedication to safe working environments. We remain focused on sustaining this record and further reducing TRIR, with the goal of zero incidents. The following graph illustrates our TRIR performance against the latest benchmarking data.[1]

TRIR at Medco Oil & Gas and Power in 2020-2025



Our HSE performance is illustrated in the tables below.

Oil & Gas	Employees			Contractors		
	2023	2024	2025	2023	2024	2025
Numbers of Fatalities	-	-	-	-	-	-
Fatality Rate	-	-	-	-	-	-
Lost Time Injury[2]	-	-	-	-	1 LWDC	2 LWDC
Lost Time Injury Rates[2,3,4]	-	-	-	-	0.04	0.06
Total Recordable Incident Rates[3,4]	0.20	-	-	0.17	0.11	0.17
Occupational Disease Rates	-	-	-	-	-	-

Power	Employees			Contractors		
	2023	2024	2025	2023	2024	2025
Numbers of Fatalities	-	-	-	-	-	-
Fatality Rate	-	-	-	-	-	-
Lost Time Injury[2]	-	-	-	-	-	-
Lost Time Injury Rates[2,3,4]	-	-	-	-	-	-
Total Recordable Incident Rates[3,4]	-	-	2.54	-	0.57	-
Occupational Disease Rates	-	-	-	-	-	-

1 The number of Total Recordable Incident (fatalities + lost workday cases + restricted workday cases + medical treatment cases) per million hours worked. Source for benchmarking: Data Series International Association of Oil & Gas Producers (IOGP) Safety performance indicators - 2024 data, issued in June 2025. Workforce includes employees and contractors.

2 Incidents include both injuries and illnesses.

3 Lost Time Injuries include fatalities, permanent disabilities, and lost workdays.

4 Full details regarding working hours can be found in GRI indicator 403-9 disclosures in the 2025 GRI Performance Data.

Process Safety Performance

Our process safety includes identifying, assessing, and mitigating risks through the key parameters listed below:

- Standards and Procedures
- Incident Response and Recovery Mitigation Plans
- Two-Barrier Policy
- Safety Cases
- Staff Competencies
- Equipment Testing and Certification
- Operation Process Safety Capability Enhancement
- Contractor Requirements

We evaluate asset and operational integrities through process safety indicators to minimise Process Safety Events (PSEs). In 2025, we enhanced asset integrity for ageing facilities, and assessed process safety performance across all our assets.

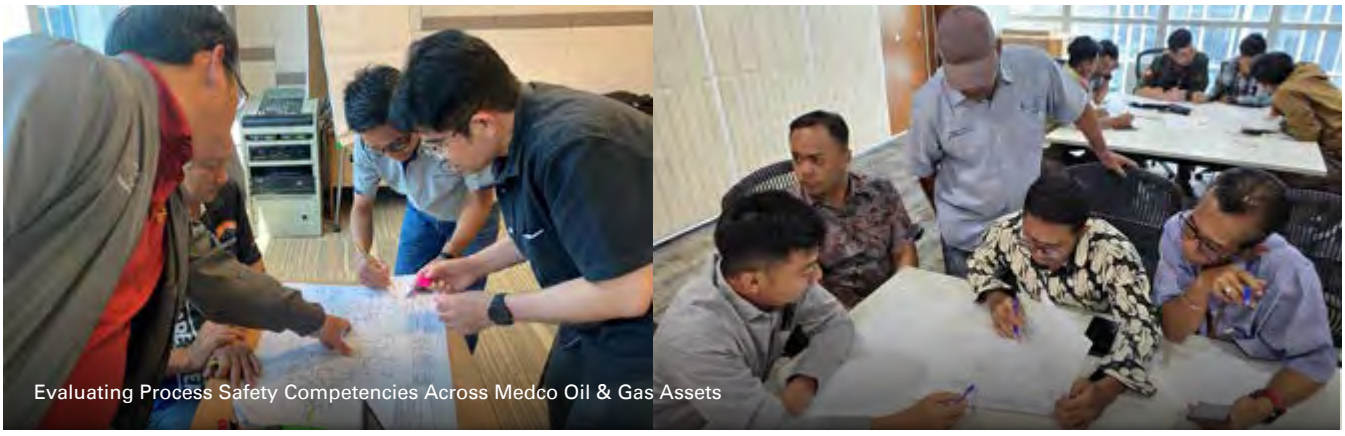
Process Safety Event (PSE)	2023	2024	2025
Tier 1 PSE[1]	-	1	-
Tier 1 PSE Rate per 1,000,000 Work Hours	-	0.03	-
Tier 2 PSE[1]	3	6	5
Tier 2 PSE Rate per 1,000,000 Work Hours	0.11	0.19	0.16

In 2025, Tier 1 PSEs were zero and Tier 2 PSEs decreased compared with 2024. We continued upskilling process safety capabilities, strengthening asset integrity and inspection programmes, and enhancing assurance of Safety Critical Equipment (SCE).

Elevating Process Safety Competencies Across Oil & Gas Assets

To strengthen our process safety culture and sustain operational excellence, Medco Oil & Gas, through the OCL Department, launched a comprehensive Process Safety Upskilling Programme in 2025. Throughout the year, a total of 22 sessions were conducted under this programme, reaching 557 employees across assets. The initiative aimed to enhance leadership and technical competencies, ensuring consistent applications of process safety principles across Indonesian and international assets. Process safety remains our cornerstone for sustainable operations and regulatory compliance.

Through a structured upskilling programme for leadership and field personnel, we reinforced risk-based decision-making, hazard recognition and consistent applications of process safety principles. Interactive modules and case studies helped close knowledge gaps and embed a proactive safety culture across Indonesian and international assets.



Evaluating Process Safety Competencies Across Medco Oil & Gas Assets

Product Safety

We ensure product safety through disciplined operations and asset integrity. At Medco Oil & Gas, hydrocarbons are produced and supplied in line with contractual specifications and regulatory requirements, supported by product specifications and Material Safety Data Sheets. At Medco Power, electricity is generated and delivered in accordance with contractual and regulatory provisions, supported by operational controls and reviews.

1 The definition of Tier 1 and Tier 2 PSEs refers to American Petroleum Institute Recommended Practice Process Safety Performance Indicators for the Refining and Petrochemical Industries; Second Edition.

Key Programmes and Initiatives

Our commitment is implemented through a variety of HSE programmes and initiatives tailored for our employees, business partners, and local communities.

Incident Prevention Initiatives

In 2025, we progressed a range of OHS programmes aimed at safeguarding our people and optimising processes to prevent accidents. Key highlights include:

Corporate HSE Audit – Journey to Safer and Better Operations

The HSE Corporate Audit reinforces our commitment to the highest Health, Safety, and Environmental standards. It independently and objectively assesses HSEMS implementations, Company requirements, and legal and regulatory compliance at the asset level.

In 2025, audits were conducted in Thailand and Ijen Geothermal. These audits strengthened our HSE foundation by identifying risks, promoting accountability, and driving continuous improvements to make our organisation safer and more resilient. Lessons learned and good practices were subsequently shared across other assets.


HSE Audit at Ijen Geothermal, East Java

Tarakan PSC Audit SIAP SELAMAT[1]

In response to national safety concerns, SKK Migas launched the Audit K3 SIAP SELAMAT to strengthen HSE performance in Indonesia's upstream oil & gas sector. Medco Oil & Gas fully participated, demonstrating our commitment to HSE excellence.

Using the PTK-005 framework[2], the auditors reviewed the Tarakan Asset's safety system through document checks, site inspections, and interviews. The audit confirmed compliance with SKK Migas HSE requirements and provided insights to further enhance our HSE systems and culture.


Cross-Asset Journey Management Audit

Journey Management Cross-Asset Audit 2025

A cross-asset audit assessed the maturity, effectiveness and compliance of Journey Management, including the Life Saving Rule on driving and the use of Artificial Intelligence (AI)-enabled in-vehicle monitoring to mitigate behaviour and risks. Findings were shared to harmonise practices and address gaps.

bSafe: ONE Comprehensive Mobile Application for ALL, to be Safer, More Simple, More Innovative, and Efficient

The bSafe platform extends access to corporate safety tools for personnel without corporate accounts (for example: service contractors), integrating multiple back-end systems for registration, campaigns, reporting and verification. It enables real-time engagement, improves efficiency and reduces time and costs.



Integrated Mobile Safety Platform through bSafe

HSE Incident Lessons Learned Tracking System

A centralised system registers and tracks incident lessons and corrective actions from assignment to closure. It integrates lessons across sites and generates standardised reports for analysis and continuous improvement.

Since its launch in May 2025, it has documented 15 lessons from both internal incidents and external SKK Migas cases, monitoring actions across 31 MedcoEnergi sites. As of October 2025, eight lessons have been completed and applied in improvement discussions.

Safety Perception Survey

A 2025 Safety Perception Survey gathered workforce insights in Wells operations to understand their knowledge, perceptions and behaviours as well as inform programme designs and strengthen HSE culture in high-risk activities. This survey was carried out in partnership with the University of Indonesia.


2025 Safety Perception Survey in Wells Operations

1 SIAP SELAMAT (READY TO BE SAFE) is an audit programme conducted by SKK Migas. It stands for Safety Integrity Audit Programme and includes systems, equipment, labour, assets, management, ALARP, and TRM (Technology Risk Management).

2 PTK-005 or SKK Migas's Work Procedure Guidelines No. 005 Year 2018 was established for PSCs and business partners to develop, implement, and enhance HSE Management.

Employees' Health

Medco Active Movement (MAM) 2025

MAM 2025 encouraged physical activity, nutrition and mental health for all personnel across all assets, fostering engagement as "One Team, One Medco", whilst commemorating MedcoEnergi's 45th anniversary.



Medco Active Movement

Wellness Warrior 2025

This programme promoted regular exercise and weight management, with participation tracking and pre-/post-programme health checks (e.g. body weight and basic laboratory indicators). Weekly participation trends were tracked and shared at the HSE Action Committee (HSEAC) meetings.



Wellness Warrior

The Safety Leadership Programme

We implemented the Safety Leadership Programme to reduce workplace incidents and ensure compliance with safety protocols.

HSE Management Visit Programme

Management engaged frontline employees through site tours, walkthroughs and open HSE discussions. Reviews included verifying Bypass/Inhibit/Force/Override (BIFO) controls, Lock Out Tag Out implementation and process safety information to reinforce compliance and continual improvements.



HSE Management Visit to Teras Gathering Station in South Sumatra Block, Indonesia

Leadership Visibility Programme

Oman strengthened its safety culture by introducing the "7 Pre-Job Checks" framework across operational activities. Leaders conducted safety walkdowns and enhanced toolbox talks to reinforce risk awareness and accountability at the worksites, strengthening safety ownership and reducing human-factor incidents across operations.


Safety walkdowns by operations leaders under the Leadership Visibility Programme in Oman

HSE Engagement with Contractors

Sustaining our safety culture requires being strongly engaged with contractors. For this reason, we develop dedicated programmes each year to continuously promote accountability and transparency.

Contractor HSE Forum & Workshops

The 2025 Contractor HSE Forum brought together around 90 contractor leaders from Medco Oil & Gas' Onshore, Offshore, and Corridor operations. Participants represented approximately 450 high- and medium-risk contracts that are essential to delivering MedcoEnergi's operational and HSE commitments. In addition, asset-specific forums were organised, including within the Medco Power's projects.

These forums focused on contractors' responsibilities to meet personnel requirements under their contracts, including emergency preparedness, safety, and compliance obligations. They also served as a platform to strengthen collaboration, enhance workforce competency, and improve emergency response capabilities. The events also provided an opportunity to reflect, share feedback, and translate lessons learned into actionable improvements across our operations.



HSE Contractor Forum 2025, in Jakarta, Indonesia

To align and maintain our engagements with contractors in Oman KSF and Bualuang, we promoted leadership visibility through routine management visits.

Emergency Preparedness

MedcoEnergi continues to strengthen its organisational readiness for emergencies and crises through a structured, tiered response system and annual exercises. The 2025 Tabletop Exercise highlighted the company's commitment to enhance operational resilience, especially by introducing cybersecurity as a major crisis scenario for the first time.

Emergency preparedness is embedded within our Operational Excellence framework through a structured three-tier response system:

Tier - 1	A tactical response led by the Incident Management Team (IMT) at the sites, using local resources.
Tier – 2	A support response requiring additional resources involving both the sites' IMT and the assets' Emergency Management Team (EMT).
Tier - 3	A strategic response to crises beyond Tier-2 capabilities, managed by the Crisis Management Team (CMT) with senior management.

Emergency Response Exercises

Exercises in 2025 included a cybersecurity attack drill at the Grissik Central Gas Plant (CGP) (part of the Corridor asset) simulating an unexpected shutdown with ransomware impacts, and an International Ship and Port Facility Security (ISPS) Code and oil-spill response drill at the Corridor Storage Tanker (CST) in the Bangka Strait. These reinforced operational readiness and multi-agency coordination.

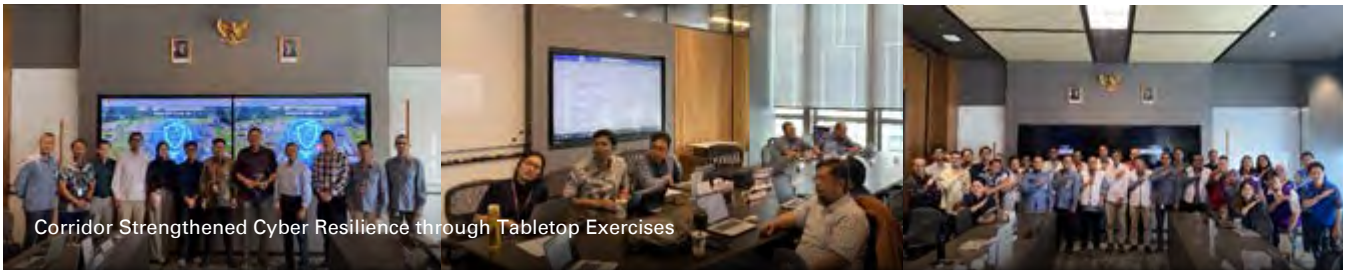

Cybersecurity Attack Drill at Grissik CGP, Corridor, Indonesia



ISPS Code & Oil Spill Response Drill at CST Bangka Strait

Cyber Resilience through Tabletop Exercises

In November 2025, Corridor held a knowledge-sharing and tabletop exercise with SKK Migas at Grissik Central Gas Plant to assess readiness for cyber incidents affecting operations and business continuity. The resulting insights informed updates to all plans involving emergency responses, disaster recoveries and business continuity.



Corridor Strengthened Cyber Resilience through Tabletop Exercises

Cybersecurity Crisis Simulations

In April 2025, the Crisis Management Team conducted a two day tabletop exercise focusing on cybersecurity threats to operational technology to enhance crisis preparedness and cross functional coordination. This was our first emergency exercise with cybersecurity as the main theme.



MedcoEnergi's First Cybersecurity Crisis Simulation

Alignment of Sustainability Initiatives with the UN SDGs

The table below aligns MedcoEnergi's initiatives to advance our health and safety with the relevant United Nations Sustainable Development Goals (UN SDGs). These initiatives only highlight MedcoEnergi's effort and do not imply MedcoEnergi has set or measured targets for host governments in our operational areas regarding the achievement of the UN SDGs.

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	3.4, 3.6, 3.8, 3.9	• Health, Safety and Environment Management System (HSEMS) • Hazard Identifications, Risk Assessments, and Implementation of Associated Controls • Asset Integrity • Contractor HSE Management System • Emergency Preparedness and Tabletop Exercises • Health Programmes (e.g. medical check-up, Medco Active Movement 2025) • Wellness Programmes • Process Safety Performance Measurements
	8.8	• HSE Campaigns, Programmes and Initiatives • Contractor HSE Forum & Workshops • Contractor Management Initiatives • Contractor Safety Ambassadors • Emergency Preparedness and Tabletop Exercises • EMT Training & Tabletop Exercises • Business Continuity Management System

1 The targets can be found in UN SGDs website (https://sdgs.un.org/goals)

Action Plans

The following action plans will enable us to meet our objectives and continue advancing our health and safety culture. We regularly measure, monitor and report on our progress and performance and match them against these actions. The progress report of these action plans refers to the 2023 - 2027 Sustainability Road Map. Since we have passed the short term period and actions were concluded in 2025, our current focus is on the status of the medium/long term actions.

Category	Short-term Actions	Medium/Long-term Actions	Status
Workplace Health and Safety	Fit-To-Work for All Workers & Health Case Management		
	Achieved and consistently complied 100% with Medical Check Up (MCU).	Implement pilot project for predictive analysis to determine individual fit-to-work status in Oil & Gas assets.	• MCU compliance completed 100% • Already discussed and determined predictive analyses for individual fit-to-work status with IT.
	Improved Wellness Campaign programme for the remaining Onshore fields.	Improve Wellness Campaign programme for all assets.	• Already improved and implemented Wellness Campaign programmes in all assets
	Implemented, reviewed and assessed a Fit-To-Work Monitoring system.	Further implement integrated Fit-to-Work monitoring systems	• Agreed to use existing PTS for all assets. • A PTS System put in place in onshore assets. • Plan to integrate PTS in all assets
	Developed audit for Fit-to-Work and OH standards.	Implemented audit for Fit-to-Work and OH standards.	Implemented OHIH audits in onshore, offshore and Thailand.
	Improved Medical Emergency Response Plans (MERP) in East Java and MPI (West Java and South Sumatra).	Improve MERP in East Java and MPI (West Java and South Sumatra), followed by other assets by 2025.	• Implemented MERP. • Improved the implementation in all Indonesian assets.
Workplace Health and Safety	Maintain Safe and Healthy Working Environments		
	Conduct Corporate OE Assessment (Onshore, Offshore) and self-assessments (International)		Conducted OE Assessment at Corridor and Power
	Developed and implemented pilot safety culture self-assessments at Onshore and Corridor.	Implement safety culture self-assessments at all Oil & Gas and Power assets.	Implemented safety culture self-assessment at well operations.
	Conducted Corporate HSE audits at all Oil & Gas and Power assets.	Conduct corporate HSE audits at assigned Oil & Gas and Power assets	Conducted corporate HSE audit at Bualuang, Thailand and Ijen Geothermal. For MRPR, will be differed to 2026.
	Established and implemented the improved learning organisation at Offshore and Corridor.	Implement improved learning organisations at all Oil & Gas and Power assets.	Implemented the improved learning organisation at Onshore and International assets.
	Developed and implemented LSR Field Verifications (FV) at all Oil & Gas assets.	Implement LSR FV at all Oil & Gas assets and Power locations.	• Completed improvements in BPM & development in bSafe. • Implemented in Lematang, Offshore & Corridor (agreed to implement LSR FV in BPM). Remaining onshore (Kalimantan Region & SSR) plans to engage in 2026.
	Evaluated effective implementation of SKK Migas CHSEMS procedures and developed action plans.	Implement pilot project of predictive safety performance in all Oil & Gas and Power assets.	Completed Phase 1 of pilot project of predictive safety performance for Onshore.

Category	Short-term Actions	Medium/Long-term Actions	Status
Asset Integrity (Storage & Transportation)	**Ensuring the Security and Integrity of the Assets**		
	Finalised corporate level HSEMS for Oil & Gas assets.	N/A	Corporate HSEMS was approved in Q4-2024
	Reviewed effectiveness strategies to minimize vandalism in onshore assets (focus on Rimau pipeline).	Expand strategies to minimize vandalism in other locations in South Sumatera Region (SSR).	Completed strengthening security infrastructures and patrols; engaged communities and local authorities; implemented social and community development programmes; enhanced surveillance and monitoring systems; and implemented Finding Oil Lost (FOL) process.
	Conducted asset integrity and process safety through Corporate HSE audits at Corridor and Offshore assets.	Conduct asset integrity and process safety through Corporate HSE audits at all Oil & Gas and Power assets.	Conducted HSE audit for MPI – Ijen Geothermal in 2025.
	Conducted Onshore flowline replacement programme at SSR West.	Onshore flowline replacement programme at all South Sumatra areas.	Completed flowline replacement programme at Rimau.
	Improved asset integrity and safety systems in Rimau.	Improve asset integrity and safety system in South Sumatra Region (SSR).	Completed asset integrity inspections for tank de-scaling Lica - Matra receiving trunkline.
	Improved Business Continuity (BC) process in Offshore, Thailand, and Oman KSF.	Evaluate effectiveness of BC governance through audits in all Oil & Gas and Power assets.	A Corporate Business Continuity Management System (BCMS) is currently being developed in collaboration with third-party consultants.



Emergency Response Team Drill at ELB Gas -fired IPP

This picture is the 3rd winner under the 'Health & Safety' category of the MedcoEnergi 2025 Photography Competition.



Creating Opportunities for Communities

Batik Making

This picture is the 1st winner under the 'Social & Culture' category of the MedcoEnergi 2025 Photography Competition.



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MedcoEnergi strives to create positive and sustainable social impact by helping the local communities around our operational areas to become self-sufficient and resilient. Guided by our Community Development Policy (available on our website), we integrate local wisdom into programmes that align with host countries development priorities and the United Nations Sustainable Development Goals (SDGs). We focus on the following three key areas:

Key Focus Areas of the Medco Oil & Gas Community Development Policy

NATURAL RESOURCES AND LOCAL WISDOM

Community development programmes are established based on natural resources and local wisdom within local communities to foster sustainable growth.

EMPOWERMENT

Community empowerment process is aimed at improving the ability of communities' to become self-reliant according to self- and environmental potentials.

STAKEHOLDER ENGAGEMENT

Stakeholder engagement is carried out to obtain social license for its process of community development programme and company operations.

Approaches, Commitments, and Goals

We conduct Environmental Impact Assessments (EIA) to identify and mitigate environmental risks, explore opportunities, and ensure inclusivity to support local communities surrounding our operations. These assessments help integrate vulnerable groups into our community development efforts.

In addition to the EIA, our sustainability assessments evaluate environmental and social risks across projects (see pages 86-87). In 2025, our sustainability assessment confirmed that none of our projects border on indigenous communities nor were there community resettlements, including those projects located within plantation and forestry areas.

We follow international best practices, including Free, Prior, and Informed Consent (FPIC) for any future developments near such areas[1]. In fact, these measures enable vulnerable groups to participate meaningfully in broader community development initiatives[2].

To further build local community resilience and opportunities, we prioritise hiring local talent and encourage contractors to do the same. By 2025, this approach achieved 47% of local workforce participation at Block A and 52% at MRPR, bolstered by targeted training programmes that enhance skills and capabilities.

Meaningful Engagements with Our Stakeholders

Our Social Management System (SMS) framework identifies key communities of interest and local stakeholders through stakeholder and social mapping initiatives. These activities highlight our community-focused approach, enabling effective responses to local needs. In developing community programmes in Indonesia, we coordinate with local governments through Village Head Forums (Forum Kepala Desa), to ensure they align with the Development Planning Consultation Forum (*Musyawarah Perencanaan Pembangunan*/Musrenbang). For international operations, a similar approach is applied through locally tailored engagement strategies. In Thailand, MedcoEnergi works closely with communities through continuous stakeholder mapping, direct engagement, and collaboration with local authorities to ensure programmes reflect community needs and complement local priorities.

STAKEHOLDER MAPPING

This process involves mapping stakeholders based on their influence and interest. With this, a Stakeholder Engagement Plan (SEP) on a specific issue can be formulated based on risks. The SEP is also a factor whenever evaluating how community development programmes are implemented.

SOCIAL MAPPING

This process involves identifying the social structures, relationships and dynamics of a community; it includes analysing the social context, demographics, stakeholder relationships, culture and security.

1 FPIC (Free, Prior and Informed Consent) is a principle that recognises the rights of Indigenous peoples to give or withhold their consent on decisions that may affect their lands, territories, resources, and cultures, based on accurate and relevant information, and without coercion or manipulation.

2 The national goals in host countries mean any national-level objective or priorities set by the Central Government. For example, Indonesia has National Medium Term Development Plans (RPJMN); our national SDG goals are directed by The Ministry of National Development Planning (Bappenas), Thailand has 4.0 Strategy to transform the Thai economy into a value-based economy, and Oman has the 10th Five Year Development Plan for its 2040 vision.

Guided by our Community Development Policy (available on our website), we integrate local wisdom into programmes that align with national development priorities and the United Nations Sustainable Development Goals (SDGs). Our approach to community engagement is carried out through the following teams:

Field Relations & Community Enhancement Teams

Plan and implement community development programmes, including social mapping, planning, execution and reporting.

Community Enhancement Team (HQ)

Provides direction to the community development programme's work plans and budgets at the corporate level.

Assets' Leaders (Sr. Manager Field Relations & Security, GM/SVP)

Review and approve the community development programmes and report at the asset level.

This approach is complemented by the application of a precautionary principle and the use of formal engagement channels, including established community forums, local councils, and grievance mechanisms, to ensure concerns are appropriately captured, addressed, and monitored. We maintain active involvement across diverse community forums and coordination bodies:

- **Village Head Forums** (*Forum Kepala Desa*)
- **District Leadership Coordination Forums** (*Forum Koordinasi Pimpinan Kecamatan*/FORKOPIMCAM)
- **Regional Leadership Coordination Forums** (*Forum Koordinasi Pimpinan Daerah*/FORKOPIMDA)
- **Local Youth Organisations** (*Karang Taruna*)
- **NGOs and community-based organisations**

Security and Human Rights

Medco Oil & Gas upholds a Security Policy that prioritises legal compliance and respect for human rights across all operations; this aligns with the UN Guiding Principles on Business and Human Rights and the Voluntary Principles on Security and Human Rights (VPSHR). The policy outlines strategies to identify, report, and address security risks. The Medco Security Management System (MSMS), implemented across all Oil & Gas assets, drives security practices to continuously improve.

This year, we updated our Security Policy to reflect evolving risks, embed international best practices, and ensure compliance with human rights and regulatory standards. Key enhancements include integrating the Upstream Oil & Gas Security Management (*Manajemen Pengamanan Hulu Migas*/MPHM), mandated by SKK Migas, to strengthen upstream security governance across all Indonesian Oil & Gas assets. These updates also expand the Security Policy to include cyber security incidents within the detection and reporting framework. The Plan–Do–Check–Adjust cycle was formalised to support continuous improvement through proactive monitoring, data-driven decision-making, and systematic risk mitigation.

In 2025, 100% of Medco Oil & Gas and Medco Power security personnel completed human rights-related training through capability building programmes such as VPSHR, Gada Pratama, Gada Madya, and Gada Utama[1]. MSMS further supports effective mapping of critical asset risks for proactive management and robust security measures.

Supporting Community Livelihoods

MedcoEnergi fosters self-sufficient, empowered local communities through multi-year programmes that adapt continuously to remain contextual and responsive to the needs in our operational areas. Our investments include sustainable livelihood initiatives, infrastructure development, support for underprivileged families during religious holidays, and sponsorship of Indonesia's Independence Day celebrations.

Community Development Programmes

The table below highlights key community development programmes from 2025. For a complete list, refer to the 2025 GRI Performance Data, GRI 203 on pages 27-30 and GRI 413 on pages 30-37.

Assets	Project Descriptions	Programme Types
Block A Aceh, Indonesia	Implemented a home-based horticulture programme by distributing fruit seedlings to households for yard cultivation.	Sustainable livelihoods (economy)
	Facilitated early childhood education teacher training.	Sustainable livelihoods (education)
South Natuna Sea Block B Riau Islands, Indonesia	Partnered with Perkumpulan Pusaka Madah Bertuah Siantan to preserve the Anambas Malay culture through seminars and discussions about folk tales.	Sustainable livelihoods (education)
	Provided mentoring on stingless bee farming to support communities maximizing their local resources.	Sustainable livelihoods (economy)

1 The Gada Pratama training programme is tailored for newly recruited security guards or prospective candidates. Gada Madya serves as an advanced course for those who have completed Gada Pratama, focusing on personnel in supervisory positions. Meanwhile, Gada Utama is specifically designed for security managers operating at chief security officer or managerial levels.

Assets	Project Descriptions	Programme Types
Corridor South Sumatra, Indonesia	Enhanced rural business development by revitalizing Rawa Makmur Barokah (RMB) as a fisheries learning centre as well as strengthening management capacity, and increasing agricultural and livestock production.	Sustainable livelihoods (economy)
	Improved the Integrated Health Services Centre (Posyandu) by training staff, conducting health campaigns, and providing both medical equipment and food to prevent stunting in children.	Sustainable livelihoods (health)
South Sumatra Block South Sumatra, Indonesia	Organised sports coaching and a friendly volleyball match for the Voli Sehat youth group. This included donating sports equipment.	Sustainable livelihoods (health)
	Supported women's groups in the Musi Rawas Regency by providing development training, conducting workshops to process products, and supplying business equipment.	Sustainable livelihoods (economy)
Lematang South Sumatra, Indonesia	Supported dairy and meat goat farming by facilitating assistance and business mentoring to strengthen food security and improve community livelihoods.	Sustainable livelihoods (economy)
Rimau South Sumatra, Indonesia	Conducted a healthy lifestyle education campaign for the communities as well as circumcisions for children.	Sustainable livelihoods (health)
Sampang East Java, Indonesia	Planted trees in two Sampang villages to enhance carbon sequestration and prevent coastal erosion through the planting of mangroves.	Sustainable livelihoods (environment)
	Collaborated with the Sumenep Regency to provide fishermen with environmentally friendly and efficient fishing equipment.	Sustainable livelihoods (economy)
	Supplied industrial cooking equipment to support housewives in order to scale up traditional snack production.	Sustainable livelihoods (economy)
Madura Offshore East Java, Indonesia	Collaborated with the local government to provide sewing skills training and equipment for a women's group.	Sustainable livelihoods (economy)
	Cooperated with the local government to help construct a kindergarten facility.	Infrastructure Development
Bangkanai Central Kalimantan, Indonesia	Supported village-owned enterprises by providing training in finance, SOPs, legal support, and business networking.	Sustainable livelihoods (economy)
	Provided the village-owned enterprise "Jantur Kiham" with training to improve both performance and incomes to enhance greater economic self-reliance.	Sustainable livelihoods (economy)
	Supported the construction of a bridge to enhance village access.	Infrastructure Development
Tarakan, North Kalimantan, Indonesia	Conducted an educational healthy lifestyle campaign, together with health checkups and doctor counselling for the elderly in the communities.	Sustainable livelihoods (health)
	Converted a production house into a proper factory to enable certification requirements and enhance product credibility.	Infrastructure Development
Bualuang, Thailand	Continued conservation initiatives with the Department of Marine and Coastal Resources.	Sustainable livelihoods (environment)
	Continued Phase 3 of the Sensory and Physical Development Programme at Chumphon Panyanukul School, serving students with disabilities.	Sustainable livelihoods (health)
	Collaborated with the Save Pak Nam Chumphon Group to train secondary students on how important coastal resources and sustainable practices are.	Sustainable livelihoods (education & environment)
Karim Small Fields, Oman	Completed a seaweed farming pilot project in Oman. This highlighted Gracilaria as a climate-resilient, high potential species that benefits both the economy & environment.	Sustainable livelihoods (economy)
Mitra Energi Batam (MEB), Dalle Energi Batam (DEB) & Energi Listrik Batam (ELB), Batam, Indonesia	Educated patients with drug-resistant tuberculosis (TB-RO) at the RSUD Embung Fatimah on how to prevent and treat infections.	Sustainable livelihoods (health)
	Launched the "Employee Teaching" programme at SMK Negeri 11 Batam	Sustainable livelihoods (education)
	Supported a free electricity installation programme for households.	Infrastructure Development

Assets	Project Descriptions	Programme Types
MRPR Riau, Indonesia	Launched a programme to cultivate and use bamboo. It covered techniques to plant, care for, select materials, and process it into valuable products.	Sustainable livelihoods (education & economy)
	Supported eco-friendly cricket farming by providing infrastructure, farming media, and seeds, resulting in increased product revenues.	Sustainable livelihoods (economy)
	Provided healthcare equipment to integrated health posts (Posyandu) to ensure that malnutrition, stunting, and non-communicable diseases are detected early.	Sustainable livelihoods (health)
Bonjol Geothermal West Sumatra, Indonesia	Established a more conducive reading environment and provided books to encourage interest in reading for students and community members.	Sustainable livelihoods (education)
Pusaka Mini-hydro Cianjur, Indonesia	Launched a free electricity installation programme for underprivileged households in the Cianjur region to improve equitable energy access.	Infrastructure Development
Ijen Geothermal, East Java, Indonesia	Partnered with community groups to support production, packaging and promotion in order to launch the Ginger Pandan Tea product.	Sustainable livelihoods (economy)
	Conducted an educational programme on geothermal energy for elementary students, distributing informational paperback books to students and teachers.	Sustainable livelihoods (education)
	Provided health screenings and education for communities living far from health facilities.	Sustainable livelihoods (health)

Community Development Support

The following table summarises the financial support allocated by MedcoEnergi during the past three-year period:

Programme (US$)	2023	2024	2025
Sustainable Livelihood & Community Development	1,235,705	1,598,787	1,240,821
Infrastructure Development	406,286	698,228	689,386
Others	170,874	234,147	387,887
Total	**1,812,866**	**2,531,162**	**2,318,093**

Our community development initiatives focus on these five pillars: education, health, economic empowerment, environmental stewardship, and infrastructure, to build community resilience and long-term self-reliance beyond our operational presence.

Education



The night celebration of Gowoi Pusake, which highlights the Malay Heritage Preservation programme

Preserving Anambas Malay Heritage through Cultural Partnership

South Natuna Sea Block B partnered with a heritage association called Madah Bertuah Siantan (*Perkumpulan Pusaka Madah Bertuah Siantan*) to implement the Malay Arts and Culture Preservation Programme in the Anambas Islands Regency, which addresses concerns over declining engagement of younger generations with Malay traditions.

This programme was launched in September 2025 through a folktale seminar and book review at Siantan Nur Tarempa. It included supporting two art studios in the Kute Siantan and Palmatak Districts; providing basic training in nine core Malay dances; documenting folktales for publication; and supplying arts equipment to support ongoing cultural activities in the region.


Strengthening Early Childhood Teaching Capacity, Aceh, Indonesia

Early Childhood Education Teacher Training in East Aceh

Block A asset collaborated with Bunda PAUD, a government agency that promotes early childhood education, to facilitate an Early Childhood Education Teacher Training in East Aceh in September 2025. This training, aiming to increase teachers' capacity and competency, was attended by 50 teachers from four districts (Indra Makmu, Julok, Banda Alam and Nurussalam).

Health


Children Participating in Guided Sensory and Physical Therapy Activities, Thailand

Advancing Inclusive Therapy through Multi-Year Sensory Development Support

Bualuang asset entered its third year of supporting the Sensory and Physical Development Programme at Chumphon Panyanukul School, Thailand, a special education institution serving 259 students with disabilities across four southern provinces in Thailand. Phase 3, launched in December 2024, focused on physical therapy by installing equipment to stimulate the nervous system and muscles. We provided direct funding to the school, and the project renovated facilities and procured equipment until May 2025.

Strengthening Community Healthcare Services in Riau, Musi Banyuasin, and Banyuasin

In 2025, MedcoEnergi strengthened community healthcare services across multiple regions in Indonesia by targeting support for Integrated Health Services Centre (Posyandu) and providing nutrition programmes.

Our MRPR asset provided essential healthcare equipment, including baby and adult scales, thermometers, measuring tapes, and blood glucose monitors to four Posyandu serving the villages of Temu Rasa, Bulan Sabit, Harapan Maju, and Cahaya Melebung. This initiative not only improved the early detection of malnutrition, stunting, and non-communicable diseases, but also strengthened the healthcare infrastructure.

Our Corridor asset developed seven Posyandu covering 14 villages in Musi Banyuasin and Banyuasin to eliminate stunting and stop the spread of AIDS, tuberculosis and malaria. This programme also trained Posyandu and nutrition post staff. It provided both medical equipment and nutritious food for pregnant women and children experiencing stunting as well as health and education campaigns at schools. Moreover, not only did it provide packaged milk to 350 expectant mothers and 350 children, but it also monitored seven children experiencing stunting and fed them nutritious food for 90 days.


Toddler Routine Health Screening, Riau, Indonesia


Community engagement for maternal and child health

Campaigning to Provide Free Health Screenings and Promote Healthy Lifestyles

In November 2025, Medco Power, through Ijen Geothermal (Independent Power Producer and Operation & Maintenance business), conducted free health screenings and provided health education for 76 residents at Curah Macan Village, near the Ijen Geothermal Power Plant. We collaborated with Community Health Centre (Puskesmas) Sempol to address limited healthcare access. Participants with elevated cholesterol and glucose levels were referred for follow-up care.



Residents receiving free health screening services at Curah Macan Village, East Java, Indonesia

Economy

Supporting the Circular Economy through Eco-Friendly Cricket Farming

MRPR supported eco-friendly cricket farming with a joint business group "Temu Kasih" in Pekanbaru, Riau to promote the community's economic independence and sustainable practices. Crickets, used as a high-protein feed for songbirds, ornamental fish, and reptiles, were cultivated using infrastructure, farming media, and seed support provided in late 2024. Within eight months, production grew from 30 sacks per month to over 1,600 sacks, generating IDR 28 million in revenue, nearly ten times higher than the initial monthly earnings, and established a stable marketing network.



Community members participating in eco-friendly cricket farming activities in Pekanbaru, Riau, Indonesia

Empowering Women to Transform Home Resources into Economic Opportunities

We have been supporting women-led economic initiatives that transform household resources into sustainable income sources across multiple communities in Indonesia.

Since 2018, South Sumatra Block have supported the Sustainable Environmentally Friendly Agriculture programme for the women farmers' group in Giriyoso Village, Musi Rawas Regency, Indonesia, providing training in soil management, composting, and organic vegetable cultivation that have enabled women to transform their home gardens into productive spaces. The group now produces value-added products, including japleng powder and moringa products, with several items being produced by home industries that hold food permits. In fact, this women farmers' group achieved second place in the provincial Home Garden Utilisation competition despite pandemic disruptions.

> "With this support, we can learn and grow. We hope our business continues to develop and create jobs."
>
> **Widayanti**
> A member of the Giriyoso Women Farmers' Group





> "Support from Medco wasn't just equipment and training, but also encouragement. We felt valued and motivated to move forward."
>
> **Hosniyatul**
> Leader of the Sumber Barokah Group

Over the past two years, our Sampang asset supported Sumber Barokah, a group of eight housewives in Gedugan Village, Pamekasan Regency, Indonesia, led by Hosniyatul. They were producing traditional Madurese snacks with basic equipment from their home kitchens.

We provided industrial cooking equipment alongside training in bookkeeping management and digital marketing, enabling the women to significantly increase production capacity, improve product quality, and expand their market reach through social media platforms.

Infrastructure

Supporting Energy Access for Communities in Cianjur, West Java

Medco Power, through our subsidiary PPP Mini-hydro, supported accessible and affordable energy by joining PLN's free electricity installation programme for underprivileged households in Cianjur. Through the 9 MW mini hydro power plant, we expanded electricity access to communities lacking reliable power. Through this initiative, we also supported education, health, and economic opportunities as well as improved the overall quality of life.



PPP Mini-hydro received recognition from PLN for supporting free electricity access for underprivileged households in Cianjur, West Java, Indonesia

Enhancing Village Access through Bridge Development

Our Bangkanai asset supported the construction of a well-designed concrete bridge in Rahaden Village. Located in a wetland area, the village benefits from improved infrastructure, which in turn enhances access to welfare and commercial facilities. This newly constructed bridge supports reliable connectivity, even during the rainy season.



Concrete bridge to enhance access for communities in Rahaden Village, Central Kalimantan, Indonesia

Upgrading a Production House into a Proper Factory for Hidayatullah Women Farmers

In May and November 2025, our Tarakan asset supported the renovation of production houses in Mamburungan Timur, Tarakan Timur Sub District, North Kalimantan. Upgrading these facilities enabled the Micro, Small, and Medium-sized Enterprise (MSMEs) to meet Home-Based Food Production Permit - PIRT (*Pangan Industri Rumah Tangga*/PIRT), thus enhancing product credibility, reputation, and market reach. The groups produce herbal drinks and processed foods, and we provided the necessary materials and tools for the renovations.



Hidayatullah Women Farmers Group in Tarakan Timur, North Kalimantan, Indonesia

Environment

Fostering Coastal Conservation Awareness Among Youth in Pak Nam Chumphon, Thailand

In September 2025, our Bualuang asset supported the Save Pak Nam Chumphon Group by raising awareness of 55 secondary school students about the importance of coastal resources. Students learned about mangrove conservation, eco-friendly products, and the Blue Crab Bank through hands-on sessions led by the Prince of Songkla University lecturers. This programme represented the first initiative of its kind conducted within the local community.



Students participating in hands-on coastal conservation and mangrove activities in Thailand

Promoting Fruit Tree Planting in Home Gardens

From January to February 2025, our Block A asset supported a horticultural programme promoting fruit tree planting in home gardens in Blang Nisam Village, East Aceh Regency, Indonesia. This initiative provided 500 fruit saplings to 500 households to enhance food security, strengthen local livelihoods, and contribute to environmental greening.



Community members planting fruit tree seedlings in home gardens

Community Development at JOB Tomori

Transforming Organic Waste Management through Producing Community-Based Compost in Banggai

At the Joint Operating Body (JOB) Tomori, our non-operated asset, we implemented the Organic Fertilizer Ecosystem Development programme in Banggai Regency, Central Sulawesi, Indonesia. This enabled us to build upon our Agroecology and Sustainable Farming initiative since 2021 to address critical challenges, including low farm labour wages, limited access to subsidised fertiliser, high dependence on chemical inputs, and underused but abundant organic waste.

We transformed production from individual households (at four tonnes per cycle) to a communal system (at around 400 tonnes per cycle). By collaborating with the Tani Makmur Organic Fertiliser Processing Unit, we established communal composting facilities and replicated two community compost houses in the Mulyoharjo and Karang Anyar villages.

This programme integrated diverse organic waste sources from households, livestock partners, village markets, and small agro-industries through a barter system that enables communities to exchange organic waste for fertiliser or cash, improving village cleanliness whilst creating additional income opportunities.

This community-based green economy model demonstrates how managing systematically organic waste can strengthen local food security, reduce environmental impact, and build farmer independence through locally produced, affordable organic fertiliser whilst shifting community perceptions of waste from a burden to an economic opportunity.



Community composting facilities and organic fertilizer production activities, Banggai, Central Sulawesi

Strengthening Our Impact through The Medco Foundation

The Medco Foundation, founded in 2003 by Arifin Panigoro, focuses on enhancing community wellbeing through sustainable programmes in education, health, economic empowerment, and environmental protection, in line with the UN Sustainable Development Goals. Our partnership with the Medco Foundation reflects our shared commitment to stand together and support communities when it matters most. In 2025, this commitment was demonstrated through concrete actions in response to humanitarian and public health needs, including:

Elimination of Tuberculosis (TB)

The Medco Foundation continued its efforts to both prevent and raise awareness of TB across Indonesia through education, community engagement, and stakeholder outreach. These efforts were implemented in collaboration with key TB-focused organisations, including the Indonesian Tuberculosis Eradication Association (Perkumpulan Pemberantasan Tuberkulosis Indonesia/PPTI). Thirty students from grades 1 to 3 at Pertiwi Tungkal Ilir Junior High School in Musi Banyuasin participated in interactive sessions on TB symptoms, transmission, and the health risks of smoking. The foundation also reached over 250 South Natuna Sea Block B employees and stakeholders during the National Occupational Safety Month at Matak Base, Natuna, as part of workplace and community outreach. In addition, MedcoEnergi supported the Stop TB Partnership Indonesia (STPI) and the Indonesian Centre for Tuberculosis Eradication to detect, treat, and prevent TB.



PPTI cadre training session attended by MedcoEnergi's President Commissioner, Mrs. Yani Panigoro

Contributing to the National Blood Supply through Blood Donations

Blood donations were conducted in June 2025 as part of MedcoEnergi's commitment to support community health. This donation drive took place across 11 operational sites in the Oil & Gas and Power sectors in Aceh, Riau, Riau Islands, South Sumatra, Java, and North Kalimantan as well as at the Headquarters in The Energy Building, which was attended by the Minister of Health. This activity, which was part of commemorating MedcoEnergi's 45th anniversary, contributed to meeting the Indonesia's annual blood donor demand. In addition to this milestone event, blood donation activities are conducted on a regular quarterly basis for employees in MedcoEnergi's head office.



Blood donations to commemorate MedcoEnergi's 45th Anniversary

Expanding Access to Safe Housing Programme

The Medco Foundation, in collaboration with MedcoEnergi and Habitat for Humanity Indonesia, expanded its Decent Housing Programme by renovating homes across multiple regions. Since 2023, this programme has renovated 39 homes in Marga Mulya, Banten. In 2025, 47 units were established in Tangerang (Banten), Muara Enim, Penukal Abab Lematang Ilir, and Musi Banyuasin (South Sumatra), Bondowoso, and Banyuwangi (East Java). Employees participated in constructing these units during the Medco Volunteering Day. These completed houses were handed over simultaneously in December 2025 in three main operating areas: Corridor, South Sumatra Region and Ijen Geothermal.


Construction and handover activities under the Decent Housing Programme in Ijen Geothermal and Corridor, Indonesia

Nusataru: Restoring Critical Ecosystems by Planting Trees

The Medco Foundation implemented the Nusataru Programme to restore critical land ecosystems through tree planting. In 2025, around 9,000 mangrove and bamboo trees were planted across Karawang and Bekasi in West Java and Sleman in Yogyakarta. Over the past six years, the programme has planted a total of 75,767 trees. Beyond tree planting, the Foundation has consistently assisted Forest Farmer Groups (*Kelompok Tani Hutan*/KTH) over this period. This includes partnering with local communities to monitor tree growth and support forest farmer groups KTH in Gunung Gede Pangrango National Park, Indonesia, assisting two KTHs (180 members) with Conservation Partnership Programme applications and ongoing tree maintenance.



KTH assistance programme in Gunung Gede Pangrango National Park, Indonesia



Mangrove Planting in Muara Gembong, Bekasi, Indonesia

Nurturing Youth Potential through Life Skills Education

The Medco Foundation supported the Youth Life Skill Education Programme at The Learning Farm (TLF) in Cianjur, West Java, helping socially vulnerable young people aged 17–24 build confidence and self-reliance. It engaged participants from both diverse ethnic backgrounds and inclusive social groups, many of whom are school dropouts, unemployed, or affected by disasters or conflicts. The participants learned organic farming, entrepreneurship, digital literacy, and life skills, including communication, literacy, and physical and mental health, with support from Medco employees serving as volunteer trainers. In 2025, 86 participants strengthened their ability to live independently and contribute to their communities as a result of this programme.


Youth Life Skills Education activities at The Learning Farm in Cianjur, West Java, Indonesia

Measuring and Evaluating Our Impacts

We consistently evaluate how effective each programme is and identify opportunities to enhance them. This approach guides us to stay responsive to real needs and deliver programmes that create lasting value.

Social Returns on Investment (SROI)

Measuring Social Value through Our SROI Approach

Our Social Return on Investment (SROI) approach allows us to quantitatively measure and communicate the social, environmental and economic value that is generated relative to the resources invested. It enables us to comprehensively assess our programmes from multiple perspectives using comparable indicators. The insights gained from SROI are used to design, develop and scale future initiatives, ensuring stronger transparency, informed decision-making and improved allocations of resources for greater societal benefits.

The two types of SROI analyses we conducted are outlined below.

Evaluative

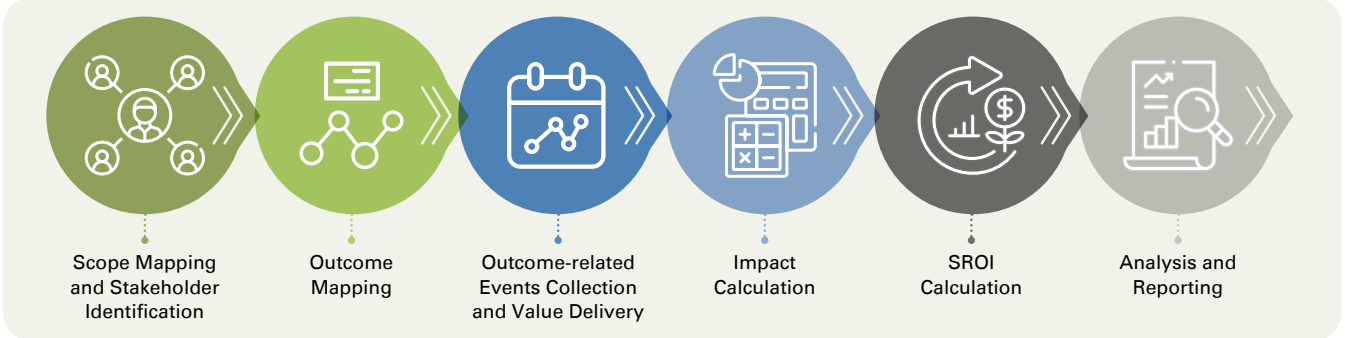
We analyse completed programmes to measure their actual results.

This retrospective view shows us what has worked and provides evidence to improve future initiatives.

Forecast

We project the potential value of planned programmes before launch.

These predictions help us prioritise investments and set realistic targets.



Measuring Our Programmes' Impacts In Rimau, Indonesia

Improving Educational Access by Supporting School Transportation

Since 2022, the Rimau asset has facilitated daily school transportation for students in Tabuan Village, Srikembang Village, Betung sub-district, Banyuasin Regency, Indonesia. We addressed transportation barriers by coordinating village vehicles through the Srikembang village government to provide daily pick-up and drop-off services for studtents travelling 10 kilometres to nearby elementary schools. The programme overcame challenging roads that are muddy in the rainy season and dusty in the dry season, with strong support from the community and village government, resulting in improved student attendance and reduced dropout rates. The programme achieved an SROI of 2.21, meaning every IDR 1 invested generated IDR 2.21 in social value. This initiative supports sustainable development, which aligns with UN SDGs 4.



School transportation for students in Banyuasin Regency, Indonesia

Enhancing Herbal Product Capacity by Developing Processing Facilities

In 2025, Rimau Asset established an herbal production house for the Family Medicinal Plant (Tanaman Obat Keluarga "TOGA") group in Gajah Mati Village, Babat Supat sub-district, Musi Banyuasin Regency, Indonesia. We strengthened the TOGA group's capacity by constructing a standardized processing facility that meets sanitation and spatial requirements for herbal production. Through collaboration with the village government and local workers, the programme improved herbal product quality, strengthened access to sustainable resources, and created entrepreneurial opportunities for the TOGA group and surrounding communities, achieving an SROI of 1.25 in 2025. This initiative supports sustainable development, which aligns with UN SDGs 3 and 12.



Empowering communities to develop herbal products in Rimau, South Sumatra, Indonesia

Measuring Our Programmes' Impacts in Lematang, Indonesia

Enhancing Primary Healthcare by Providing Medical Equipment

In 2025, the Lematang asset strengthened primary healthcare services at the Sumaja Makmur Puskesmas, Gunung Megang Sub-district, Muara Enim Regency, Indonesia. Medical equipment was upgraded to improve basic healthcare service quality in the area. Through collaboration with the Puskesmas and Rumah Zakat (Indonesian National Zakat Collection Institution), this programme sponsored a health campaign coupled with educational sessions. It procured equipment that met the Ministry of Health's standards and trained medical staff to operate and maintain it. This programme benefitted the Puskesmas, Posyandu, healthcare workers, pregnant women, the elderly, adolescents, the village government and Rumah Zakat

This programme achieved an SROI of 1.28 in 2025, meaning every IDR 1 invested generated IDR 1.28 in social value. This initiative supports sustainable development, which aligns with UN SDGs 1, 2, and 3.


Strengthening primary healthcare services in Muara Enim Regency, South Sumatra, Indonesia

Fostering Sustainable Livelihoods by Cultivating Forest Honey

The Lematang asset developed a forest honey cultivation programme in Village III, Aur Duri Village, Rambang Niru sub-district, Muara Enim Regency, Indonesia, from 2023 to 2025. We empowered local beekeepers through technical training, providing PPE, beehive boxes, fruit tree seedlings, and security fencing. Meanwhile, our partnership with Rumah Zakat also supported them as they transited to structured cultivation practices, formed farmer groups to improve market access, and promoted their products. As a result, both the beekeepers and the local community gained direct benefits that included alternative income sources and environmental conservation through natural pollination. This programme achieved an SROI of 1.49, indicating every IDR 1 invested generated IDR1.49 in social value. This initiative supports sustainable development, which aligns with UN SDGs 4, 8, 10, and 15.



Advancing sustainable livelihoods through beekeeping training in Muara Enim Regency, South Sumatra, Indonesia

Measuring Our Programmes' Impacts in Thailand

Supporting Inclusive Learning through Sensory and Physical Therapy Clinic Programme

The Sensory and Physical Development Programme at Chumphon Panyanukul School aims to strengthen educational and rehabilitation infrastructure for children with special needs. The initiative has resulted in measurable improvements in attention, emotional regulation, motor skills, and learning readiness among students, while also reducing caregiving burdens for parents and caregivers. In addition, the programme helps lower household expenditures related to accessing rehabilitation services outside the local area and enhances teachers' capacity to deliver instructional and therapeutic activities tailored to students' specific needs. With an SROI score of 4.06 for the 2022–2025 period, this initiative supports inclusive education and social wellbeing, contributing to the achievement of UN SDGs 1, 4, 10, 11, and 12.



Sensory room at Chumphon Panyanukul School, Thailand

Promoting Coastal Conservation through Sustainable Learning Initiatives

Over the past four years, we have implemented the Coastal Classroom for Conservation Programme to strengthen community capacity for self-managed resource stewardship and enhance local resilience. The programme supported the recovery of blue swimming crab populations, leading to higher catch volumes and more stable incomes for commercial and small-scale coastal fishing households, achieved through a relatively low-cost intervention. The initiative has strengthened the institutional capacity of the Pak Nam Chumphon Environmental Conservation Group and its wider network by developing community leaders as conservation advocates, knowledge facilitators, and innovators of value-added products. It also promotes environmental learning among children and youth, fostering future community stewards. Based on the 2024–2025 impact and investment, the programme achieved an SROI of 61.07. The high SROI reflects the characteristics of early stage natural resource conservation, where modest initial investments can generate significant environmental recovery and rapidly expanding social and economic benefits. This programme contributes to biodiversity conservation and the sustainable use of marine resources, supporting the achievement of SDGs 1, 4, 8, 11, 12, 14, and 17.





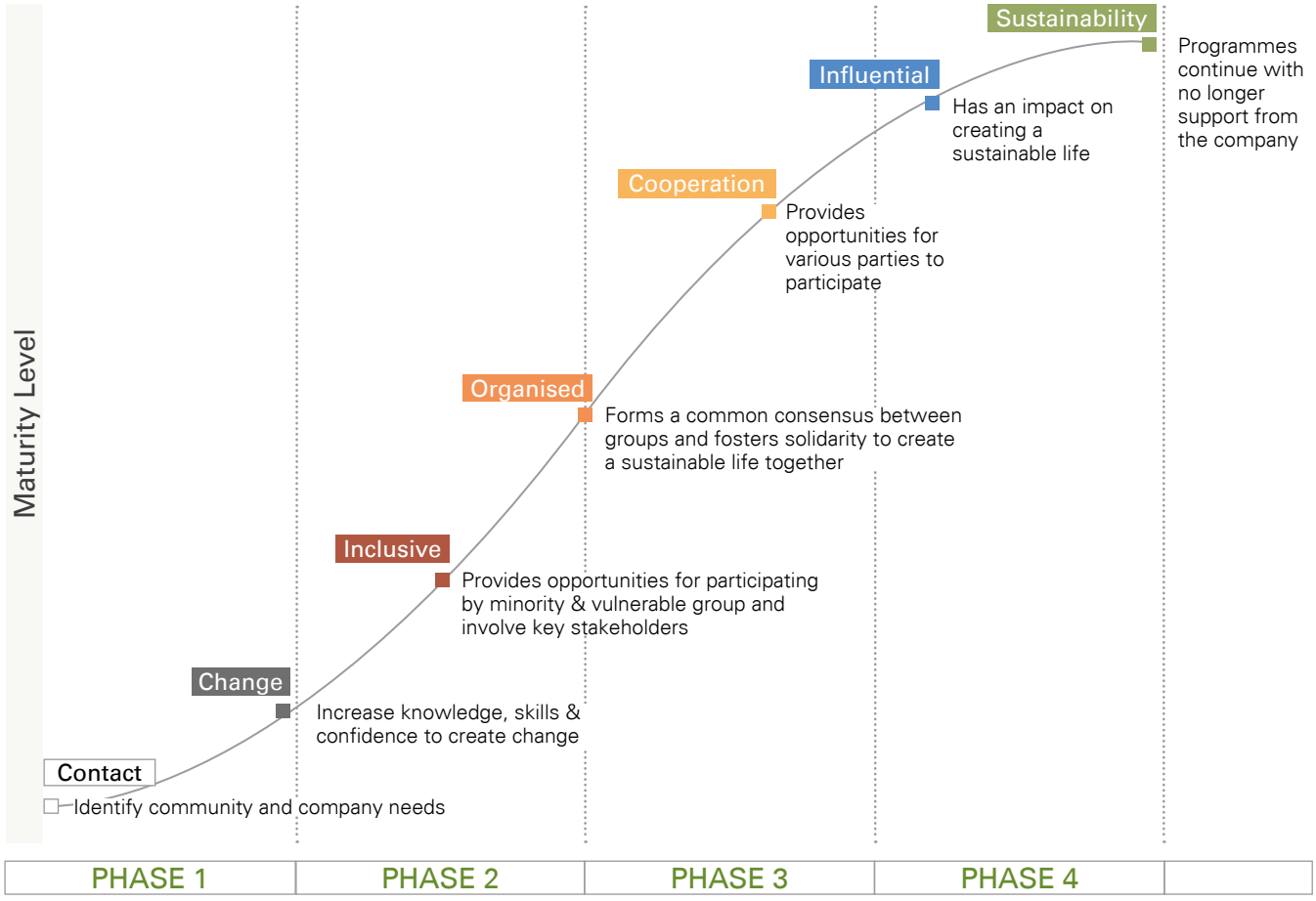
Environmental Awareness Training Session for Paknam Chumphon Wittaya School, Chumphon, Thailand

Adopting the S-Curve

We integrate the S-Curve[1] approach throughout our community initiatives to assess stakeholder participation at each stage. This reflects how new ideas, behaviours, and practices are gradually adopted and integrated into the community.

The graph below shows how Medco Oil & Gas uses the S-Curve approach to support local MSME development:

Economic Empowerment and Capacity Building Process



1	SRI Organic Farming
2	Rubber Cultivation
3	Horticultural Farming
4	Forest Bee Cultivation
5	Grouper fish hatchery development
6	Anchovy (bilis) fisheries business development
7	Cassava chips business development
8	Banana chips business development
9	Shrimp crackers business development

10	Herbal plant cultivation
11	Palm sugar business development
12	Footwear (Sepatu & sandal) business development
13	Herbal plant-based syrup business development
14	Vegetable cultivation
15	Oyster Mushroom cultivation
16	Aquaculture cultivation and business development

17	Sesingel headband artisans business development
18	Layer chicken farming and egg business development
19	Home-based assorted chips business development
20	Fish and shrimp crackers business development
21	Goat fattening and livestock farming
22	Stingless bee cultivation and business development
23	Mangrove crab cultivation

Each maturity level sets specific targets that guide our programme design.

At the Inclusive and Organised stages, we focus on skills training and MSME development to build participation and strengthen local economies.

As communities progress to the Cooperation and Influential stages, initiatives such as organic farming, Sesingal headbands, and Freshwater fisheries operate with reduced company support, showing growing independence.

At the Sustainability stage, programmes continue without external assistance, reflecting full self-sufficiency and long-term economic viability. This progression embodies our approach to structured capacity-building and lasting community independence.

1 Reference: http://ijsr.internationaljournallabs.com/index.php/ijsr

Collaborating with a Banking Institution for Medco Oil & Gas–fostered MSMEs

In August 2025, Medco Oil & Gas signed a collaboration agreement with a bank to enhance the capacities and capabilities of Medco Oil & Gas–fostered MSMEs. Forty-six Medco Oil & Gas-fostered MSMEs were subsequently proposed to take part in this collaborative MSME development programme. As a result, it is expected that the proposed MSMEs will become mature and sustainable to qualify for the bank's financial assistance in the future.



Agreement Signing between PT Medco E&P Indonesia and Bank Rakyat Indonesia

Medco MSME Festival

In December 2025, MedcoEnergi ran their first and successful Medco MSME Festival in the Jakarta office for three consecutive days. Twenty-two fostered MSMEs from almost all of MedcoEnergi's assets participated in this festival, offering more than 180 products, including fresh goods, snacks, honey, packaged ready-to-eat fish, dried fish, batik clothes, coffee, tea, herbal drinks and shoes. Such festivals are designed to promote MedcoEnergi-fostered MSMEs' products to wider markets and customers in the capital city. In the end, the MSMEs successfully made over 850 sales transactions during these three festival days.

In addition, this festival provided the MSME owners with beneficial upskilling and sharing sessions as well as various workshops featuring digital marketing, branding and positioning, financial literacy and the online marketplace ecosystem. Following the festival, we established an MSME kiosk in our Headquarters' staff canteen.



MSME Festival in MedcoEnergi's Head Office, Jakarta, Indonesia



MSME Festival in MedcoEnergi's Head Office, Jakarta, Indonesia

Emergency and Disaster Relief Initiatives

The surrounding areas of MedcoEnergi assets in North Sumatra and Aceh, Indonesia, were severely impacted by flash flood in November 2025. These floods resulted in displacement of employees and their families, disrupting supply chain, and interrupting access to transportation, electricity, and communication networks in the surrounding communities. In response, Medco Foundation implemented *Medco Peduli Bencana Sumatra* (Medco Sumatra Disaster Response), a coordinated disaster response initiative to support affected employees and communities. This initiative was delivered through structured "Post-Disaster Recovery Strategies" that covered short-term emergency responses and stabilisation, and contributed to strengthening long-term community resilience.

As part of the short-term response phase, one day after the flood hit the area, we acted swiftly to map and track all affected employees. This was carried out in coordination with Medco Oil & Gas to ensure that impacted personnel were identified and supported immediately. It subsequently delivered humanitarian assistance to disaster-affected communities across two provinces and nine regencies and cities. These responses covered Aceh, including the regencies of Aceh Tamiang, East Aceh, North Aceh, and Bireuen as well as West Sumatra. It also covered the regencies of Pasaman, Tanah Datar, Solok, Agam together with Padang. Assistance included food and basic necessities, emergency response equipment, infant and child supplies, and clean water, which ultimately reached more than 20,000 beneficiaries



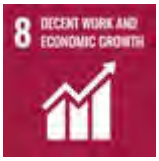
Medical checkups for the affected communities in North Sumatra and Aceh, Indonesia

Alignment of Sustainability Initiatives with the UN SDGs

The table below aligns MedcoEnergi's initiatives to create opportunities for communities with the relevant United Nations Sustainable Development Goals (UN SDGs). These initiatives only highlight MedcoEnergi's effort and do not imply MedcoEnergi has set or measured targets for host governments in our operational areas regarding the achievement of the UN SDGs.

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	1.4	• Implemented home-based horticulture programme by distributing fruit seedlings to households. • Launched bamboo cultivation and use programme to foster bamboo-based businesses and create jobs.
	2.4, 2.A	• Implemented Rural Business Development Programme to increase agricultural and livestock production. • Supported dairy and meat goat farming to strengthen food security. • Launched seaweed farming pilot for use as climate-resilient species.
	3.3, 3.4	• Organised donations of sports coaching and equipment. • Educated drug-resistant tuberculosis patients on how to consistently treat and prevent infections. • Provided health screenings and campaigns, plus medical equipment, to support healthcare services. • Funded support for the Sensory Room Project for children with special needs. • Educated communities on nutrition to prevent stunting.
	4.1,4.2, 4.3, 4.4, 4.7	• Delivered early childhood education teacher training and education support programmes. • Supported cultural preservation through seminars and discussions on local heritage and folktales. • Implemented school-based programmes, including "Employee Teaching" initiatives. • Provided learning facilities, books, and reading environments to support students and communities. • Conducted educational programmes on geothermal energy and environmental awareness for students. • Delivered training on coastal resource conservation and sustainable practices. • Supported construction of educational infrastructure, including kindergarten facilities
	5.5 , 5.A	• Delivered skills training and MSME development support, including business equipment, to women's groups and women-led enterprises. • Implemented Women and Children Empowerment Centre (*Rumah Pemberdayaan Ibu dan Anak*/RPIA) programme to empower women and children.
	6.1, 6.B	Providing clean water infrastructure for local communities.
	7.1, 7.B	Launched free electricity installation programme for underprivileged households.

1 The targets can be found in UN SGDs website (https://sdgs.un.org/goals)

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	8.2, 8.3	• Revitalized a fisheries learning centre and engaged new fishing groups. • Held business mentoring and training, financial training, SOP and legal support, and business networking for village-owned enterprises • Supported development of local enterprises, including food production, bamboo products, and Ginger Pandan Tea. • Implemented circular economy programme through eco-friendly cricket farming, which increased product revenue. • Conducted sewing skills training to enhance product quality and economic opportunities. • Upgraded a production house to enable certifications. • Provided environmentally friendly fishing equipment to improve productivity and sustainability.
	9.1	• Constructed a bridge to enhance access to villages. • Upgraded community production houses into certified facilities to strengthen local industry.
	11.1, 11.2	Supported community infrastructure improvements, including renovation of religious and public facilities.
	12.1	Implemented waste management and circular practices, including marine waste management and converting food waste into organic fertiliser.
	13.1, 13.3	• Continued a partnership to support conservation and environmental management. • Conducted renewable energy and conservation campaigns for students.
	14.7	• Supported coastal and marine conservation initiatives in collaboration with relevant authorities. • Promoted sustainable use of coastal resources through community training and education.
	15.1	• Conducted tree planting and mangrove restoration initiatives to support ecosystem protection and coastal resilience.
	17.17	• Engaged multi-stakeholders such as local governments, communities, NGOs, and educational institutions.

Action Plans

The following action plans will enable us to meet our objectives and continue creating opportunities for communities. We regularly measure, monitor and report on our progress and performance and match them against these actions. The progress report of these action plans refers to the 2023 - 2027 Sustainability Road Map. Since we have passed the short-term period and actions have been concluded in 2025, our current focus is the status of the medium/long term actions.

Category	Short-term Actions	Medium/Long-term Actions	Status
Local Communities	Conducted social mapping in selected assets.		**Oil & Gas:** Completed social mapping in Lematang areas. **Power:** There is no social mapping needed in 2025.
	Enhanced 2025 Community Development Programme.	Enhance annual community development programmes to strengthen MedcoEnergi's contributions to the SDGs.	**Oil & Gas:** Improved the community development programme involving Local Business Development (SDG 1, 2, 5 & 14), Health (SDG 3 & 6), Education (SDG 4 & 8), Clean Energy (SDG 7 & 13), Infrastructure (SDG 9 & 11),Environment (SDG 15), and Partnership (SDG 17). • Signed a cooperation agreement with BRI Microfinancing for Medco-fostered MSMEs development and organised the first Medco MSME Festival to expand market access and enhance broader marketing opportunities for 22 MSMEs. • Health programmes in Corridor, South Sumatra Region, and Bangkanai on tuberculosis were carried out in collaboration with Medco Foundation. • Vocational centre programme in Musi Banyuasin, South Sumatra, Indonesia **Power:** Improved the community development programme involving Local Business Development (SDG 1, 2, 5 & 14), Health (SDG 3 & 6), Education (SDG 4 & 8), Infrastructure (SDG 9 & 11), Environment (SDG 15) • Empowering Women through MSME and Financial Management Training • Implemented educational programme in Batam, Ijen, Riau, and Sarulla. • Expanding access to basic healthcare for communities in Ijen and Riau including the health servies equipment support • Enhancing environmental compliance through bamboo planting and restoring forest ecosystems through watershed rehabilitation in Riau Accelerating local economic growth through community-based enterprises such as cricket farming, partnered with Kali Gedang family welfare empowerment group, and Nuri Indah Lestari (MSME).
	Conducted SROI studies in selected areas.		**Oil & Gas:** • Completed SROI field survey studies in SSR areas and Thailand, and identified rooms for improvements in the programme effectiveness and increasing social value creation.
	Reviewed Community Development Guidelines.		**Oil & Gas:** • Updated Community Development Guidelines and familiarised it to all assets.

Category	Short-term Actions	Medium/Long-term Actions	Status
Stakeholder Engagement	Conducted stakeholder mapping & perception survey/ SLOI in Corridor.		Oil & Gas: • Completed SLOI study for the Corridor asset. • Identified updated stakeholder engagement plan to further support sustainable livelihood improvements and long-term community resilience.
	Updated the Stakeholder Engagement Guidelines.	Evaluate how the 2022-2026 Strategic Stakeholder Engagement plans are implemented in 2026 and update the guidelines in 2027.	Oil & Gas: • Updated Stakeholder Engagement Guidelines and familiarised all assets with them. Power: • Conducted refreshment Stakeholder Engagement Guidelines especially for new subsidiaries (Sulut-1 and Timor-1).
	Evaluated & improve R&S Integrated Dashboard		Oil & Gas: • Monitoring, evaluate and improve stakeholder engagement dashboard to enhance data analysis.
Security Practices	Monitored and evaluated security incidents in Indonesian Oil & Gas assets.		Oil & Gas: • Monitored, analysed and evaluated trends of security incidents across all assets and provided improvement plans.
	Implemented pilot project to integrate dashboard of security incidents for Indonesian Non-Oil & Gas.		Power: • Launched the Integrated Security incident dashboard system for MPI.
	Improved management of security plans.		Oil & Gas: • Completed security management system audit from POLRI in Block A and pre-audit MPHM for SSB asset. Power: • Enhanced MPI's security incident dashboard. • Conducted internal security management system audit for all Subsidiaries. • Conducted quarterly security contractor performance evaluation.
	Provided VPSHR (Voluntary Principles on Security and Human Rights) training for all assets: security managerial level – 100%.		Oil & Gas: • Completed managerial level VPSHR training. Power: • Conducted regular human rights refreshment training for all security personnel and subsidiary representative.

Category	Short-term Actions	Medium/Long-term Actions	Status
Security Practices	Updated Security stakeholder mapping.		Oil & Gas: • Completed updates to Security stakeholder database. • Engaged with various Security stakeholders. • MedcoEnergi succeeded in receiving The Best Security Performance KKKS. Power: • Updated the security's stakeholder profile database for period of 2025 • Conducted intensive and closely engagement with relevant stakeholder from national until village level including security stakeholders to ensure the inauguration of Ijen Geothermal and East Bali Solar PV by President of the Republic of Indonesia could running smoothly.
	Updated security risk assessments on selected assets.		Oil & Gas: • Established leading and lagging security indicators and comprehensive risk assessments to drive our "Zero Security Incidents" programme, enhancing asset protection and continuous improvements. • Reviewed how the management of Zero Security Incidents KPI programme was implemented. Power: • Improved STRA (Security Threats and Risks Assessment) template. • Socialized and implemented security threats and risks assessment for new Subsidiaries (Sulut-1 and Timor-1). • Maintained weekly assessments of security threats and risks.



The Employee Teaching Programme in Batam, Indonesia

This picture is one of the entries in the 'Social & Culture' category of the MedcoEnergi 2025 Photography Competition



This picture is one of the entries in the 'Governance' category of the MedcoEnergi 2025 Photography Competition

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Strengthening Our People and Digital Transformation

At MedcoEnergi, our people are the foundation of sustainable growth. We continue to strive to developing workforce agility, nurturing future talents, enhancing employee experience, and upholding a fair and respectful workplace. Through responsive resourcing, capability development, digital HR enhancements, and sound industrial relations, we are building a resilient, engaged, and future-ready workforce that drives our long-term success. In parallel with the human resources development initiatives, we are accelerating digital transformation to enhance operational performance, foster innovation, and strengthen long-term value creation. We are guided by four strategic pillars: strengthen our digital foundation, establish a new digital operating model, drive digital transformation across the business, and enhance cybersecurity. These pillars provides clear direction towards the development of a secure, efficient and sustainable digital ecosystem that supports continued business growth.

Approaches, Commitments, and Goals

MedcoEnergi's Core Values – Professional, Ethical, Open, and Innovative, serve as the foundation of our success. They define our organisational culture, shape behaviours, and guide individual performance. These principles also reaffirm our commitment to foster an inclusive and respectful workplace where every individual is valued.

We recognise that diversity is a key enabler of innovation and a strong, inclusive workplace that supports our long-term sustainability objectives. We are therefore committed to creating a workplace that is equitable and free from discrimination, ensuring that all employees are treated fairly and respectfully regardless of ethnicity, race, gender, skin colour, religion, age, marital status, nationality, or background.

MedcoEnergi upholds fairness across all employment practices, ensuring that recruitment, development, performance evaluation, and rewards are based on merit. Our compensation system includes performance-based pay and comprehensive benefits that exceed the provincial minimum wage (*Upah Minimum Provinsi*/UMP) in Indonesia. The system remains competitive across MedcoEnergi;s other operational areas.

We regularly review our Human Resources policies, including the Career Management Guidelines, Recruitment Guidelines, and Labour Management Plans, to ensure alignment with evolving workforce needs and international standards such as the International Labour Organisation's (ILO) Declaration on Fundamental Principles and Rights at Work. Implementation is supported by our centralised HR information system through the MyHRCorner application and the HR Dashboard portal, enhancing employee experience, accessibility, and decision-making efficiency.

As a company that values human rights, MedcoEnergi upholds workers' rights and complies with all applicable labour laws across our operations, which is in line with the Universal Declaration of Human Rights (UDHR). We strictly prohibit child and forced labour and require our suppliers and business partners to adhere to the same standards. Furthermore, we respect employees' rights to freedom of association and collective bargaining, reinforcing our commitment to ethical and responsible business practices. MedcoEnergi's Human Rights Policy is accessible at www.medcoenergi.com.

In parallel with our people strategies, MedcoEnergi continues to strengthen its digital and IT capabilities to enable operational excellence and organisational effectiveness. For this reason, the Company is implementing a five-year digital strategy launched in 2022 that supports efficient, reliable, and secure digital services across the organisation. It also complements human capital development by enabling data-driven decision-making and modern ways of working. Further details on MedcoEnergi's Digital IT strategies and initiatives are presented in the Accelerating The Digital Transformation Agenda To Deliver Business Value section.

Proactive Resourcing Strategy

In line with our commitment to sustainable operations and business resilience, we have implemented a Proactive Resourcing Strategy to ensure a fit-for-purpose workforce that supports business needs. This initiative focuses on developing long-term resourcing plans that align with both our corporate objectives and asset development requirements, ensuring that efficient and adaptable manpower is available.

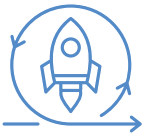
By integrating workforce planning with our business priorities, we are able to respond swiftly to operational needs while maintaining cost efficiency, safety, and performance standards.

Key Focus Areas of Our Responsive Resourcing Strategy



Adaptive Workforce Planning

Anticipating future skills and workforce needs that match our evolving business strategies, energy transitions, and digitalisation.



Agile Deployment

Establishing flexible manpower pools and optimised third-party partnerships to enable us to mobilise timely and efficient resources across assets, ensuring operational continuity and responsiveness to changing business and project needs.



Capability and Skill Development

Investing in targeted training and continuous learning to strengthen workforce resilience, enhance critical competencies, and ensure employees are equipped to adapt to evolving operational, technological, and business requirements.



Collaborative Partnerships

Strengthening relationships with manpower providers to uphold shared values in safety, quality, and local employment, ensuring a reliable, responsible, and value-aligned extended workforce that supports sustainable operations.

Through these responsive resourcing approaches, we continuously invest in building a workforce that is resilient, inclusive, and high-performing that can support a safe, efficient and sustainable business in the energy and mineral resource sector.

Organisational Effectiveness Strategy

To ensure our organisation is effective across asset lifecycles, we tailor structured frameworks from long-term strategic plans (Asset Development Plan/Long Term Planning) and operational philosophy to match our organisational designs. This principle-based approach ensures that each asset organisation remains fit-for-purpose, aligned with operational needs, and guided by corporate standards. By embedding talent development, leadership, and sustainability at every level, and by assigning accountability to corporate Subject Matter Experts (SMEs), we ensure scalability, agility, and consistency across the portfolio.

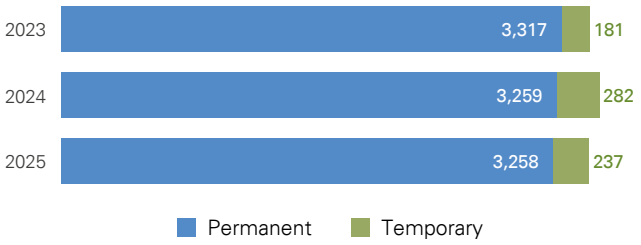
MedcoEnergi's Organisation Effectiveness Strategy



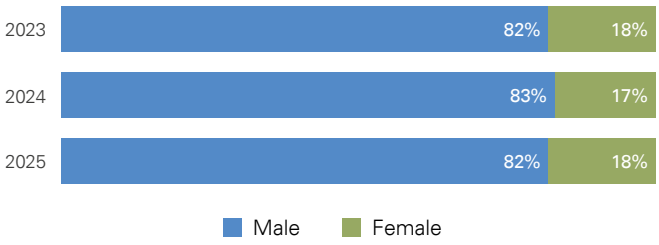
Our Employees

As of 2025, MedcoEnergi employs 3,495 individuals, of which 18% are women. Two women currently serve on our boards and committees, accounting for approximately 15% of total membership. In addition, women hold 20.4% of leadership positions in Corporate and Medco Oil & Gas, reflecting our continued commitment to advance gender diversity and empower women in leadership roles.

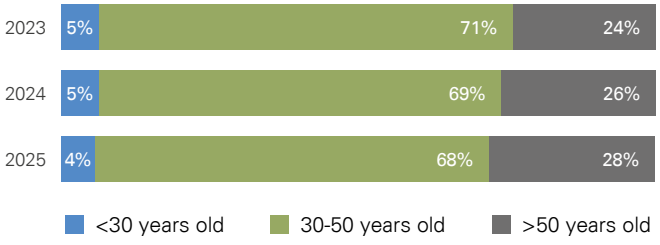
Numbers of Employees in Oil & Gas and Power Based on Employment Contracts



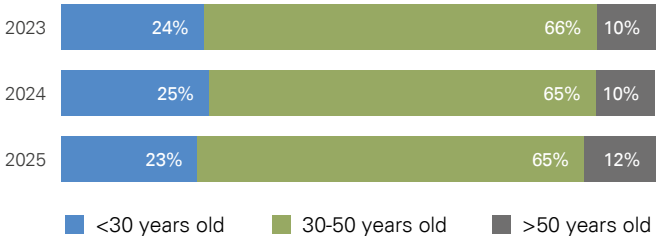
Percentages of Employees in Oil & Gas and Power Based on Gender



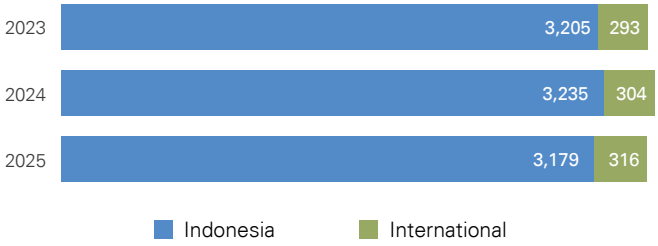
Percentages of Employees in Oil & Gas Based on Age Groups



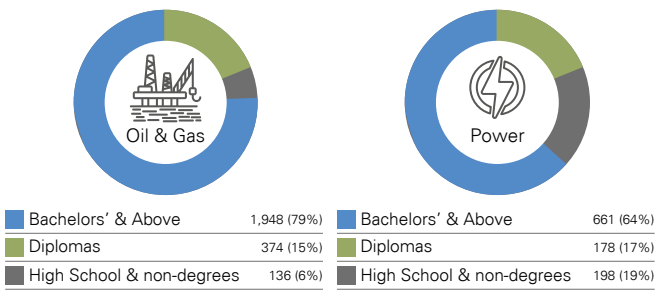
Percentages of Employees in Power Based on Age Groups



Numbers of Employees in Oil & Gas and Power Based on Geographical Locations



Numbers of Employees in Oil & Gas and Power Based on Educational Levels in 2025



Numbers of Employees in Oil & Gas and Power Based on Positions in 2025

Assets	Senior Vice Presidents (VP) & VPs	Senior Managers	Managers	Superintendent & Supervisors	Staff	Total
Oil & Gas	23	73	276	405	1,681	2,458
Power	10	16	32	35	944	1,037
Total	**33**	**89**	**308**	**440**	**2,625**	**3,495**

Notes: The number and percentage of new employees hired in the Oil & Gas and Power sectors, categorised by age, gender, and region, as well as employee turnover data for the same categories, are disclosed separately in our 2025 GRI Performance Data.

Initiatives to Strengthen Our People

At MedcoEnergi, we strengthen our talent strategies by building a leadership pipeline and enhancing our workforce capabilities to support long-term growth. By mapping talent and planning successions, we identify high-potential employees and develop them in line with Medco Leadership Behaviors (MLB). Our leadership and technical development programmes, early career initiatives, digital HR tools, and inclusive workplace initiatives equip our people with the skills, mindsets, and agility needed to maintain business performance.

MedcoEnergi's Integrated Talent Management



In 2025, we reinforced our commitment to develop a future-ready workforce through five key Human Resources programmes. Our Talent Mapping and Succession Planning process ensured a robust leadership pipeline by identifying high-potential employees and securing continuity in critical positions. The Medco Senior Leadership Development Programme (MSLDP) and MedcoEnergi Business Apprentice Programme (MBAP) focused on cultivating strategic leadership and accelerating early-career talent. We strengthened technical and professional competencies through our technical academies, covering subsurface, surface engineering, wells, operations, and data science disciplines. Finally, we enhanced employee experience and engagement through digital HR tools, the Respectful Workplace Policy, Women@Work initiatives, and the Pulse Survey, which foster an inclusive, empowered, and high-performing workforce.



Securing talent for critical projects and initiatives

Strengthening company values & Medco Leadership Behaviors (MLB)

Developing leadership and technical skills

Enhancing industrial and employee relations to maintain harmony

Building organisational capabilities to support the energy transition agenda

Securing Talent for Critical Projects and Initiatives

Continuous learning remains a core focus of MedcoEnergi, with Individual Development Plan (IDP) serving as a key framework to support employee growth. In 2025, we executed an IDP Campaign to align employee development needs with organisational priorities. As a result of this campaign, 19 employees received support for formal education through the Employee Education Assistance Programme, reinforcing our commitment to developing employee capabilities.

Our Succession Planning and Talent Development programme ensures that critical functions are regenerated. This includes operations, engineering, and subsurface, which are supported by young leaders who now hold 31% percent of structural positions. Women account for 19% percent of these roles, strengthening leadership diversity and resilience.

To attract, retain, and motivate high-performing employees, our Total Rewards strategies offer competitive, performance-driven incentives aligned with business needs. This includes regular market benchmarking, continuous refinement of reward mechanisms, and an organisation-wide Performance Management System actively participated in by all employees. Further details on percentage of employees receiving performance review are available in the 2025 GRI Disclosure 404-3 within the GRI Performance Data.

Securing the Talent Pipeline and Strengthening Workforce Readiness for Growth

We continued to strengthen our commitment to develop sustainable leadership through a structured Talent Mapping and Succession Planning process. This identifies employees with strong potential based on consistent performance and alignment with MLB, ensuring a robust pipeline to meet future organisational needs. In this cycle, we evaluated more than 1,100 employees, with 23% identified as High Potentials, including 3.5% Top Talents. Additionally, we reviewed nearly 400 critical positions through our succession plans to secure leadership continuity and support our long-term business strategies.

Medco Senior Leadership Development Programme (MSLDP)

We continued our commitment to develop future leaders through the third batch of the Medco Senior Leadership Development Programme (MSLDP), conducted in collaboration with INSEAD. This programme equipped 25 high-potential leaders from Indonesia, Thailand, Oman, and Singapore with advanced strategic thinking, leadership execution, and cross-functional capabilities. Through strategic business initiatives and direct engagement with the Board of Directors, participants translated MLB into action, strengthening their readiness to lead with agility and deliver sustainable business impacts across MedcoEnergi's operations.



Senior Leaders Participating in MSLDP Session

MedcoEnergi Business Apprentice Programme (MBAP)

We continued to prepare young professionals through the MedcoEnergi Business Apprentice Programme (MBAP), an accelerated early-career development programme designed to build a strong and competitive organisation, close future leadership and technical talent gaps, and foster an agile culture that adapts to rapidly changing industry landscapes. This programme initially focused on Finance and Information Technology disciplines, with the concept of planning added in 2025 to meet evolving business needs. This year, we received more than 2,700 applications, and 11 outstanding candidates with strong academic performance from reputable universities were selected to join the programme.



Focus Group Discussion of the MBAP Selection

Strengthening Company Values & Medco Leadership Behaviors (MLB)

We recognise that an engaged and inclusive workforce is essential to drive business success and uphold our company values. This is why we reinforced a culture of continuous improvement by actively following up on the Employee Engagement Survey (EES) 2024 results, ensuring employee voices shape workplace strategies.

We continued to reinforce MLB to cultivate integrity, collaboration, and continuous improvement; MLB encourages employees to embody key leadership values through MLB moments and safety moments.

Medco Leadership Behaviors (MLB)



This approach reinforces an internal culture dedicated to supporting energy growth, ensuring that MLBs are deeply embedded in the way we work. Our Performance Management System incorporates MLB as a key assessment component, integrating leadership values and corporate principles into daily operations while also evaluating employees' work achievements.

Coaching Programme

We continued our leadership development journey through a structured series of programmes for senior leaders. It began with the Lead and Inspire sessions, which equipped 20 participants with broader perspectives, a strategic thinking mindset, and enhanced decision-making capabilities. Building on this foundation, participants progressed to the Coaching Programme, which was designed to translate insights into action. Individual coaching focused on self-improvement and personal leadership growth, while group coaching encouraged collaboration to develop strategic business initiatives addressing real organisational challenges.

Development Campaign

We continued to strengthen MedcoEnergi's culture of continuous learning and growth through the Development Campaign, promoting the IDP and Career Profile to encourage employees to take ownership of their development and career journey. We launched the Capability Development Guide on the intranet to support meaningful development conversations between supervisors and team members and provided a Desk Tent version for Senior Managers. In addition, we promoted the Mentoring Campaign through multiple internal media channels to raise awareness and encourage employees to actively participate as part of their growth journey.

Employee Education Assistance (EEA)/Scholarship Programmes

We continued to support employees' development through the Employee Education Assistance (EEA) programme, aligning individual development plans with business priorities. Nineteen employees were nominated to receive this award based on their performance and relevance to current roles, thus reinforcing our commitment to continuous learning and professional growth.



MedcoEnergi Development Campaign

Medco Employee Dependent School Award (MEDSA)

We introduced the Medco Employee Dependent School Award (MEDSA) as a new initiative to enhance employee engagement by recognising dependents with high educational achievements. This year, 71 dependents were selected, and the award ceremony was attended by parents, management, and the President Commissioner of MedcoEnergi, which strengthened connections with our employees' families.


The recipients of MEDSA programme in 2025

Advancing Leadership and Technical Skill Development

We enhance leadership and employee growth through tailored training programmes that refine skills, strengthen expertise, and support career progression. In 2025, we conducted over 550 targeted technical skill enhancement sessions, investing a total of USD 3.4 million in both leadership and technical development.

Year	Programmes	Man-courses[1]	Training Hours	Training Investment (USD)
2025	1,013	6,132	124,709	3,470,219
2024	1,085	8,210	136,380	3,882,000
2023	1,058	9,380	77,900	3,976,000

Programmes for upgrading employee skills and transition assistance programmes are available in the 2025 GRI Disclosure 404-2 in our GRI Performance Data.

In 2025, we advanced our leadership and talent initiatives through these programmes: the Medco Subsurface Academy (MSA); Medco Surface Engineering Academy (MSEA); Medco Wells Academy; Medco Data Science Academy; Sustainability & Climate Change Fundamentals; the Green Ambassadors for Inclusive Climate Action (GAIA); and various other training, workshops, and forums, delivering over 124,000 training hours.

Medco Subsurface Academy (MSA)

The MSA is an integrated training programme designed to develop both technical and leadership competencies simultaneously. It prepares our subsurface professionals to become future leaders capable of responding effectively to the evolving challenges of the oil and gas industry. In 2025, we continued the programme by providing ongoing monitoring and coaching to participants on their projects and daily work, focusing on mindset, behaviour, technical analysis, decision making, and technical leadership, while continuing to encourage leaders to apply MLB.

Medco Surface Engineering Academy (MSEA)

The MSEA is a structured six-month development programme comprising three modules and nine workshop days. It is designed to strengthen technical leadership capabilities while embedding core leadership values aligned with the current challenges of the oil and gas industry. The first module focuses on the Foundations of Strategic Surface Engineering, highlighting key industry challenges and the importance of strategic capital planning shared by senior leaders. The second module addresses industry-specific challenges, and the third emphasises innovation and resilience.



Medco Surface Engineering Academy

Medco Wells Academy

This programme is designed to prepare current and future leaders in the Wells Operations division to meet MedcoEnergi's performance standards, aligned with world-class oil and gas industry benchmarks. It aims to establish a balanced approach in addressing the company's immediate and long-term business objectives. The programme targets 25 participants from the Sub-Directorate of Wells and Subsurface, including drilling managers from Oil & Gas assets.



Medco Wells Academy

1 The number of subject training attended by one person. If one person attends two training sessions, it will be counted as two mancourses. Reference: MedcoEnergi Training Policy.

MedcoEnergi Operations Academy

The MedcoEnergi Operations Academy is a strategic leadership development initiative for selected supervisors in Medco Oil & Gas' Operations function. Running from 2025 until mid-2026, this programme combines in-person workshops, virtual mentoring sessions with a final presentation. Its goal is to strengthen leadership behaviours based on MLB; equip supervisors with robust leadership and technical capabilities; and promote a culture of safety and Operational Excellence transformation across all operational areas. This programme was completed in two modules, with 26 supervisors from Onshore, Offshore, and Corridor Operations participating.



MedcoEnergi Operations Academy

Medco Data Science Academy

The Medco Data Science Academy is a programme designed to build a strong data-driven culture by adopting advanced analytics, enhancing workforce data literacy, fostering evidence-based decision-making, and enabling business users without deep coding skills to engage in data science. In 2025, the Academy Series progressed to the analytics project proposal stage, where 21 selected participants developed machine learning projects to address real business challenges, supported by mentoring sessions across various engineering domains.



Medco Data Science Academy

Enhancing Industrial and Employee Relations to Maintain Constructive Company-Workforce Engagement

We maintained open communication and collaboration by arranging Quarterly Bipartite Meetings with each labour union. These meetings addressed management and union concerns and provided updates on new internal policies and regulations. Additionally, to support Grow People Capabilities under MLB, we organised activities to enhance labour unions' knowledge in industrial relations. In 2025, MedcoEnergi strengthened synergy across its workforce and partners by fostering collaboration, dialogues, and shared understanding through its annual Industrial Relations Forum (IRF). Under the theme "Synergy Drives Energy", the 6th IRF brought together 80 participants, including representatives from labour unions, joint operating bodies, subsidiaries, management, and guest speakers. The forum served as a platform to align diverse perspectives, promote mutual trust, and enhance joint problem-solving capabilities. By reinforcing open communication and collective engagement, the IRF exemplifies how MedcoEnergi leverages collaboration as a strategic enabler to drive performance, enhance productivity, and ensure long-term organisational sustainability.



MedcoEnergi's Industrial Relations Forum

mSeek AI Agent

Aligned with our digital transformation agenda, we introduced mSeek, an AI-powered platform that provides employees with quick, accurate, and seamless access to company information. Effective from 1 October 2025, the platform became officially available to all employees, supported by a live launch podcast featuring our Vice President of Digital IT and Vice President of HR & General Services. The first phase focused on HR topics, enhancing accessibility and the employee experience.

HR Shared Service Centre KPI/HR Dashboard

To elevate the employee experience, MedcoEnergi has implemented Key Performance Indicators (KPIs) for the HR Shared Service Centre (SSC), which covers hire-to-terminate HR processes and services, including the HR Hotline. These KPIs measure response times and the effectiveness of service delivery to address employee requests submitted through our Business Process Management (BPM) system. Measuring these metrics demonstrates our commitment to maintaining high levels of employee satisfaction.

HR Dashboard

As MedcoEnergi expands in scale and complexity, the need for a centralised, accurate, and reliable source of workforce data has become increasingly critical. Access to real-time and consolidated information across all people-related functions is essential for a more effective HR management.

The HR Dashboard, which leverages advanced analytics and visualisation tools, enables key HR metrics to be presented and integrated transparently. Data such as employee headcounts, turnover rates, recruitment progress, training participation, and HR budget performance is collected into a single, intuitive, and interactive platform. Dynamic dashboards with automatically refreshed data ensure that information remains current, allowing HR teams and leadership to monitor workforce trends and identify emerging patterns in real time.

This integrated HR data platform empowers management with timely, evidence-based insights to make strategic decisions that align human resource initiatives with broader organisational objectives.

Building on KPI insights and following the EES and initiatives from the Female Focus Group Discussions, MedcoEnergi launched the Respectful Workplace Policy and Women@Work initiatives in June 2025. These reinforce the Company's commitment to supportive, inclusive, and equitable workplaces that strengthen engagement, talent development, and organisational performance.

Respectful Workplace Policy

MedcoEnergi marked an important milestone in its commitment to foster a safe, inclusive, and respectful work environment when it launched the Respectful Workplace Policy. This hybrid event was attended by approximately 700 participants and began with a keynote address by our Senior Vice President of Business Support, followed by a panel discussion featuring senior management.

A respectful workplace is vital for collaboration, innovation, and operational excellence. Leaders actively encourage all employees to contribute to a culture where everyone feels safe, valued, and empowered to speak up. This policy also further encourages all employees to internalise MLB principles, which closely align with the company's professional, ethical, open, and innovative corporate values.

To ensure widespread adoption, several sessions were conducted to familiarise all employees with this policy.



Launching of the Respectful Workplace Policy

Women@Work Programme

MedcoEnergi launched Women@Work in June 2025 to empower, connect, and support female employees. The event, attended by approximately 150 participants, featured a keynote speech by Mrs. Yani Panigoro, President Commissioner of MedcoEnergi, who highlighted consistency, adaptability, and resilience. A talkshow themed "Leading with Strength, Living with Balance" reinforced the initiative's goal of fostering a supportive community for women to thrive both professionally and personally.

This programme provided a platform for female employees to share inspiration, strengthen confidence, and build positive connections in the workplace. The Women@Work community held this event with the theme "Refine & Shine: Enhancing Confidence and Your Best Self", attended by 200 participants. The Women@Work community also collaborated with the Medco Foundation to donate a portion of the bazaar proceeds to aid flood victims in Sumatra. These initiatives foster both a spirit of empowerment and a shared space to grow together.



Women@Work Programme



Pulse Survey

MedcoEnergi conducted a Pulse Survey to continuously monitor employee engagement and assess improvement initiatives across Corporate and Business Units. Involving approximately 900–1,000 participants (30% of each business unit) and supported by an independent third party, this survey ensured anonymity as it focused on work processes, career development, and organisational culture. The results will guide targeted actions to strengthen employee engagement.



Pulse Survey Result Discussion with Management Team and Mercer Indonesia

Collective Labour Agreement (CLA) Grand Plan Alignment

MedcoEnergi is committed to respectful, fair, and harmonious workplaces by continually trying to align Collective Labour Agreements (CLAs). This framework ensures that corporate objectives, people practices, and regulatory requirements are consistently applied as it promotes integrity, trust, and mutual respect.

To maintain industrial harmony, MedcoEnergi has established seven CLAs, recognises 11 labour unions and is encouraging the merger of four unions into one. In 2025, the Company renewed two CLAs and extended one additional CLA to ensure alignment with both employee and company needs. These efforts are supported by "grand plan alignment" initiatives developed in collaboration with government stakeholders. MedcoEnergi also strengthens collaboration with employee representatives, labour unions, and relevant stakeholders through regular policy reviews and communication sessions, reinforcing ethical conduct, diversity, and equal opportunity.

Through these initiatives, MedcoEnergi maintains a stable and respectful work environment, supporting organisational stability and sustainable human capital development.

Building Organisational Capabilities and Sustainable Workplace to Support the Climate Change & Energy Transition Agenda

To translate our climate goals into action, we equip employees with technical skills to support our Energy Transition Agenda. In 2025, six training programmes and knowledge-sharing sessions covered renewables, low carbon technologies, carbon capture & storage-carbon capture, utilisation & storage, and climate change, engaging 181 employees and taking a total of 2,930 training hours to complete.

Sustainability & Climate Change Fundamentals (Mandatory E-learning)

We launched mandatory e-learning titled Sustainability and Climate Change Fundamentals, consisting of three modules, for MedcoEnergi employees and third-party contractors across the Corporate Office, Oil & Gas, and Power operations. Detailed information concerning workforce capability building on sustainability and climate change can be found in Chapter 6.

Green Ambassadors for Inclusive Climate Action (GAIA)

We continued the Green Ambassadors for Inclusive Climate Action (GAIA) Champion programme, engaging employees in sustainability campaigns to promote awareness and action on climate-related initiatives.



GAIA Mascot (Green Ambassadors for Inclusive Climate Action)

Sustainability Assessment Training

In late 2024, we issued the updated Sustainability Assessment Guidelines. The revisions strengthened the assessment framework by enhancing the consideration of climate change–related indicators, providing clearer parameters, improved evaluation criteria, and stronger alignment with evolving sustainability expectations.

To ensure that it was effectively implemented, familiarisation sessions were conducted through Sustainability Assessment training sessions for cross-functional reviewers, particularly those in both environmental and labour management as well as social performance. As a result, this training enhanced reviewers' understanding of the revised criteria and strengthened internal capacities to evaluate whether projects were ready to manage both environmental and social impacts as well as risks. In September 2025, MedcoEnergi further reinforced this effort by conducting a refresher training that strengthened practical assessment skills, introduced key frameworks and indicators, and supported sustainability assessments as a tool in the MPEP Gate Review process. As a result, 21 reviewers are now prepared to apply the Sustainability Assessments.

Alongside capability development, we continue to integrate sustainable workplace practices into daily operations. Our continued utilization of hybrid and electric operational vehicles supports more efficient fuel use. We also optimize shuttle car operations through improved route planning and higher occupancy rates. This approach encourages employees to shift from personal vehicles to shared commuting options, which can help ease the overall fuel consumption. These efforts are further strengthened by energy-conservation campaigns that encourage responsible electricity use in the office as well as improved waste management practices. Further information on Jakarta Office waste management can be found in Chapter 7.

MedcoEnergi Award 2025: Innovation for a Sustainable Future

MedcoEnergi organises an bi-annual Corporate-level competition, known as the MedcoEnergi Awards, to highlight and recognise significant innovations and improvements across the Group. The awards aim to appreciate initiatives that align with the Company's values, foster a culture of innovation and collaboration, enhance employee capabilities, and promote sustainability and climate-related initiatives. The competition is open to all employees, secondees, direct contract employees, and third-party contractors across MedcoEnergi's corporate functions, Medco Oil & Gas and Medco Power assets.

The MedcoEnergi Award 2025 , conducted from May to November 2025, expanded the competition to five categories with the introduction of a new Emerging & Pilot Innovation category, alongside Fit-for-Purpose Technology, Production/Revenue Enhancement, HSE and Sustainability Excellence, and Business Process Improvement. This addition drove a significant increase in participation, with 712 abstracts submitted, representing a 42% increase compared to 2023, which recorded 508 abstracts.

A rigorous multi-stage selection process was applied. From the abstract submission stage, 150 abstracts were shortlisted to proceed to the paper development phase. The submitted papers were then progressively narrowed down to the top ten and subsequently the top five papers in each category for the presentation stage. At the final assessment, three winners were selected from each category, along with one overall "Best of the Best" award.

The MedcoEnergi Award continue to serve as a key platform for recognising innovation excellence and celebrating impactful contributions that support the Company's business performance, sustainability objectives, and long-term value creation.



MedcoEnergi Award 2025

Accelerating the Digital Transformation Agenda to Deliver Business Value

MedcoEnergi continues to implement its five-year digital strategy, launched in 2022. Over the past three years, we have strengthened our digital resilience, aligned the IT operating models with business priorities, and established a robust foundation for digital transformation through consistent execution across these four key pillars:

Digital IT Vision

Deliver value to our business by exploiting digital technologies to make our operations and processes more efficient, effective, intelligent and automated.

Strengthening our digital foundation



Enhance monitoring tools, dashboards, and network controls to improve reliability, resilience, and service quality.

Establishing a new digital operating model



Implement a centralised IT management system and optimise demand and portfolio processes to ensure efficient, value-driven operations.

Driving digital transformation across the business



Expand Artificial Intelligence (AI)/Machine Learning (ML) platforms, data visualisation systems, and digital capability programmes, earning industry recognition for innovation.

Strengthening our cybersecurity



Reinforce defences, partnerships, and awareness initiatives to elevate cyber resilience and organisational readiness.

In 2025, while maintaining progress across all four pillars, MedcoEnergi increased its focus on leveraging advanced digital technologies such as AI and ML to deliver greater business value.

a. Strengthening our digital foundation
- Enhanced monitoring tools, dashboards, and the command centre to enable faster issue detection and resolution, minimising disruptions and improving service quality.
- Strengthened network controls through improved segmentation and access management to enhance infrastructure reliability and security.

b. Establishing a new digital operating model
- Developed a centralised system for IT asset and service management that enables proactive, efficient, and business-aligned operations.
- Advanced the Demand and Portfolio Management process into a fully optimised and embedded practice that is supported by a value creation submission process to ensure sustained business value delivery.

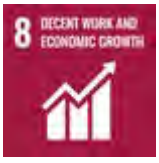
c. Driving digital transformation across the business
- Implemented an integrated operational data foundation and visualisation platform across multiple production assets, enhancing transparency, efficiency, and data sharing.
- Rolled out enterprise-wide AI/ML platforms and Generative AI use cases to accelerate insights, collaboration, and data-driven decision-making.
- Applied AI/ML solutions to optimise asset performance, production efficiency, reliability, and operational safety.
- Continued building digital capability and culture through the second batch of the Data Science Academy and Citizen Developer programmes, in collaboration with leading Indonesian universities.
- Earned industry recognition for digital innovation and leadership at the Society of Petroleum Engineers (SPE) Dubai, the SPE Java Region Hackathon 2025, and the SKK Migas AI/ML Hackathon 2025.

d. Strengthening our cybersecurity
- Enhanced cybersecurity readiness through joint simulation and crisis response exercises with the Medco Emergency & Crisis Management team, Indonesia's National Cyber and Crypto Agency (BSSN), Singapore's Cybersecurity Agency (CSA), and critical infrastructure partners.
- Fostered stronger security awareness and accountability through quarterly phishing simulations and continuous education initiatives, including campaigns and podcasts.
- Continued to strengthen its infrastructure security posture by deploying advanced perimeter protection, enhanced threat detection and response capabilities to address evolving cybersecurity risks.

These achievements mark a significant milestone in MedcoEnergi's digital transformation, reinforcing operational efficiency, cybersecurity resilience, and technological innovation across the organisation.

Alignment of Sustainability Initiatives with the UN SDGs

The table below aligns MedcoEnergi's initiatives to strengthen people and digital information with the relevant United Nations Sustainable Development Goals (UN SDGs). These initiatives only highlight MedcoEnergi's effort and do not imply MedcoEnergi has set or measured targets for host governments in our operational areas regarding the achievement of the UN SDGs.

UN SDGs	Relevant UN SDGs Targets[1]	Key Initiatives
	4.3	• Educational scholarships for employees and dependent • Employee Engagement Survey (EES) • Leadership and technical capability development programmes • Medco Leadership Behaviors (MLB) • Medco Subsurface Academy (MSA) • Medco Surface Engineering Academy (MSEA) • Medco Wells Academy • MedcoEnergi Operations Academy • Medco Data Science Academy • Medco Senior Leadership Development Programme (MSLDP) • Women@Work Community
	5.1, 5.5	
	8.2, 8.5, 8.6, 8.8	• Collective Labour Agreements (CLA) • Competency management systems (CMS) • HR policies and guidelines • Repectful Workplace Policy • Leadership and technical capability development programmes • Talent mobilisation
	10.2, 10.3	• Benefit alignments • Salary grade entitlements
	13.3	Climate-related capability building programmes and initiatives
	16.b	• CLAs • Industrial relations engagements with labour unions

1 The targets can be found in UN SGDs website (https://sdgs.un.org/goals)

Action Plans

The following action plans will enable us to meet our objectives and continue empower our people. We regularly measure, monitor and report on our progress and performance and match them against these actions. The progress report of these action plans refers to the 2023 - 2027 Sustainability Road Map. Since we have passed the short-term period and actions were concluded in 2025, our current focus is on the status of the medium/long-term actions.

Category	Short-term Actions	Medium/Long-term Actions	Status
Talent Attraction, Development and Retention	**Medco Senior Leadership Development Programme (MSLDP)**		
	Completed the MSLDP Batch 2 – Learning through Experience.	Continue implementing MSLDP Batch 2, focused on creating other leaders and preparing for MSLDP Batch 3.	Completed professional development for employees with more than 124,000 training hours. Continued the Leadership Programmes, including MSLDP, Leadership Coaching, Critical Thinking, Leaders Forum and Conversational Capacity. Completed MSLDP Batch 3 in Feb 2025 with final presentation from 25 senior leaders.
	Medco Leadership Behaviors (MLB)		
	Build understanding of MLB in Oil & Gas Indonesian assets	Broaden and enhance understanding of MLB within Oil & Gas international assets and other subsidiaries. Incorporate MLB aspects in Talent Development Framework.	Continued MLB implementation and integration in all HR initiatives, such as Performance Management and Leadership programmes.
	Incorporated MLB aspects into performance management.	Incorporated MLB aspects in leadership assessments.	Completed in 2023 and 2024.
	Talent Development Framework (Talent Mapping & Succession Planning)		
	Conducted talent monitoring for high-potential employees and successors.	Conduct system enhancements and familiarisations within Corporate, Oil & Gas, Power and other subsidiaries.	Conducted Integrated Leadership Development Programme (group & individual coaching, lead & inspire sessions). Completed cross-functional calibrations and talent reviews with BoD in November. Used talent mapping criteria to assess the potentials of Power subsidiaries (MRPR and MEB Supervisors) Conducted talent mapping & succession planning for VP positions at Power asset HQ.
	Technical and Operations Competency Management		
	Identify and assess current gaps in critical roles within technical functions using the Technical Competency Management System (TCMS) in Indonesian Oil & Gas and Power assets.	Identify and assess current gaps with core matrix to support energy transitions within Oil & Gas and Power assets as well as for critical roles within technical functions at Oil & Gas, Power assets and support divisions Continue to implement the development plans.	Operations, Competency & Learning • Method: Self-learning, mentoring by N-1, in-class training • Offshore Operations: 98% • Onshore Operations: 99% • Corridor Operations: 98%

Category	Short-term Actions	Medium/Long-term Actions	Status
Talent Attraction, Development and Retention	Establish the TCMS development plans for critical roles at Technical functions to support energy transition initiatives in Indonesian Oil & Gas and Power assets.	Implement the development plans in Indonesian Oil & Gas and Power assets.	Oil & Gas: • Ongoing Technical CMS Phase 3 for 18 discipline engineers. 100% self-assessment. Ongoing process for verification. Power: • Completed Technical Competency Assessments for Supervisors, Operators, and Technicians of MRPR and MEB. • Progressing review of engineering competency matrix for 6 disciplines as part of Power asset transformation initiative.
	Initiate core matrix for critical roles in technical divisions to support energy transitions in Indonesian Oil & Gas and Power assets.		Oil & Gas: • Completed several sessions of knowledge sharing forum of energy transition subjects facilitated by internal/external subject matter experts. Power: • Progressing with refining and discussions with GIZ on the terms and conditions of the cooperation agreements.
	Conducted technical capability development programmes through Subsurface Academy and MPMA.	Subsurface Academy continuation progression and practices Conduct in-house Subsurface Academy training and expand approaches to other in-house development programmes.	Monitor and provide participants with coaching on their projects/daily work in terms of: mindset, behaviours, technical analyses and decision making, as well as technical leadership. Keep encouraging leaders to apply leadership with MLBs.
	Finalised Operations Competency Management System (CMS).	Completed 2nd workshops of Operations Academy (including OJT programme). The 3rd workshop will be held in January 2026.	Completed 2nd workshops of Operations Academy. The 3rd workshop will be held in January 2026.
	Conducted Operations CMS in Indonesian Oil & Gas and Power assets.		Completed in 2024.
	Employee Engagement Survey (EES)		
	Conducted an EES with a focus on gathering feedback to foster a strong company culture and drive business objectives for employees in Corporate, Oil & Gas, Power, and other subsidiaries.	Implement an action plan to convert feedback into actionable initiatives. Complete 2nd EES.	Completed pulse survey of the selected respondents and presented the report.
	Review and develop EES action plans.		• Launched a Campaign of Individual Development Plans (IDP) & Career Profile. • Launched Women@Work. • Released Capability Development Guide. • "Dare to Grow" Mentoring Programme. • Completed EEA and MEDSA.

Appendix



List of Entities

The following is the list of MedcoEnergi asset names and their corresponding legal entities:

Name of Assets	Name of Legal Entities
Oil & Gas	
Oman KSF	Medco LLC
Thailand (Bangkok Office)	Medco Energi Thailand (Bualuang) Limited
Thailand (Field)	Medco Energi Thailand (Bualuang) Limited
	Medco Energi Thailand (E&P) Limited
Singapore Office	Medco Energi Global Pte Ltd
Block A	PT Medco E&P Malaka
South Sumatra Block	PT Medco E&P Indonesia
Rimau	PT Medco E&P Rimau
South Natuna Sea Block B	Medco E&P Natuna Ltd
Lematang	PT Medco E&P Lematang
	Medco Lematang BV
	Lematang E&P Limited
Tarakan	PT Medco E&P Tarakan
Madura Offshore	Medco Energi Madura Offshore Pty Ltd
Sampang	Medco Energi Sampang Pty Ltd
Bangkanai	Medco Energi Bangkanai Ltd
	Medco Energi Central Kalimantan Ltd
	Medco Energi Kerendan Limited
Corridor	Medco E&P Grissik Ltd
	Medco E&P Corridor S.A.U
Sakakemang	Medco E&P Sakakemang B.V.
Jakarta Office	PT Medco Energi Internasional Tbk
Palembang Office	PT Medco E&P Indonesia
Banda Aceh Office	PT Medco E&P Malaka

Name of Assets	Name of Legal Entities
Power	
MEB	PT Mitra Energi Batam
DEB	PT Dalle Energy Batam
ELB	PT Energi Listrik Batam
Sarulla Geothermal	PT Medco Geothermal Sarulla
TJBPS	PT TJB Power Services
Cibalapulang Mini-hydro	PT Bio Jatropha Indonesia
Pusaka Mini-hydro	PT Pembangkitan Pusaka Parahiangan
MPI Headquarters	PT Medco Power Indonesia
MPE	PT Multidaya Prima Elektrindo
EPE	PT Energi Prima Elektrika
MRPR	PT Medco Ratch Power Riau
MPSI	PT Medcopower Servis Indonesia
Sumbawa Solar PV	PT Medcopower Solar Sumbawa
East Bali Solar PV	PT Medcosolar Bali Timur
Ijen Geothermal	PT Medco Cahaya Geothermal
	PT Medco Power Geothermal Services
Timor-1	PT Medco Power Energi Services
Sulut-1	

Awards in 2025

Award	Issuing Organisation	Description
Medco Energi Internasional (MEI)		
Bisnis Indonesia Awards (BIA) Oil and Gas category	Bisnis Indonesia Group	PT Medco Energi Internasional Tbk won the 2025 Bisnis Indonesia Awards (BIA) for the Oil and Gas category.
ASEAN Risk Awards	Enterprise Risk Management Academy (ERMA)	MedcoEnergi secured the Runner-up position in Category 2[1] of the ASEAN Risk Champion Awards, receiving international recognition for its ongoing commitment to fostering synergy and resilience through effective risk management.
Indonesia ESG Leadership Awards 2025	BGK Foundation	PT Medco Energi Internasional Tbk received the Indonesia ESG Leadership Awards 2025 in the Leadership AA – Excellence Leader in ESG Transparency category.
Rank A in Sustainability Report	Foundation for International Human Rights Reporting Standards (FIHRRST)	Based on FIHRRST's study "2024 Sustainability Report Study of Indonesia Listed Companies: Strengthening Governance Measures to Support Sustainability," Medco Energi Ranked A in Sustainability Report.
Indonesia Best Digital Innovation 2025	SWA Media	PT Medco Energi Internasional Tbk achieved first place in the "Indonesia Best Digital Innovation 2025."
Medco Oil & Gas		
Gotech AI Hackathon 2025 10th Place	Dragon Oil and Society of Petroleum Engineers (SPE)	Medco's DIT AI/ML team placed the 10th at the Gotech AI Hackathon 2025 in Dubai, organized by Dragon Oil and the Society of Petroleum Engineers (SPE).
Best Poster Presentation	Indonesian Petroleum Association	Medco's DIT AI/ML team received the Best Poster Presentation in the Engineering category at the 49th IPA Convex 2025 in Jakarta, hosted by the Indonesian Petroleum Association (IPA).
2nd Place in Proof of Concept Category	SKK Migas	Medco's DIT AI/ML team secured 2nd place in the Proof of Concept (PoC) category in the SKK Migas IOC Hackathon 2025 in Bandung.
1st Place Geo-Energy Hackathon Scale up	SLB	Medco's DIT AI/ML team won 1st place at the 2025 Geo-Energy Hackathon – Scale-Up Edition, organised by SLB in Jakarta.
2025 SKK Migas Security Award	SKK Migas	MedcoEnergi Security Team achieved an outstanding milestone by winning First Place in the "Best Security Performance KKKS" category at the 2025 SKK Migas Security Award. This award serves as a recognition of the dedication, discipline, and excellence performance of the MedcoEnergi Security Team in implementing robust, adaptive, and sustainable security standards.
"Best Partner" award in the category of Upstream Oil and Gas Enterprises	PPSDM Migas	The company received the "Best Partner" award in the category of Upstream Oil and Gas Enterprises. This prestigious award was given in recognition of its various training initiatives and competency development efforts undertaken at the PPSDM Migas Appreciation Day 2025.
Empowerment Collaboration Partner Award	Rumah Zakat	Medco E&P Indonesia has been honored with the Empowerment Collaboration Partner Award from Rumah Zakat at the Public Expose 2025 even. The award recognized the Company's commitment to sustainable community development.
Silver Award in the Best Community Programme	The Pinnacle Group International	JOB Tomori won the Silver Award in the Best Community Programme category at the 17th Annual Global CSR & ESG Awards 2025 in Vietnam for its Asih Loinang programme.

1 Category 2 is a Company with sales turnover more than USD 75 million or more than 200 employees.

Award	Issuing Organisation	Description
Serambi Ekraf Award 2025	The Ministry of Creative Economy (EKRAF RI)	PT Medco E&P Malaka has been honored with the prestigious Serambi Ekraf Award 2025 in the category of Community-Based Creative Economy Empowerment. This recognition reflects MedcoEnergi's strong commitment to supporting local economic growth and local talents, which have successfully strengthened competitiveness and enhanced the capacity of communities around its operational areas.
Best Collaboration Awards	SKK Migas	JOB Pertamina–Medco E&P Tomori Sulawesi (JOB Tomori) was awarded Best Collaboration for its consistency in building effective security synergy with the Indonesian National Armed Forces (TNI), the Indonesian National Police (Polri), and regional security partners.
Certificate of Appreciation and Commendation	South Sumatra Provincial Government	Medco E&P Indonesia and Medco E&P Grissik Ltd.'s strong commitment to environmental sustainability has once again received significant recognition from the South Sumatra Provincial Government. Medco received a Certificate of Appreciation and Commendation from the Governor of South Sumatra for its successful environmental conservation programme.
2025 Climate Village Programme Award	Ministry of Environment of the Republic of Indonesia	Our non-operated assets, JOB Pertamina-Medco E&P Tomori Sulawesi received the 2025 Climate Village Programme award from the Ministry of Environment. The award was presented at the Proklim awards ceremony in Jakarta.
2025 Career Development Monitoring Award	SKK Migas	Medco E&P Indonesia earned First Place at the 2025 Career Development Monitoring (CDM) Award, organised by SKK Migas, in Category P1, which represents Production Sharing Contractors (KKKS) with Very Large production scale. The award recognizes the Company's excellence in human capital development and the strengthening of organisational capabilities.
Blue PROPER Award	Ministry of Environment of the Republic of Indonesia	All Medco Oil & Gas Operated Assets (Block A, Rimau, South Sumatra Block (SSB), Lematang, Tarakan, Madura, Corridor) recognized for full compliance with environmental performance PROPER Blue criteria.
Green PROPER Award	Ministry of Environment of the Republic of Indonesia	Our non-operated assets, JOB Tomori and TJBPS achieved Green PROPER, reflecting environmental performance that went beyond regulatory requirements and met PROPER Green criteria.
SKK Migas Appreciation	SKK Migas	Medco E&P Grissik (MEPG) continues to demonstrate its commitment to delivering tangible benefits to communities surrounding its operational areas through its Community Engagement and Development Programme (PPM). One of the key initiatives carried out in collaboration with SKK Migas since 2024 is the Manunggal Air Programme. During the closing ceremony of the Manunggal Air Programme. MEPG received recognition from SKK Migas for its support of the initiative.
Certification for the Implementation of the Security Management System (SMP) for National Vital Objects (Obvitnas)	Indonesian National Police Security Maintenance Agency	Medco E&P Malaka has obtained the Certification for the Implementation of the Security Management System (SMP) for National Vital Objects (Obvitnas). The certification serves as an official recognition that an organisation has implemented a reliable security management system in compliance with established standards.
National Energy Efficiency Award (PEEN)	Ministry of Energy and Mineral Resources (ESDM)	JOB Tomori won the 2025 National Energy Efficiency Award (PEEN) in the Energy Conservation Sector for the Innovation Subcategory.
"Excellent" rating for Oil & Gas Safety Management System (SMKM)	Ministry of Energy and Mineral Resources (ESDM)	Medco E&P Natuna Ltd. (MEPN) has achieved an "Excellent" rating for Oil & Gas Safety Management System (SMKM) surveillance assessment conducted by the Directorate of Oil & Gas Engineering and Environment (DMTL), Directorate General of Oil & Gas (Ditjen Migas), ESDM.

Award	Issuing Organisation	Description
Migas Safety Recognition 2025	Ministry of Energy and Mineral Resources (ESDM)	MedcoEnergi assets (JOB Tomori, MEPI Grissik, MEPI Malaka, MEPI Lematang, MEPI Tarakan, MedcoEnergi Bangkanai, JOB Simenggaris, MedcoEnergi Sampang, MedcoEnergi Madura Offshore) received Patra Nirbhaya awards in the Migas Safety Recognition 2025 on November 2025.
Subroto Award 2025	Ministry of Energy and Mineral Resources (ESDM)	PT Medco Energi Internasional Tbk (MedcoEnergi), through two of its subsidiaries, received the 2025 Subroto Award from the Kementerian Energi dan Sumber Daya Mineral (ESDM). The award was presented to Medco E&P Grissik Ltd. in the categories of Oil and Gas Safety and Gas Flaring Optimization, and to PT Medco E&P Rimau in the categories of Non-Tax State Revenue (PNBP) and Upstream Oil and Gas Financial Performance.
Medco Power		
Recognition of its participation in the free electricity installation programme for underprivileged households in Cianjur, West Java	PLN UP3 Cianjur	PT Medco Power Indonesia, through its subsidiary PT Pembangkitan Pusaka Parahiangan (PPP), received an award from PLN UP3 Cianjur in recognition of its participation in the free electricity installation programme for underprivileged households in Cianjur, West Java.
Indonesia Best Electricity Awards (IBEA) 2025	Listrik Indonesia	MCG was named Best Independent Power Producer (IPP) in the Renewable Energy Power Plant – Technology Innovation category.
Riau Islands Governor's Award	Governor of Riau Islands province	Medco Power Indonesia (MPI), through PT Mitra Energi Batam (MEB), received an award from the Governor of Riau Islands for its outstanding contribution to developing vocational education development in the region. The award highligths Medco Power's commitment to being not only an energy industry player, but also a social development partner on improving human capital development.
Electrical Safety Management System (SMK2) Certificate with a Blue Predicate	Ministry of Energy and Mineral Resources (ESDM)	Three subsidiaries of PT Medco Power Indonesia Mitra Energi Batam (MEB), Energi Listrik Batam (ELB), and Medco Ratch Power Riau (MRPR) have successfully earned the Electrical Safety Management System (SMK2) Certificate with a Blue Predicate from the Ministry of Energy and Mineral Resources (ESDM). These Medco Power assets play a vital role in ensuring reliable electricity supply within their respective operating regions.
Blue PROPER Award	Ministry of Environment of the Republic of Indonesia	All MPI Operating Assets (MRPR, DEB, MEB, and MPE) recognized for full compliance with environmental performance PROPER Blue criteria.
PRATAMA Award	Ministry of Energy and Mineral Resources (ESDM)	PT Medco Cahaya Geothermal received the PRATAMA Award in recognition of its performance in Occupational Health and Safety (OHS) and Geothermal Engineering for a non-producing working area at the project stage.



OJK Sustainability Reporting Standards and Requirements (SEOJK NO.16/2021)

As a company listed on the Indonesia Stock Exchange, MedcoEnergi prepares its Sustainability Report in alignment with the requirements of the Financial Services Authority (OJK), including POJK No. 51/POJK.03/2017 on the Implementation of Sustainable Finance for Financial Services Institutions, Issuers, and Public Companies, as well as SEOJK No. 16/SEOJK.04/2021 on Sustainability Reporting Standards and Requirements.

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G	Written verification from an independent party	G.1	Written verification from an independent party (if any	3
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Singapore's Accounting and Corporate Regulatory Authority (ACRA)

While MedcoEnergi's sustainability reporting is primarily governed by Indonesian regulatory requirements under OJK, we also maintain a Singapore-incorporated subsidiary. In light of emerging sustainability reporting requirements in Singapore, including those administered by the Accounting and Corporate Regulatory Authority (ACRA) for Large Non-Listed Companies, we have undertaken an internal high-level assessment against relevant ACRA disclosure expectations. These requirements generally focus on climate-related disclosures, including greenhouse gas emissions and governance, strategy, risk management, and metrics and targets aligned with international frameworks such as ISSB. This assessment provides a reference to support transparency and preparedness, should such requirements become applicable at the entity level.

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Onshore Receiving Facility, Singapore

Acronym and Abbreviations

3R	Reduce, Reuse, and Recycle
A&IC	Audit and Integrity Compliance
A&OI	Asset and Operating Integrity
ABC	Anti-Bribery and Corruption
ABMS	Anti-Bribery Management System
ACVG	Alternating Current Voltage Gradient
ADB	Asian Development Bank
AGM	Annual General Meeting
AI	Artificial Intelligence
AI	Asset Integrity
AIMS	Asset Integrity Management System
AKAMIGAS	Oil and Gas Academy (*Akademi Minyak dan Gas*)
ALARP	As Low As Reasonably Practicable
ALT	Asset Leadership Team
AMDAL	Environmental Impact Assessment (*Analisis Mengenai Dampak Lingkungan Hidup*)
AML	Anti-Money Laundering
AMMN	PT Amman Mineral Internasional Tbk
AOF	Advantage Oman Forum
AORV	Abnormal Operating Risk Visualization
API	American Petroleum Institute
APINDO	Indonesian Employers Association (*Asosiasi Pengusaha Indonesia*)
APLSI	Indonesian Independent Power Producers Association (*Asosiasi Produsen Listrik Swasta Indonesia*)
APPLTA	Hydropower Plant Developers Association (*Asosiasi Pengembang Pembangkit Listrik Tenaga Air*)
APRIMI	Association of Indonesian Oil and Gas Industry Remuneration Practitioners
APS	Announced Pledges Scenario
ASEAN	Association of Southeast Asian Nations (*Asosiasi Praktisi Remunerasi Migas Indonesia*)
ASME	American Society of Mechanical Engineers
BAP	Biodiversity Action Plans
BAPPENAS	The Ministry of National Development Planning (*Badan Perencanaan Pembangunan Nasional*)
BAT	Best Available Technologies
bbls	Barrels
BCMS	Business Continuity Management System
BCF	Banggai Cardinalfish (BCF)
BIFO	Bypass/Inhibit/Force/Override
BKSDA	Natural Resources Conservation Agency (*Balai Konservasi Sumber Daya Alam*)
BMZ	German Federal Ministry for Economic Cooperation and Development
BOC	Board of Commissioners
BOD	Board of Directors
BOE	Barrel of Oil Equivalent
BP2SDM	Human Resources Education and Training Centre (*Badan Penyuluhan dan Pengembangan Sumber Daya Manusia*)
BPDASHL	Protected Forest Management Agency (*Balai Pengelolaan Daerah Aliran Sungai dan Hutan Lindung*)
BPM	Business Process Management
BSP	Bulan Solar Project
BRI	Bank Rakyat Indonesia
BSR	Business for Social Responsibility
BSSN	Indonesia's National Cyber and Crypto Agency (*Badan Siber dan Sandi Negara*)
BUJP	Security Services Company (*Badan Usaha Jasa Pengamanan*)
BUMDes	Village-Owned Enterprises (*Badan Usaha Milik Desa*)
CAO	Chief Administrative Officer
CAPEX	Capital Expenditures
CBC	Corporate Board Committee
CC	Compliance Champion
CCPP	Combine Cycle Power Plant
CCRA	Climate Change Risk Assessment
CCS	Carbon Capture and Storage
CCUS	Carbon Capture, Utilization and Storage
CCWG	Climate Change Working Group
CDP	Formerly the Carbon Disclosure Project, an international non-profit organisation that helps companies and cities disclose their environmental impact
CECC	Corporate Ethics and Compliance Committee
CEO	Chief Executive Officer
CFE	Community Forest Enterprises
CFO	Chief Financial Officer
CH_4	Methane
CHSEMS	Contractor HSE Management System
CIP	Climate Impact Platform
CIVD	Central Integrated Vendor Database
CLA	Collective Labour Agreement
CMEA	Coordinating Ministry for Economic Affairs
CMS	Competency Management System

CMT	Crisis Management Team
CO_2e	Carbon dioxide equivalent
CoC	Code of Conduct
COD	Commercial Operation Date
CoI	Conflict of Interest
COO	Chief Operating Officer
CPP	Central Processing Plant
CSEC	Contractor's Statement of Ethical Compliance
CSIRT	Computer Security Incident Response Team
CST	Corridor Storage Tanker
CSR	Corporate Social Responsibility
CSRM	Corporate Sustainability and Risk Management
CSMS	Contractor Safety Management System
DD	Due Diligence
DEB	PT Dalle Energy Batam
DIT	Digital Information Technology
E&P	Exploration and Production
ECC	Ethics & Compliance Committee
EDMS	Electronic Document Management System
EES	Employee Engagement Survey
ELB	PT Energi Listrik Batam
ELO	Ethics Liaison Officer
EMS	Environmental Management System
EMT	Emergency Management Team
EP	Equator Principles
EPC	Engineering, Procurement and Construction
ERM	Environmental Resources Management
ERM	Enterprise Risk Management
ERT	Emergency Response Team
ESDM	Ministry of Energy and Mineral Resources (*Energi dan Sumber Daya Mineral*)
ESG	Environmental, Social, and Governance
ESHIA	Environmental, Social, and Health Impact Assessment
ESIA	Environmental and Social Impact Assessments
ESP	Electrical Submersible Pump
ETWG	Energy Transition Working Group
EV	Electric Vehicle
EVCU	Electric Vehicle Charging Unit
FAI	Indonesian Environmental Impact Assessment Forum
FGD	Focus Group Discussions
FLIR	Forward-Looking Infrared
FLT	Functional Leadership Team
FIHRRST	Foundation for International Human Rights Reporting Standards
FOL	Finding Oil Lost
FORKOPIMCAM	Sub-district Leadership Coordination Forums (*Forum Koordinasi Pimpinan Kecamatan*)
FORKOPIMDA	District leadership coordination forums (*Forum Komunikasi Pimpinan Daerah*)
FPIC	Free, Prior and Informed Consent
FPSO	Floating Production Storage and Offloading
FRA	Fraud Risk Assessment
FRM	Fraud Risk Management
FV	Field Verification
GAIA	Green Ambassadors for Inclusive Climate Action
GCG	Good Corporate Governance
GHG	Greenhouse Gas
GIZ	Deutsche Gesellschaft für Internationale Zusammenarbeit
GJ	Gigajoules
GOI	Government of Indonesia
GPF	Gas Processing Facility
GRE	Glass Reinforced Epoxy
GRI	Global Reporting Initiative
GS	General Services
GSA	Gas Sales Agreement
GTC	Gas Turbine Compressor
GTG	Gas Turbine Generator
GWh	Gigawatt hour
HAZID	Hazard Identification
HAZOP(S)	Hazard and Operability (Study)
HR	Human Resources
HRA	Human Rights Assessment
HRIA	Human Rights Impact Assessment
HRDD	Human Rights Due Diligence
HRP	Human Rights Policy
HRSG	Heat Recovery Steam Generator
HSE	Health, Safety, and Environment

HSEAC	HSE Action Committee
HSEMS	Health Safety and Environment Management System
HVTS-MRP	High Velocity Thermal Spray–Metal Reinforced Polymer
IBCSD	Indonesian Business Council for Sustainable Development
IBEA	Indonesia Best Electricity Award
ICCSC	Indonesia Carbon Capture and Storage Center
ICSA	Indonesia Corporate Secretary Association
IDP	Individual Development Plan
IDR	Indonesian Rupiah
IDX	Indonesia Stock Exchange
IEA	International Energy Agency
IESG	Industry Environmental Safety Group
IFC	International Finance Corporation
IFRS	International Financial Reporting Standards
IFRS S1	International Financial Reporting Standards – Sustainability-related Disclosures Standard (S1)
IFRS S2	International Financial Reporting Standards – Climate-related Disclosures Standard (S2)
IGCN	Indonesia Global Compact Network
IMT	Incident Management Team
INAGA	Indonesian Geothermal Association
INSEAD	European Institute of Business Administration (Institut Européen d'Administration des Affaires)
INSPIRA	Indonesian Solar Panel Industry and Renewable Alliance
IOGP	International Association of Oil & Gas Producers
IPA	Indonesia Petroleum Association
IPCC	Intergovernmental Panel on Climate Change
IPP	Independent Power Producer
IPPKH	Borrow-to-Use Forestry Permit (*Izin Pinjam Pakai Kawasan Hutan*)
IRF	Industrial Relations Forum
ISF	Indonesia International Sustainability Forum
ISMS	Information Security Management System (ISMS)
ISO	International Organisation for Standardisation
ISPS	International Ship and Port Facility Security
ISSP	International Society of Sustainability Professionals
IT	Information Technology
IUCN	International Union for Conservation of Nature
JOB	Joint Operating Body
JPP	Job Performance Profile
JTP	Just Transition Plans
KADIN	Indonesian Chamber of Commerce and Industry (*Kamar Dagang dan Industri*)
KHDKT	Special Purpose Forest Area (*Kawasan Hutan Dengan Tujuan Khusus*)
KKKS	Contractor Partnership (*Kontraktor Kontrak Kerja Sama*)
KLHK	Ministry of Environment and Forestry, Indonesia (*Kementerian Lingkungan Hidup dan Kehutanan*)
KPI	Key Performance Indicator
KSF	Karim Small Fields
KTH	Forest Farmer Groups (*Kelompok Tani Hutan*)
KWp	Kilowatt peak
KYC	Know-Your-Customer
LARAP	Land Acquisition and Resettlement Action Plan
LCT	Low-Carbon Transition
LSRFV	Life-Saving Rules Field Verifications
LGP	Lift Gas Platform
LRP	Livelihood Restoration Plan
LSR	Life-Saving Rules
LTI	Lost Time Injury
LTIR	Lost Time Injury Rate
m^3	Cubic metre
MAM	Medco Active Movement
MBAP	MedcoEnergi Business Apprentice Programme
MBOEPD	Million Barrels of Oil Equivalent Per Day
MCG	PT Medco Cahaya Geothermal
MCU	Medical Check Up
MEB	PT Mitra Energi Batam
MEDSA	Medco Employee Dependent School Award
MEI	Medco Energi Indonesia
MEMR	Ministry of Energy and Mineral Resources
MEPI	PT Medco E&P Indonesia
MEPN	Medco E&P Natuna Ltd (South Natuna Sea Block B)
MERP	Medical Emergency Response Plan
MKI	Indonesian Electrical Power Society
ML	Machine Learning
MLB	Medco Leadership Behaviors
MMSCFD	Million Standard Cubic Feet per Day
MoEF	Ministry of Environment and Forestry

MOU	Memorandum of Understanding
MPE	PT Multidaya Prima Elektrindo
MPEP	Medco Project Excellence Process
MPES	Medco Power East Sulawesi
MPHM	Upstream Oil & Gas Security Management (*Manajemen Pengamanan Hulu Migas*)
MPI	Medco Power Indonesia
MPMA	Medco Project Management Academy
MRPR	PT Medco Ratch Power Riau
MSA	Medco Subsurface Academy
MSEA	Medco Surface Engineering Academy
MSCI	Morgan Stanley Capital International
MSLDP	Medco Senior Leadership Development Programme
MSM	Meranti Sungai Merah
MSME	Micro, Small, and Medium-sized Enterprise
MSMS	Medco Security Management System
MTBL	Medco Tanah Bumbu Listrik
MTBL	Medco Thailand (Bualuang) Ltd
MUSRENBANG	Development Planning Consultation Forum (*Musyawarah Perencanaan Pembangunan*)
MW	Megawatt
MWH	Megawatt-hour
MWp	Megawatt peak
NbS	Nature-based Solutions
NBIC	National Board Inspection Code
NCSRE	National Centre for Sustainability Reporting - Energy Sector
NDC	Nationally Determined Contribution
NGO	Non-governmental organisation
O&M	Operation & Maintenance
OA	Operability Assurance
OADP	Operations Apprentice Development Programme
OCCI	Oman Chamber of Commerce and Industry
OCL	Operations Competency & Learning
OE	Operational Excellence
OEM	Original Equipment Manufacturer
OGMP	Oil and Gas Methane Partnership
OHIH	Occupational Health Industrial Hygiene
OHS	Occupational Health and Safety
OHSAS	Occupational Health and Safety Assessment Series
OJK	Financial Services Authority (*Otoritas Jasa Keuangan*)
OPAL	Oman Society for Petroleum Services
OPEX	Operating Expenditure
OPF	Onshore Process Facility
ORR	Operational Readiness Reviews
OSCT	Oil Spill Combat Team
OSRL	Oil Spill Response Limited
OT	Operational Technology
Our Code	MedcoEnergi's Code of Conduct
P2P	Procure-to-Pay
PDCA	Plan-Do-Check-Adjust
PDO	Petroleum Development Oman
PDP	Personal Data Protection
PEIT	Petroleum and Energy Institute of Thailand
PEP	Politically Exposed Person
PGN	Indonesian State-owned Gas Company (*Perusahaan Gas Negara*)
PIRT	Home-Based Food Production Permit (*Pangan Industri Rumah Tangga*)
PLN	Indonesian State-owned Electricity Company (*Perusahaan Listrik Negara*)
PMM	Permanent Magnet Motor
PNBP	Non-Tax State Revenue (*Penerimaan Negara Bukan Pajak*)
POD	Plan of Development
Posyandu	Integrated Health Services Centre (*Pos Pelayanan Terpadu*)
PPA	Power Purchase Agreement
PPKH	Forest Area Usage Approval (*Persetujuan Penggunaan Kawasan Hutan*)
PPP	PT Pembangkitan Pusaka Parahiangan
PPTI	Indonesian Tuberculosis Eradication Association (*Perkumpulan Pemberantasan Tuberkulosis Indonesia*)
PROPER	Performance Rating Programme in Environmental Management
PSC	Production Sharing Contract
PSE	Process Safety Events
psig	Pounds per Square Inch Gauge
PSPE	Preliminary Survey and Exploration
PSSR	Pre-Start-Up Safety Review
PT	Limited Liability Company (*Perseroan Terbatas*)
PV	Photovoltaic
PWT	Produced Water Treatment
QHSE	Quality Health Safety and Environment
QPR	Quarterly Performance Review
RAM	Reliability, Availability, and Maintainability
R&S	Relations and Security
RBI	Risk-Based Inspection
RCA	Root Cause Analysis
REC	Renewable Energy Certificate

RKL-RPL	Environmental Management and Monitoring Plan (*Rencana Pengelolaan Lingkungan Hidup – Rencana Pemantauan Lingkungan Hidup*)
RPIA	Women and Children Empowerment House (*Rumah Permberdayaan Ibu dan Anak*)
RPJMN	National Medium Term Development Plan (*Rencana Pembangunan Jangka Menengah Nasional*)
S$	Singapore Dollar
SAE	Standards on Assurance Engagement
SAFOP	Safety and Operability
SCBD	Sudirman Central Business District
SCE	Safety Critical Elements
SCEARA	Safety Critical Element Abnormal Risk Assessment
SCM	Supply Chain Management
SCP	Simple Cycle Power Plant
SDGs	Sustainable Development Goals
SEP	Stakeholder Engagement Plan
SIEW	Singapore International Energy Week
SKKL	Environmental Feasibility Decree (*Surat Keputusan Kelayakan Lingkungan*)
SKK Migas	Special Task Force for Upstream Oil & Gas Business Activities (*Satuan Kerja Khusus Pelaksana Kegiatan Usaha Hulu Minyak dan Gas Bumi*)
SME	Small and Medium Enterprise
SMKM	Safety Management System for the Oil & Gas Industry (*Sistem Manajemen Keselamatan Migas*)
SMP	Security Management Plan
SMS	Social Management System
SoA	Statement of Adherence
SOC	Security Operations Centre
SPE	Society of Petroleum Engineers
SRMC	Sustainability and Risk Management Committee
SROI	Social Return on Investment
SSB	South Sumatra Block
SSC	Shared Service Centre
SSP	Shared Socioeconomic Pathway
SSR	South Sumatra Region
STEPS	Stated Policies Scenario
STPI	Stop TB Partnership Indonesia
SWRO	Sea Water Reverse Osmosis
TB	Tuberculosis
TCFD	Task Force on Climate-related Financial Disclosures
TCMS	Technical Competency Management System
tCO_2e	Metric tons of carbon dioxide equivalent
TGI	PT Transportasi Gas Indonesia
TII	Transparency International Indonesia
TJBPS	PT Tanjung Jati B Power Services
TLF	The Learning Farm
TLV	Threshold Limit Value
TOE	Ton of Oil Equivalent
TOX	Thermal Oxidiser
TPC	Team Performance Contract
TNFD	Taskforce on Nature-related Financial Disclosures
TRIR	Total Recordable Injury Rate
TTX	Tabletop Exercise
TUK	Competency Assessment Centre (*Tempat Uji Kompetensi*)
UDHR	Universal Declaration of Human Rights
UDMC	Under-Deposit Microbial Corrosion
UMP	Provincial minimum wage (*Upah Minimum Provinsi*)
UN	United Nations
UN SDGs	United Nations Sustainable Development Goals
UNEP	United Nations Environment Programme
UNFCCC	United Nations Framework Convention on Climate Change
UNGC	United Nations Global Compact
UNGP	United Nations Guiding Principles
UNODC	UN Office on Drugs and Crime
USD	US Dollar
VP	Vice President
VPSHR	Voluntary Principles on Security and Human Rights
WBCSD	World Business Council for Sustainable Development
WBS	Whistleblowing System
WBMS	Whistleblower Management System
WHB	Waste Heat Boiler
WHP	Wellhead Platform
WHPB	Wellhead Platform B

Feedback Form

This Sustainability Report provides an overview of MedcoEnergi's 2024 sustainability performance. We look forward to receiving suggestions for improvement from our stakeholders. Please share your feedback and/or comments about this Sustainability Report by completing this feedback form and returning to us by e-mail, fax, or mail.

Stakeholder Group

☐ Shareholders ☐ Employee ☐ Partners ☐ Government & Regulator

☐ Bank & Investor ☐ Community ☐ Customer ☐ Media

☐ Others, please specify _____

Please choose the most appropriate answer(s) to the questions below:

	Yes	No
This report is useful to you	☐	☐
This report describes the Company's performance in sustainability development	☐	☐

Please rate the following material aspects based on the level of importance according to your view of MedcoEnergi's sustainability performance (score 1 = most important to 17 = least important).

- Workplace health, safety, and wellbeing ( )
- Climate Risk and Resilience ( )
- Water ( )
- Asset Integrity & Security ( )
- Human Rights ( )
- Responsible Procurement Practices ( )
- Security Practices ( )
- Climate Mitigation ( )
- Air Quality ( )
- Local Communities ( )
- Stakeholder Engagements ( )
- Talent Attraction, Retention, and Development ( )
- Climate Adaptation ( )
- Effluents and Waste ( )
- Anti-Corruption & Business Ethics ( )
- Policy & Regulatory Environment ( )
- Others, please specify _____ ( )

Please provide suggestions/comments for this report:

_____

_____

_____

_____

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Thank you for your participation. Kindly send this feedback form to the following address:

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